

IIFL Finance (IIFL)

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IIFL Finance Limited

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August 04, 2022

The Manager,

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400 001.

BSE Scrip Code: 532636 The Manager,

Listing Department,

The National Stock Exchange of India Ltd.,

Exchange Plaza, 5th Floor, Plot C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai 400 051.

NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings call for the quarter ended June 30, 2022, please find attached herewith transcript of the said earnings call which was held on Thursday, July 28, 2022.

The same is made available on the website of the Company i.e.

[https://storage.googleapis.com/iifl-finance-](https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFL_Finance_Q1FY_23_earnings_call_transcript_0.pdf)

[storage/files/investor/financials/IIFL_Finance_Q1FY_23_earnings_call_transcript_0.pdf](https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFL_Finance_Q1FY_23_earnings_call_transcript_0.pdf)

Kindly take the same on record and oblige.

Thanking You,

Yours faithfully,

For IIFL Finance Limited

Sneha Patwardhan

Company Secretary

Place: Mumbai

Encl: As above

CC:

Singapore Exchange Securities Trading Limited

2, Shenton Way, #02-02, SGX Centre 1,

Singapore - 068 804

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"IIFL Finance Limited Q1 FY-23 Earnings Conference Call"

July 28, 2022

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Moderator: Ladies and gentlemen, good day and welcome to the IIFL Finance Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you sir.

Rajesh Rajak: Good afternoon everyone. On behalf of team IIFL Finance, I thank all of you for joining us on this call. I am Rajesh Rajak – Chief Financial Officer. I am accompanied by Mr. Nirmal Jain – our Managing Director, Mr. Monu Ratna - CEO - IIFL - Home Finance, and Mr. N Venkatesh - CEO - IIFL - Samasta Finance. I will now hand over to our Managing Director Mr. Nirmal Jain to comment on the economy and the group's overall strategy and plan. Over to you sir.

Nirmal Jain: Thank you Rajesh. Good afternoon and welcome to the analyst call. So, macro environment as we all know, the global environment is turbulent, yesterday FED hiked the rate by 75 basis point which was a little aggressive, but maybe most people say this was much required or called for. Market rallied maybe for a variety of reasons. But the fact which very few people doubt is, that there is an imminent slowdown or recession in the developed world and particularly USA and Europe. So, the global backdrop is worrisome. But in that backdrop, if you see India then the underlying momentum in the economy is very strong. So, if you look at all the headline numbers of GST collections, the consumption demand or auto sector, at the same time, there are recovery signs in the rural economy as well. And also this is corroborated by earnings particularly of banking and financial sector, IT sector as well as capital goods. So, India seems to be a sweet spot in this global economy.

And coming to NBFC sector and our company, NBFC sector also has come out of a long crisis, which began with the IL&FS first and then a few more other corporate defaults, and then COVID crisis broke out, and the sector seems to have consolidated. Now the liquidity as well as credit demand is improving, the environment is becoming a lot more positive. Coming to us, we had a good quarter. So, now I would like to emphasize more on our Core Products because these are the products where we are focusing for growth and now they account for almost 95% of our portfolio. Growth was 26% in terms of core loan AUM, and the pre provision operating profit was up 32%. We had high provision this time again, and the post provision profit before tax and profit after tax were up by about 24%. So, the provision requirement was higher as we have restructured microfinance pool and in fact close to Rs.375 crores which was restructured earlier, came out of restructuring in last quarter, the payment would have become due last quarter maybe some in this quarter. And there we are seeing some stress and we have been conservative, we provided for it aggressively. We have taken about Rs.100 crore additional provision in microfinance. But what is noteworthy this quarter is that NPA has started falling and the GNPA number which was 3.2% at March end, even after following RBI stricter norms, which RBI has given some discretion till September 2022, but we continue to follow the norms that will come in force by September 2022. And with that our GNPA number was 2.6% for the entire book, NNPA or the net non-performing assets after provision for stage three was 1.5%, down from 1.8%, and the provision coverage ratio has improved and is now 137% as against 123% in the IIFL Finance Limited

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previous quarter. Our net gearing which if you net of the cash liquid and cash equivalent

and

deemed debt which contractually or legally is not debt, is around 4.4 times, significantly better than what it has been in last two years. Our capital adequacy for IIFL Finance Limited is 22.8%, slightly lower than 23.9% last quarter, but IIFL Home Finance capital adequacy is at 30.7%, which is significantly better. Almost half of our business now is done by our housing finance company.

Our operating costs again has gone up quite significantly last quarter. 200 new branches were commissioned and more than 2000 people got further added to our manpower strength. So, our total manpower now has crossed 30,000 mark. We continue to invest in technology and marketing as well. Along with this also the annual salary hikes and in an environment like this, there have been pretty good so that impact is also visible in the first quarter operating cost. The outlook is positive because as I said, that accreted demand is showing strength, the collection and general credit quality is also improving. Interest rate hike is always a worry for any lending institution, but as far as the concern for us, given our retail small ticket granular book and even

home loans that we operate in affordable housing relative to the rest of the financial sector, we will have better capacity or better superior ability to pass on the interest rate hike, as long as in a reasonable band. If it goes up significantly, it can impact demand, but at this point in time, the economic momentum is so strong that it looks like it has been taken in stride. So, with this, I will hand it over back to Rajesh to take you through details of our profit and loss. And some developments in the quarter and then we will open it for Q&A. Thank you.

Rajesh Rajak: Thank you, Mr. Jain. So, in line with the momentum of the previous quarters, our profit continued to grow, the profit after tax for the quarter was highest ever at Rs.330 crores, which is up 24% on a year-on-year basis and 3% sequentially. The major drivers being the volume growth of 22% in AUM and the higher non-fund base income. The PPOP was at Rs.674 crores, up 32% on a year-on-year basis and 1% sequentially. Our loan book structure is such that 95% of our loans are retail in nature and 67% of our retail loans are PSL compliant with the exclusion of gold loans which are not classified as PSL loans, but we have other benefit for banks in terms of capital charges. This is in line with a capital optimization strategy that 39% of our AUM is either assigned, securitize or under the co-lending model, the same number for the previous year for the same period 34%.

Since April 21 till June 22, that is a period of 15 months we have added almost 11,000 employees and over 1000 branches. This has obviously affected our cost to income which has increased to 43% in Q1 FY23 last year same quarter was 38% but the expansion has paved the way for accelerated growth in the future. The annualized ROE continues to remain about 20% at 20.5% and largely driven by annualized return on asset of 2.9%. A capital adequacy as mentioned at 22.8% is significantly higher than the regulatory requirements. Our average cost of funds for the quarter at 8.5% is lower 48bps on a year-on-year basis and 9 basis point down even on a sequential basis. At the quarter end, we had liquidity of Rs. 5,520 crores which was adequate to meet not only all near-term liabilities, but also the growth momentum.

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Two important events to play during the quarter one is, we entered into a joint venture with Open Financial Technologies Private Limited, which is Asia's largest SME focused neo - banking platform. With this, we aim to strengthen our offering, making our entire product range available to MSME customers. The second update was that the Board of Directors of IIFL Home Finance Limited approved a transaction involving investment by a wholly owned subsidiary of ADIA

Abu Dhabi Investment Authority of Rs. 2,200 crores for a 20% stake in IIFL Home Finance Limited.

A brief update on digital properties that we have. We largely do DIY loan sales through WhatsApp and MyMoney app. More than 45,000 customers have been on boarded till date under the above initiatives and the DIY disbursement in the quarter one was at Rs.260 crores. We also have another initiative of gold loan at home which continues to see significant traction and it has increased fourfold to Rs. 206 crores during the quarter. Also, in terms of servicing transactions for customers, they can do it through IIFL loans app and my money app. We had about 3,50,000 active users during the quarter, which is in line with the overall digitization strategy of the company. So, these are the brief updates. We can now open the floor for further questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Sukriti Jiwarajka from Laburnum Capital. Please go ahead.

Sukriti Jiwarajka: Just on the first point you mentioned the stress that you're seeing in the restructured book is only the MFI restructured loans or the overall Rs. 400 crores restructure that you reported last quarter?

Nirmal Jain: MFI was a large part of it and the other restructured book actually came out was relatively lesser. So, the stress that we are seeing is predominantly in MFI.

Sukriti Jiwarajka: Okay. No, because last quarter as of 31st March, the MFI restructured book was zero.

Nirmal Jain: So, suppose restructuring is over as on 31st March, then your payment will become due sometime in the next quarter. And once you have defaulted for 90 days, then only it becomes GNPA or a stress asset.

Sukriti Jiwarajka: So, all this will slip into NPA right?

Nirmal Jain: Not necessarily, because as they come out of restructuring some customers do pay, and some of them don't pay or some of them are not able to pay the full amount that is required as per RBIs new policy, then they get into NPA. But there is a recovery process, and there's a collection. So, it's not that, if somebody has not paid for one or two installments, it will definitely go into a loss. So, with some of that recovered, and some of them come after a lag, so there's a recovery from pool that is identified as NPA also.

Sukriti Jiwarajka: Sir, can we quantify about Rs.375 crores of restructured MFI loan, maybe on a quarter-to-quarter back, how much has slipped, how much is in stage two. Because what I'm seeing is also right

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now stage three provisions for MFI it's still at 67%. And MFI customers don't usually come back. So, I am just trying to understand what has gone where?

Nirmal Jain: So, these are COVID related restructuring, because many of these customers had their income and livelihood suspended for some time. So, out of Rs.375 crore, we should be able to recover at least half of it. And the process is there, so recovery is happening and it is not zero. See, what happens is the customer under normal circumstances not paying for say 90 or 180 days then you are right, that will become very difficult to collect. But when you give a holiday for a time period, and then you come back and it takes some time then it's a different situation. So, now that entire thing has come out of restructuring, so last quarter and this quarter we'll know exactly how much the total stressful assets are.

Sukriti Jiwaraajka: Sure. No, just for the half that we don't expect to come back, are we 100% provided there?

Nirmal Jain: Rs.271 crore is the provision in total for MFI, and so maybe.

Sukriti Jiwaraajka: Rs.271 crore including Rs.100 crore this quarter?

Nirmal Jain: Yes. We may need some more in the next quarter, I guess.

Sukriti Jiwaraajka: Yes, got it Rs.275 crores you said right, total provision in MFI?

Nirmal Jain: Rs.271 crores, but that includes f

or all assets, not only stressful asset but even the normal book.

So, on the stressed assets we have provided about 66%, two third of it.

Sukriti Jiwaraajka: Got it. My next question is your yields have increased and given the product segment, it does look like your customer is being able to absorb the higher rates. And like you said, you probably have a better ability to pass it on. But I just want to get a sense of the competitive landscape in the sense that is competition being rational? and have everyone raised rates in the core products in home and gold in business loans also?

Nirmal Jain: No, you are saying competitive pressures on the yield, on the interest rate?

Sukriti Jiwaraajka: Has everyone been rational enough to raise rates to the same extent?

Nirmal Jain: Good question. In gold loan, in the last financial year, almost from September to March, people were actually quite irrational in terms of the interest rates that they were quoting, like 49 basis points per month and many of these players have cost of funds more than that, and they thought that they will get the customer and they will be able to raise the price when they default or whatever. So, I think the industry and the cutthroat competition in gold loan, is easing now, because most of the players are now raising money and becoming rational. So, one is that rationally increasing the price say 90 basis point- bank rate has gone up, the interest cost might have gone up by certain basis point that is one part of it. The second one is that teaser rate which was like spoiling the market, that tendency has reduced significantly. See 50, 100 basis points price pass on in this industry is never difficult. But what was challenge in the last one year was, IIFL Finance Limited

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that many players were coming with a teaser rate which were completely irrational below their cost and obviously, customers actually see this over six months, nine months that the rates that were promised to them when they took the loan, and actual is very different. So, that tendency is getting away and which is a good sign for the industry.

Sukriti Jiwaraajka: And in home loan and business loan are people raising rates, like we have?

Monu Ratna: Yes, so it has moved in tandem and right through whether it is the public sector banks or the private HFCs, or private banks, everybody has moved in tandem. So, there is no widening of the gap created by us increasing the rates.

Sukriti Jiwaraajka: Clear. Also, the business loan strategy is not entirely clear to me, a few quarters back, you all had said that, you're going to start to focus on this. Is it part of the growth portfolio? because I do see that it does seem to lag the other core growth segments and what do you want to grow? you want to run down the unsecured booking? can you just re-explain the strategy?

Nirmal Jain: You are asking about strategy for housing finance company or for the group?

Sukriti Jiwaraajka: No, the business loans.

Nirmal Jain: Okay. So, business loan if you see 75% is secured. And so, in business loan there are two parts of business loans one is which we do through HFC, which is led by Monu, where there is mortgages against the loan against property. The other is we do digitally which is unsecured which is done through parent company, also we try to get significant part of it insured but there the ticket size is small and loans are unsecured. So, what we are trying to do digitally is more focused on unsecured but what we are doing through our network in particularly the housing finance is mortgages. The split is around 75:25, so around 70% plus is secured and 30% is unsecured. Both the businesses, both the segments will grow.

Sukriti Jiwaraajka: Okay and the business from Open will come into your digital unsecured portion?

Nirmal Jain: Open will come into unsecured to start with, with little bit of time we can get business from there

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or secured home loan also.

Sukriti Jiwarajka: Okay, can I squeeze in one more question?

Nirmal Jain: Please go ahead.

Sukriti Jiwarajka: I know the regulatory limit is much lower but At 15% tier I is the fundraiser likely in the parent in this year?

Nirmal Jain: In terms of co-lending model and the assignments transactions, probably they will gather momentum in the second half. We won't need capital, and actually the capital that we raised in HFC, we will make sure that that is also utilized productively and is leveraged adequately so

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that we generate enough ROE. So, at this point in time, there are no plans to dilute equity in the parent.

Moderator: Thank you. Next question is from the line of Amit Mantri from 2.0 Capital. Please go ahead.

Amit Mantri: Sir my question is on the provisions front, so this quarter we have done almost 2.9% of the book on an annualized basis as provisions in microfinance,. So, what is the credit cost guidance for the full year that we have now, because last quarter you had given a credit cost guidance of 1.5% for this year. So, as of now what is the guidance of full year?

Nirmal Jain: Actually, what you're saying is right, that the provision is higher than expected and almost like Rs.100 crore of additional provision in MFI so now it should be between 1.5% to 2% for the whole year. If you see now, the provision is around Rs.250 crores for the quarter on a 52,000-crore plus book and so full year we should be anywhere between 1.5% to 2%.

Amit Mantri: This provision is on the own book, which is almost around Rs.33,000 - 34,000 crores. So, because the rest of the book is anyway we don't take the risk on the asset?

Nirmal Jain: Yes, I stand corrected, what you are saying is right that the provision is on own book which is Rs.34,000- 35,000 crore and even the percentage I calculated on that basis.

Amit Mantri: And, now in the presentation you have guided that even another two, three quarters, you will continue to see a high rate of provisioning and after that it starts tapering?

Nirmal Jain: So yes, what you're saying is right, that's why I'm saying that we may end the year with 1.5% to 2%. There are two things - one is the provision amount that we take, the MFI additional provision may come, it may taper off after a period of time, but it can continue in the next quarter.

So, one quarter we have already seen, probably we will see some impact next quarter as well.

But unless there's something unexpected that happens, provisioning should start easing now from the next quarter.

Amit Mantri: Because if we continue to have the current run rate, then the provisioning will obviously be much higher than 2% because with currently Rs.250 crore run rate, if we have for even two, three quarters, then the full year provisions will be probably more than Rs.800 crores, so if then our book becomes Rs 40,000 crores, it's still higher than 2%.

Nirmal Jain: Yes, so what you are saying is right but then obviously our expectation is that the provision will fall.

Amit Mantri: So, in the microfinance book, when you look at the stage two plus stage three assets, that is around Rs.600 crores as of now, and corresponding to that, we have say Rs270 crores of provisioning and even if you take out some standard asset provisioning, we still have over Rs.200 crores of provisions that are corresponding to that. And from the other place that we are hearing on the 30-to-90-day book, most of them seem to have +90% collection efficiency. So, how much of this stage two book is expected to slip into NPA?

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Nirmal Jain: So, now when you say stage two, up to 60 days if you look at it, 90% collections should happen.

So, 60 to 90 days, it goes into a little lower and the 90 days would become even more difficult.

But, this restructuring thing is new, because one is that peo

ple on the regular basis don't pay

one, two, three installments, and that people who are allowed to take some time off and then they are asked to pay back as things become normal. So, this should be in line with the industry, and what we've done in last quarter is that we have increased our collection force, in terms of teams, we have separated the sales and collection, some of the people who were earlier in sales, we identified them and have put them in collection, we have put out a proper incentive scheme for them. So, we want to handle this on a war footing so that this gets resolved properly in next one or two quarters.

Moderator: Thank you. Next question is from the line of Harsh Shah from L&T Mutual Funds. Please go ahead.

Harsh Shah: Just couple of questions, firstly on few of your business segments like for example gold finance, how has been the competition intensity now and what has led to increase in yields on quarter-on-quarter basis?

Nirmal Jain: Competitive intensity is easing and the cutthroat prices, they are now going out of the market. So, what happened is that with these teasers schemes, we also sort of tried to follow the industry, but very quickly we withdrew them in the last quarter itself. We realized that even the volume growth is slower sometimes, and we have to sacrifice something, but we would rather be and as our tagline is "Seedhi Baat", that we will be more transparent state forward to the customer that this is the interest rate, rather than saying something else and charging something else later on. And so, last quarter we suffered, this quarter we are little bit back and hopefully yield should improve little bit from here also.

Harsh Shah: Correct. So, I was asking about competition because of the perspective that there are other NBFCs like for example yesterday, Bajaj also very aggressively commented that they are now starting to open standalone gold loan branches aggressively and also will offer golden loan in existing branches. And at the same time though customer base is different, but bank competition intensity continues to remain the same, earlier there was this hypothesis that once such kind of competition is seen, you come down the yield curve and overall NIMs and ROA in this business segment will get depressed. So, does this philosophy still remain the same or you think that from your overall business dynamics can improve and we can generate superior returns versus last one or two years?

Nirmal Jain: So, our yield actually compared to the larger golden players have been lower historically. Secondly, what we have learned in the last one year, this gold loan competition and cutthroat pricing won't matter much since the market is so vast and the customers are looking for many other things. So, it may not be the right thing to fight on price and if somebody is reducing the price and you just panic and do something so, there will be some pockets where you may have some volume sacrifice but there are some other pockets where you still have your strength in terms of brand, service and customer connect. So, we would be continuing with the fair pricing.
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With gold loan what happens people think 17%, 18% price is very high and high margin, but what people don't realize is that the operating cost to loan is also 6% - 7% or it can anywhere between 5% to 8% depending on the scale, like Muthoot kind of large players might have 5% or close to that and the smaller players whose volumes are lower than that can be 7% to 8% also. So, it's not that 17%- 18% straight away going to margin so if you do pricing which is more intense or like lower, then you discover that business might become loss making for you. But with our geographies, our areas, our branches, and our brand and connect with the customer we should be able to maintain our yields.

Harsh Shah: Okay. And you had mentioned that you have op

ened around 200 branches, any specific breaker
what kind of businesses these branches will cater too?

Nirmal Jain: Out of this 50 branches are for housing finance, so now housing finance we only have about 330 odd branches so relative to what base we had, we are scaling a bit faster in housing finance because as ADIA money comes in probably Mr. Monu and his team will have more ammunition. Monu you want to talk about it?

Monu Ratra: Yes. so thank you. So, we are looking at expanding our footprint in HFC business, which earlier was moderate and with this ADIA money, we are moving to tier two, tier three towns in specific states. So, we believe that there is a vast opportunity out there for affordable housing, and we should see some serious scale up of the housing loan business in the coming years.

Nirmal Jain: So, other than that the branches are there for microfinance and gold loan also.

Harsh Shah: Understood. Just last question from my side, your cost of fund has come down this quarter on a quarter-on-quarter basis. So, was it re-pricing, was it smart ALM management, what was it?

Nirmal Jain: It has come down only by 10 basis points, so if you look at people are talking about interest rate increase, but the current interest rate even after increase are lower than what it was say any time before 2018. So, what happens is as older loan gets repaid, and we borrow now at a relatively better rate, the interest rate comes down. And also as our financials have been consistent and our credibility with the bank is already there and banks and the lenders have their own scorecard. So, we are able to negotiate a little better as the liquidity is improving.

Harsh Shah: So, what's your outlook for cost of fund when you're entering Q2 ?

Nirmal Jain: If the RBI increases the rate and the liquidity tightened, the liquidity is very important factor, just not the RBI rate. So, there can be some impacts, so I don't think that if the interest rates are taken higher across the system and across the economy will remain in a loop, but hopefully we should do better than our peers.

Harsh Shah: Understood. Just one last thing that I want to squeeze in if I can, since we are very aggressive on co-lending and off book and also we have great tie ups with banks, does that side of the

business help us getting a better pricing on our liability side ?
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Nirmal Jain: Yes, relationship is good but even their rates are tied to MCLR. So, like in case of home loan, if we take a price increase for the customer, even that goes to banks also for any other process. So, the co-lending by itself will not help reducing or increasing cost of funds. But only good thing about co-lending is, that it is like the loan term or financing is coterminous with the asset. So, suppose you are giving home loan for 15 years, it is very difficult to borrow for 15 years in Indian market because in the market for long-term borrowing such long term tenure don't exist for corporates or tenures are very low. But when you do a co-lending then it almost becomes like funding for 15 years but you don't have to again refinance it. So, it's taken care for the entire tenure of the loan whatever it be, just repay it can get sorted but, so as the co-lending advantage is that the asset liability matching is automatic and 100%.

Moderator: Thank you. Next question is from the line of Saptarshi Chatterjee from Centrum PMS. Please go ahead.

Saptarshi Chatterjee: In Construction and real estate business last quarter, we had around stage two, stage three together around close to Rs.250 crore exposure this quarter this has come down drastically, can you please give up the breakup of write off and recovery in this?

Nirmal Jain: No, it's difficult to give breakup of write offs and recovery but, some has been written off and there is some the recovery as well. And also there are new loans also in this.

It's not that we are

settling it down but the new loans are from HFC for the approved project and of smaller amount so, it's a mix of this and even the DCCO portfolio what we had has come down now. So, DCCO portfolio which last quarter was Rs.890 crore now down to almost Rs 490 crore.

Saptarshi Chatterjee: Understood. But the reduction would be largely like write off or would it be more or less recovery?

Nirmal Jain: Both. It's a combination of both the things. Part recovery, partly write off kind of thing.

Saptarshi Chatterjee: Okay, sure. Second question is we have high coupon dollar bond of Rs.2400 crore, earlier you have talked about buying it back, but can you please talk about how much quantum and maybe timeline for buying this back?

Nirmal Jain: So, we have done a USD 400 million total issue out of which we bought back some and USD 323 million is outstanding, and which is due in April next year, but what we plan to do is that we'll try and buy back more and so by the time the maturity comes the amount of outstanding may not be very significant and they are fully hedged.

Saptarshi Chatterjee: Okay. And in the annual report it was mentioned that in the investments books you have around two exposure of total Rs.1000 crore in the IIFL One Value Fund Series B, and C, can you please talk about which are the constituents and how the accounting of income from this book will come?

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Nirmal Jain: So, these are some assets that we've transferred to the funds primarily. And the accounting is based on NAV. So, every quarter NAV is computed and based on that accounting will take place.

Saptarshi Chatterjee: Okay, so every quarter it will come under the non-fund-based income right?

Nirmal Jain: Yes, if there is a change in NAV then it will come there.

Saptarshi Chatterjee: And this will be majorly real estate exposure, is it fair?

Nirmal Jain: Yes.

Saptarshi Chatterjee: And one last thing is, in the AUM, can you please quantify how much would be floating and how much should be fixed in the interest rate?

Nirmal Jain: Home loan and LAP are floating primarily and other than that gold loan and microfinance loan will be fixed. But in a way that way everything will be floating because we'll always have flexibility in the price. But practically speaking, home loan and LAP are floating and the smaller tenure loans are fixed.

Saptarshi Chatterjee: Understood. And in one of the slides where you report the portfolio yields across the segments. does it also include the assignment income, or it is only pure interest income?

Nirmal Jain: No, this is interest income.

Moderator: Thank you. Next question is from the line of Ray Ponda from BCP Securities. Please go ahead.

Ray Ponda: So, in regard to that MTN dollar bonds, there's a maturity later on in April. I believe somebody raised that question, I just want to make sure that I heard that right, that you guys intend to gradually pay it off and don't plan to extend that notes any further is that right?

Nirmal Jain: Yes, that's right. So, we will be able to pay it off based on RBI guidelines, it is a little complicated formula by which is calculated how much you can buy back. But if you can have ECB which is external commercial borrowing dominated in dollars, you can use that money to

buy back. So, at this point in time we don't have any intention to renew the dollar bond because the cost is significantly higher than our borrowing cost locally. So, what we intend to do is that we'll pay it off gradually, and whatever is balance we will pay it off on the maturity day. That's what our current plans are, you are right.

Ray Ponda: Understand. It appears that India is pretty close to the other remaining emerging countries in Southeast Asia. It seems like a lot of them, they either redeem it through sort of local loans, or they just somehow have extra cash and they will intend to p

ay off as fast as they can. That's how

I interpret or how can I see it now?

Rajesh Rajak: Yes. So, if you see the USD 323 million that is outstanding, and in terms of liquidity that we have as of June end, that's about UDS 700 million in rupee denomination. So, while we plan to

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buy them back before their maturity, but on their due date also it should not be a problem to us to redeem them because the rupee liquidity that we have on our balance sheet. So, RBI rules prohibit us from prepaying it using rupee liquidity but on the due dates we can always use the rupee liquidity that we have.

Moderator: Thank you. Next question is from the line of Vivek Ramakrishnan from TSP Mutual Funds.

Please go-ahead sir.

Vivek Ramakrishnan: I have two questions. One is on the capital adequacy ratio calculation itself; it has decreased from 16% to 15.3% in March. And if you see your loan book and securitized book, you have to provide capital for securitized book and it also has barely grown. So, what explains the different capital adequacy and given the fact that we are doing co-lending would, gearing be a better ratio to look at your company, that's question number one and question number two, is I heard Nirmal's mark over the center of the economy, do you expect collection efficiency to go over 100% as going to the next quarter, because a lot of the COVID related problems will be over. And that bring down the NPA numbers. Overall, it will take a little time I can understand that, because there still will be one, two payments behind. But do you expect the collection efficiency to go beyond 100%. Thank you.

Nirmal Jain: So, collection efficiency technically if it goes above 100% then it will have to come down because it can't be over 100% forever, because so the way they calculate is that their overdue amount and the due amount, and what you're collected is the numerator, so it can be over 100% only for a short time period not for a longer time period. And only if it was lower, then it has to be bounced back to above 100% to catch up. And about your question about capital adequacy, Rajesh maybe you can explain.

Rajesh Rajak: Yes, so Vivek, this capital adequacy is obviously for the standalone company. And in the standalone company our loan book primarily comprises of gold loans. Quarter one was a bit subdued just like any other quarter as far as assignment, though the volumes were high, but compared to say March end or the amount that we distributed or the assets that we originated, was little subdued. So, our gold loan assets were higher to the extent of Rs.1000 crores on balance sheet, and that explains it, but then with increased level of assignment in the second quarter, which is the current quarter, we should fall in place back to the earlier levels.

Moderator: Thank you. Next question is from the line of Ayush Vimal from Clearview Capital. Please go ahead.

Ayush Vimal: I had two questions on the gold loan book. The first question is, what is your outlook on the gold loan book in the light of falling gold prices, the reason I'm asking this is because a lot of the larger gold companies seem to have derived their growth over the last four, five years from the change in prices of gold rather than tonnage. So, I just wanted to check how it's going to impact us in the future if the trend continues?

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Nirmal Jain: So, actually in India, the fall in the gold price has been lesser than the global because the duty has increased. But as the total prices continue to fall, obviously your ability to loan on the quantum of gold reduces. So, that will have a negative impact on the growth and the growth can slow down for the gold loan industry as a whole. We should be able to gain market share in the organized sector with our increased network of branches. But of course if the gold prices, what

you are saying is right that the last two, three years and particularly 2021, the significant increase in gold loan assets of the gold loan companies are primarily because of the gold price increase. So far we have been doing better, we have about 10% to 12% gold tonnage growth in our vaults and hopefully with the expanded network, we should aim little higher. But your point is correct

that if the gold prices go down the industry growth will also slow down.

Ayush Vimal: Thank you sir. One more question that I had on the gold loan book is, I see about 20% of the loan book exposure to Gujarat. So, just wanted to check on whether we have lumpy loans in the book, if you could tell me what is the proportion of the outstanding loan book whether ticket size has been more than one lakh? that will be very helpful

Nirmal Jain: So, what had happened is that we were little late entering in the gold loan business and strategically we saw that the earlier players were very widely entrenched in South. So, we started with Gujarat and that as a flexi state, so we have more than 350 branches in Gujarat alone. And the gold loan book is very granular and distributed, so there is no lumpy exposure at all in this.

So, any of our gold loan book anywhere in the country is all retail.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go-ahead sir.

Deepak Poddar: So, I just wanted to understand first of all, on your credit cost, now you mentioned about 2% of credit cost for this year, maybe 1.5% to 2%. So, even if I take the higher band of that 2%, so, we are looking at maybe Rs.750 crores?

Nirmal Jain: Around Rs.800 crores, book will also grow.

Deepak Poddar: Yes, assuming the 25% growth in book. So, Rs.250 crores we have already done so, we are left with Rs.160 crores kind of a credit cost per quarter Rs.160 to Rs.170 crores for the remaining three quarters in this year. So, ideally what we are saying is that from this quarter onwards, our credit costs should normalize is that the right interpretation?

Nirmal Jain: That's what logically should happen, but nobody has a precise view of the future. So, this quarter onwards, next quarter, all these quarter we should see it going down.

Deepak Poddar: Provision should go down quarter-on-quarter, right?

Nirmal Jain: Yes.

Deepak Poddar: And overall we are looking at 1.5% to 2% for the entire year, right?

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Nirmal Jain: Yes, that's right.

Deepak Poddar: Okay, understood. And sir my second query is regarding, we have been guiding about AUM growth of 25%, a similar growth on PPOP is what we might be looking at?

Nirmal Jain: Yes. Some of the impact also came because of the deemed NPA which came from the new RBI circular last quarter. So, that also has led to increase in credit costs.

Moderator: Thank you. The next question is from the line of Mudita Nahar from Abakkus AMC. Please go ahead.

Mudita Nahar: Sir just couple of questions, sir in the MFI book disbursements were quite slow last quarter. So, how is the disbursement picking up from July?

Nirmal Jain: So, actually, last quarter we were focusing lot more on setting up collection infrastructure and collection apparatus in place. So, this quarter onward, the disbursements will pick up.

Mudita Nahar: Sir how much would be the percentage?

Nirmal Jain: So, if you see microfinance disbursement last quarter we did Rs 1,374 crore vis-à-vis around Rs.2500 crore in the previous quarter. So, we should look at something like Rs.2000 cores as a normal number in the quarter.

Mudita Nahar: Okay. And sir on the employees expense, quarter-on-quarter the employee expenses increased drastically by 10%. So, is there any involvement of variable expense in this quarter?

Nirmal Jain: No, our salary increases we make it effective from 1st April. So, this year, 7% - 8% of that would have come because

of salary hikes alone.

Mudita Nahar: Okay. And on the securitization book, in the last seven to eight quarters this is the lowest securitization done in a particular quarter, so any color on that sir?

Nirmal Jain: See, because the co-lending has grown now. So, that obviously is integral to the book that could have been securitized otherwise. So, if the co-lending and assignment grow, then obviously securitization will slow down.

Mudita Nahar: Okay. So, moving forward what is the trend that we can expect out of this sir?

Nirmal Jain: We should look at co-lending, securitization and assignment together. These are all off book. See sometimes it happens that there are like say foreign banks, they only take securitized and they don't take assignment or co-lending. So, they're offering a good rate then you can do a transaction there. So, you should look at the three together as one pool, as off book.

Moderator: Thank you. Next question is from the line of Akhil from Axis Mutual Funds. Please go ahead.

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Akhil: I joined late, maybe you may have answered this question, sir wanted to understand this decline in stage three book last time, we also had something which was classified as a deemed NPA,

now has that subsided on to the stage three, or we have done away with it, sorry just wanted to understand what has happened?

Nirmal Jain: So, in the stage three we have taken some write offs and we also provided for it. And some resolutions have been done. So, it's all put together what we're seeing is the decline, so it was about a little over Rs 1074 crore last quarter.

Akhil: No, last time if I combine your normal stage three and stage three including the deemed NPA, it was closer to Rs 1,857 crore, which has now come down.

Nirmal Jain: No, it was Rs.1074 crore. If you see the slide so there is Rs. 1,074 crore which includes Rs.783 crores. So, there's a little bit of decline 10% to 15% this quarter.

Akhil: Got it sir. Sir last piece on the construction book, where we have seen a decline in your stage two and stage three. Could you throw some light on what exactly has transpired, is it a write off or is it repayment that has actually happened?

Nirmal Jain: So, we are doing certain aggressive settlement and write offs also, to bring this book under control.

Akhil: Okay. So, largely could we ascertain this to say write offs because the book has actually also declined, last time the book was closer to Rs.2900 crores, which this time has come down so?

Nirmal Jain: So it's combination of the two things – write-offs and settlement.

Moderator: Thank you. Next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: I just want to understand you said that you're looking at AUM growth of around 25% odd. So, I want to understand where the growth will come from because with the drop in the prices of the gold, AUM growth will be very difficult to come there. And on the MFI portfolio, also the growth will not be that significant, so large part of growth, if AUM has to grow by 25%, home loans will have to grow at a much higher rate. So, do you foresee that high growth is possible there, what will drive this?

Nirmal Jain: First gold loan will grow maybe at a slower pace in case gold prices continue to fall or fall significantly. So, there are two assumptions here, first of all, the gold prices will fall, but we don't know about it. And even if gold prices fall then we may grow slower, as the tonnage growth will grow at least 12% to 15%. So, that is one, secondly home loan will of course grow, but even microfinance now will start growing because, as I said the disbursement in the first quarter was lower as we are focusing more on collection but the industry is growing and microfinance also we should see good growth and then the fourth core product is business loan. There also, the growth will be th

ere, I don't think that it will remain static, it will also grow.

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Anusha Raheja: Okay. So, over the next two years timeframe, how do you see I mean, this number panning out?

Nirmal Jain: Home loans would grow faster because that is how we got that company also funded by equity.

Gold loan is again, a little bit dependent on the gold prices. But, given our expanded network, we should grow that also. MFI industry looks good for next two years, because in the past the difficult phase for last two, three years is almost over so this should grow. And in terms of business loans, the base off is not very big. But, I don't see any issue there also, in terms of growth so that all look good, but in terms of you can probably say that, relatively home loan will grow faster, and microfinance followed by that and then others,

Anusha Raheja: Okay. Also, on the cost of funds side over the next six months to one year, there will be increase in the cost. So, assume that you pass on to that cost, will it impact growth and on that higher lending rates how do you see your book from asset quality standpoint?

Nirmal Jain: So, the cost of borrowing, how much it goes up - again my personal view, and everybody can have a view on this because nobody knows future with certainty. So, if it goes up by 50 basis points or whatever, I feel we will be taken in stride. Now, if the cost goes up 100, 150 basis points, it may impact and more maybe in the mortgage or the home loan demand because that is little rate sensitive, more than others, but one also has to look at the economy because, the interest rate hike has impact on the economy growth as well. And that has in turn impact on the demand for credit. So, many of these things are linked, but the way things stand today, the economy seems strong, and then hopefully everything should be good.

Moderator: Thank you. As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Nirmal Jain: Thank you, everybody for being in the conference. And in case you have any more queries or any questions, you can always reach out to our Investor Relations or CFOs department. Thank you and have a good day. Thank you.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Kindly note that no unpublished price sensitive information was shared or discussed during the Earnings Conference Call

Call: Nov 2022

IIFL Finance Limited

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November 03 , 2022

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NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings call for the quarter and half year ended September 30, 2022 , please find attached herewith transcript of the said earnings call which was held on October 27 , 2022.

The same is also made available on the website of the Company i.e.

https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/Q2FY23_Earnings_call_transcript.pdf

Kindly take the same on record and oblige.

Thanking You,
Yours faithfully,

For IIFL Finance Limited

Sneha Patwardhan
Company Secretary

Encl: As above

CC:

Singapore Exchange Securities Trading Limited
2, Shenton Way, #02 -02, SGX Centre 1,
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October 27, 2022

MANAGEMENT : MR. NIRMAL JAIN – MANAGING DIRECTOR.

MR. RAJESH RAJAK – CHIEF FINANCIAL OFFICER.

MR. MONU RATRA – CEO, IIFL HOME FINANCE

MR. N VENKATESH – CEO, IIFL SAMASTA FINANCE
MR. KAPISH JAIN – DEPUTY CFO & HEAD INVESTOR
RELATIONS .

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Moderator: Good day ladies and gentleman and welcome to the Q2 FY23 Earnings Conference Call of IIFL Finance Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Rajak – Chief Financial Officer. Thank you, and over to you sir.

Rajesh Rajak: Good day everyone. I am Rajesh Rajak – Chief Financial Officer. Thank you all for joining us on this call. On behalf of the entire team at IIFL Finance I would like to extend best wishes for Diwali and a very prosperous New Year ahead to all of you.

On this call I'm accompanied by Mr. Nirmal Jain – our Managing Director, Mr. Monu Ratra – CEO of IIFL Home Finance; Mr. N Venkatesh – CEO, IIFL Samasta Finance and Mr. Kapish Jain – Deputy CFO and Head Investor Relations.

I'll hand over to our Managing Director – Mr. Nirmal Jain to comment on the economy and the group's overall strategy and plans. Over to you sir.

Nirmal Jain: Thank you Rajesh. I hope all of you had a good Diwali and I wish you and your family and loved ones a very Happy New Year. So, to begin with, I think India's macroeconomic fundamentals are very strong. India stands out as the bright spot in a gloomy world. This is where investors can expect visibility of earnings growth, political and economic stability, favorable demographics and something that is not talked about much is the fact that India has leapfrogged the rest of the world to build the best-in-class digital India for a billion people to ride on.

And the sector that is most impacted and is crucial for economic growth is financial services. India has come a long way on the agenda of financial inclusion. Still, finance and credit have not reached several millions. All the banks' branch network still is not able to reach out to all the needy borrowers and there's a growing realization amongst the policymakers, that banks and NBFCs have to work together to achieve the goals of financial inclusion quicker and Fintechs have a role to play as well. But there are 1000s of Fintechs that have mushroomed all over so it's no brainer that they'll be high mortality there. RBI has security guidelines to prevent systemic issues by unbridled credit products from non-regulated entities. In fact, RBI's timely intervention is the biggest shot in the arm for Fintech industry. The orderly growth of Fintech will facilitate breakthrough innovations and solutions for credit to the masses and our PM said it very rightly a few days ago, that Fintech will lead to financial revolution.

Coming to IIFL Finance:

We are in the sweet spot to seize the opportunity and participate meaningfully in India's financial inclusion drive. Besides in house team driving digital innovation and innovative solutions, we have brand balance sheet and branches. I believe that we are at the cusp of unprecedented growth

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opportunity and we augment our organic effort to acquire new customers through partnerships such as OPEN and very recently ZestMoney to reach out to the underserved customers and access their data with consent for instant loans. We continue to look for alliances and innovative partners and for balance sheet we continue to partner with banks through co-lending and direct assignment. Last quarter, our co-lending book grew 32% quarter-on-quarter. This quarter is a watershed quarter in my opinion, because our differentiated strategy of retail on one end and the partnership on the other end is getting vindicated by the performance and perceptible potential. Our vision is to be the most respected non-bank in India - our

innovation, quality growth,

customer centricity and not only meeting but exceeding all the stakeholder's expectations. So, last quarter, we achieved healthy profit growth but more importantly we also improved our asset quality and we reduced our gearing further. And this quarter we have taken the standards even higher we are added a section with business and financial details of all group entities, namely the holding company, the standalone NBFC, the housing finance company and the microfinance company as well separately and reconciliation to show how they are consolidated in the reported numbers.

So, thank you with this I hand over this to our CFO.

Rajesh Rajak: IIFL Finance profit after tax before non-controlling interest for the quarter was the highest ever at Rs.397 crores which is up 36% up on a year-on-year basis and 20% up quarter-on-quarter. This was driven largely by volume growth and lower credit cost. We recorded pre provision

operating profit of Rs.685 crores during the quarter, which was again up 23% on a year-on-year basis and 2% quarter-on-quarter.

Loan AUM grew by 25% year-on-year and 5% quarter-on-quarter to Rs. 55,302 crores. Our core products grew faster at 28% year-on-year and 5% quarter-on-quarter to Rs. 52,221 crores driven mainly by low ticket home loan, gold loan and microfinance loans. Our non-core loan AUM primarily construction and real estate financing shrank by 9% year-on-year in-line with our strategy. 95% of our loans are retail in nature and 69% of our retail loans are PSL compliant, which is excluding gold loans which are not classified as PSL loans under extant RBI regulations. Lastly the retail and PSL compliant loans are of significant value in the current environment where we can sell down these loans to raise long term resources. In-line with a capital optimizing strategy. 39% of our AUM is either assigned, securitized or under co-lending as of September 2022, which is up from 35% during the same period last year. During the quarter IIFL Finance tied up with South Indian bank and Karur Vysya Bank for co-lending of gold loans and Indian bank for business loans.

During the half year, we added over 450 branches and over 4000 employees. As a result, cost to income ratio has increased to 43% in H1FY23 from 40% in FY22, but this paves the way for accelerated growth in the future. Annualized return on equity for the quarter just ended is at 20.4% and the annualized ROA is at 3.4 %. Capital adequacy ratio is at 21.7% which is well above the statutory requirement of 15%. As a result of the improved credit profile of the company our quarterly average cost of borrowing declined three basis point quarter-on-quarter and 29 basis points year-on-year to 8.4%. Gross NPA stood at 2.4% and net at 1.2% as at IIFL Finance Limited

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Moderator:

Harsh Shah: September which is down from 2.6 and 1.6% respectively from the previous quarter. A provision coverage on NPA is now 147% which is up from 137% in the previous quarter. Earnings per share for the quarter not annualized stood at Rs.10 per share which is up 30% on a year-on-year basis in-line with the increase in profits and a book value per share is at Rs.215.2 which is up 41% year-on-year.

A brief update on liquidity during the raise approximately Rs.3 ,800 crores in debt and in addition we assigned loans worth Rs.3 ,500 crores during the quarter. Our cash and cash equivalents and committed credit lines from banks and institutions of Rs.8 ,191 crores were available as at quarter end, adequate to meet not only the near term liabilities but also to fund the growth momentum. We have a positive ALM whereby inflows cover or exceed expected outflows across all buckets and net debt to equity ratio is at 3.1x which is down from 5X as on September 21. IIFL Home Finance the subsidiary received Rs.2 ,200 crores from ADIA in August 2022 thereby boosting the net worth of IIFL Home Finance by mo

re than 80%. This

will help the company consolidate its competitive position in the affordable housing finance market in India. It has tremendous long term growth potential. This also gives us a gunpowder to tap the growth opportunity in the housing segment. With affordability index at a decade high we believe that the dip in the rate, it will be well absorbed by the customer with marginal hiccups.

The total liquidity of the group now stands at Rs.9 ,480 crores. IIFL Finance has entered into a partnership with ZestMoney which is India's leading and fastest growing digital EMI checkout financing platform to offer credit to potentially millions of new to credit customers. Through this industry first partnership, IIFL Finance, as a dedicated partner will get access to a new customer base on the Zest platform and play a crucial role in driving financial inclusion for a large section of people in the country.

A little bit of digital updates, we continue to focus on digitization and analytics to improve customer experience and enable a convenient one stop shop for purchase and investor needs.

During the previous quarters we had mentioned about our DIY, Digital Initiative for disbursement through WhatsApp and MyMoney. More than 60,000 customers have been onboarded till date under these initiatives. During the quarter the DIY disbursements were Rs.350 crores up 36% quarter-on-quarter. Our gold loan at home initiative which started approximately a year ago, also saw significant traction with disbursements increasing, 118% year-on-year to Rs.227 crores during the quarter. IIFL loans app and MyMoney app is being increasingly used by our customers for various transactions, and thereby giving customers ease and convenience. We have more than 3,50,000 average monthly active users across both these apps. With this, we come to an end update and we can now open the floor to questions. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Harsh Shah from L&T Mutual Fund. Please go ahead.

First question is on the opening remarks that Rajesh just said, you had mentioned that the overall cost of fund has gone down, can you just explain how?

Rajesh Rajak: Three things which are responsible for this. Number one is, we have bought back approximately \$100 million worth of our overseas bonds and replaced them with low cost rupee financing, under ECB. So, basically, we have had a gain on that and if you remember, our second lot of buybacks were done at a lower than par also. And increasingly our off book loan assignments, which was 35%, last September has now become 39%. So, that also gives us a significant advantage, because the direct assignment of the stronger asset comes in at a lower cost of funds.

So, it's really a combination of all this. Also Samasta Microfinance approximately a year ago, got upgraded, the credit rating got upgraded from A+ to AA-, which is probably just one or two MFIs in the whole country to have the rating. So, it's really a combination of all these factors that have contributed to the stable cost of funds till now in a rising rate environment.

Harsh Shah: So, if I just remove the co-lending and off book funding that you get, like I'm just referring to your PPT in which you have given.

Nirmal Jain: As the primary thing, the dollar bonds are very expensive, because they're fully hedged cost was closer to level 11%, the dollar bond that we raised in February 2020 in the wake of liquidity crisis, so, as we repay the dollar bond, we can remove the hedging also, so the total cost comes down. We can replace this kind of cost with 8-9%, and save money.

Rajesh Rajak: One more thing, Harsh, the bond is anyways due for maturity in April 23. We have adequate liquidity to repay that and with that slightly higher-cost borrowing going off the books, we should see

more stability going forward.

Nirmal Jain: If given the opportunity we'll probably try and buy back entire thing. Harsh Shah: Understood sir. And second question is, you've done some small accounting change this time, you had mentioned it in your P&L that the spreads on co-lending has been now classified under non fund base, so can you just help us understand how that works?

Nirmal Jain: In case of co-lending, suppose we lend to 20% and bank basically have their share at 80%. So, on the 20% component we will account for 15% interest as interest income, on the remaining 80% of component banks will charge 6% which go as non-fund base income. So, when we just started, the entire thing was being taken as interest income but now we are trying to adjust it because if you understand the underlying assumption is that 80% assets are not in our books.

Harsh Shah: Correct. 20% will go into interest income and rest 80% will go to non-fund based?

Nirmal Jain: You are right. Now the co-lending is becoming significant it might be visible but of the remaining 80%, difference of the excess interest on our share will go as non-fund income.

Harsh Shah: Understood sir. Just last question from my side, AUM growth you have been quite vocal of maintaining at current run rate plus, minus few basis points. But considering how strong your ROA was in this quarter you think for the balance of at least H2 you will maintain it or is there also further scope of increase in this ROA?

Nirmal Jain: We should target to maintain it, given the fact that there'll be upward pressure on interest cost and liquidity has tightened significantly in the system now.

Harsh Shah: Understood and has there been any changes in your OPEX strategy because even OPEX as a percentage of total AUM has been inching upwards?

Nirmal Jain: OPEX as a percentage of total AUM has gone up because the branch expansion that we have done very aggressively. We had a large number of new branches more than 400 new branches, commissioning in last quarter. The full impact, of cost comes in this quarter, but going forward should plateau and should start coming down as we slow down the pace of branch expansion.

Moderator: Thank you. The next question is from the line of Sukriti Jiwarajka from Laburnum Capital. Please go ahead.

Sukriti Jiwarajka: My first question is on gold loans. As this is one of the core segments that you highlight for growth, there was sort of price competition that we saw last year between NBFCs that has abated a little bit, you do see banks, especially HDFC Bank saying that they want to expand gold across our branches, let's say Maharashtra, they want to take gold from 1500 branches to 3000 branches in the next two years. So, this will have an impact on NBFCs and there has been a discussion in the past where you say that banks can't do gold loans like NBFCs can, but when a large bank comes and says that they want to expand consumer gold loans to so many more branches and have the gold valuer every day in the branch. It'll impact you in one of two ways, either growth or the sort of the 15% to 20% yields that you earn in gold today, because they will probably do it at 13%, 12%. So, what do you think about that am I seeing this wrong and if yes, then how would you counter that?

Nirmal Jain: Actually, your point is valid. That is what is seen in the gold loan business results so far and in our gold loan as well. So, if you see our growth is very modest, given the fact that we expanded our branch network by 40% in the last 18 months, but quarter-over-quarter we have been able to

manage just 4% growth. So, either you compromise significantly on yield or your loan growth will be muted because of intense competition from banks. If you look at last 10 or 12 years, what happens is many times we have seen that the NBFCs and Fintechs basically jump in because optically it looks

like the NIM is very high and very attractive for a relatively zero risk kind of a business. But typically, gold loan operating cost is maybe around percent for a relatively mature kind of a business of the loan AUM. So, it's not that the margin or any interest rates of 16%-18% is exorbitant. Also it's very vulnerable to fraud and robberies and many other things. Now, if you go back six months or 12 months and most of the banks were scrambling for retail assets and loan growth, that is the time probably most of the banks also jumped on to this but these are small ticket loan item where the growth is not so rapid. Many new Fintechs and new NBFCs that were doing the loss making kind of price offer like Rs.0.54%, which means around 6% or 7% per annum, have already withdrawn. So, I think the sense has already started to prevail in terms of the competition, in terms of banks also, we try and target the regions, and geographies which are not easily accessible to bank. Now, with a new branch, our focus will be on that. It is a neighborhood business as nobody goes from Andheri to Virar to take a gold loan. So, we're

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working on our strategy and we are also working on a strategy to make sure that the cross sell, the fee income and all those go up through this customer base significantly. But your point is valid, that the competition has intensified and banks are becoming very aggressive, in fact on to the yield and the growth.

Sukriti Jiwarajka: Got it. The second question is on the assignment income. Now, this Rs.418 crores of assignment and co-lending. Have you divided this anywhere between how much is from assignment and how much is from co-lending?

Nirmal Jain: Maybe from next quarter we will start or maybe we'll try and figure out how do we disclose it separately. We have to divide it into the upfronted portion, the NIM portion and then the amortization and the fee portion. So, we will work on these numbers, but right now, I don't have it.

Sukriti Jiwarajka: Yes, so the declining trend is probably because a lot of upfront is turning into amortized. I think that would be it. Correct?

Nirmal Jain: Yes, I see the declining trend is understandable, because in co-lending we are not upfronting anything, getting interest as it is every quarter. But in case of assignment based on IndAS accounting policy, you make up some conservative estimate and because the risk is off the balance sheet, we end up up-fronting the discounted value of the income. So, as we move to co-lending more and more, the up-fronted portion will keep reducing and flow of interest income on an accrual basis will increase.

Sukriti Jiwarajka: Okay, got it makes sense. Also the write off this quarter we didn't see anywhere in the PPT, maybe I missed that?

Nirmal Jain: Write offs and provision for losses, the loan losses provisions and write offs are all together in that amount of Rs.196 crores.

Sukriti Jiwarajka: No, what is the write off?

Nirmal Jain: The amount is all included .

Sukriti Jiwarajka: Okay. Also, you just mentioned to the last person who came before me that this dollar off shore bonds has been replaced which was a reason for the cost remaining where it is or actually going down a little bit. How much of today's borrowings now are these dollar offshore bonds and how much are you looking to replace over the next few quarters years and what sort of cost of funds advantage can we get from that?

Nirmal Jain: There are two types of dollar exposure that we have and both are hedged, so one is the dollar bond issue that we did, which is kind of a public offering kind of issue, where you are open, get the bid and do that. So, there was about \$400 million that we did in February 2020, out of which about little over than \$130 million we already bought back. So, \$270 million is the outstanding

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out

of that issue and then there are ECB loans which you really can't repay because you can't buy back. The dollar bonds are the listed bonds - this \$400 million that we did in Feb 20, so with the listed bonds you can try and buy back whenever the market is there, see today if you see the yield on all emerging market bonds has gone up, even good quality banks' bonds also are available at a very attractive dollar yield. So, out of \$400 million, \$130 million we have bought back, \$270 million is still outside which we will try to buyback if we don't then we just have to

repay in April 2023.

Sukriti Jiwarajka: Okay. I have one more question. So, actually business loans, had a particularly good quarter, the growth run rate went up, NPAs came down you also provided more for this book. There was an arrangement with OPEN last quarter. Is there something now that you would say this is in your sort of core growth segment because traditionally you used to always serve home loan, gold loan, and MFI as your core segments. Where is business loans, how do you think about it in terms of growth and what are these, these are really, are these term loans or are these working capital loans or are these LAP loans?

Nirmal Jain: This is the core growth segment for sure. So, we'll have a four core businesses which is home loan, gold loan, microfinance and business loan and within business loans, the larger loans, we target against the proper quality of property and the smaller loans will be unsecured. Now, typically all the loans basically they are called term loans and we really don't do overdraft like banks do, but these terms are also taken by these businesses for working capital requirements, specifically unsecured loans primarily for working capital requirement. So, if you look at the average ticket size of our loan, incrementally for unsecured loans we have Rs.4 to 5 lakh and all put together the ticket size has been coming down, Rs.6.1 lakh was in the last quarter but incrementally is around Rs.10 to Rs.20 lakhs. So, what had happened is historically we had a larger LAP that business we discontinued. So, quarter-after-quarter you see that this is coming down and so, these are all small businesses like shopkeepers, traders, these freight operators or sometimes these, self-employed professionals or people who are self-employed nonprofessional all the people who are running any kind of business and these are typically small businesses. So, that is what we'll be targeting as a core growth thrust and open partnership and many other partnerships that we look for is this kind of business.

Sukriti Jiwarajka: You are actively doing unsecured in the business loans segment today?

Nirmal Jain: Yes. we are doing unsecured also. So, if you see for the quarter, it is a split of 75:25, 75% is secured and 25% unsecured in our book currently.

Sukriti Jiwarajka: And in the disbursement?

Nirmal Jain: Okay, what happened disbursement unsecured maybe slightly more, but the tenor is shorter. So in terms of portfolio it's 75:25 and disbursement maybe sort of 2/3: 1/3

Moderator: Thank you. The next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

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Anusha Raheja: I'm saying how do you see growth panning out for the balance part of the year?

Nirmal Jain: The balance part of the year growth should be equally good or better, we should be able to sustain the growth and margins both. Right now the environment looking very positive in terms of demand for credit, and the bank's willingness to partner and the economy is doing well. So, actually most of the businesses are coming back on track and they take in a business loan as well as gold loan. Even a real estate sector the interesting thing is while the interest rates might have gone up, but they have not slowed down because builders have kept the nominal prices down or they have

not increased the prices. So, because they are also have been devalued basically now sell and liquidate. So, we are seeing good demand for all businesses, microfinance also has picked up very well and the entire industry it has picked up very well in last quarter. So, it looks like the outlook for the next two quarters is good as well.

Anusha Raheja: Okay. And what were your net interest margins in Q2?

Nirmal Jain: Is around 8%.

Anusha Raheja: It's around 8%. What are the incremental yields and the cost of funds, if you have that numbers with you?

Nirmal Jain: Rajesh mentioned that we were able to bring cost of funds down in last quarter, by a repayment of the high-cost dollar bonds. So, they are flattish it is not that there's not much basis point decline, the yield on an overall level has gone up because interest rates have gone up, also so the portfolio yield is 15.5% for the quarter as compared to 15.3% so steady basis point increase in the yield. In the cost of funds, there was a decline of around 10 basis point decline there. So, margins have improved by 30 basis points that way.

Anusha Raheja: Just one last question, on the OPEX side in last two three odd quarters we have seen sizable amount of branch expansion. So, going forward any outlook on the OPEX side what are your plans to roll out branches in terms of employee expenses, any guidance there on the OPEX side?

Nirmal Jain: The operating cost will be doubled, because our network has become much bigger. So, last quarter-on-quarter the OPEX increased around 7%. I think that 4% to 5% is something that can continue for a couple of quarters and in year 23-24, we will have to take a call on the strategy that we will continue with our branch expansion or slowing down. Now, that again depends on the business environment, because if you feel more confident and more positive then we can continue to expand the network and still maintain the return on assets, then you need to expand

the network. But at this point in time, it might plateau, it's not going to come down significantly, but it won't increase in any rapid manner also.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

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Deepak Poddar: So, I just wanted to understand over all on the credit cost front and now excess provisioning that we have been doing for last couple of quarters driven by the RBI policy. So, we are through with that?

Nirmal Jain: So, actually we are pretty close to our guidance, so credit cost is coming down, we should continue the trend on a relative basis, relative to the portfolio or relative to the loan book. So, we are on the right track there. We have a loan book of more than Rs.35000 Cr and for a quarter if you take 50 basis point it's 135, but our credit cost this quarter is 196. So, we're pretty close so guidance, it has to actually be anywhere between 150 to 200 basis points in a year and over next two, three quarters we should move towards that.

Deepak Poddar: 150 to 200 basis points credit cost and this number is built on the on-book's premium right not on total AUM?

Nirmal Jain: Yes, this number is on book AUM, not on total AUM. So, what happens is that, we have to worry about our on book AUM only and not on the total AUM.

Moderator: Thank you. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Sorry to harp on this, but to the earlier question on co-lending lending, when this 80% of the book gets transferred to banks, I understand that the whole risk also transfers from our book to their book, if that's correct, and that in which case the accounting of income will then be similar to what we do for assignments. Or we sort of amortize the income over the life of the asset, which has been transferred?

Nirmal Jain: Exactly, so here it gets amorti

zed over the life and whatever we do is based on the IndAS

accounting and auditors' guidance, so I believe that all the company will do the similar way. So, what is happening in case of assignment, supposing you have a seven-year loan, and I say you're going to make a margin of 10%. So, you will basically say 10% for seven years, you will discount to present value. Then you reduce the operating cost and we might get repaid before seven years and then you take only for four years and you discount and you reduce the cost and then you upfront it. But in case of co-lending doesn't work like this and you'll accrue every quarter, every year as it comes.

Kashyap Javeri: And the rate that you pay out you will account as the expense over there and in the other income you would do the net numbers.

Nirmal Jain: No, you don't have to net because interest directly goes to them from the customer. So, money from the escrows, just straight away goes to your respective partners or we collect on behalf of the bank as an agent and we do that.

Kashyap Javeri: Okay. And just last clarification, in which case you in the other income, you will account for only that spread, the differential?

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Nirmal Jain: That is right, on the 80% component, or 90% or 70%. Now in co-lending also this percentage varies.

Moderator: Thank you. The next question is from the line of Darshil Pandya from Fintrust Capital. Please go ahead.

Darshil Pandya: Sir my question is on the microfinance segment, it is contributing around 12% to the AUM and we have seen a year-on-year growth of 49% and we have come in from probably Rs.840 crores in FY18 to Rs.6000 crores of AUM in FY22. Sir, do you see this number more getting up, contributing more to the revenues because, the market opportunity is very big as we have mentioned in the investor presentation, and we are putting up well, so, where do you see this number going on sir?

Nirmal Jain: This year growth is basically because of the lower base of last year, last two years it has not grown, so in a way it is catching up and also we expanded the branch network. So, we would like to be a meaningful player in the industry. So, we are amongst top 10, but we like to be amongst top five or top three for sure. So, business will grow, the 49% or 25% -30% that is all matter of depending on how they do businesses. But our objective will be to grow a little faster in the industry not too much faster and not too slower.

Darshil Pandya: Right. And sir also something on this gross GNPA and NNPA?

Nirmal Jain: About the micro-finance or overall business?

Darshil Pandya: About the micro-finance

Nirmal Jain: Incrementally, we are seeing a good quality asset so, GNPA and NNPA will come down in this

business unless something which is unforeseen or a black swan event happens again.

Darshil Pandya: Okay. And any specific sector that we are giving up loans to microfinance segment?

Nirmal Jain: No, not really, because we have branches in the suburbs, urban as well as rural areas. So, primarily they go to these women for cottage industries.

Moderator: Thank you. The next question is from the line of Nikhil Agarwal from Tusk Investments. Please go ahead.

Nikhil Agarwal: My question is on the investments books; we have Rs.1400 crores of investments in this quarter. Can you explain the terms of this investment and what is the collections, repayments status and recovery that we can get in this investment book?

Nirmal Jain: Yes, so actually we got an Andhra bonds of Rs.500 crores which is part of our liquidity Andhra state boards and then there are SR of some assets that are transferred to ARC and there is an AIF. So, all these assets are valued every quarter based on the recoverability only and marked

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to market wherever required is provided for. So, we get them valued and rated ever

y quarter by

the auditors. Rating agencies like CRISIL also does the assessment and based on that we provide from mark-to-market so value that you see is all recoverable.

Nikhil Agarwal: Okay and what is the interest rate and the return we can expect with this book, because a lot of this book is also containing the AIF as a CRE book which we used to have and do you aim to increase that to Rs.3700 crores, that was the guidance which you have given ?

Nirmal Jain: Broadly, you can say that around for various instruments from 7% to 9%.

Nikhil Agarwal: Okay and is there any further detail that you have on the book in terms of the asset qualities in AIF?

Nirmal Jain: The real estate asset that we've transferred to AIF, they are doing better now, because the environment has improved and quality of the real estate part of it has improved, even in the ARC assets we had a reasonably good recovery in last quarter. So, in a way, as the economy improves, the real estate sector improves, the asset quality is improving.

Nikhil Agarwal: Got it sir. I have one last question on the microfinance book. Sir this quarter again we have seen some very high provisions similar to last quarter. last quarter we had mentioned that a huge part of the restructured book had come out of restructuring. So, how do you see this panning out going forward, because the ROE in the business is now quite low, the half year ROE.

Nirmal Jain: Yes, so as I said last quarter also, the call that we took last year of giving moratorium and restructuring as the book comes out of that we are seeing that there are a lot of delinquencies there. We are forced to take write off in microfinance, because above 90 days is to be fully provided. Therefore, the microfinance ROE is abysmally low against what historical trend has been, this will continue for another two quarters and we start tapering of probably, we should be able to set it back next year. All the businesses that we do, our target is to have 20% ROE and this is as of now is depressing, but we are working on it. Give us two more quarters for this.

Moderator: Thank you. The next question is from the line of Jigar Jani from Edelweiss Wealth. Please go ahead.

Jigar Jani: My question is on the stage two assets, that especially in the gold loan side, so starting from Q4 onwards if you see stage two assets on the gold loan side they have gone from 4.9% of the gold loan book to almost crossing 11% now. Any particular reason why we are seeing such a sharp rise especially gold loan from the stage two side. Even on an overall basis that is pushed up our stage two effects of 5.5% in Q4 to almost 7%. So, any color on that why there is such an increase. Also same is seen partly in home loans, to some extent not as sharp as gold loans but quarter-on-quarter we are seeing increases in stage two assets.

Nirmal Jain: The stage two in the gold loan has gone up from Rs.662 crores to Rs.843 crores in a quarter-on-quarter, partly because of the book growth and partly even as in festival time sometimes the

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collection gets a little bit delayed. So, there's some psychology in customers and industry, the way it operates, they try to collect it in 90 days. So, you see it in Stage-2, but normally there's gold collateral and the risk to the customer also, so they don't go beyond 90. It's just a question of collection efficiency and putting a little bit more pressure on the system to track it carefully. But it's gone up a little bit with the book also with maybe some bit of collection delays.

Typically, people are not going to default. So, normally people don't force you till the 90 days to get to deliver to account. Customer can be sometimes lax sometimes, but point is noted

Jigar Jani: Right. And for home loans also is the same case?

Nirmal Jain: Home loan is slightly increased with the book growth also. So, there has been some incr

ease but

that's not very significant.

Jigar Jani: So, is it possible to share the one DPD plus for the home loan book?

Nirmal Jain: Right now we don't have it, but I will note the point that whether we should have one DPD plus separately. In home loan it is broadly around Rs.1300 crore one DPD plus.

Jigar Jani: Just last, if this early indicators of stage two go up say this is only for our own book which is on book, but I believe similar performance will be replicated on your assigned book, on your co-lending book. So, does it impact your ability or are there any repercussions on asset quality or credit cost side for us, I know it's fully risk off. But on the co-lending side, are there any clauses wherein if the asset quality deteriorates especially for book that we have originated, we need to provide more or share more of the risk or something of that sort?

Nirmal Jain: So, at this point in time, I don't see any stress or any challenge there because this is something which not worse than the rest of the industry, or the banks their own portfolio typically so that is how we look at it.

Moderator: There is a follow up question from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: Sir, what is the return that you would be expecting from your AIF book, CRE book which was sold to AIF given the fact that the real estate sectors has been improving. What are the basically terms of profit sharing, for that side?

Nirmal Jain: Till we fully redeem the book, which maybe another two- three years it will be very difficult to take any guess on that. So, at this point in time, it's a very difficult question What happens is if there are ten investments, some will do very well, some will not so well and we'll discover the entire thing when the full book is liquidated completely in another two, maybe two and a half years.

Anusha Raheja: Okay. And sir you said that you have still \$270 billion of bonds on your book which are high cost. So, those bonds might come up for re-pricing is this fiscal .

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Nirmal Jain: These bonds are fixed rate bonds.

Anusha Raheja: Okay. So, whenever you redeem that, probably that might get also replaced by lower cost so you might have a benefit of, margin expansion from that as well.

Nirmal Jain: That's absolutely right, because this \$270 million still we are building in terms of cost. So, when we do that there'll be some cost performance advantage there also.

Anusha Raheja: So, that might come in next fiscal FY24?

Nirmal Jain: Yes. Mostly in fiscal 24. It is a small buyback but otherwise they will come primarily in fiscal 24. What is happening now is the bond holders are also not selling, because they know that within six months they will get the full money. So, why sell at a discount, so we don't get liquidity in the market and then they know our track record that we have bought back most of it wherever there is liquidity. So, it will come one shot somewhere in April 23.

Anusha Raheja: I missed out to your accounting treatment on co-lending book, if you can just elaborate more on that?

Rajesh Rajak: I want to clarify for everybody this is not a change in accounting treatment, the accounting has always been the same. For the presentation purposes, we are only reclassified it from net interest income to non-fund-based income. So, the accounting has been consistent, as we also explained on this call, is that we take the margin on that 80%, which is the bank share and that was in the interest income, now it is included in non-fund base income, so it's only a reclassification, not a change in accounting.

Nirmal Jain: Yes, reclassification for only the analyst presentation, but there is no change in accounting.

Moderator: Thank you. Next question is from the line of Tushar Sarda from Athena Investment. Please go ahead.

Tushar Sarda: I wanted to understand, the valuat

on basis for selling 20% stake to ADIA. When I compare it with other listed housing finance companies, it looks very cheap. So, if you can share your thoughts on this?

Nirmal Jain: So, I think it very difficult question to answer but what has happened is that the listed companies when you compare there are some outlier and valued significantly higher but most would be a long tail in the housing finance will be generally much lower. If you really look at the valuations for what we got, and based on historical book value, it was at maybe 3.5-4 times, but if you really look at the entire housing finance universe, there are one or two companies where the valuations are higher than that is one. Secondly, what happened that, to be very candid there was also overhang of the parent company valuation. And thirdly, although if you look at our track record, then all the investors have basically made significant multiples on their investment and we

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Moderator:

Sharaj Singh:

Nirmal Jain:

Moderator:

Kapish Jain:

Moderator:

generally keep something on the table so that the investors have a good exit. So, if you look at CDC, ADIA, Fairfax or Carlyle all of them have made a lot of money on our investments.

Thank you. The next question is from the line of Sharaj Singh from Lebanon Capital. Please go ahead.

Just a clarification on the earlier question on default protection that we might have to provide on the co-lending book that we originate, so did you say that the banks have not asked for any such default protection. So, in future they might or there is no such thing here?

There is no such thing possible as per the RBI policies and guidelines. See what happens is the banks take any default protection then they can't claim it as a primary sector asset because RBI is very clear. When you are doing private sector, the loans and the risks would be with the bank. Secondly, the risk is priced in so, I won't give a price also and risk cover also. So, the way all these transactions happen, they are without any recourse in terms of risk and structurally there's no other way to do this based on RBI policy also. See RBI is encouraging co-lending because banks have a balance sheet and ability to take risk. If the risk has to be taken by NBFC, then the whole purpose is defeated.

Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Kapish Jain, for closing comments.

Thank you very much ladies and gentlemen for joining us for our Q2FY2

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results call. It was a

very interesting discussion with all of you, and for any further query that you wish to have, please reach out to us separately with our investor relations team and we will be happy to connect and solve your queries. Thank you and Happy Diwali to all of you.

Thank you. On behalf of IIFL Finance Limited that concludes this conference. Thank you for joining us and you may now disconnect your line.

Kindly note that no unpublished price sensitive information was shared or discussed during the Earnings Conference Call.

Call: Feb 2023

IIFL Finance Limited

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February 07, 2023

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Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings call for the quarter and nine months ended December 31, 2022, please find attached herewith transcript of the said earnings call which was held on January 31, 2023.

The same is also made available on the website of the Company i.e.

https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFL_Finance_Q3FY23_Earnings_Call_Transcript.pdf

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings call.

Kindly take the same on record and oblige.

Thanking You,
Yours faithfully,

For IIFL Finance Limited

Sneha Patwardhan
Company Secretary

Encl: As above

CC:

Singapore Exchange Securities Trading Limited
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"IIFL Finance Limited

Q3 FY2023 Earnings Conference Call"

January 31, 2023

MANAGEMENT : MR. NIRMAL JAIN – MD – IIFL FINANCE LIMITED
MR. MONU RATRA – CEO - IIFL HOME FINANCE
MR. N. VENKATESH – CEO, IIFL SAMASTA FINANCE
MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER, IIFL
FINANCE LIMITED

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January 31, 2023

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Moderator : Ladies and gentlemen, good day and welcome to IIFL Finance Limited Q3 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you, and over to you.

Kapish Jain : Hi! Good afternoon everybody. On behalf of IIFL Finance I thank all of you for joining us on this call. I am Kapish Jain, the Chief Financial Officer of IIFL Finance Limited.

On this call today I am accompanied by Mr. Nirmal Jain – Managing Director, IIFL Finance Limited; Mr. Monu Ratra – CEO, IIFL Home Finance; Mr. N. Venkatesh – CEO, IIFL Samasta Finance.

I will hand over now the proceedings to Mr. Nirmal Jain to comment on the economy and the group's overall strategy including performance for this quarter. Over to you, sir.

Nirmal Jain : Thank you Kapish, and a warm welcome to everybody. In terms of economy and macro environment, I think we know that the environment is turbulent, but as far as Indian economy is concerned, our underlying factors still are positive. While all of us have noticed that the consumer demand had a slowdown last quarter, maybe a quarter before there was a bit of a pent-up effect of post COVID demand, but as far as demand for credit is concerned, it remains robust. Most of the segments of credit basically continue to see a strong double-digit growth for the whole economy and nation as a whole. Interest rates have increased significantly. In-fact RBI repo has gone up by 225 basis points, but most of it has not been transmitted because the longer tenure loans what we already had are at a contractual rate. Even at the incremental borrowing we are able to negotiate better given our track record and the way we have handled the crisis in last five years. So, the cost of fund has gone up marginally, and what we also passed on to our customer is a marginal impact. The repo rate reflects in our tenure loan of three to five years.

Having said this, I do not want to comment on the geopolitical or the market volatility, but underlying economy remain strong whether it grows by 6.5% that maybe better off debate, but the demand for credit is growing and unless interest rates go up significantly from here, we see that the outlook will remain positive and very optimistic on that front. Whatever interest rate hikes have happened till now; I think our customer segments have been able to absorb to that effect.

Now I will just briefly comment on our core businesses, and I will hand it over to Kapish for more detailed deep dive into the financial numbers, and then we will take Q&A.

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So, we have four core businesses as you are aware of. In gold loan, there has been intense competition because a number of new NBFC players who have just jumped in, and also many banks and particularly the smaller banks have become very aggressive. What they do is kind of undercutting of the price where they try and set up branches nearer the people and offer to the same customers at a low rate and sometimes these rates are below the cost of fund, in the hope that probably they will be able to take the rate increase later. What we are doing and what we have been doing in last few quarter is that rather than react to this short-term strategy or approach, we track our customers and we make sure that even if they go for a rates which are not affordable by us, we track them and whenever the competition they try to take interest rate hikes in a manner which is not straight forward, we try and approach those customers again. So what we have see

n is that up till November month were not good for our gold loans and there was a de-growth, but December we rebounded strongly, and we ended the quarter with 3% growth q-o-q and y-o-y growth remains fairly positive above 20% for most of our core products, and then many competition now they are understanding and some new fintech were not able to raise capital, that undercutting price is not a long term strategy, and also our brand is positioned on what we say "Seedhi Baat", that we try to be transparent even if we lose business in short-term we do not resort to knee jerk reaction or approaches where you reduce the rate and then later try to do something else.

Home loan again we are moving more granular, our ticket size is falling, and in fact the subsidy received that is what probably would have depressed the growth a little bit because subsidy get adjusted in the loan amount of the customer, and to that extent cost come down. But here again probably we would like to see faster growth. The growth has not been as strong as we would have liked it to be in q-o-q, primarily because we are moving to a smaller loan. So the number of loans that we are processing is going up more significantly, and the ticket size is falling and more and more business is coming from what we call SPOC locations or smaller places compared to Hub locations where competition is intensifying more, but I think as our network has grown up significantly in the last nine months and as we get into smaller towns, and we get market share there, I think the growth will become stronger. Microfinance has seen very strong growth, in fact 55% y-o-y, but in industry many good players have grown at that pace and the demand is strong. The environment has become far more positive with the very pragmatic reforms of the RBI, a number of reforms including removing the price cap and income based assessments where the loan amount can be higher. Even our interest rate has gone up, but we should note that we are taking the interest rate increase only on the new loans and do not reset the old loan interest rates and therefore the portfolio rates will grow at a slower pace, but over a period of time we will catch up. And, microfinance industry has turned around very well, we are very well diversified geographically from a strategy point of view.

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In business loan we have a loan against property segment that has grown, that again is intensively competitive with NBFC and banks, but what we are trying to do is focus on small tickets property loans, which is like the ticket size typically can be less than Rs.10 lakhs incrementally, so that is the sweet spot that we are trying to target. These are the home loan customers where they already have a loan, the loan has been repaid then they take a new loan which is classified as the loan against property primarily against self-occupied residential property or smaller premises. But we have separated the digital loan this time because digital loan is a loan where the entire end-to-end processing is digital. Our strategy is to partner with big players, who have got digital footfall. For digital loans, if you look at most of the Fintech that they do not make profit despite very high NIM primarily because customer acquisition cost is very high. What we want to do is that we do not want to incur customer acquisition cost ourselves by aggressive digital marketing, but we have tied up with number of players and many bigger relationships are also in pipeline where the testing is going on and the launch will happen very soon. So, we get the lead from these players and where we share the NIM or the fee in a pre-agreed manner. Now the digital loan can be personal loan and business loan both. So in India for many small proprietary, it is difficult to classify whether it is business or personal because many of these self-employed people also use the

ir personal

account for business purposes as well. So the digital loan is loan where we are going to get, I mean, where actually branches may refer, but primarily happens in the website and the leads come from partners. As these are unsecured loans, so we want to keep it separate, so that loan against property which is like a mortgage can be tracked separately. So, with this, I will hand it over to Kapish to take you through the financial numbers and then, we will come back for Q&A. Thank you.

Kapish Jain : Thanks a lot Nirmal. Just to tell you about the financial numbers and the performance, IIFL Finance's profit after tax before considering the non-controlling interest for the quarter was at highest ever at Rs. 423 Crores which is up by 37% on a y-o-y basis. It is up by 7% on a q-o-q basis same time last year. This, ladies and gentlemen is largely driven by the AUM growth and also some bit of expansion which happened on our NIM part as well. We recorded pre-provision operating profit of around Rs.772.7 Crores during this quarter which was up by 26% on a y-o-y basis and 12% on q-o-q. As Nirmal mentioned our loan AUM has grown by about 24% y-o-y and 5% sequential quarters to Rs. 57,941 Crores. If I further dissect this and focus on our core products, which is largely the retail products that we hold, that segment grew by 26% on a y-o-y basis and 5% q-o-q to Rs. 54,689 Crores, and the core product segment now comprises of 95% of our total AUM. The non-core AUM primarily consist of the constructions and the real estate financing, which further shrank by 7% on a y-o-y basis,

in line with the strategy that we have shared with the market earlier. As I mentioned 95% of our loans are retail in nature and 67% of our retail loans are PSL compliant, which exclude gold loan, but having said that gold loans still qualify for a zero listing for the bank and therefore bank even though they are non PSL are keen to buy the assets from us. Lastly the IIFL Finance Limited
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retail and the PSL loans are of significant value in the current environment where we can sell down and with the kind of asset performance that we have shown to this market, banks have always been keen to buy this from us and we have ensured that we have a proper management and oversee on these assets from a collection, recovery and risk management perspective. In-line with a capital optimizing strategy, 39% of our AUM is either assigned, securitized or under co-lending and bulk of it is now under assignment and co-lending, and going forward we will see a larger share of co-lending emerging in this number. The assigned loan book currently stands at Rs. 15,939 up by around 67% from last year. Besides this there are securitized assets of Rs. 1,049 which is going down, and the co-lending book is a key highlight here, which we actually mentioned is from zero almost gone to Rs. 5,716 Crores in this particular quarter end. It has been way possible by new relationship that we have added on the co-lending piece. We have added UCO Bank and Punjab and Sind Bank for co-lending of our Gold loan and Home loan including the MSME LAP respectively. So during the last nine months to support our growth, we have added 669 branches and 4,318 employees across all our businesses, which on our result shows a higher cost to income, but with the monetization happening of the newer branches in the resources and people, we strongly believe that we should be able to bring this number down and this has actually has also helped as our overall disbursement going up by around 44% on a y-o-y basis. Our annualized return on equity for the quarter is at around 17.9% on a lower gearing because we had the ADIA infusion of Rs. 2,200 Crores which came in the previous quarter which will bring our gearing down and therefore has some impact on the overall ROE the dilution on the capital position and the ROA stays strong and stable a

t around 3.4%. Our capital adequacy

for the standalone entity stands at around 21.5% which is well about the minimum threshold of around 15%, which is clearly suggesting that we are able to grow ourselves without impacting hugely on our capital position through the on-book off-book success model that we hold.

Our average cost of borrowing marginally increased by around 10 basis points and around 16 basis points q-o-q to around 8.79% and this is despite what Nirmal mentioned 225 basis hike in the repo rates and close to 100 basis point hike in the MCLR maybe 110. The gross NPA is I think closer to our endeavor or the guidance that we have given of around 2%. It currently stands at 2.08 and the net NPA similarly stands at around 1.06, significantly down from a 2.42 and 2.22 respectively, which we gave and which we reported in the previous quarter. With the implementation of the ECL model under IND AS, the provision coverage ratio on the NPA today stands at 154%. Earnings per share for the quarter and not annualized stands at around Rs.10 per share, which is up 22% y-o-y and the book value of per share now stands at Rs. 225.6 which is up by 41% y-o-y.

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A brief update on our liquidity position - during the quarter we raised around 4,340 Crores of term loan, bonds and refinance all long-term money which helps in our ALM very strongly. Additionally, we did around Rs. 3,700 Crores of direct assignments of retail loans to banks. Our cash and cash equivalent and committed credit lines from banks and institutions are of around Rs. 8,562 were available at the end of the quarter, adequate to meet not only for the near-term liabilities but also to fund the growth momentum, and I must mention that this liability and liquidity position is also helping us in negotiating our borrowing without showing any desperation when we go and search for new liabilities from our bankers. We have a positive ALM thereby and inflows over and above the exceeding outflows across all buckets as you could see through the presentation that we have. The net to debt equity, the netting off with the liquidity position thus is down to 3.2x compared to 4.2x and the total liquidity for the group as I mentioned earlier is around Rs. 8,562 Crores. Loans classified as digital loans are part of the unsecured business loans with an active customer count of around Rs. 3 lakhs. As Nirmal mentioned on the digital front, we continue to focus on digitization and analytics to improve customer experience and enable a convenient one stop shop of purchase and investor need. Our gold loan at home initiative which started approximately two years ago, also saw significant traction with disbursements y-o-y increasing by around 90%

to Rs. 260 Crores for this quarter.

With this, I come to an end, and we are open to Q&A. Thank you very much.

Moderator : Thank you very much. We will now begin the question-and-answer session. First question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra : Good afternoon. Thank you for the opportunity. Just wanted to understand the gold finance business a bit in detail. What kind of tonnage do we have here and what kind of LTVs are we running, average LTVs on the portfolio, and if you can also speak on the competitive intensity, there has been some amount of balance transfers happening to banks. So, if you could speak on that. Thank you, sir.

Nirmal Jain : So, our onboarding loan to value is ~70%. In terms of industry, so since last year it became very competitive, there are a few new players and they try to do balance transfer, so this is a practice that happens in this industry. What we have to do is that as far as we are concerned we make sure that money is coming from customers account because you do not want to violate even for a smaller amount the money laundering and the KYC process what it is a

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if we get our full money obviously customer has a right to take his gold back But the competitor that is trying to do balance transfer has to put money in customer's account without the gold and then normally what they do is that the people with accompany the customer, get the money transferred to customer's account, customer will transfer to our account, and then basically we release the gold. This as far as outbound balance transfer is

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concerned. Inbound we do not encourage normally, if customer is very old and known, but other than that I think customer have to come on their own.

Shubhranshu Mishra : And tonnage will you come back to me, sir.

Nirmal Jain : 55.4 tons.

Shubhranshu Mishra : 55.4 tons, and how much this has grown on a y-o-y basis, on a q-o-q.

Nirmal Jain : I will get you those numbers before the end of the call.

Shubhranshu Mishra : If I can squeeze in just one last question. If you can split the AUM pool less than Rs. 1 lakhs ticket size, Rs. 1 to 3 lakhs and more than Rs. 3 lakhs as a proportion of AUM it will be very helpful. Thank you.

Nirmal Jain : We will get you these numbers by the end of the call.

Shubhranshu Mishra : Thank you so much, sir. Best of luck.

Moderator : Thank you. Next question is from the line of Saptarshee Chatterjee from Centrum PMS. Please go ahead.

Saptarshee Chatterjee : Good afternoon sir. Thank you for the opportunity. My first question is on the digital loans. Now if I see digital loans, the GNPA percentage has reduced y-o-y or q-o-q, but there has been de-growth in disbursement as well as AUM. Can you please explain what is happening in this side?

Nirmal Jain : Asset quality has improved that is what you are saying right.

Saptarshee Chatterjee : So asset quality has been better, but the AUM as well as disbursement both has reduced. So it should have been more aggressive on this part right?

Nirmal Jain : Yes, it is a very valid point. So in digital loan what has happened is that there is RBI circular in September which basically laid down certain guidelines for partner sourcing and particularly I think from Kreditbee and Byju's the incremental loans have been insignificant and the earlier books are typically short tenure, so they run down very quickly. So organic growth is there in that loan book and is very strong, maybe what you are seeing is a q-o-q number I mean that is where the September RBI circular had an impact. Now in terms of asset quality and all those things, so there was some old book which has been written off or which has been closed so that could be one reason. A year ago, the book was quite small. So although you do not see growth in this quarter but in the previous two quarters there has been good

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growth. But this quarter again, the continuing partners or where we are fully compliant with the RBI's new guideline, that business is growing but there are two large partnerships that actually has shrunk in this quarter.

Saptarshee Chatterjee : Understood. Secondly as a data point like in nine months FY2023 I see it at around close to Rs. 658 Crores kind of a provisions that you have made in the P&L. Can you please give the breakup of how much is coming from like write-off, how much is from standard asset provisions that way?

Nirmal Jain : I will get these numbers, because I think these are numbers of quarterly. So for nine months I will just get you those numbers before the end of the call.

So for the previous question of Shubhranshu the gold loan tonnage has grown by 20% y-o-y.

Saptarshee Chatterjee : Sir, lastly if you can give like if I see your investment book, investment book has grown by around Rs. 1,000 Crores q-o-q. So, what are the general breakup of the investment book and how much investment, like how much investments we are doing on the IIFL Wealth side on their front.

Nirmal Jain

n : No, this data is not correct actually, I do not think they have grown by q-o-q with a Rs. 1,000 Crores and maybe including mutual funds or the liquid assets in this. Where you got this Rs. 1,000 Crores number from.

Saptarshee Chatterjee : If I see your balance sheet from quarter two to quarter three and both including like cash, and as well as short and long-term investments.

Nirmal Jain : In short-term investments, the liquid mutual fund whatever liquid we have. So that will keep varying because sometimes we will put in liquid mutual fund, sometimes we will put FD. But other than that hardly there is no change in the investment.

Saptarshee Chatterjee : So, as on date like we have around Rs. 3,000 Crores kind of an investment so like what is the exposure towards IIFL Wealth Funds or real estate funds.

Nirmal Jain : So, no, IIFL Wealth Funds we have nothing much, but the real estate kind of SSG that is ~ Rs.1050 Crores is there in that fund in total.

Saptarshee Chatterjee : Understood sir, thank you. I will come again in the queue. Thank you so much.

Moderator : Thank you. Next question is from the line of Sharaj from Laburnum Capital. Please go ahead.

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Sharaj: Thanks for the opportunity. My question was again on the write-off part. The MFI book we have taken around Rs.100 Crores of provision this quarter, and again there has apparently been some write-offs because the PCR also gone up. So can you quantify this amount?

Nirmal Jain : There is Rs.123 Crores write-off in MFI book and primarily because there are some of the old loans. Although we continue our effort to recover but above 180 days or the older loans that we have written-off, and there was provision last time also, so there is a provision which is there last time and also additional provision being created on the book which is growing faster.

Sharaj: If I see the provision, it has actually come down q-o-q the overall provisions on the MFI side.

Nirmal Jain : So, the provision released related to the old loans is taking care of the provisions for the new loans. This I think the provision has created then in last few quarters and against that we have written-off the loan book. So some of the older loans they get fully provided for given the provision policy that we have in MFI and out of that some of these things have got written-off.

Sharaj: Can you quantify the amount, that the write-off we take.

Nirmal Jain : Yes, I will just give one second.

Sharaj: Have we seen incremental slippages because if I look at the stage III again it come down by around Rs. 35 Crores only while the provision we have adjusted is around Rs.100 Crores. So do we continue to see some slippages there.

Nirmal Jain : Yes, MFI we have taken Rs.105 Crores of total net provision. So the write-off plus new provision minus old provision is Rs.105 Crores.

Sharaj: I wanted the write-off figure actually, sir.

Nirmal Jain : The write-off figure is Rs.123 Crores.

Sharaj: Sir, are we continuing to see the incremental slippages here or is it broadly now provided for.

Nirmal Jain : No, incremental business after November 2021 is doing very well. The older ones where we had a moratorium and restructure cases, that is all we have been trying to sort out so I think the problem is just getting sorted out so older loans whatever we can recover which has seen good recovery, or wherever we can close by one-time settlement we are doing that. So what we had done is that we have divided the book in two parts the older book where during the COVID period all the restructuring and moratorium was given, we are handing the book

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separately, and wherever cases are getting close we just write it off primarily against provision and just get over with it.

Sharaj: On the credit cost overall we guide for a 150 to 200 bps for the year, so how should we look at it

now and going forward.

Nirmal Jain : So I think it will remain in that range, but as the book grows probably no so if you see our book is around Rs. 40,000 Crores give and take. So, if you see that 200 bps on annual basis

then every quarter we see around Rs.200 Crores of provision.

Sharaj: So, we should stay in that range for the whole year I think so.

Nirmal Jain : Yes, we will stay in that range, it is slightly on the higher side of that range primarily because still micro finance things are getting sorted out, but I think in terms of guidance or expectation I think we will be in that range.

Sharaj: Sir, on the gold loan side, you mentioned that the growth is not as per the expectations. But how should we look at it going ahead. I mean, given the competition which has come in both on gold and home loans, how should we look at the growth here.

Nirmal Jain : Just your question on the investment what you are seeing is the investment done by HFC in CP instruments which is just short-term increments as we have received money from ADIA in the last quarter so that money is not fully deployed, and the money is invested in short-term instruments.

Coming back to your question on gold loan and home loan. So gold loan in last ten years we have seen these kinds of things happening in spurts where there are some new players come and they think that they can take the market by undercutting and after some time they also realize that this is a game in which nobody wins. What I think about gold loan that what we are seeing this quarter that gold prices have been formed and gold loan should do well now. Whatever we have seen is the worst is over at least in terms of the cut short competition and the impact of that on the price and if you do not want to compromise or you want to be in that game then obviously you will loose the growth, but I think that is over and we should see much better time for gold loan. Coming to home loan again the segment, Monu maybe can take this question. I mean, the question is that how do you see our gold loan competition of the environment.

Monu Ratra : Yes, we have seen that with the interest rate cycle going up and some competition also beefing up, but if you would see that in the last two years we have been expanding ourselves pretty deep in the geographies in the tier two and tier three towns. So we see that as our distribution

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also increases, if at all, there is any slight slackening in the hub or metro areas, we should be able to offset it by a distribution which we have in tier two, tier three towns, and our ability to price comparatively with co-lending also in place, I think we are good to see the growth in home loan to continue.

Nirmal Jain : I think the competition is intensifying in mostly larger cities. So let me say top 20 cities or top 30 cities, but our strategy is to expand beyond where still competition has not reached or is expensive maybe because the business is not so much as to cover up for many new players and we can ride on the gold loan bank network as well.

Monu Ratra : Yes, absolutely, So the distribution and reaching out tier two, three and four markets is there and this is reflective in our current quarter performance as well.

Sharaj: But here the problem as you mentioned is like basically the ticket size is much smaller. So the overall delta on the book will be lower or do you expect even the smaller ticket size we will be able to generate enough volume to give the 20% growth.

Monu Ratra : Absolutely so I think to answer this if you will see that if you look at the HFC numbers there has been an increase in distribution and the operating cost also there, but at the same time we are able to have a very consistent growth plan. For example, whatever we grew in the last complete year we have already done that in the first nine months itself. So we are pretty confident of continuing

this growth because of the efficiency of the technology which we use

as well and obviously we get better spread there than what we get in the urban areas. So, we should be pretty consistent for growing along with the profitability as well.

Nirmal Jain : So our ticket size has already come down quite a lot in last few quarters. So now this is the level at which we, this is the ticket size which is a sweet spot for us to operate so that damage to growth or the impact of growth has already been taken I think more or less. We are now at Rs. 13 lakhs of the ticket size so we have already gone into the smaller places.

Sharaj: One last question on the co-lending piece. So a lot of our growth has been coming, but with the deposit growth for the system slowing down, would we see a slowdown here I think the banks not wanting to extend the balance sheet for the co-lending business and trying to cater to their own customer. I mean, how do you look at it, co-lending will be affected as the deposit growth slows down for the system.

Nirmal Jain : I think it is very unlikely because today if you ask me the demand for co-lending is maybe 10 times what we can offer. So, what has happened is that in last so many years if you see PSU banks and many other banks PSU banks in particular, they have really not expanded the network while the economy and credit demand has grown much faster or they expanded much

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slower. So the demand is much much stronger and still the credit deposit ratio is still quite low if you see the PSU banks' balance sheet then they still have to catch up, but keep that aside for a moment say that the deposit environment really because very difficult so what is happening is that the CASA has moved to fixed deposit it is not that the money is not there on the system, and secondly if you look at as a company even if we have to take the loan from our own books it will not be very difficult for us. Supposing for theoretically I do not think that there is a possibility at least in the foreseeable future that we do not have to do co-lending we can very well keep the loans in our book and grow like any other NBFC for that matter.

Sharaj: Will we have enough bandwidth for that.

Nirmal Jain : The bandwidth we are managing the loans as of our own, you are talking about equity maybe.

Sharaj: Yes, liability probably, yes.

Nirmal Jain : That is not a problem today actually. So in terms of liquidity and equity so like our capital adequacy in housing finance almost 49% and our gearing is 3.2x so we have enough room to grow on our own should there be a need for that. But at this point in time, we see that this is tremendous latent demand and in fact it takes time to build up your systems, people, train people and network, but the demand is very, very strong. So what is happening today the banks also got 8%-9% with the cost of fund being 3%-4% they get retail credit where the losses are minimal and they need these for the PSL and for the balance sheet. So it is a win-win relation. In fact, many banks that we are talking to we are talking about long-term arrangement where they also want to have a commitment that every quarter we will deliver so much of co-lending or direct assignment. So, the negotiations are on that front actually.

Sharaj: Ok. Thank you, sir I will come back in queue.

Moderator : Thank you. Next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar : Thank you very much, sir, for the opportunity and many congratulations for the good set of numbers. I just wanted to understand on the credit cost you mentioned that it will remain in that range. I mean, I just wanted to clarify what is that range you are talking about is it on percentage basis or on an absolute basis you are talking about.

Nirmal Jain : No, percentage basis, so on book loan around 200 basis points in a year that is what

we should

try and look at.

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Deepak Poddar : Yes, so that is what we have been maintaining right, but I think currently it is around 350 basis points right as on second and third quarter.

Nirmal Jain : Not really, because if you see second and third quarter, we are in the range of Rs.200 Crores per quarter right.

Deepak Poddar : Yes, so total is about Rs.330 Crores right.

Nirmal Jain : No, this quarter is Rs. 213 Crores and last quarter was Rs.195 Crores.

Deepak Poddar : So you would look to maintain that 200 basis point kind of credit cost right even in FY2024 if we talk about.

Nirmal Jain : Yes, so there will be some benefit from old things getting sorted out, but we want to be conservative because we have a digital loan which are unsecured and there are a few small things growing so we need to keep. So I think that is what probably one can factor in that as the expected cost.

Deepak Poddar : Understood, fair enough. In terms of growth how do we see the growth going forward I mean I think currently we are at about 25% right.

Nirmal Jain : I think 25% is the growth that we should be able to maintain for next few years.

Deepak Poddar : So, 25% CAGR for next two, three years is a likely scenario.

Nirmal Jain : That is what we are targeting here.

Deepak Poddar : Lastly on the cost to income ratio, is there any improvement or efficiency we are looking at in the cost to income.

Nirmal Jain : So, there was slight improvement from 43% in H1FY23 to 42% currently and we will see improvement over next few quarters maybe. Our target internally is to bring it down to 35% which will take a few quarters a 1% or 2% point every quarter can bring it down then we will reach there in next five to six quarters.

Deepak Poddar : But ROE 3.5% is what we have been maintaining right.

Nirmal Jain : Yes, ROA is around 3.5%. ROE has come down little bit in this quarter because ADIA equity infusion has added to the net worth and that basically so that depresses ROE little bit, but over medium-term I think our ROE should be 20% plus.

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Deepak Poddar : That's it from my side, sir. Thank you. All the best.

Moderator : Thank you. The next question is from the line of Arun from Unifi Capital. Please go ahead.

Arun: Congratulations on the good set of numbers. Just wanted to check on the capital adequacy part. Currently the capital adequacy is at 21.5% for the standalone entity. What would be the capital adequacy that you would be comfortable working with and at what level you would look to raise fresh equity to support both the standalone business and also to support the capital requirements of the subsidiaries.

Nirmal Jain : You are saying at what level will we raise equity?

Arun: Yes.

Nirmal Jain : I think the way we have structured our business that we should not be desperate, or we should not need equity for a very long time. Having said that when we raise equity also depends on the market valuation, but it is unlikely the near future. So I think our business model is little different. Once market and investors have understood it very well and when we believe that we are giving at a fair value this is the time you look at it or if there is an acquisition opportunity or something we can look at it but at this point in time we do not see any need to do this thing.

Arun: Ok. Is there any covenant with the lenders that the capital adequacy should not be less than 20% or 18%?

Nirmal Jain : Yes, so I think microfinance has been one notch below in terms of credit rating, but we will negotiate because we don't need that kind of covenant given our track record. But yes some lenders and more microfinance have a covenant of 18% capital adequacy.

So, coming to one question about nine months that our profit and loss account is Rs.657 Crores for loan losses and provision and in terms of total write-off

if we have done the Rs. 736

so on the net basis provision release is Rs.79 Crores.

Arun: Also, ADIA has invested Rs.2000 Crores in HFC similarly are we looking for external investors in the MFI subsidiary also, sir.

Nirmal Jain : At some point in time yes, but right now we are putting Rs.200 Crores from the parent in the company as is growing and we have to keep capital adequacy properly so we have Rs.200 Crores of equity investment has happened from the parent in microfinance but at some point in time we had to look at a strategic or a financial investor in microfinance, you know what has happened in microfinance, this industry has passed through turbulent and roller coaster IIFL Finance Limited

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kind of a time period. But after RBI reforms and the recovering economy the industry is doing well and some of the leading microfinance companies, we are seeing that their valuations are improved. So at an appropriate time what we can do is over next five years I mean just not immediate future is that HFC microfinance then they become larger then they can be separately listed just like we did it in our parent company. We earlier had three businesses Wealth, Finance and Securities all of them became large enough we split them. The way we do the demerger there is no equity dilution required because the holding company shareholders get shares of subsidiary companies and the holding company ceases to exist, but that is something which is I mean not in the immediate future but at some time later this can happen.

Arun: Got it, sir, that is it from my side. Thanks.

Moderator : Thank you. The next question is from the line of Jyoti from Arihant Capital. Please go ahead.

Jyoti Khatri : Thank you and congratulations on a great set of numbers. Couple of queries. The last quarter you had mentioned that there was some high-cost borrowing amounting to \$400 million that is likely to be paid off, so has that happened in this quarter.

Nirmal Jain : No \$270 million is outstanding and that is due for payment in April 2023 and which we are fully prepared because our cash is much more than that. So we are talking about roughly Rs.2000 Crores or there about and there also if you get an opportunity we can prepay some or buy the bonds in the market and close that faster. But at this point in time \$270 million so that we are fully prepared to take.

Jyoti Khatri : So nothing has come in this quarter right.

Nirmal Jain : No. Now I think the residual term is so short that it will be difficult to prepay it will get just two, three months so everybody is wait and just close it.

Jyoti Khatri : So broadly how do you think margins will get shape up in this fiscal given the fact that the current levels do you think you can sustain this current high level of margins going forward.

Nirmal Jain : Yes, I think our strategy is to go granular and that is how we can maintain the margin so the smaller tickets we do that impact in the operating cost and the network required but that basically allows you to have higher margin.

Jyoti Khatri : On the gold loans that you described, but if you can just give more details about how do you see growth happening on that side because if you see the other NBFCs who have the gold
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loan NBFCs, their AUM growth is not happening. What makes you say that growth will be maintained at this level?

Nirmal Jain : Actually in 2020 and 2021 we expanded our gold loan branch network very aggressively and as you would have seen if you may be tracking our company for a few years that has resulted in significant increase in operating cost because the branch network has almost done about 40%-50%. So that is what is helping us to maintain some growth. But logically I think if the industry revives we should grow faster than what we have been growing given the expansion that we did. So I think other players if you a

re talking about if they had not grown the network maybe as aggressively then obviously the same store sales what you can call them have been under pressure in last few quarters. It is too early in this quarter, but I think probably you will see some recovery in this quarter.

Jyoti Khatri : On the home loan do you see the competition is relatively less in smaller ticket size loans like less than Rs. 20 lakhs whereas for higher ticket size we are seeing the competition and plus while we slow down the growth across the players with the bank and for the NBFCs as well. So how do you think that.

Nirmal Jain : For home loan you are right in a smaller ticket size the competitive intensity is slightly lesser. Although there are some new NBFCs, but they are very small and regional. So when we look at the whole country then relatively speaking the small ticket size which is less than Rs.20 lakhs, or even Rs.10-12 lakhs even the segment that we are now catering to has lesser intensity of competition. Again, we should understand it is not easy for anybody to become a competitor in this segment because it requires a network of branches and people who can do say the title verification, valuation in smaller places and which is the operating cost. When we have small ticket when we take longer to breakeven so competition is less and that is why banks are also very comfortable doing co-lending and even long-term co-lending partnership with us.

Jyoti Khatri : Ok. Sir these digital loans are nothing but business loans right.

Nirmal Jain : Business loan and personal loan as I explained in the beginning of this call, that many times when there is a mom-and-pop shop, or a one man professional or self-employed person where even business is done from his personal account. So that is one and secondly, we have tied up with Zest Money, where we are getting certain personal loans from that relationship as well. So these are personal and business loans both. Mostly the salaried employees i.e. the formal sector will not come to us because they will get it at a much cheaper rate, from big banks like SBI or HDFC but the people who come to us are self-employed some of them maybe salaried but in informal sector where the documents like pay slip, PF are not fool proof that way.

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Jyoti Khatri : One last question on the branch expansion side, what can we expect for the next fiscal

Nirmal Jain : We have slowed down the branch expansion, but expansion will continue. We have a team that does the data analysis and keeps tracking opportunity areas and we set up branches. I think branch expansions at normal pace will continue forever but the aggressive spurt where we did like 40%-50% expansion in 18 months that kind of thing will not happen but 15%, 20% or 10%-15% expansion every year will continue.

Jyoti Khatri : Thank you sir.

Moderator : Thank you. Next question is from the line of Sharaj from Laburnum Capital. Please go ahead.

Sharaj: Sir on the NIMs is there any one-offs we are seeing on due to assignment income or something or these our normalized NIMs.

Nirmal Jain : No these are normal NIMs.

Sharaj: On the home loan side if you could just give some light on the customer segment which is more self-employed. So I understand we are going more to the tier three towns probably now. So what is the segment of customer we are dealing with and what is our edge here.

Monu Ratra : Typically, our customer about 65% of our customers are salaried people and 35% belong to the self-employed segment. The TG or the target group which we are looking at is people with a household income of below Rs. 50,000 in the urban areas and in the smaller towns it could be household income of less than Rs. 30,000-35,000. Typically, if you see these people would be in the blue collar jobs and usually these people could be working in private limited companies or even sometime with proprietor

ship as well. So this is the kind of a target group which is there. As Nirmal, mentioned earlier also we edge or the moat for us is about the distribution which we have set up for the past so many years and along with the NBFC network available of gold loan branches for us to reach and breakeven is much faster. The opportunity has always been here for everybody else for to make it a profitable business if you would look at our cost to income ratios also would be fairly better off than the industry affordable housing players. The reason for that is how we use technology to enable this and have a faster growth path as well. So I think the distribution understanding of the local policies, process and the technology has put together is a good moat to scale up this business further.

Sharaj: And the yields here would be around, what was the yields around 11%, 12% or higher.

Monu Ratra : Nearly 11% as you can see it of 10.9%.

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Nirmal Jain : This has gone up in last one year.

Sharaj: Ok. Thank you so much sir, that was it.

Moderator : Thank you. Next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg : Thank you for the opportunity. My question is on gold loan. Just want to know, what would be the count of gold loan branches today and what is our target for branch expansion and overall AUM growth in gold loan for FY2024.

Nirmal Jain : Out of 3,965 branches, around 2,589 is gold loan branches.

Bhuvnesh Garg : And what is our target for FY2024 in terms of branch expansion and AUM.

Nirmal Jain : I think we set up more than 300 branches maybe we will reach 3,000 by FY2024. So our average principal outstanding per branch is about 7.1 Crores for Gold Loan which we will like to take it higher. So I think 20% to 25% growth is what we have probably target in most of all our core products.

Bhuvnesh Garg : Alright. Thank you.

Moderator : Thank you. Next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe : Two questions from my side. First is on the gold loan branches just to clarify you do not need to take any regulatory permission for adding branches right.

Nirmal Jain : Now there is a bit of ambiguity on this but on the safe side we take regulatory approval. So we took approval we got approval for 1000 branches in 2020 we got another approval for 700 branches in 2021, out of which we would have set up 200 branches so we got approval for 400 to 500 more branches. We are taking approval, but it is vague whether we need approved or not. But I will give you background that earlier there was a circular on the gold loan industry came under pressure in 2013, 2014 saying that the gold loan companies if they expand their branch network beyond 1,000 branches they should take approval. Now whether we are a gold loan company or not is again a difficult question but on the overall portfolio we have less than 50% but if we take a look at standalone NBFC we maybe more than 50%. So to around the side of caution we go to RBI and take their approval and we actually present them the entire data of how we have gone into under penetrated market and what have been the track record of earlier approval and what have we done. So we have adequate approval for next one year.

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Nischint Chawathe : Just for my understanding your branches are not exclusive gold loan branches right I mean what you have essentially is the IIFL branch and then you probably do gold or you can do multiple products on the branch so it is not exclusive gold loan branch that you have.

Nirmal Jain : So practically speaking if you look at our gold loan branch now it is 2589, our housing finance home loan is still about 370. So what has happened is that some of the gold loan branches will double up as the home loan also and many a times

what happens that the home loan

works in a hub and SPOC market like in Bombay we have about 100 gold loan branches but there are only 10 home loan branches. But what will happen is those 100 gold loan branches will feed the leads of home loan to those 10 home loan branches. So let's say we have a branch in Borivali so entire Andheri to Dahisar area will give those home loan leads to Borivali branch. So we leverage the branches to get the lead, but out of these 2589 branches almost 2200 branches will be actually be only gold.

Nischint Chawathe : Just one little bit clarification on numbers. Your cost of funding is going up by around I think sequentially 15 basis points and annually around 10 basis points so just trying to understand what is the secret sauce.

Nirmal Jain : I think it is a good question. So, one is that, we have a longer tenure loan and I think if you see the loans before 2018 were even more the interest rates are higher than what it is today. So what is happening is that sometimes when these gets repaid what we are getting now is even after this MCLR increase is still not too bad. The dollar loans which are at a very high rate I think we will be able to bring it down by 130 bps. Third thing is that in NHB refinance what we get because we are in affordable and really catering to the low income group, NHB has different schemes 5%, 6%, 8% depending on what kind of loans we are doing, so the refinancing is also at a competitive rate. Also given our track record we are able to negotiate with banks better, so the premium which we are paying on MCLR, now we are able to negotiate it to MCLR or sometimes even better than that. So it is a combination of everything.

Nischint Chawathe : Just to understand in IIFL Finance Standalone as against your weighted average cost of borrowing of 9% what would be your incremental cost last quarter.

Nirmal Jain : Incremental cost last quarter it is similar, it is 9%.

Nischint Chawathe : Perfect thank you those were my questions.

Moderator : Thank you. Next question is from the line of Navneet Bhaiya, individual investor. Please go ahead.

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Navneet Bhaiya : Hi Sir, congrats for the good results. I have two questions. First your leverage profile of course has improved quite significantly after the ADIA money raise, so is there a timeline by which you are looking to revert back to the earlier leverage profile if you are looking to it. That is my first question and second is your standalone results across your total income PPOP there has been a dip sequentially as well as y-o-y. So, while you have mentioned some reasons on the gold loan competition etc., but if you can throw some more insights on that.

Nirmal Jain : So, one other component is a markdown in the value of investment which the valuations happened every quarter and that is why you see with the fair value gain is negative and so the standalone book basically comprises the old business loans, the construction finance and gold loan. Gold loan has been under competitive pressure and there is a bit of a markdown on the investment that we made, but those valuations happen every quarter so that is a quarterly movement.

Navneet Bhaiya : On the leverage bit sir, your leverage of course after the ADIA money raise is a lot more conservative.

Nirmal Jain : In last year I think we have a covered bond gain what was it, Kapish can you just tell.

Kapish Jain : See the last year we have some of the off-book assets sitting into a trust, which when they get closed there was a one-off profit which came up from Rs.202 Crores in the standalone financials of IIFL Finance. It did not affect the consolidated numbers but in the standalone number the aberration of Rs.202 Crores additional interest income came in.

Nirmal Jain : Which in consolidation it gets knocked off

Kapish Jain : So this resulted in the standalone numbers look low as compared t

o last year. That is one one-off impact, other is the impact that we talked about mark-to-market on the investment.

Navneet Bhaiya : The second question was on the leverage.

Nirmal Jain : So leverage I think we do not want to go back to the 5-6x. So from 3.2x I think we will be comfortable which we have discussed in the board to go up to 4x and we will try and contain. I mean that should be the level that we should try and not cross.

Navneet Bhaiya : By when would you look to sort of reach that level because that obviously means your ROE also perhaps would improve to that extent.

Nirmal Jain : I think given that incrementally we can do co-lending we can achieve that level in 12 to 18 months and stay there and as the business mix stabilizes at whatever level we want. So it could be 12 to 18 months' time by when we get the leverage back to that level.

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Navneet Bhaiya : Understood sir, thank you so much.

Moderator : Thank you very much. The next question is from the line of Nikhil Agarwal from Tusk Investments. Please go ahead.

Nikhil Agarwal : My question is on the mix of the co-lending securities and on balance sheet book. So right now, we had 37% off-book balance sheet lending. So can you talk on the breakup of the off-book balance sheet lending and on-book balance sheet lending the different business that we have.

Nirmal Jain : So primarily gold loan, home loan, and LAP are off book, the construction finance will obviously completely whatever we have is on book and business loan also the digital loans are new which are on book. So in terms of if you really want to have the exact numbers then

you can work out the numbers from the lower AUM and the assets on balance sheet difference which is there in the presentation, but the total assigned assets are Rs. 15,939 Crores and co-lending is Rs. 5,716 Crores. So, on book is Rs. 36,286 Crores and off book is around Rs. 21,655 Crores.

Nikhil Agarwal : And incrementally in the microfinance book are we doing more co-lending, any assignment is happening.

Nirmal Jain : Yes, so in microfinance also probably we will do more co-lending and assignments going forward. It requires some seasoning and I think going forward this also a great product to be partner with banks.

Kapish Jain : Just to give you a perspective in the microfinance the objective of capital optimization state we did around Rs. 1,550 Crores of assignment in Samasta this year compared to Rs.250 Crores that we did in the same time last year. So that is where we are building the similar arrangement for doing lot more assignments for this business.

Nirmal Jain : Last year we could have do much because of the COVID restructuring the entire business was in bit of a turbulent stage.

Nikhil Agarwal : This time microfinance growth has been 17% q-o-q which has been the major driver for the growth in the book. So how do you look at it?

Nirmal Jain : Last quarter is 17% but yes there is a bit of aberration actually I don't think that growth will continue but be a strong growth for next few more quarters. I mean whether 55% y-o-y and 17% q-o-q difficult to say and I mean if that level would not sustain forever but 25% to 35% is quite doable in this year and next year.

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Moderator : Thank you. The next question is from the line of Aswin Kumar Balasubramanian from HSBC Asset Management. Please go ahead.

Aswin Balasubramanian : I just wanted to check into the capital on the standalone entity. So the tier one is 13.8% so up to what level of tier one would you be comfortable going with and also this is decline from about 18% last year. So any reason for the decline from 18% to 13.8% rate.

Nirmal Jain : No, actually the last year in the December quarter there were more assignments and the book has come down significantly. We have not done that in last quarter but probably Mar

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quarter is the quarter where most of these assignments happen. I think we would like to keep it around 13%, 13.5% is the level that I would like to maintain for tier one at least.

Aswin Balasubramanian : Okay thank you.

Moderator : Thank you. Next question is from the line of Jyoti Khatri from Arihant Capital. Please go ahead.

Jyoti Khatri : Sir any update from the asset quality standpoint on the CRE book.

Nirmal Jain : No I think in terms of CRE book asset quality continues to be what it has been. The CRE environment is improving if you see the demand for housing in the real estate sector in general is seeing good traction, so I think most of the projects things are taking on faster than historically what they have done.

Jyoti Khatri : If you can tell us what was the total income generated from off book in Q3 versus in Q2. The other income which is there that is purely coming from off book.

Nirmal Jain : Non-fund income that you see, Rs.530 Crores in Q3 and Rs.476.6 Crores in Q2, that is off book income.

Jyoti Khatri : Thanks.

Moderator : Thank you. The next question is from the line of Trupti Agrawal from White Oak Capital.

Please go ahead.

Nirmal Jain : Also, just one point this time we had given an excel sheet which is like a data book which has got lot of these granular details that you are asking for you find those numbers given on excel sheet and the numbers on the excel sheet so that you compare or you can use and analyze on your own.

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Trupti Agrawal : Thank you for this opportunity, sir. 2 quick questions please. Sir, what I just wanted to understand is that on the co-lending side, co-lending of home loan, I see a q-o-q decline in the disbursement from about Rs.818 Crores to Rs.643 Crores that is about a 20% decline so I just wanted to understand the reason for the same we are talking about very big opportunity in this space and couple of new tie-ups that we have done in this quarter so that is one.

Nirmal Jain : You see my adjusted ADIA only we are sitting on a huge cash and which we just earned 3%,-4% so although we have a relationship with the banks otherwise ideally, we should not do any co-lending till we utilize our cash and have a negative carry there but maybe Monu you

have anything to say on this.

Monu Ratra : Yes, so this is one reason which is where as Nirmal mentioned and also we have been seeing that it also been now added a bit of our non HL book the loan against property also has got into co-lending as well. So if we put both together we are almost the same as last quarter but as Nirmal said, we have ample liquidity we are sitting on so we will better consume that first rather than having a negative carry.

Trupti Agrawal : Sure, so that we do say that now we are doing the LAP along with home loan both put together that the disbursement would be almost similar to it, is that what you mean.

Monu Ratra : Yes.

Trupti Agrawal : My second question is that just wanted to understand the reason for such a sharp increase in operating expenses in the home finance subsidiary both on a q-o-q and nine months' basis what really is the nature of these expenses.

Nirmal Jain : Monu you want to talk about HFC.

Monu Ratra : So if you will see that almost in the last one and a half years the count of headcount and including the branch network has also increased reasonably so we are in that once again in that investment phase and because as we are setting ourselves for bridge growth in the coming years so this investment has happened in last one, one and a half years. However, as you will see the, as we are going to tier two, tier three towns there is an increase in the operating cost. Similarly, the spreads have also improved because in those markets you can earn a better spread. So now the investment phase is evening out from here on we should be able to come back to our original operating ratios as we get these

branches to be more productive.

Trupti Agrawal : So how many of home loan branches do we have.

Monu Ratra : Total about 349 branches.

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Trupti Agrawal : I am sorry if I can just ask one last question which is in the business loans what exactly has seen the issue on the digital loan side.

Nirmal Jain : RBI came in with a circular which put down certain guidelines about partnering with Fintech in terms of FLDG credit the money is to go to the customer's account directly and not through the partners. So, the number of such conditions were put and that is what has impacted. So we have many partners in digital loan and particularly two partners which were fairly significant that is where the business has come down. I think it is a process change because like money going to customer through the partner and many such things we have just operational issues we try and sort it out in terms of underwriting we always have to do credit underwriting ourselves. So some of these partnership business will also come back it is just matter of time. I think this circular came sometime in late September 2022 and that is why you see last quarter there is an impact on couple of partner business.

Trupti Agrawal : Sure, got it. Thank you so much.

Moderator : Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Kapish Jain : Thank you very much ladies and gentlemen for joining us on this call. I think it was a very detailed conversation and I hope we were able to address all your queries. The data book should also help you to get do further analysis for your convenience. If still anything further remains do come back to us at our investor relations email ID and we will be happy to address back to you. Thank you.

Nirmal Jain : Thank you so much. Have a good day ahead. Thank you.

Moderator : Thank you very much. On behalf of IIFL Finance Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: May 2023

IIFL Finance Limited

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May 05 , 2023

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Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings call for the quarter and year ended March 31, 2023 , please find attached herewith transcript of the said earnings call which was held on April 27 , 2023 .

The same is also made available on the website of the Company i.e.

https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFL_Finance_Q4FY23_Call_Transcript.pdf

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings call .

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Sneha Patwardhan
Company Secretary

Encl: As above

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April 27, 2023

MANAGEMENT : MR. NIRMAL JAIN – MD, IIFL FINANCE LIMITED.
MR. MONU RATRA – CEO, IIFL HOME FINANCE LIMITED.

MR. N. VENKATESH – CEO, IIFL SAMASTA FINANCE.

MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER, IIFL FINANCE LIMITED

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Moderator:

Kapish Jain:

Nirmal Jain: Ladies and gentlemen, good day and welcome to the IIFL Finance Limited Earnings Conference Call.

We have with us on the call today Mr. Nirmal Jain – Managing Director, IIFL Finance Limited, Mr. Monu Ratra – CEO, IIFL Home Finance Limited, Mr. Venkatesh. N – CEO, IIFL Samasta Finance Limited and Mr. Kapish Jain – CFO, IIFL Finance Limited.

As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Kapish Jain. Thank you and over to you, sir.

Thank you very much. Good afternoon, everybody. I hope you and your family is safe. Thanks for joining us on this call, Q4 Earnings Call for fiscal 2023.

I am Kapish, I am the CFO for IIFL Finance. On the call I am accompanied by Mr. Nirmal Jain – our Managing Director, Mr. Monu Ratra our CEO for IIFL Home Finance; Mr. N. Venkatesh – CEO for IIFL Samasta Finance.

I now hand over the mic to Nirmal Jain to comment on the economy and the group's overall strategy and plans. Over to you.

Thank you Kapish. And welcome to the Analyst Call for the full year FY23.

So, to start with my views on the macroeconomy:

Today there are divergent views about India's macro economy and prospects primarily because there are concerns about high inflation in the US and Europe and the impending or kind of looming recession fear there and also the rural slowdown back home. But my personal view is that things are good in terms of macro stability, they are far better than ever before, because on one hand inflation seems to have peaked out and therefore, even interest rate seems to have peaked out and we saw that the last policy, last MPC basically paused the interest rate hike and this is backed by current account deficit coming off after peaking in September. And obviously, the oil imports at a lower price are helping us. So, foreign exchange reserves are in good shape and the currency is also stable relatively.

If monsoon is good, then the rural demand will come back. GDP growth maybe at 6.5 – 7%, the potential of India is much more but today's world, India is really in a sweet spot and on the whole, given the stable external environment, stable politics and the economy doing generally well and with inflation and interest peaked out, outlook for the economy, financial services as well as the greater market is positive and optimistic.

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There are many concerns and fear, that many times people talk and ask questions about, the bank credit growing too fast, what is the potential for co-lending, or data becoming available to everybody, how will NBFC sector grow. So, I just wanted to put some numbers in perspective.

So, banking sector credit is around Rs. 140 lakh crores today and out of which if you see mortgages, mortgages by itself is around Rs. 24 - 25 lakh crores. So, if you really look at our share in the overall mortgage, it is about 1%. Given our vast network of branches, obviously there's a huge potential to tap and for us to grow also. And for the mortgage by itself in India, the mortgage to GDP ratio is 11%, which is one of the lowest. So, obviously mortgage is grossly under penetrated. In the last quarter we have seen some slowdown in the affordable home loan demand, primarily because of interest rate increase, as well as the commodity price increase, where the cost and the prices have not come down to make up for the interest rate increase, but this is a temporary phenomenon. As we see the interest rates fall, the demand probably can accelerate again.

Overall, the mortgage industry did well, and the luxu

ry segment actually grew much faster. But

the affordable sector has tremendous long-term potential as I said, the penetration is just 11% of GDP, which is 60%, 70% in many developing countries, and has been above 100% in some developed countries like US. So, there's a long, long way to go.

Then if you look at MSME sector, the MSME credit by banking sector is about Rs. 35 - 40 lakh crore to manufacturing, another Rs. 35 - 40 lakh crores for services. So, together, it's Rs. 70 - 80 lakh crores. And still, everybody agrees from the government to banks to reserve bank that this credit in this sector is grossly under penetrated. So, again, there's a long, long way for this industry to grow. And the size of business that we have at this point in time is very, very insignificant compared to the potential. Even our gold loan and microfinance businesses primarily cater to MSME customers because they're all small businesses and for income

generating activity.

Now, the question is whether the entire potential can be tapped by banks, or there's an opportunity or there's a niche in which we operate. So, in my view, and with what our experience has been for the last few years, that we have a network of branches and people, they cater to very small ticket loans, if you look at our ticket size in all loans - business loan, MSME, digital loan of Rs.3 to Rs.4 lakh, or Rs.13 to Rs.14 lakh for affordable home, and Rs.50,000 to Rs.60,000 for gold loan. So, there's a much bigger market above this, which banks still have to tap, and these are the customers which are difficult for banks to tap. Many a times, they require access to the customer near them. The loan branches that we set up are lean branches that will just cater to loan, so the cost structure is very competitive to bank, if they were to run a similar kind of loan mobilization system, it would be far more expensive for them.

Also in data, while the data is available for everybody, people still need to learn how to use data and the very large number of parameters that people use and the algorithm that works for this is continuously evolving. And obviously, we have invested in technology and we believe that we are the movers in using the new technology infrastructure of account aggregator, the transaction data, by way of alliances with large technology players as well as our own organic marketing

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for getting customers. So, the digital infrastructure, the digital investment that we have, the branches that we have, and people that we have, that basically gives us a moat, to continue to grow our business.

Since we expanded our network of branches and people in last two years very aggressively, we can now slow down this expansion. And still, we have enough capacity to sustain growth to meet our targeted growth of 25% in our loan AUM as well as of our income and bottom line. Last year has ended well, we have grown our profits and loan AUM in-line with our targets. One change that we have seen, what probably most of analysts and investors who are watching us would have seen, is that, in last couple of quarters, co-lending is increasing and obviously the relative share of direct assignment and securitization will come down to that extent. In terms of accounting, which we follow, IND-AS, in case of assignment we have to upfront the estimated value of what is already off the book. But in the case of co-lending, the excess interest accrues quarter-after-quarter. So, what we will see probably over the next few quarters is that the co-lending income, the excess interest or the difference of interest that we get will keep growing. The up fronting will keep reducing and basically, the impact on the whole, will be probably lesser and lesser as we go along.

Also in last quarter, as we have been seeing for last few quarters, the COVID impact now is over, our asset quality is back to the normal levels,

even with applying or having implemented

RBI's new circular of more stringent norms for income and asset quality, we are still at 1.8% in GNPA which is well below our target of 2%. And NNPA is a little above 1% and again our target is to keep it below 1%. Asset quality further can improve in the next few quarters. In terms of cost of funds, our margins have improved because there has been a systemic interest rate rise and obviously that allows us to increase the pricing of our product as well. Most of our products are small loans which are relatively where, it is not very difficult to pass on the interest rate hike, but our cost of fund has not gone up in proportion, primarily because our rating and credibility with the banks has improved. Our international credit rating also has been upgraded. Also, we have fully repaid now the dollar loan which was the MTM bonds we had issued in 2020 in aggregate about US\$ 400 billion out of this US\$ 130 million was prepaid before March and the remaining 270 has now been paid in April 23. With hedging and everything all included the cost was very high at around 11%. That should also help us in containing the increase in cost of fund which is the impact of interest rate increase across the system.

We try to provide as much information as possible in our presentation as well in call. So, many a times if people have some doubts or some questions or queries about the data or the changes in number, I'll really appreciate it they can raise this on this call, because I have seen some comments on social media, which is about digital loan. Now, digital loan is just about 4% of our portfolio and the numbers for Q3 and Q4 has change and the reason is as follows. It is not because of discontinued business, but there are some small portion of LAP which was digitally done, but we thought that there is a conflict in classification and we will take LAP as a primary classification. And therefore, you will see that the Q3 numbers of LAP, the LAP has relatively lesser GNPA as compared to unsecured digital loan. So, the Q3 number of LAP which was

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Kapish Jain: earlier 3.9% has gone down to 3.48% as some part of digital loan, which is digital LAP has moved to this. And correspondingly the digital loan GNPA, which are reported 3.34% for the

last quarter have gone up to 4.18%. It is a small Rs. 600, 700 crore portfolio of LAP that is digitally done. Now we are classified it as LAP instead of digital loan. And there's nothing to get excited about the 3% to 4% of loan in terms of how we present the data. We'll answer all your queries either by mail, or you can talk to our Investor Relations department or ask us questions on this call.

So, with this, I hand it over to Kapish to take us through the details of the financial numbers and then we will have a Q&A. Thank you.

Thank you very much Nirmal. So, first, I'll take you through the quarterly performance numbers followed by annual.

So, as mentioned by Nirmal for the quarter the consolidated loan AUM for the group moved up by around 26% y-o-y, and on a quarterly basis moved at around 12% closing at around Rs. 64,638 crores. And further dissecting the AUM growth into core products, gold loan AUM and home loan AUM grew by 28% and 23% y-o-y respectively. Micro finance has grown by about 59% in this year with improvements in the entire regulatory framework which came into the segment. Digital loan and loan against property grew by around 33%, 18% y-o-y respectively. So, overall, the core loan portfolio grew by 29% to Rs. 61,502 crores and the non-core in-line with our strategy has further shrunk by around 11% y-o-y and 4% q-o-q. And this is something which will still continue to be muted. The core loan segment, now comprises 95% of the overall AUM, as a mix they have gone up by around 2.1% y-o-y and correspondingly the non-loan core AUM comprising of 4.9% has c

ome down by 2.1% y-o-y.

So, in accordance with our capital optimizing strategy, 38% of our AUM is either assigned or under co-lending and the assigned loan outstanding stands at around Rs. 16,979 crores up 19% y-o-y and 7% q-o-q. Impressively, the co-lending book has increased to around Rs. 7,557 crores in FY23 up from Rs. 2,845 crores, a 166% jump and this is something which we have in arrangement with multiple banks and across all products, primarily gold and the home loan businesses.

During the quarter, we also added two new relationships in co-lending - IDBI Bank and Indian Overseas Bank for co-lending of gold and micro-LAP, respectively.

So, for the quarter our reported Profit after tax before minority, stands at around Rs. 458 crores up 43% y-o-y and 8% on a quarter-on-quarter basis. In this quarter, we also added, across all businesses, 300 branches, and around 1200 employees, which has led to a higher cost to income ratio of 43%. But going forward our strategy is to monetize our branches, make them more operational and more efficient, along with other cost savings initiative that we're working across

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the franchise which should enable us to report a far lower cost to income ratio, as we work towards it, this during this entire fiscal.

Our cost of borrowing increased by 38 basis points y-o-y compared to a 250-basis point repo high that you saw, and almost more than half of that has also been passed on through the MCLR hikes by the bank. And putting this in Q4, sequentially to around 8.93%, is the cost of borrowing. Gross NPA, as Nirmal mentioned, stands at around 1.84% down from 1.31% y-o-y and 0.24% q-o-q and net NPA is around 1.1%. The diluted earnings per share for the quarter standards at around Rs.10.8 up 28% on y-o-y and 9% q-o-q.

Just to briefly highlight, this enablement on the cost of borrowing was possible only by maintaining healthy liquidity. We continue to maintain healthy liquidity and the liquidity number stands at around Rs. 9,356 crores. During the quarter, through various sources retail and aggregate, we raised Rs. 5,880 crores, be it through term loans, bonds or refinance and we also did around Rs. 3,981 crores of direct assignments by selling retail loans to banks.

Our gold loan at home initiative which is really progressing fine saw significant traction during the year with disbursements more than Rs. 1000 crores in FY23 and then with an improvement in yield that business. We now have monthly run rate of over Rs. 100 crores, which consist of 3.5% of our total gold loan AUM.

With this, I will now discuss the annual performance for the year FY23, our consolidated PAT before minority was Rs. 1,608 crores up 35% and our pre-operating profit was Rs. 2,831 crores which has again shown an improvement of around 24% y-o-y. As I mentioned, 95% of our loan is retail, of which 67% of our retail loans (excluding gold loans which are not classified as PSL loans) are PSL compliant. The rest are largely gold loan which is again zero risk rate for the bank. More importantly, the retail and the PSL loans are of significant value in the current environment, which we can sell down with the kind of asset performance that we have demonstrated. We have a very good relationship with those clients from a business delivery and performance perspective as well.

Overall, on these assets, the collection recovery is something we entirely own from driving the whole servicing for the bank, while the risk on the credit is completely passed on as we sell these

assets to them.

Our consolidated ROE for the year stands at around 19.9% at a lower gearing because of the ADIA infusion of Rs. 2,200 crore of primary capital that came in our subsidiary company, IIFL Home Finance. And then we reported a ROA of around 3.3%.

Our capital adequacy stands at around 20.4% in the NBFC, and a very healthy 47.3% in the housing finance subsidiary

as of 31st March. As you can see our CRAR is well above the minimum threshold which is needed. And with our off-balance sheet strategy and our internal accruals, we believe that we should only be able to improve with that, as we progress.

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Moderator:

Anusha:

Nirmal Jain:

Anusha: For the year, our average cost of borrowing increased by 30 basis point to 8.8% on an average basis. Our gross NPA, as I mentioned, stood at around 1.8%, which is a shade below the guidance that we gave around 2% earlier.

With the implementation of expected credit loss, our IndAS provision coverage on NPAs stands at around 1.67 times which is a specific provision and earning per share for the whole year is around Rs. 39.5 per share up 26% and the book value is around Rs. 231 which again moved up by about 40%. We have a very positive ALM whereby inflows cover or exceeds most of the expected outflows across all our buckets, and a net gearing stands at around 3.5 which is down from 4.2 in FY22.

The loans classified as digital loans are part of unsecured loan business with an active customer count of about 3.9 lakhs as on March 23. That's all I have, and we're happy to take more questions.

With this, I open the floor for Q&A, and we are happy to answer all questions that you have, or we will come back to you in case we miss something today.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Anusha from Dalal & Broacha. Please go ahead.

Going forward on FY24 outlook, on the credit growth side, how do you see it panning out and what will drive the growth, current fiscal we have seen MFI witnessing very strong growth and digital loans as well. So, broadly what will be the growth drivers in each of the segments and also if you can elaborate more on the margin side, you have so far well managed on the margin side. How do we see it panning out in FY24 because many NBFCs are facing the heat on the funding cost side, so what will be your outlook on that?

Thank you Anusha and, one on the credit growth side, as I said that, we expanded our network quite significantly. And we have also invested in technology. So, our target or the goal is basically 25% credit growth. In terms of margin, we are prepared for some bit of upward pressure on the cost of funds. But hopefully, we should be able to mitigate by savings in cost to income as we slow down our expansion. And to put things in perspective, we would have set up almost 900-1000 branches last year, this number may be about 150, or 200 not more than that in FY24. Now, why 100, 150 or up to 200 is because of what we do in microfinance business in particular, that is the larger branches, we split them into two for better risk and operational control. And there may be certain strategic locations, which are very good. So, the number of new branches will be just about maybe around 15% of what it was last year. And therefore, cost to income ratios should mitigate the upward pressure on cost of funds. But still relative to our peers, we should be better off because we have paid off our high-cost dollar bonds and with our ratings and credibility being better, we should be able to negotiate better with the lenders.

Okay. So, still on the spread side, how do we see that you'll be able to maintain FY23 level?

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Nirmal Jain: Yes, we will be able to maintain the spread at FY23 levels. And for everybody, what we have done instead of net interest margin, we're given the net interest spread, which is the difference in percentage cost of borrowing and percentage portfolio yield. Because when you say net interest margin, it might include investment income, and the numerator and denominator they don't match. So, the spread that we have given in our presentation now is more relevant and more indicative of what

it is our actual margin is, we should be able to maintain that next year also.

Anusha: Okay. And how much will the benefit of this high-cost bond that you redeemed?

Nirmal Jain: Kapish will give you some data on that.

Kapish Jain: So, as Nirmal mentioned, this was around US\$ 400 million of high-cost bond borrowing that we had, some bit of it we paid last year itself. And the remaining we paid in April of this year. It was a double-digit number close to around 11% and we also recently, as we said in our press release, we borrowed another 100 million, where the blended cost is around 9.2%.

Nirmal Jain: So, we save about 180 basis points on this, what we have repaid.

Anusha: Okay. On the branch expansion side, you said 150 to 200 that is for the total branches or it's only for MFI?

Nirmal Jain: No, total branches. So, maybe gold, home loan and MFI all put together. So, last year also all put together we had about 900 branches.

Anusha: So, 150, 200 that should be the run rate that we might expect over the next one or two years?

Nirmal Jain: Yes, this year for sure. And then, let's see how the opportunity and environmental outlook is for the next year. So, our annual plan for this year we want to slow down, next year also I don't think we need to accelerate because we need to make the existing branches productive. And then, once we get the cost to income ratio to a more comfortable level, then we can embark upon the next phase. And that will also depend on the economic and the business environment at that point in time.

Anusha: Okay. Sir lastly on the asset quality side, what is the credit cost internally that you are working on, because you had mentioned that it would be closer to around 200 basis points odd so any change in that number, or how are you looking at it?

Nirmal Jain: So, maybe this quarter probably, we are at a run rate of 220 basis point but going ahead we should be at the target rate of 200 or lower.

Moderator: Thank you. The next question is from the line of Renish from ICICI Securities. Please go ahead.

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Renish: So, two questions, so one is on the insight, likely impact on the gold loan yields if the new discussion in the paper on penal charges comes into play. So, any assessment how our gold loan yield should impact because of that, any change from current rate of 17.5%?

Nirmal Jain: We already changed all our products and there'll be negligible impact, there'll be no impact, because we are not really charging penal interest now.

Renish: Okay. So, we have already tweaked our product?

Nirmal Jain: That's right.

Renish: Got it. And sir secondly, in your opening remarks.

Nirmal Jain: Historically also we never had significant component on this. But we have further tweaked our product, so we are not dependent on this anymore.

Renish: Got it, sir. Secondly, in your opening remarks, you did mention sort of lowering the securitization and building more of a co-lending book. So, accounting wise of course, this up-fronting of income will go away. So, net-net how do you see sustainable ROA, ROE sort of looking like in FY24, and beyond. Just considering, sort of no change in the mix.

Nirmal Jain: No, we will sustain our ROA and ROE, as I have said, as it tapers off over a period of time, the surplus of co-lending also will keep growing. So, whatever working we have done internally, I don't think there'll be any negative impact. So, we should be able to maintain profitability as well as ROE growth.

Renish: So, basically ROE around 20% on a sustainable basis?

Nirmal Jain: That's correct. And 25% growth in the top line as well as bottom line. So, that is what we had indicated, so we are on track. At this point in time, we don't see any threat to that.

Renish: Got it. And sir, let's say, on an ongoing basis, what should be the split between on balance sheet and off-balance sheet AUM?

Nirmal Jain: Yes, that's a

good question. Normally, it should be 60:40. Now in home loan because we have raised equity and we are sitting on a much significant liquidity there. So, probably this year in home loan, the off book may go down a little bit, but over medium term you can say 60:40, and probably they can go to 55:45 also. So, 45 off book but, in the interim, in the home loan piece because we have much higher capital adequacy and liquidity this year probably there may be a drop in the off book there.

Renish: Okay. So, at consol level this year should be 60:40?

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Nirmal Jain: At consol level, this year also probably, it will be in the range of 60:40, give and take 1%, 2% here and there.

Renish: Got it and then going ahead it could be 55:45?

Nirmal Jain: Yes.

Moderator: Thank you. The next question is from the line of Nishant Shah from Millennium Capital. Please

go ahead.

Nishant Shah: So, I had a question on just the gold loan business, the larger kind of peers allude to the competitive pressure now kind of easing off, a lot of the old teaser loans which were given out at lower yields also are running off. We are seeing much better growth at IIFL, but the yield seems to be quite stable, like sequentially, minor dip as well. Could you talk about that about your business like what is kind of driving the growth, what is driving the kind of relatively somber margins and just like a broader industry comment on where do you see the competitive intensity in the gold loan business. Because some of the other banks which have reported very good gold loan growth. So, any comments on the competitive pressure deltas?

Nirmal Jain: Good question Nishant thanks. So, the competitive pressure is easing, that's a fact. And that should also in effect reduce the pressure on pricing. I'll come to that in a minute. Basically, the banks gold loan portfolio is around nine lakh crores, which is the direct gold loan portfolio. And some banks, when they have Agri loan with the collateral of gold, still they classify it as Agri loan. So, I would think that the bank's gold loan portfolio is even more than bigger than that. So, obviously they have a much larger portfolio; may be 3-4 NBFC put together will be close to about a lakh crore. But in terms of our pricing and NIMs, so what happens, if you see our portfolio has grown quite well, quite aggressively. And there has been significantly larger disbursement of the new loan, which had been at a competitive rate one. Two, as I just said that the penal thing we have removed, in terms of, in anticipation of the changes in policy that are going to take place now. So, that has impacted our yield slightly. Also, in terms of product, if you have a monthly income product which is not a bullet loan, then your yield is slightly lower. The impact of the price increase or the easing of competitive pressure also happens only for the incremental business and not for the portfolio as much. So, we should see a slight visual improvement but, 17.5%, 18% is what probably long term also will be maintained. So, while competition has eased from new players, but banks are still competitive, and they're still aggressive, so, on a medium to long term basis might be 50 basis points here and there, but this is the yield band where will be.

Moderator: Thank you. We have the next question from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: I had a couple of questions on the gold book, so we had this AUM of about Rs. 20,000 to 21,000 crores, how much of this would be off book as such?

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Nirmal Jain: Out of the current book of Rs. 20,000 crores maybe half of it will be off book but I will give you precise number. On book is Rs. 8,330 crores, which is on slide number 13. So, that is on book and the balance is off book.

Mona Khetan: Okay. And if I have to look at th

e breakup of this gold AUM by ticket size, what will be the share below one lakh, between one to three lakhs and say above three lakhs. If you could help us.

Nirmal Jain: Yes. Up to one lakh, we have 33%, one to two lakh is 26%, so less than two lakh we have 59%, two to five lakh is 23% and greater than five lakh is 17%.

Mona Khetan: Okay. Greater than five lakh is 17%?

Nirmal Jain: 17% is above five lakhs, 83% is below five lakhs. Almost 60% is below two lakhs.

Mona Khetan: Got it. And finally, then what share of AUM would have probably yields below or equal to 12%?

Nirmal Jain: Will be around Rs. 4,000 crores. So, about 20% is at 12% or below 12%.

Moderator: Thank you. The next question is from the line of Sanket Chheda from DAM Capital. Please go ahead.

Sanket Chheda: My query was again to the point that you alluded that since the focus is now more on co-lending maybe the upfront related income would be less and that's visible in the revenue from operation lines that we report on the net gain on de-recognition, but this quarter, there have been sharp uptick on fee and commission income and other income. So, is that because of the co-lending?

Nirmal Jain: Now, there are two, three things there. One is that the disbursements were higher, so the amount of processing fee that is on disbursement, two co-lending and three cross sell of insurance also peaks in this quarter. So, historically also our Q4 fee and commission will always be higher. So, the cross-sell insurance also comes here. Last quarter we did insurance maybe more than what we do in the previous three quarters so that, co-lending as well as disbursement related, so all these three combined.

Sanket Chheda: Okay. So, on the net gain on amortized categories, so since the gains are coming down, do we expect the loss on the de-recognition also to moderate or come down as we move ahead and reduce the focus there?

Nirmal Jain: Loss of?

Sanket Chheda: Net loss on de-recognition?

Nirmal Jain: No, so normally there will not be a net loss of de-recognition because, that can happen when

suppose that you had assumed certain longer tenure of the loan, and the loans get repaid, but
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normally we are conservative on the whole. So, it's unlikely that we'll have any significant loss there. There can be a few crores here and there on a quarter-on-a-quarter basis, sometimes there be a gain, sometimes there will be this thing, but this will not be a significant number.

Sanket Chheda: Sure sir. And lastly since we are talking about some operators.

Nirmal Jain: What has happened, sorry just to explain one thing that, in Q4, we were impacted more by the MCLR increase by the bank which was higher than the rate increase that we passed on, particularly in our mortgage book. So, what happens is that when we do co-lending, or when we do assignment, the interest rate, which is committed to the bank or which goes to bank, many a times, it's linked to MCLR. Now, if you look at our home loan book, we have passed only 150 basis point. And so, when we pass on the cost increase, we try to take into account two, three things. One particularly in home loan, we don't want the defaults to increase, two we also have a long-term customers where there is goodwill as a repeat business, and three, how much we can afford, what is the capacity to sort of adjust within our margin and what we need to pass on. And we look at the environment and do that. So, that impact also has come in the last quarter, but hopefully this quarter onward as we have seen that the bank's MCLR did not increase or might be corrected, so that negative impact will also not be there.

Sanket Chheda: Sure, very clear. And lastly, wanted to ask that, since we are guiding that maybe operating efficiencies should start to kick in when we are writing for a lower cost to income and also if we see this year despite say the cost of fu

nds moving up, we have managed to clock about a little more than 3.5% ROA. So, as we move ahead in FY24, or say FY25 do we see a possibility of getting 4% in terms of ROA with operating efficiency kicking it and maybe at some point credit cost also maybe normalizing a bit. So, do we see that?

Nirmal Jain: We have consistently improved our ROA and that trend should continue. So, maybe four or closer to four is what we should target this year.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Till date or probably in the fourth quarter. How much rate hikes would you have done for your customers. In the fourth quarter, which is last quarter, how much of rate hikes would you have done for your customers?

Nirmal Jain: Monu correct me if I'm wrong, in home loan, we have taken only 150 basis points?

Monu Ratra: Yes, sir but he is asking only on Q4.

Nirmal Jain: In Q4, I don't think we've done any rate hike, have we done?

Monu Ratra: Yes, there was just a 25-bps rate hike that's it.

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Nirmal Jain: 25 bps rate hike in Q4 and that is relevant only for home loans because in other products, we don't do any rate changes.

Nischint Chawathe: No, but even in the other products you would have increased rates for incremental customers, right?

Nirmal Jain: So, in microfinance business, we increased 100 to 200 basis points, it depends on state-to-state. And in home loan we have taken 25 basis points rate hike, but microfinance happened over last three, four quarters. In digital loans, we would have taken a rate hike of about 100 basis point, for a small business.

Nischint Chawathe: So, broadly across products, we are around 100 to 125 over the entire portfolio?

Nirmal Jain: On a weighted average basis, because home loan is almost half of it will be about maybe 50, 60 basis points.

Nischint Chawathe: For the fourth quarter you mean?

Nirmal Jain: That's right.

Nischint Chawathe: And the 100 basis points, you said 100 to 200 in microfinance is solely in the fourth quarter?

Nirmal Jain: No, this has happened over the three, four quarters. So, if you see the portfolio yield of the product, then that will basically tell us where we stand. So, our portfolio yield in the microfinance has gone up from 23.2 to 23.8, so 60 basis point increase there.

Nischint Chawathe: But again, these are fixed rate loans?

Nirmal Jain: So, this is on an entire portfolio, but the churn is also high in these loans, but these are fixed rate loans, you are right.

Nischint Chawathe: Sure. Over a four-quarter basis, very broadly over a four-quarter basis 100 to 125 at the most is likely to what you are saying?

Nirmal Jain: On the incremental loan yes. And its portfolio yield has gone up only by 40 basis point. But you

are right because this is on the new loan so the new loan will be on 100 to 125 basis points.

Nischint Chawathe: The second question is, on leverage, based on your conversations with bankers or rating agency, what kind of a leverage are they comfortable with and do they see this as AUM upon net worth or do they see this as loans on balance sheet upon net worth how do they really see this. Thank you.

Nirmal Jain: They are comfortable with up to 4.5 - 5 times, or maybe in NBFC our 4.5, and in HFC can be up to 6 - 7 times also that they are comfortable. And this is basically done based on on-balance sheet, the off-balance sheet assets are not part of this, so net worth to your debt on-balance sheet, IIFL Finance Limited

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that is a relevant number. So, many times, question arises whether in gearing, the DA or the assigned pool should be taken. Now, if you really look at it, when we assign it, it becomes part of the bank's risk balance sheet because they have to provide for risk weightage and they have to take that, they have to actual

ly allocate risk capital and take that part of their gearing. So, it can't be double counted and many a times in many countries these bundled assets are sold 10 times, obviously they are the true sale along with the risk then the seller basically gets it off the balance sheet completely without any gearing or without any risk capital.

Nischint Chawathe: And from a regulatory point of view, there is no cap or no risk?

Nirmal Jain: From a regulatory point of view, unless you take around with the risk, you won't get the private sector advantage also.

Nischint Chawathe: Got it. And there is no cap in terms of how much from an NBFC, how much should be on book, off book per se there is no cap right now?

Nirmal Jain: No, there is no cap.

Moderator: Thank you. The next question is from the line of Pruthul Shah from Anubhuti Advisors. Please go ahead.

Pruthul Shah: Sir, given that you have provided for the guidance of 25% in top line and bottom line and also guiding about 20% ROE, but my question is with respect to the net NPA. So, we are above like 1%, we have around 1.08% of net NPA. So, going forward next year and beyond what is the level that we can expect in the case of net NPAs would it be going down to 0.7, 0.8 or it will remain higher, given that we are lending to say MFI segment which has a higher yield. So, what's the understanding of this net NPA part, what is the guidance about it?

Nirmal Jain: So, we would like to bring it under 1%. Now we really can't guide you with the 70, 80 or 90 but it'll be under 1%. So, in basis points it should be two digit and not three digits so. But our provision coverage is significantly more - 167%. So, what is happening in net NPA if we are really aggressive in stage one and stage two, the net NPA will not come down, but in terms of our total provision, it is significantly more than our gross NPA. So, supposing if I wanted to provide the management overlay and I say that all is provision against stage three net NPA can become zero. But that is more like technical or optics. But practically speaking, our provision coverage is almost 167%. So, what it means is that the total provision that we carry on the books is 1.67 times our GNPA.

Moderator: Thank you.

Moderator: We do not have any further questions. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Management: Thank you very much. And I think it was a very meaningful conversation that we had, in case you have any further queries feel free to write to us at our Investor Relations email ID and we will be happy to answer your questions and keep the engagement going. Thank you.

Management: Thank everybody.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 532636 The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings conference call for the quarter ended June 30 , 2023 , please find attached herewith transcript of the said earnings conference call which was held on July 28, 2023 .

The same is also made available on the website of the Company i.e.

https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFL_Finance_Earnings_Call_Transcript_Q1FY24.pdf

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings call .

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Rupal Jain Company Secretary & Compliance Officer
Mumbai

Encl: As above

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"IIFL Finance Limited Q1 FY -24 Earnings Conference Call"

July 28, 2023

MANAGEMENT : MR. NIRMAL JAIN – MD, IIFL FINANCE LIMITED
MR. MONU RATRA – CEO, IIFL HOME FINANCE LIMITED
MR. VENKATESH N – CEO, IIFL SAMASTA FINANCE LIMITED
MR. KAPISH JAIN – CFO , IIFL FINANCE LIMITED

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Moderator : Ladies and gentlemen good day and welcome to IIFL Finance Limited Q1 FY24 Earnings Conference Call .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Nirmal Jain . Thank you and over to you sir.

Nirmal Jain : Thank you and a warm welcome to all of you for being on the call. I also have Kapish, who is our CFO and Venkatesh is here today who is our CEO of Microfinance business and they will actually takeover after I give opening remarks.

So as all of us know that Indian economy has been doing well and in fact in a world where most of the economies are in bad shape , India stands out and India's international standing as well as our relationship with the US after PM Modi's visit has had a dramatic change. In terms of the excitement about India I think it's at all-time high. Also, our economy now is on double engine like many state governments. So , till now we were just depending a lot on consumption but the CAPEX cycle after a long time has revived and therefore the economic growth will have the double boost of CAPEX as well as consumption and the CAPEX probably can lead from here on. There's a feel-good factor as we meet corporates and investors and also the demand for bank credits and the corporate credit in particular is growing. That will have a good impact , cascading impact on the SMEs and the small borrowers that constitute our customers.

Inflation has been under control and therefore we believe that the interest rate cycle in Indian context at least will have a pause and probably will not see more rate hikes. Having said that in this quarter we have seen some of the banks whose MCLR has been going up and when there's a reset there on 1st April , they have increased the interest rate. But going forward we hope that at least it will plateau if not come down in the near term.

In terms of our core businesses , our loan AUM has grown by 29% on a Y OY basis, which I think is in line with our targets and a robust growth. First quarter typically is a flat quarter for many businesses but still on a quarter -on-quarter basis our loan AUM has shown a 5% growth. Our profit after tax also after considering for the minority interest has also grown by the similar 29% and prior to minority has gone by 43%. But what is more important to note is that our gross NPAs have been below 2% as per our target and also the loan losses and provisions have now come to normal levels. As we move gradually from direct assignment more towards co-lending , the constitution of income and our profitability is also becoming stronger and maybe we'll have lesser component of upfront from direct assignment. With this I'll hand it over to Kapish, who will take you through the financial numbers line items and then we'll open it for Q &A.

Kapish Jain: Thank you very much Nirmal . Very good afternoon , ladies and gentlemen. For the first quarter of fiscal '24, the consolidated profit after tax before the minority interest is 473 crore s, up 43%

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YOY and up 3% quarter -on-quarter. We recorded pre provision operating profit of 786.8 crore s

which is up 20% YoY and up 3% quarter -on-quarter. For the quarter as Nirmla mentioned the consolidated loan AUM grew by 29% on a YoY basis and on a healthy 5% on a Q-on-Q basis at 68,178 crores. This number is even better when I compare on our core book asset growth which comprises of Microfinance, Gold, Home and the Digital loan businesses which has grown by even better at around 6%. This

segment now comprises 95.3% of our overall AUM mix which is up by 31% YoY.

On the asset quality side, we have stood fine, our gross NPA at the aggregate level stands at around 1.8% and our net NPA is around 1.1%. It would be pertinent to mention that it is below our guidance of 2% that we have given to the market. So there have been a significant improvement in the asset quality, it's down by 73 basis point on a YoY basis on gross NPA and around 42 basis point on a net NPA basis. The credit provisioning has also been fairly comfortable. The ECL provision on an Ind AS basis gives a provision coverage ratio on our NPA at around 159%.

In line with our capital optimization strategy and given that a good share of our portfolio will either qualify under priority sector or hold a zero-risk rate in the bank book, we've been able to pass on these assets to these banks in a very healthy partner relationship that we hold with them, both with regard to co-lending and assignment. And therefore, the total AUM under this arrangement stands at around 39% and like what we mentioned as a guidance earlier, we will be working towards enhancing this share more towards co-lending. And therefore, the share of co-lending has moved up around 133% YoY to around 8,963 crores and it's also moved up 19% just on quarter -on-quarter. The assigned portfolio has moved up by 4% Q-on-Q and 21% quarter -on-quarter and stands at around 17,700. Yes, we have seen precisely during this period of June '22 to June '23 the bank repos have moved up by 250 basis point and MCLR has moved up close to 150 basis point. Even then we have seen a very relative muted growth increase on our cost of borrowing. Our cost of borrowing during this period YoY has gone up by 44 basis points and on a quarter -on-quarter it's gone up by 15 basis points because of the action that we have taken on some of our high-cost borrowing by either retiring them or replacing fresh borrowing at lower rates.

Just to give you an update on our liquidity positions; we stand very healthy there. During the quarter we raised close to 4,500 crores through term loans, bonds and refinance, all of long-term nature and around 4,155 crores was raised through direct assignment of loans directly from the Gold and the home loan products and also a fairly decent share of the microfinance products as well. So, some of the key fundraisers includes 175 million that we raised in the form of ECB through HSBC, Union bank of India and Bank of Baroda. One highlight that you would note is we had a public issue of our NCDs. The bulk of this money came in the form of long-term money and they were oversubscribed 1.5 times aggregating around 452 crores for us.

So, our cash and cash equivalent including committed undrawn credit lines from banks and financial institutions stands around 6,510 crores, which is more than adequate to meet not only our near-term liabilities but also to fund our growth. As the results go out in the market, we

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should be able to get into fresh lines of credit to be negotiated and discuss with our bankers. We also hold a very positive ALM with hardly any kind of exposure on the shorter side of the window. And we stand at a net gearing of around 3.3 which is down at around 3.5. We've been constantly working to see our liquidity position and you see these numbers have come down which is resulting a lower negative carry as well on the balance sheet. So, our annualized ROE for this quarter stands around 19.1% at a consolidated level, supported by a strong ROA of around 3.6%. Our earnings per share for this quarter is around 11.2 per share, which is up 29% YoY and 3% quarter -on-quarter. On the capital adequacy side compared to the regulatory threshold of 15%, we stand at a healthy capital adequacy of around 51.2% in the HFC business, i

in NBFC it's around 20.6% and in Samasta Microfinance at 20%. We'd like to mention that in HFC our capital adequacy has improved from Quarter 4 because of some of the reduction that we could maintain in our liquidity and therefore some of the investment assets have come down as well. This clearly suggests that we are able to grow ourselves without impacting hugely on our capital position. Given that we work on this capital optimization strategy of on-book and off-book with this I open the floor for further question and answer. Thank you very much for your time.

Moderator: Thank you very much. We now begin the question -and-answer session. The first question is from the line of Anusha from the Dalal & Broacha.

Anusha: I just want to understand with respect to your loan guidance broadly for FY24 is contained at around 25% or 25%-30% what is the outlook there? Secondly on this MFI, how do you see

growth panning out and how sustainable is the growth? Because the growth has been quite good at 63% for you and for industry as well. So, from where the growth is coming from and which geographies and how sustainable and how long this can continue? Broadly on the asset quality side for MFI portfolio.

Nirmal Jain: So, Anusha, I think three things you're asking. One is a loan growth guidance; you are right 25% to 30%. The asset quality I think we have achieved significant improvement; from here given the product, there can be a minor improvement. But our net NPA we would like to bring it below 1%. Otherwise more or less we are there. For microfinance maybe you want to have Venkatesh's guidance on loan growth.

Venkatesh N: Anusha, we'll look at close to around 25% to 30% growth this year in terms of our loan book actually.

Nirmal Jain: Last year was on a lower base.

Venkatesh N: Yes, since we are already hovering at, we closed March at around 10,000 odd crores. So, we will be moving it up by around 25% to 30% this year.

Anusha: And from which geographies the growth is more coming from and is it across all the states and districts and how is it?

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Venkatesh N: See we have a very calibrated growth in terms of things and within we don't have any huge saturation in one state. So, we will be looking at all the states for growth given our presence in terms of the number of branches. So, with the number of branches we have, we will have a well calibrated growth. So predominantly if we look at the top four states it will be Bihar, Tamil Nadu, Karnataka and Odisha. But UP may come up this time so we have a little focus on the state of UP.

Anusha: Okay and how sustainable is the growth? Any outlook there, you think that it can sustain for a year or 2, the current cycle that we are seeing right now?

Nirmal Jain: So, on the whole microfinance, there have been quite a few reports on microfinance. I think one was by ISEC and there are global reports also. So, the penetration in India is still very much lower than what it can be. Maybe southern states are slightly more saturated or penetrated as compared to rest of India. So, the growth potential 25%-30% can continue for quite some time and in our microfinance business, we are also growing with individual loans and the small, secured loans.

Venkatesh N: See given that right now the overall microfinance industry is around 3.5 lakh crores, we are looking at I mean the overall if you look at today's thing we are looking at 18 lakh crores as a potential market. So, there's a huge thing in terms of the growth aspect of it.

Nirmal Jain: So, to answer your question, this growth can be easily sustained for the next 3 to 5 years.

Anusha: Okay. And in the home loans if you can just further break down to how much was the growth in the pure home loans and in the LAP book?

Monu Ratra: So, in home loan if you will see we are today

in absolute terms we disbursed about 1,900 crores

of disbursement we did and we have grown by about 5% in this quarter.

Nirmal Jain: The LAP has grown by 19% YoY and 2% quarter-over-quarter. So, in LAP we are a little cautious because till we bring down our NPA levels to what our target is. We've been growing slowly but the potential for this with the revival in the economy is very strong.

Anusha: And on the margin side I think you have quite the spreads where I guess were maintained for this quarter. So, what outlook you'd be giving to the rest of the fiscal, current levels to continue?

Nirmal Jain: Yes, margins I think will maintain our level. Margins we are fairly confident that we'll be able to maintain the NIM given the product mix that we have.

Anusha: And lastly on the branch expansion side what's the outlook there?

Nirmal Jain: So today there is a branch expansion. Last quarter has happened in Microfinance and housing finance. In Microfinance the larger branches we split them into two from a better control and management point of view. In HFC also I think a significant part of our expansion has already taken place. So going forward this year branch expansion will be slow.

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Anusha: But still if you can just put up some number.

Nirmal Jain: So, if you look at our NBFC branches, it basically caters to gold loan and SME. So, we had something like 2,682 branches. As of March, we have added about 36 branches. So, we had 2,718 and they were in the pipeline. HFC branches have gone up by 24 and micro finance we have set up about 85 new branches in the last quarter itself. Now in this full year I think there'll be about, if you look at NBFC we probably have 100-150 new branches. HFC, Monu what is the plan for the rest of the year now?

Monu Ratra: We are expecting to open not more than 15 to 20 branches because in the last 2 years we've had a good footprint of about 180 to 200 branches. So about 20 branches of microfinance we need to consolidate.

Nirmal Jain: So, microfinance will be a little more maybe around 200 more branches will come up. But these are small branches, split branches wherever from branches becoming larger we have to handle the customers and the collection, so there probably we will split them. So, I think that is the plan.

Moderator: Next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: First of all, I wanted to understand what percentage of our portfolio is still left for repricing in that sense.

Nirmal Jain: Repricing from asset side you are saying?

Deepak Poddar: Yes, asset side.

Nirmal Jain: So, in Gold loan, Micro-Finance we don't expect any repricing as such. Incremental loans may be at a different rate but Monu what is the home loan or LAP portfolio that you see?

Monu Ratra: We are all done Nirmal for now, if unless the new rate hike happens it is separate but otherwise, we are done.

Nirmal Jain: Yes, so I don't think we don't expect any repricing as such but the yield may improve with the mix change and the new customers onboarding at maybe slightly better rate in Gold loan and other businesses. But there's no repricing unless as Monu said if there's a rate hike by RBI.

Deepak Poddar: And is there any kind of excess liquidity that you already mentioned that we have reduced? So, any more scope there that we are looking for going forward?

Nirmal Jain: No given the growth in the business and the size of our business we will maintain at these levels.

Deepak Poddar: In terms of NIMs any kind of upside potential that we see I mean ideally it is because of the yield.

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Nirmal Jain: What is happening in the NIM, the upside potential will happen primarily because Gold loan in last year second half in most of the March quarter was booked at a very

low rate. So, as they

come for repricing or renewal then you get a higher price. Similarly in microfinance also the incremental loan because typically 2-year product, so since last year the prices have started moving up. So, the yield may improve there also. Also, in digital loan as we are going granular, we'll see some improvement in yield there also. So, the mix change also because if microfinance has been growing little faster than others then also, we see a weighted average yield moving up.

Deepak Poddar: So, we do feel that there can be an upside potential to the NIM.

Nirmal Jain: Yes, there is some upside potential for yield improvement. But also bear in mind that our cost of funds also will move up more or less in tandem because the banks have ... so what happens that for their MCLR rate hikes, there are reset dates. So, some loans, borrowings from banks will be repriced and some more will get repriced during the year. So, there's a slight upward pressure on the cost of funds also. So NIM will be maintained at the level.

Deepak Poddar: Okay understood. You just mentioned I think a couple of questions back that we expect growth, this growth can be sustained for 3 to 5 years. Are we talking about any particular segment or overall, for the company at the company level?

Nirmal Jain: So overall at the company level that can be question mark in response to microfinance. But all our businesses think growth can be maintained and if the economy remains buoyant and the CAPEX of the government goes up which has a cascading impact then probably, we should see growth can accelerate also. At this point in time, I think 25% is a good target for next 2 to 3 years per annum.

Deepak Poddar: So next 2 to 3 years a 25% CAGR growth is quite

Nirmal Jain: The loan growth that's right.

Deepak Poddar: Achievable target for us.

Nirmal Jain: Because we expanded our network and we make our network more productive and the economy has been fairly robust. So, I think affordable home loan also probably, Monu I think we should see some acceleration now. The last two quarters have been a little sluggish but hopefully things will revive now.

Monu Ratra: Yes, because if you see we have really expanded our footprint into Tier 3, Tier 4 geographies where the impact on affordable housing is lesser and the distribution has been enhanced. So, we should see sustainable growth for affordable housing as well for us.

Nirmal Jain: It's a very longer lead time products and in terms of setting up infrastructure, getting the network right and also the customer. So, output looks good at this point in time.

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Deepak Poddar: Understood. And my third question revolves around your credit cost. I mean the credit cost; how

do we see the credit cost this year and maybe next year?

Nirmal Jain: So, I think as we have guided that our credit cost will be 150 to 200 basis points over a sustainable basis. So more or less we are in that range now. I mean maybe few basis points here and there and it would remain at the current level.

Deepak Poddar: And lastly on the cost to income how do we see that?

I think we have seen some improvement in cost to income but it hovers around 42 %-43%. So next 3 to 5 years do you expect some kind of efficiency based on your leverage or the scale that comes with it? So, any kind of improvement that we can see in the cost to income, if that's so how much is the improvement that we are looking for?

Nirmal Jain: So, Deepak actually cost to income is one area where we can see significant improvement. So, every business has a different cost to income ratio. So which business grows faster also will have an impact. But our original what we are planning is to glide path to 35% cost to income ratio. But the way things stand today and we have expanded our network and there can be more

opportunities. Also at least like HFC has been recently expanded. We'll see some improvement and maybe it takes 2 to 3 years to reach our target of 35%.

Deepak Poddar: But that's excellent. I mean in 2 to 3 years.

Nirmal Jain: Cost to income certainly we should improve because it was all a function of expansion which was quite aggressive till last quarter. So, I think we should see the impact coming from this quarter.

Deepak Poddar: So ideally that's quite an excellent improvement from the current level of 43% going in to 35% in 3 years I think it will improve your ROA, right?

Nirmal Jain: Absolutely.

Moderator: Next question is from the line of Krishnan ASV from HDFC Securities.

Krishnan ASV: I had a query on the co-lending arrangement. I just wanted to understand how does the customers pricing I mean I'm assuming whether it's home loans for instance. So, if a home loan borrower is EBLR linked for the bank, how does the pricing then get distributed between IIFL and your partner lender?

Nirmal Jain: Sorry, what I linked you said?

Krishnan ASV: The pricing of the home loan is linked to the EBLR. When the repo rate moves up 50 basis points how does the pricing get distributed between, I mean what is the share that gets distributed to the lender partner versus what is it that you retain?

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Monu Ratra: Krishnan if I've understood your question right, you're saying is that we have our own PLR basis our cost of funds. That's how we define it. So obviously it has an imputed impact of the repo rate also built into that into our cost of funds and that's how we do that. So, was your question to say that how is it distributed between the bank and the borrower? Was that the question you said?

Krishnan ASV: So, when you are originating and then co-lending so there is a sharing that's happening that 80% that goes to the bank.

Monu Ratra: Okay so you're talking about specifically co-lending. So, in that case what happens is what we are doing is every time if the bank increases that, so we are resetting that in the same proportion as the share is which is 80 -20 that if bank increases something at that level and gets passed on the revised weighted average is calculated and accordingly it's forwarded to the borrowers.

Krishnan ASV: Which means if the bank moves 25 bps you would have to move an identical 25 bps as well.

Monu Ratra: 80% of 25 bps would be 20 bps for that customer.

Krishnan ASV: So, 20 bps of the accretion would go to the bank 5 bps will go to you. Is that so?

Nirmal Jain: Okay what Monu is saying that we are not obliged to move in the same ratio but practically that is what will happen.

Krishnan ASV: Understood. And just in terms of home loans quote Monu if you don't mind just on your co-lending given it's going to be incrementally a larger part of how you mean how this playbook will be for IIFL, could you just throw some light on what is the expectation that what lender partners have from you when you're originating these loans? Are they looking for certain ticket sizes, I mean what is it that you are jointly looking for in your engines and where are you finding that overlap best?

Monu Ratra: So, Krishnan if you know the entire co-lending was meant for the PSL book so it any which ways is directed towards enhancing the priority sector loans. So, for us and the banks it is very common what kind of TG and the ticket size they are expecting. And good for us that our any which ways 95% to 97% of our natural business was priority sector loans. So, we didn't have to really redirect our business model vastly in terms of the target group. Now every bank has its own set of credit policies which over a period of time we've been able to map them and put them in sync. So, every bank follows its own credit criteria, which we are able to do. We are not feeling any

thing out of line that we have to really change or do any course correction for us to do this business. I think naturally our business fits very well into most of the bank's co lending portfolio as well.

Moderator: Next question is from the line of Mona Khetan from Dola t Capital.

Mona Khetan: I was talking about the balance transfers in the housing book. Anything different that you're seeing?

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Monu Ratra: No Mona really because any which ways for all the institutions , the rates have been increasing . So, we are not seeing any radical change. It's very consistent as it was about a year or 2 back and it's very consistent , we are not seeing any flight of portfolio of ours. We don't target BT in much , so no abrasion.

Mona Khetan: Got it. And has anything changed on ground when it comes to the competitive intensity in the gold segment? Gold portfolio?

Nirmal Jain: I think in a way competition has eased a little bit. I mean it's still intense but not as cutthroat. So , what had happened last year , that many people started a price war or a teaser rate which were ridiculously low and obviously not sustainable for the customer and then I think most players have understood the futility of it that it's not going to help anybody. So , to that way market has become a little more sensible and the prices are more fair prices rather than the teaser prices which are at a lower than cost then you try to increase it later . So competitive intensity at ease now, it's there but it's not as bad as it was.

Mona Khetan: And just finally on the demand outlook on ground, that you're seeing across all your core portfolios particularly HL and Gold how is the demand environment at this point?

Nirmal Jain: Demand environment is very good , in particular Gold; microfinance , MSME is very good.

Housing also is facing competition that way , is also good and improving. So , demand out of all core products is fairly good. Going forward also it looks like in the next few quarters I think demand will remain strong.

Moderator: Next question is from Line of Navneet Bhaiya, individual investor.

Navneet Bhaiya: It's great to see good traction in terms of your fundraise via the ECB as well as over subscription on your NCDs. I have just one question on your credit rating. I believe you are a AA by C RISIL right now. So , my question was in your discussions with these credit rating agencies , what are the triggers for an upgradation further of your credit rating to maybe AA + or even AA A, is it mainly size? And if it is size then what is the size that they look at for an upgradation?

Nirmal Jain: No, you're right , they look at size and the performance. I think on all parameters I believe that we have done well. So maybe the result is a quiet period and then after results we need to follow up. So , it's review time from credit renewal point of view. Typically , it goes step by step , so from AA to AA + and then it'll take some time to go to AAA. But basically , scale and the quality of assets as well as performance , management team all these criteria are taken into consideration and its time that they take cognizance of these things.

Navneet Bhaiya: So, do you think you'll be eligible for AA + rating in the next 12 to 18 months ? Do you think that could be possible?

Nirmal Jain: I think for sure that we are eligible and we deserve that.

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Moderator: Next question is from the line of Saptarshhee Chatterjee from Grow w Asset Management.

Saptarshhee Chatterjee: My question is on the LAP business where in a couple of years we have reduced our ticket size significantly. But what you are saying is the Stage 2 and 1 to 30 DP D remains quite high. So just wanted to know what is happening in business like self-employed segment are having difficulties like cash flows and how we are planning to reduce it then how is our collection infrastructure there ?

sh flows and how we are planning to reduce it then how is our collection infrastructure there ?

Monu Ratra: I'll just like to tell you if you will look at our growth of the AUM under this bracket. So , we have had a very moderate growth over the last few years. So really , we've been trying to transform this business from a big-ticket LAP business to more granular LAP business. So , in comparison to home loan, we have seen that since from '21 it was about 5 ,400 crores , we have reached 6,800 crores whereas HL has grown so much. So , we've not had a denominator effect of it to balance out that. But as we are seeing quarter -on-quarter the quality of recoveries has been improving and the GNPA's have also dropped like they were as high as 4.5 in FY22 and now we're at 2.7. So, we are pretty confident that maybe by the end of this March we should see these numbers to be even below 2% for LAP business as well. And we are fairly in house driven collection setup and we have been pretty successful in containment and now we should see reduction by March '24 for sure.

Saptarshhee Chatterjee: And in the microfinance side if you can give some colors like how much would be rural versus

urban in the portfolio as well as cycle wise breakup of our microfinance customers and how many customers or what percentage of customers could be exclusive to us or one lender plus us ?

Venkatesh N: In terms of our urban and rural mix , we have close to around 70% odd rural and another close to around 8% odd would be semi urban. Even our urban mix we don't actually operate in the proper urban. We are in the peripheries of urban things. So , we are again predominantly you can say, semi -urban and a rural mix kind of a portfolio. If you look at our cycle on e customers across board since we are onboarding lot more customers given, we have expanded our branch outreach to new states like UP, we have started AP and we're just going to kickstart Telangana. Right now, our cycle one customers are hovering around close to around 40 % odd and the balance of customers would be from our existing cycle. And in this one the new to credit per se would be close to around 18 % odd .

Saptarshee Chatterjee: And there what would be like customers would be like we will be the only lender as well as there will be two lenders including us ?

Venkatesh N: The new to credit what I mentioned is we are the first lender in that thing.

Saptarshee Chatterjee: In the digital loan portfolio where ticket size is around Rs . 60,000 do we get to know what are the usage of these loans and how do we track that , is it kind of a BNPL loans, therefore ?

Nirmal Jain: Most of them are small businesses and they are used for working capital primarily and some of them are like personal loans. But these are all individual self-employed people or professionals

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and nonprofessionals . So, the predominant use would be more for working capital. So BNPL we don't do much actually because it requires very deep integration with the shopping and e-commerce website and secondly the space is a little crowded. We have done some bit with the partnerships with Zest but that also has now been discontinued. So BNPL is not our focus area.

Saptarshee Chatterjee: And there do we use the 5% FLDG?

Nirmal Jain: RBI has come up with guidelines that is allowing that. So , most of our business is not through partners . 5% FLDG is relevant when you are relying on fintech partner and they basically are sourcing the customers. They are trying to make some preliminary assessment on the quality of the customer. So that is there but it's very limited. So , in our case 5% FLDG business is not much.

Moderator: Next question is from the line of Tushar Sarda from Athena Investments.

Tushar Sarda: I just wanted a little bit more understanding on your cost by assets business line wise. You'

ve

given some information on Slides #44 and #45. So , what I see is for gold loan it's almost 5%-5.5% whereas I think the industry operates at around 3%. So , what am I missing here , why does your expenses a little bit on the higher side?

Nirmal Jain: So Muthoot operates at 3%-3.5% Manap puram and other people operate at 6% or maybe thereabouts. So , it's all function of scale because if you look at their size or their average cost is more than 50% higher than ours and as the branches become older you keep getting scale advantage. But if you really look at our operating cost in Gold has come down from 5.6 to 5.1. But the trajectory is to follow Muthoot over a period of time but it is still 2-3 years away and that is what is the same thing which is an earlier question was that the cost to income ratio will come down. Our primary cost in NBFC is Gold loan branches so as this goes down you will see cost to income also coming down. But it's all scale. So , what happens is if we keep setting up new branches then our average productivity per branch remains low relative to Muthoot or established player and then our cost structure is little higher. But it's some time away , it's not going to happen overnight. But I think what we need to see is that it keeps improving or the cost to income ratio keeps going down.

Tushar Sarda: And on microfinance what are your thoughts ?

Nirmal Jain: Again , microfinance , we have been able to bring down the cost and lower the cost to income . But if you see this quarter has come down from 7.2 to 6.7. The established layers will be at 5.5-6. So, we'll also have to follow that path. So , we are on the right track. Maybe I can put it that way.

Kapish Jain: Thank you very much ladies and gentlemen for joining and supporting us. I hope it was very interactive conversation that we had today at the end in the Q &A. We're happy to address any further queries. You may reach out to us at our investor relations email and anybody else in the IIFL Finance Limited

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company and we'll be happy to address any queries that you any further have. Thank you very much.

Moderator: Thank you very much on behalf of IIFL Finance Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

IIFL Finance Limited

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October 27 , 2023

The Manager,
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Phiroze Jeejeebhoy Tower s,
Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 532636 The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings conference call for the quarter ended September 30, 2023 , please find attached herewith transcript of the said earnings conference call which was held on October 19, 2023 .

The same is also made available on the website of the Company i.e.

<https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFLFinance%20-%20Earnings%20call%20transcript%20-%20Q2FY24.pdf>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Rupal Jain
Company Secretary & Compliance Officer

Email Id: csteam@iifl.com

Place: Mumbai

Encl: as above

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"IIFL Finance Limited Q2 FY24 Earnings Conference
Call"

October 19 , 2023

MANAGEMENT : MR. NIRMAL JAIN – MD, IIFL FINANCE LIMITED
MR. MONU RATRA – CEO, IIFL HOME FINANCE
LIMITED
MR. VENKATESH N – CEO, IIFL SAMASTA FINANCE
LIMITED
MR. KAPISH JAIN – CFO , IIFL FINANCE LIMITED .

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Moderator : Ladies and gentlemen , Good Day and Welcome to IIFL Finance Limited Q2 FY24 Earnings Conference Call .

From the Management Team we have with us Mr. Nirmal Jain – Managing Director, IIFL Finance Limited , Mr. Monu Ratra – CEO, IIFL Home Finance Limited, Mr. Venkatesh N – CEO, IIFL Samasta Finance Limited and Mr. Kapish Jain – Chief Financial Officer, IIFL Finance Limited.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

I will now hand the conference over to Mr. Kapish Jain . Thank you and over to you, sir.

Kapish Jain: Thank you very much. Good afternoon, ladies and gentlemen. Thank you very much for joining us for the 2nd Quarter Earnings Call for the Company .

I would request Nirmal to just set the ball rolling and give a perspective on the current macro environment, more particularly for our businesses and his outlook on how things look like from the business performance in Quarter 2 and strategy going forward. Yes, Nirmal, if you can start.

Nirmal Jain: Thank you, Kapish . Good afternoon, everybody. So, as we know, globally growth is slowing down and more steeply outside U.S and maybe few countries like India and interest rates are expected to remain higher for longer and in this environment, India stands out in very good shape and a sweet spot.

So, all macro parameters in India show healthy trends. Inflation is in control. Growth is holding up. Demand for credit is strong, interest rate upward movement seems to have paused, financial system is robust, tech collection is buoyant, infra and capex cycle is seeing tremendous growth and services in general are also doing very well too.

So, coming to IIFL :

There is no change as such in our strategy, so we remain focused on retail lending and that to targeting customers under banked and geographies under penetrated by banks. And that's why we make some good partners with banks for co-lending and sale of our priority sector and small ticket retail assets. Only one bit of change or move in our strategic direction and that is - our maybe the need and therefore our resolve to accelerate investment in digital technology and artificial intelligence or AI.

We are poised to make some rapid strides in leveraging technological capabilities and digital capabilities riding on – on one hand unmatched digital infrastructure that has been created by the government of India and exponential growth in artificial intelligence and machine learning.

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Our AUM crossed Rs.73,000 crores mark in this quarter and we are on track towards our guided AUM of Rs. 1 lakhs crores by the end of next financial year.

ROA is close to 4% and ROE has been above 20%. Gold loans, home loans, LAP all these core loan assets grew by about 5% to 7% quarter-on-quarter. Digital loans grew at a faster pace on a small base, and similarly microfinance also witnessed a very strong growth in line with the sector trends.

Interest yield has improved across asset categories, again in line with the market trend, but contrary to market trends, we've been able to contain and keep our cost of funds stable in fact bring down by 10 basis point benefiting from low-cost funding from multilateral agencies and National Housing Bank for refinance for affordable and housing for economically weaker sections.

Also, the full impact of repayment of high-cost dollar bonds that we did last quarter, we saw in this quarter and our improved credibility with banks and other institutional lenders which give us

leverage to negotiate our rates. With our time tested strong underwriting standards and collection process, asset quality has improved across the board a gain, with the exception of gold loan where despite reported numbers being assayed higher, the actual losses or actual risk of loss is very minimal.

We are taking shareholders' approval for capital raise anytime during next one year and enabling resolution to tap the capital market at appropriate time.

With this, I hand it over to Kapish to take you through the financial numbers in greater detail.

Thank you.

Kapish Jain: Thanks a lot Nir mal. So, before we go ahead for the Q&A, I'll just give a highlight and a snapshot of how our performance has been for the quarter.

So, for the quarter, IIFL Finance at a consolidated level before non-controlling minority adjustment was 5,255 crores, which is up 32% YoY and up 11% on a quarter-on-quarter basis.

We recorded a pre provision operating profit of around 922 crores for the quarter up by 41% YoY and 16% on a QoQ basis. For the quarter, our consolidated loan AUM grew by 32% to 73,066 crores on a YoY basis it posted a growth of 32% and 7% on QoQ.

Further dissecting the AUM - our core products of the loan AUM is driven by gold, housing finance and microfinance and then the growth here has been around 34% YoY and 7% QoQ from 69,740 which largely comprises of all our retail portfolio and currently now comprises of 95% of our total AUM.

As highlighted by Nir mal, our gross NPA stood at around 1.8% and which is still marginally lower than our guidance to the market of around 2% and our net NPA is around 1% which is IIFL Finance Limited

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significantly lower and down by 58 basis point and 20 basis points respectively when compared to the same period last year. With the implementation of the expected credit loss under INDAS, the provision coverage ratio on NPA stands at around 159%.

In continuation of our capital optimization strategy, 40% of our AUM is either assigned or under co-lending arrangements with financial institutions as of 30th of September 2023 and going forward we will see a larger share of co-lending emerging in this number like what we have highlighted in the previous quarters.

The assigned loan book therefore stands at around 18,429, which is up by 19% YoY and 4% QoQ and more particularly the co-lending asset book crosses a critical milestone of 10,000 crores and stands at around 10,576, which is 125% up YoY and 18% on a QoQ basis. In spite of the rising interest rate scenarios in the last one year where we saw cost in MCLR and the bank repo rising from around 150 to 250 basis points, with more dynamic operations we could reduce our cost of borrowing, got a muted growth of around 40 basis point YoY and sequentially it went down by around 6 basis points led by some of the multilateral borrowing that we did and we also got a very lumpy check of borrowing that we could get from the National Housing Bank in a housing finance company, not to mention the high cost MTM borrowing that we paid off last quarter which had a full impact this quarter as well.

From a liquidity perspective, we are fairly healthy, we stand at liquidity of around 9,000 crores, 9,078 crores to be precise and during the quarter we raised around 5,502 crores through a mix of term loans, bonds and refinance and 4,288 crores was raised through direct assignments of loans to various banks.

As I mentioned some of the key highlights of our borrowing this quarter has been a \$50 million of borrowing that we did from US International Development Financial Corporation for financing affordable housing loans and \$100 million from IFC World Bank with 50% year marked to promote women borrowers and 50% to a green housing under the underserved category and around 1,500 crores that we have already drawn

n from the National Housing Bank.

We have a positive ALM whereby inflows cover exceeds and the expected outflows across all our buckets with the net gearing at a healthy position at around 3.3x. Our analyzed ROE for this quarter is around 20.1% supported by a healthy ROA of around 3.9 % which moves up earnings per share to around 12.5 for the quarter up 25% YoY and 11% on a quarter-on-quarter basis. Our capital adequacy stands firm at around 20.5 %, for the Housing Finance company HFC, supported by the capital infusion that we got, it stands at around 47.6 % and Samasta is 21%. Our CRR is of course well above the minimum threshold requirement of 15%, clearly suggesting that we are able to grow ourselves without impacting hugely on the capital position through the on-book off-book strategy which has been holding for us well and not to mention the healthy internal accruals which is coming from the name which we have been able to maintain over the last few quarters.

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With this, I opened the floor for questions -and-answer, ladies and gentlemen and thank you very much.

Moderator: Thank you very much. We'll now begin the question -and-answer session. The first question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: I have a couple of questions. One is for most of the NBFC managements I have been calling, have voiced out concerns on small ticket lending or personal loan segment. Mr. Jain you being a veteran, what are your inputs especially in light of IIFL Finance's portfolio on the digital loan for finance side that's question number one?

Nirmal Jain: So, I think, for personal loan, maybe the fears are not completely unfounded because there has been very aggressive personal loan portfolio build up by some of the new FinTechs and new NBFCs and banks also became aggressive, but banks probably will have more established credit underwriting practices.

As far as we are concerned this is not a thrust product for growth. Our personal is more limited to our known customers as a cross sell, but our digital loans are more focused on MSME and business loans. But in personal loans while I won't have the details, but many of the FinTechs the new practices for underwriting that they follow can have risk and those risk manifest more in the down cycle and then the economic activity slows down. I'll be cautious.

Shweta Daptardar: My second question pertaining specifically to gold loan portfolio. So, how are the LTV, ticket size and customer segmentation working for us on the gold loan side, has there been any shifts given the current market scenario?

Nirmal Jain: Not really, I think in our gold loan portfolio, the customer profile because there are millions of customers, they remain broadly the same. In terms of our average ticket size, there is a little increase, so which used to be around Rs. 70,000 last year is around Rs. 73,800 in the last quarter. So, I mean that is basically inflation and the increase in gold prices, but broadly the target customer segment remains the same.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewa from Motilal Oswal. Please go ahead.

Abhijit Tibrewa: Sir, the first question again and I have two questions one on gold loans, the other one on home loans both pertain to strong growth that we're seeing in both the segments, just wanted to understand first on gold loans, what would you attribute this strong momentum in gold loan growth? Is it predominantly the distribution that we have built or would you kind of attribute to the fact that you're also doing fair amount of co-lending in gold loans which perhaps allows you to offer very attractively priced gold loans to customers despite being in NBFC. So, if you could just help us understand that while I mean checks seem to suggest that...

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Nirmal Jain: I think growth in the gold loan asset is primarily driven by one the distribution that we have built over the last 2-3 years and two our very customer centric and friendly practices that we have. I don't think that co-lending in any way helps because in fact if you really notice co-lending cost is higher than the cost of borrowing.

So, that doesn't allow us to price the product cheaper and in fact, it's primarily because of the distribution strength that we have built. So, if you see the number of branches then the way we have grown over the last 2-3 years has been very significant in fact more than 50%-60% growth in number of branches alone.

And still, if you look at our productivity per branch is around 8.5 crores compared to say 12 crores of the leading player in the industry. So, I will say that the primary reason is the distribution that we've built over the years and then the customer goodwill that we are building and getting repeat business also from the customers.

Abhijit Tibrewal: And a similar question on home loans as well, different industry experts kind of seem to suggest that there is some slowdown that we're seeing in urban affordable housing in ticket sizes between 15 lakhs to 25 lakhs, 15 lakhs to 30 lakhs there about some slow down being seen, different reasons being sighted, some of them say that there is a supply constraint which is there when the CLSS was withdrawn for the developer community.

But if I kind of look at our home loan franchise, it continues to do very well, continues to grow from strength-to-strength. Do you think it is predominantly our business model as I understand it also leverages these developer APFs extensively, which most other at least listed HFCs don't. Do you think that is a moat that we have kind of built in our home loan franchise today which is helping us when there is a more of a narrative of a slowdown that we're seeing in smaller ticket market?

Nirmal Jain: In fact, we have Monu who is the CEO of our Housing Finance Company, he is there in the call and then probably he can take this.

Monu Ratra: So, Abhijit rightly said that we have been seeing the reports that in the metros and the hubs, there has been a constraint in the supply in the affordable housing, but if you look at our expansion of our distribution which we have done in the last about two years' time this is playing out to offset any slowdown in the Tier-1 and the metros.

The contribution of our, which we call as expansion branches, as a percentage of the overall monthly disbursement has increased. So, whatever marginal slowdown we are seeing which is absolutely correct, we have been able to offset by the distribution. Currently we are in present in about 370 plus locations, so Abhijit that is offsetting it.

Secondly, as far as the APF thing is concerned, yes, we have decent relationships which continue to thrive, but majorly this growth continues because of our expansion branches which we have worked on for the last two years and we hope to see, carry that momentum forward.

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Abhijit Tibrewal: And just in the interest of time one last question sir, I mean, when I look at Samasta obviously growing at a very, very strong clip, I mean, do you think going forward, you'll kind of look to slow down here or are we still looking at close to 50% kind of a YoY growth for the next two years?

Nirmal Jain: I think maybe for a year or two it may continue at that pace. In fact, in COVID things have slowed down. So, there was a bit of catching up with the natural trend line, but as the base becomes larger, the growth will slow down in percentage terms.

Moderator: Thank you. Next question is from the line of Anusha Raheja from Dalal & Broacha. Please

go ahead.

Anusha Raheja: Firstly, you said that you might require capital over the next one-year time, so that is for the subsidiaries or for the parent company?

Nirmal Jain: So, the approval that we have taken is for the parent company and in the subsidiary we can, like in Housing Finance we have raised private equity, so, we have both the options available, we can actually raise capital either in parent or microfinance and or both, but that way in terms of our gearing, in terms of our capital adequacy we are fairly comfortable.

So, we'll have to wait for the opportune time otherwise we can wait to we don't have any pressure to raise capital in terms of requirement of capital for growth. We can grow with the current capital as well.

Anusha Raheja: So, the requirement is more specifically from I mean for the parent and for MFI because I think Housing Finance....

Nirmal Jain: We raised capital from ADIA and still our capital adequacy is very high is around 40 % 45% or so. So, that's more than adequate for the next few years.

Anusha Raheja: And secondly on the gold loan NPL if I will see there is a sequential rise there to 1.2% odd levels. So, what explains that?

Nirmal Jain: So, gold loan in fact gold jewelry and ornaments are emotional assets of the customer and we generally are little careful before we just put them into auction or say even when the NPA and the customers are regular sometimes if the gold prices have fallen, customer may take some time. So, we just put up with that. But historically if you see the loss given default in this asset class has been minimal or negligible and I think it's a festive season in this quarter and many people released the jewelry. So, I mean it's a small temporary aberration, but I don't see any risk in terms of the product class.

Anusha Raheja: And what was the NHB borrowing during the quarter I missed on to that number?

Nirmal Jain: So, what we are saying is that if you look at our cost of funding on an average has come down by 10 basis point in the quarter and primarily because we get a low cost funding for our

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affordable housing and the economically weaker section housing finance that we do. So, there's a refinance from National Housing Bank, NHB where the interest rate depends on what kind of customers we are lending to. So, that has been at a lower rate and similarly we got some funding which is at a concessional rate from multilateral agencies. So, that has basically helped us control the cost of funds.

Anusha Raheja: So, far I think this quarter we have managed the margins quite well I mean compared to other NBFCs where they are facing the margin contraction. What is the outlook over the next two quarters, how do we see margins panning out?

Nirmal Jain: Actually, we have focused only on primarily four which are mortgages, MSME lending and gold loans and microfinance. So, in all these and affordable housing, affordable home loans are significant part of mortgages. We have the pricing power in the sense that the market is not so sensitive to interest rates, and we are typically able to pass on the increase in interest rate that happens systemically.

And on the other hand, in the last few years, we have been able to improve our financial position, our credibility through the cycle and also the high-cost dollar bonds that we had which were raised during the times of COVID we have repaid. So, going forward I think we should be able to maintain our margins. Our NIM will remain at around 7.5% or thereabout.

Anusha Raheja: And just lastly on the growth side so far we have seen quite strong growth across segments like home loan, gold loans and on the MFI side, see over the next one to two years are you seeing on the ground level any slowdown in any of the segments or whether growth is a concern or you would

prefer to grow at a slower rate or you feel that the current momentum can continue?

Nirmal Jain: So, as of now the demand for credit is very strong and India is still a grossly underpenetrated market in terms of credit to small businesses as well as the retail customers. So, at this point in time, I think the momentum for credit demand is strong and the growth trajectory will continue.

Having said this, I will caution on couple of things if the economic activity slows down or if you see some significant pressure on the interest rate which can happen for multiple reasons, then one has to be cautious for that, but other than that if the economy remains strong the way it is today then I don't see any slowdown in the demand.

Moderator: Thank you. Next question is from the line of Renish from ICICI Bank. Please go ahead.

Renish: Sir, just two questions. One is only your IIFL stand alone profitability. So, if we look at the cost of FY24 ROE, ROA or in fact in the absolute PAT number that is being far lower than what we have reported in FY22 and FY23, so what expense that profitability hit in first half sir?

Nirmal Jain: So, in stand alone one is that you would have noticed that we have moved significantly from direct assignment where the excess income or excess interest used to be capitalized to co-lending IIFL Finance Limited

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and if you see our co-lending book has the cross 10,000 crores milestone in this quarter, which is very significant.

So, I think when you compare the last year there is a significant component of upfronted assignment income and on the other hand co-lending book as it keeps building up you see the co-lending interest income also keeps growing.

Renish: So, is it fair to assume that let us say the shift from a direct assignment to co-lending is actually hitting the profitability at a standalone entity level?

Nirmal Jain: See another thing that happens in a direct assignment many a times if the assets get repaid faster, then obviously you have to take the upfronted income as a reversal also, but we are saying is right that primary reason is that co-lending is basically taking over. So, it is the transition phase and secondly because of Digital Finance and one account is in CRE being restructured, the provisions are higher.

Renish: And sir secondly at the entity level if you look at non-fund-based income this quarter has actually gone up by 23% sequentially, but when we look at the incremental assigned plus co-lending pool that remains static at around 2,000 odd crores. So, what explains that I mean it is fair to assume that because of the higher interest income of the assigned portfolio the spread on the assigned pool might have gone up this quarter?

Nirmal Jain: See what is assigned income growth. The assigned book also has I mean has grown slowly, but there's still a growth, but income from assigned assets -- you are saying quarter-on-quarter or YoY you are saying.

Renish: Quarter sir.

Nirmal Jain: So, banks basically have a reset based on the MCLR. Just give me one minute. This quarter we had an assignment in Samasta normally we had not assigned earlier, but there was a loan assignment of Samasta this quarter. So, what is happening still the co-lending, I mean most clients are not willing, but we are able to assign the assets.

Renish: So, basically this quarter we might have assigned higher under Samasta which is a higher lending

book that's why there is a high non fund-based income, is that right?

Nirmal Jain: That's right. So, in the Samasta I think assignment will continue.

Renish: And sir just last thing at the console level what should be the AUM growth over next couple of years we are factoring in?

Nirmal Jain: 25% is what we have guided, and I think we should achieve that.

Moderator: Thank you. The next question is from the

line of Abhishek from HSBC. Please go ahead.

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Abhishek: So, just a few questions first on MFI when I look at the gross Stage -3 assets they have not gone up, but the credit cost has gone up sequentially, so have there been any write off because of which the credit cost is higher?

Nirmal Jain: Yes, there has been some write off in Samasta?

Abhishek: Can you quantify how much it was this quarter versus last quarter?

Nirmal Jain: No, the provision has grown up because as the book grow Stage -1, Stage -2 also has gone up and the write off are 98 crores this quarter vis -a-vis 88 crores last quarter in Samasta, but the provision that you are seeing because when the book grows your Stage -1, Stage -2 provision also grow significantly. So, I think that's why my provisions are high, but there is a write off increase of 10 crores also.

Abhishek: And when I look at the yield s the data that you have given on the yield in gold loan the portfolio yield has gone up, I think by about 1% in the quarter. So, I mean, can it be so sharp in just one quarter or does this have any kind of one off?

Nirmal Jain: Actually , the gold loan portfolio churns very fast . The average life is 90 days, 120 days also and gold loan yield has started improving from quarter before last. So, maybe we are seeing impact in this quarter. See another thing that happens, and this is the average book is little different from the quarter end book. Now I don't have those numbers with me, but when we reconcile that average book then probably that will explain the story better.

Abhishek: So, this yield is based on the average book?

Nirmal Jain: So, what happens , the yield that give in the financial result s is based on the quarter end. Yield has gone up as in the market the competition has eased. In gold loan the impact can be quicker compared to the other asset classes where the assets are much longer term like home loan, but in the gold loan yield can move very fast.

Abhishek: So, the yield hike was taken when in gold loans?

Nirmal Jain: Actually, we started taking from April because in the last year in the last two quarters there was very intense competition from banks and from NBFC. So , this year this financial year from April we started taking, I mean, we got back to the normal rates of interest, and we had quite a few teaser schemes and a low interest scheme that we withdrew in most of the places.

Abhishek: And can you share that tonnage for gold loans for this quarter and last quarter maybe?

Nirmal Jain: There is a 6% tonnage growth , it's 63 tonnes now.

Abhishek: One last question on cost of borrowing , actually two things. One when do we see this cost of borrowing start showing the upper trend because the market rates are stiffer you would have some back book repricing. So, when does it start moving up?

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Nirmal Jain: I think we should be able to maintain this at 9%. My personal view is that the interest rates in India at least have paused, and they peaked out. I mean they may not fall, but they might remain at these levels. In that situation, I think we should be able to maintain at the current level 10 basis point here and there it can move a round, but not beyond that.

Moderator: Thank you. Next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: See first question is on the operating expenses line , if I really look at your loan growth you have been growing fastest in microfinance and probably followed by gold loans. Now both these businesses have lower tickets and, in that sense, tend to be sort of slightly more OPEX intensive and probably home loans and the wholesale business have lowest OPEX , but I think despite that your OPEX growth is lower than the loan growth. So, y

ou seem to be kind of getting some

benefit some where, so just trying to understand what's happening here?

Nirmal Jain: We have slowed down the growth in our branches. So, a significant part of OPEX comes when we are setting up new branches. So, if you really look at, we are driving our growth by making our existing branches more productive and taking the productivity of a branch up as much as possible and also with our digital loan business is primarily end-to-end digital and there the

manpower requirement is lower.

So, in fact, OPEX is still at a much higher level, and we have maybe room for savings over the next few quarters. In terms of OPEX or a cost-to-income ratio because as I said that if you look at our gold loan branch productivity 8-8.5 crores there is a leading player is at 12 crores and that is a very significant difference.

So, if we keep the branches on track whatever we have. So, the same set of people, same set of branches, if they can originate more assets and build up then our OPEX should come down.

Nischint Chawathe: But microfinance, I mean, practically, I guess the geographies would be different so you can't share branches gold loan again sort of?

Nirmal Jain: Even in microfinance we have 1,100 -1,200 branches so that network was also expanded in the recent times. So, if you look at our manpower cost from the quarter-to-quarter basis, that has gone up from 380 to 415. Operating cost has gone up by 7% in the quarter, which is very significant and that is primarily because we are expanding the microfinance network.

Nischint Chawathe: The other expenses which is ex of employees and depreciation it's up around 15% which is like less than half the overall loan growth. So, that's I think where my question was?

Nirmal Jain: No, that is basically because the new branches are not being set up, but the existing branches we add people. So, the new branch addition has been very minimal.

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Nischint Chawathe: On the digital loan side I mean this is small businesses but growing very rapidly. So, what is the tenure of these loans?

Nirmal Jain: Now tenure of these loan varies from 6 months to 2 years typically.

Nischint Chawathe: NPL in this book and I think the ratios may not be very accurate representation because it has been growing very fast, but over the last 6 months the NPA in this book has grown by almost like 25%. So, and I would believe that 6 months lag ratio, the fair ratio to look at given the fact that probably somebody may not default in three months, and we have a three-month NPL before that. So, are you worried, are you seeing, and you've been growing very fast. So, are you are kind of seeing any concern regarding clients because of which you would slow down, it's a small proportion of the book, so it matters less, but nevertheless it's a very fast growing?

Nirmal Jain: So, if you see our Stage -3 provision and this is 73%. So, our strategy here is that the risk is priced in because these interest rates are also higher on these kind of loans and we are prepared that through the cycles and as books mature they can be higher losses. So, we want to keep aggressively providing for it, but even risk adjusted return is quite attractive.

Nischint Chawathe: Your sense is that you would continue to grow this rapidly?

Nirmal Jain: We will continue to grow, at this base, it will grow faster. When the base becomes larger, the growth will slow down and the GNPA, NPA in this book will be higher than the rest of our other loan books and that will be priced as we go to the customer.

Nischint Chawathe: There are no partnerships in this?

Nirmal Jain: No, we have partnerships to source. We have a few partnerships, but a significant part of business is organic. So, we do have partnerships including Airtel and GPAY and others also, but by and large

ge businesses. So, our primary partnership, so our focus for growth is to have digital partnerships where we can get lead and we pay a fee, but we do underwriting and we take the risk.

Nischint Chawathe: So sourcing is done by a partner and that is kind of picked up by you it's something that you just pay and pass on the...

Nirmal Jain: What happens in partnership model is that okay there are one or two small partnerships which is in FLDG, but there normally your interest rate in your income is also capped. So, many of the players that have done partnership might give you 15% -16% and then a bit of a first loss, but our primary strategy is that we want to have full access to data. So, we do underwriting, we keep learning and we have full control on the credit quality as well as whom we are lending to.

Nischint Chawathe: See on the yield side your home loan yield is marginally down on a sequential basis and is there anything that that you should be reading?

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Monu Ratra: This is a very marginal change I think if you just look at it pretty marginal change and it's primarily to do that how where we are playing out how the areas are panning out. So, there is nothing very significant in the yield change if you see rather the portfolio yield shade gone up only.

Nirmal Jain: It's 11.2% to 11% in the quarter over quarter, but this 11.2 was also bit on the higher side because historically it has been 10%-10.5%. So, it will be little bit of tapering off this quarter.

Nischint Chawathe: Bad rates in any cohorts or is it just competition that is driving this?

Monu Ratra : There is nothing in the cohorts, but it's just the competition which is played out a bit.

Nirmal Jain: This is a competitive segment to be in otherwise overall still overall I think 11% is pretty much okay in line with our strategy.

Nischint Chawathe: Just on the LAP side interestingly the trend is very different y our pricing cost seems to be pretty strong although so is it something th at it's a very different segment. I guess the ticket size, I mean, how should one really think of it because I think t hat was also a reasonably competitive segment?

Nirmal Jain: So, for the last about two years like primarily earl ier, we've been focusin g on LAP only in our hub places, b ut as we have had experience of expansion in branches. So, we for the last two years we are doing a bit of LAP business in our expansion branches where the expected yields are better than the hub locations whic h is a very competitive market if you try to give LAP loans in the Tier-1 and the me tros. So, the one which we are able to source through the smaller towns, we have better yields.

Nirmal Jain: So, they're in line with the industry, so even the competition are at similar yields , and the primary reason is that this business has significant operating cost as well and is not in terms of the physical collection of the installment as well as processing and smaller locations for a small ticket LAP of Rs. 4 / 5 / 7 / 8 lakhs , the cost of title valuation everything is significant. So, the industry rates are also higher because there's the cost structure of this segment of business as well.

Nischint Chawathe: You know on the microfinance side there have been some concern s in the industry that delinquent customers tend to get refinanced by basically get refinanced by finance company. So, they move fr om one company to the other. So, I think in this regard what is the policy that you follow?

Nirmal Jain: Actually , all the customers data in microfinance is reported to the bureau . So, this is not very likely, but Venkatesh you are there on call .

Venkatesh N : Yes, with aspect to the policy in terms of our lending, we don't lend to any customer who's more than 30 DP D and who's go t an outstanding of more than 4,000. See couple of com panies don't ll

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report the credit bureau on a very daily basis. So, we give them a levy o f 4000 maximum, which could be one EMI in some tic ket sizes. So, ours is very restricted into that we don't give to any customer more than 30 DPD .

Nischint Chawathe: Period, which means that if the customer has been an NPA comes out of NP A, you would lend him after a p articular period or something of that sort?

Venkatesh N : No, customer is not in an NPA . I'm talking about regular customer.

Nischint Chawathe: That that's right. But I'm saying that customers who sort of come out of an NPA, i s there a cool off period for re-disbursement?

Venkatesh N : Yes, that naturally applies . We also look at the credit bureau , we have a track record of the customer and she's coming out of the NPA we definitely will not lend.

Moderator: Thank you. Next question is from line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: My question revolves around your ROA s, I mean, now this quarter also we have seen a very good grow th and accordingly ROA s is 3.9%, b ut what sort of sustainable or steady state or aspirational ROA as a business we are looking at going forward now c onsidering also because you told that your co -lending share will increase so the that will be ROA accretive that's what I presume so some c olor on it would be helpful?

Kapish Jain: So, if I can just pitch in as Nirmal mentioned in spite of the rising interest rate scenario, we have been able to pass on our rate hike to our borrowers, our spread across quarters have actually moved up. We have done our investments regard to branch expansions, whi ch means that they wouldn't be a ny more incremental investments coming in to meet the growth targets from our operating expenses perspective.

All these attributes should help us in maintaining our over all NIMs and with better optimization on our cost, we believe that we should be able to maintain our ROAs in the range which could be between 3.7 to 3.9 touching towards 4. So, we believe that we should be able to maintain our ROA at the levels where they are today and there could be some more sweet spots as well there, yes.

Deepak Poddar: My second question is on your credit cost. I think ideally that could also help your ROA because ideally your credit cost in the range of 2. 25% to 2.5% is little on the h igher side, right? I mean considering the kind o f rates.

Nirmal Jain: Yes, it should be , on the more longer -term steady state basis , should be within 2% .

Deepak Poddar: I mean why not below 1.5% by 1% higher?

Nirmal Jain: That's right.

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Deepak Poddar: I was trying to understand why it can't be below 1% I mean because of the MFI business that you expect?

Nirmal Jain: I will tell you what over a period of time. So, microfinance business historically prior to Covid used to have much lower NPA, but now in most of the industry we will expect longer term credit cost in microfinance business to be around 2% or so. Similarly, in digital loans it can be little higher than 2% also.

And what you're saying is right that if you look at home loan and gold loan should be much lesser, but I think as things stabilize over a period of time, then again it depends on the relative share of the unsecured loans and microfinance and digital loan, but it can be lower, it should be lower, if not 1 at least maybe closer to 1.5.

Deepak Poddar: Yes because that straight away adds 0.75% to your ROA, right?

Nirmal Jain: Yes, it should.

Deepak Poddar: So, trajectory which is at 3.5% to 4% can inch towards 4.5% if our credit cost comes below or closer to that 1% mark?

Nirmal Jain: Yes, that is there, but at the same time Deepak there will be little competitive pressure on the margins also over a period of time, I mean what you are saying in

one scenario it can happen

and at least the credit cost should go down and that should straightaway add to the ROA, but there will be many other variables and there are many other moving parts.

Moderator: Thank you. Next question is from the line of Prakriti Banka from HSBC Mutual Fund. Please go ahead.

Prakriti Banka: Just one question I don't know if you already answered that, but how did you manage your yield in the gold loan book in this quarter?

Nirmal Jain: Gold loan yield across industry I think would have improved because last year Quarter 3 and Quarter 4 there was sort of intense price war kind of a thing because some people started tease and larger players started following up. Many banks also got into this with a lower rate of interest, but I think many banks also now discover that if they do the separate profit and loss account for gold loan then the operating cost is much higher.

So, it is not something which is because you are doing a Rs. 50,000, Rs. 60,000 loans for a shorter tenure then the cost is higher. So, I think it is actually the yield that is going back to the earlier level; it's getting normalized, in between there was an aberration when the yield came down.

Prakriti Banka: So, do you think there is still some scope for this to go up further?

Nirmal Jain: No, I think they will remain at these levels.

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Prakriti Banka: Because even I thought by Q1 itself, things were sort of normalized, which is when you were at 17.5 and in this quarter, it's showing even higher than that?

Nirmal Jain: Yes, impact comes actually with the lag of one or two quarters actually because as earlier loans get repaid because they are at a contracted rate which can be lower. So, it always spreads out over a couple of quarters.

Moderator: Thank you. Next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: I just wanted to touch on the fundraising, although it's only an enabling provision. Now, considering we are moving largely off book which is co-lending and DA at 40% is what we are at, I think for that book and we are guiding for 25% growth, I think then 60% of the 25% only needs to be funded through internal accruals or equity because even if I consider the co-lending portion of 20% probably, it should be at 17% or 18% and we are already making kind of 20% ROE overall and we are expecting ROAs to remain stable. So, would this additional equity of 3,000 crores be a drag on your ROEs whereas you can easily fund your estimated growth of 25% through internal accruals itself considering we are moving more and more off book?

Nirmal Jain: It's a good question and so if you don't do this then probably the ROE can move up further as our profit keeps adding to the pool. But as we are in a finance business where, from a rating agency point of view from the banks that are partnering with you they also want to see a balance sheet becoming stronger as your total assets grow. I mean it's not necessary that we raise 3000 crores, we said up to 3000 crores.

But whatever equity addition happens, which can be to our networth 20%, 30%; which maybe in next 12 months to 18 months, we can catch up in terms of ROE and that will also help us grow a little faster than what we've been growing till now.

Jigar Jani: So, there might be a chance that your growth trajectory might move higher post the equity fund rate and any plans to go inorganic in terms of growth for this fundraise?

Nirmal Jain: We are open to opportunity, but there is nothing in the pipeline, but yes, if there are good opportunities we can always look at them.

Moderator: Thank you. Next question is from the line of Adarsh from Enam Holdings. Please go ahead.

Adarsh: Sir, broadly if you can break up the assignment assets in the categories and same for the

co-lending and can you explain the economics for both these books both for you and for your partner?

Nirmal Jain: So, as signed assets we had 18,429 crores as on Q2 FY 24 and co-lending is 10,576 crores. Most of these will be home loans and gold loans, but if you want a breakup, just give me a minute.

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Nirmal Jain: So, roughly 7,500 is mortgage assets, 8,900 or so in gold and the remaining is microfinance in the assigned book and the co-lending book again primarily is gold, LAP and housing.

Adarsh: Just from a co-lending book can you just explain the economics like how did it work for you and for the LAP?

Nirmal Jain: For every product like LAP, home loan and gold loan, the interest which banks will retain is negotiated separately, also based on the credit policy in the region and the geographies that we do. So, supposing I'm doing the gold loan I would say 16% and I agree with bank as there let's say 9.5 then what happens at every quarter whatever interest is accrued that comes into the escrow account 9.5 goes to them and the remaining comes to us. So, that is about co-lending. In case of assignments, we take the total income, make an NPV based on the probability of that income accruing, reduce the cost of servicing from that and that is upfunded.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Sir, again going back to the personal loans again you yourself said that you will kind of remain cautious in personal loans, while given the small base I take an opportunity to grow strongly even from current levels, just kind of trying to understand why the risk adjusted return have at least at an industry level there have been discussions happening around small ticket personal loans where the ticket size is less than Rs. 50,000. Have you had a chance to see what proportion of your customers or what proportion of your digital loans have ticket sizes below 50,000?

Nirmal Jain: Personal loan is happening in all sizes like the BNPL Rs.5,000, 10,000, 3,000, 20,000 all kind of things. So, we'll have a reasonably good number of our loans less than Rs.50,000, but primarily our loans are to self-employed professionals or the small shopkeepers, businessmen and the micro enterprises.

Another thing is that even personal loan as a category as an asset class, we can't paint it with one brush there are many banks they are doing smartly and very cautiously. So, when I said my worry is more about the new players there, they are still moving up on the learning curve in terms of credit underwriting and they are trying to achieve aggressive growth. So, there's a class of lenders or the segment of customers that they're targeting is more risky and the market is very big and the type of loan that you know get categorized as personal again is of very wide variety. But in our case mostly now our focus, there can be a small part of it as a personal loan. Sometimes people like sole proprietor, they run the entire thing through their personal accounts. So, it becomes the blurred line between personal and business loan. But our focus for growth is more on MSME and business loans. I think the credit risk is different when people are borrowing for consumption and people are borrowing for business or income generating activity.

Abhijit Tibrewal: Sir, just one follow up here I mean have you seen any divergence in terms of delinquency collection and asset quality when it comes to MSME business loans originated organically versus

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once originated through partnerships, any divergences in collections, asset quality between organic sourcing and one originated through partnerships?

Nirmal Jain: So, we have multiple partners, and our experiences

have been different. So, I can't reveal the names, but some of the partners that we experienced were not good. Then we realized that the profile that they target is different, so we slowed down or discontinued that partnership, but it varies across because the whole segment is so heterogeneous and it's so wide, it's very difficult to bracket, but you are right that our experience with different partners has been different, and we keep taking corrective actions where our experience is not good.

Abhijit Tibrewal: And just one last question while taking an enabling resolution for equity inclusion, your subsidiary Sama sta as well there are you kind of looking to bring a strategic investor on board or is it more like the parent infusing capital into the microfinance etcetera?

Nirmal Jain: It is not strategy, but we can get a private investor or parent can infuse. So, either way, we have to see what kind of opportunities or what kind of investors we have, and we take a call on that

so it's like open. There's nothing which has been not done till now.

Moderator: Thank you. Next question is from the line of Vidhi an Analyst. Please go ahead.

Vidhi: Sir I just wanted to ask today our branch count is 4,596 versus 3,700 last year. So, when do these branches start contributing at the operating level and how much time does it take to breakeven?

Nirmal Jain: In microfinance when the branches grow above particular size it is splitted. So, the cost structure microfinance is much lower compared to say gold loan where we need to put a vault, IT, camera, security and everything. So, typically, I would say 80% to 90% of our branches break even between 18 months to 24 months. There will always be some exceptions which take little longer and some exceptions which can be much quicker.

Moderator: Thank you so much. Sir, we don't have anyone in the question queue.

Kapish Jain: Thank you very much ladies and gentlemen. It was quite an intriguing session and in case you have any further questions, you can drop an e-mail at ir@iifl.com and we'll be happy to connect and give you any further detail that you might be looking for and let's stay connected. Thank you very much.

Nirmal Jain: Thanks everybody and season greetings for the festive season to everybody. Thank you.

Moderator: Thank you so much, sir. Thank you, everyone. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2024

IIFL Finance Limited

CIN No.: L67100MH1995PLC093797

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January 25, 2024

The Manager,
Listing Department,
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Mumbai 400 001.
BSE Scrip Code: 532636 The Manager,
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Bandra - Kurla Complex, Bandra (E),
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NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings conference call for the quarter ended December 31, 2023, please find attached herewith transcript of the said earnings conference call which was held on January 18, 2024.

The same is also made available on the website of the Company i.e.

https://storage.googleapis.com/iifl-finance-storage/files/investor/financials/IIFLFinance-Earnings-18Jan-2023_Final.pdf

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Rupal Jain
Company Secretary & Compliance Officer
Email Id: csteam@iifl.com
Place: Mumbai

Encl: as above

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"IIFL Finance Limited
Q3 FY24 Earnings Conference Call "
January 18, 2024

MANAGEMENT : MR. NIRMAL JAIN –MD- IIFL FINANCE LIMITED .
MR. MONU RATRA – CEO - IIFL HOME FINANCE
LIMITED
MR. N. VENKATESH –MD– SAMASTA MICROFINANCE
LIMITED
MR. KAPISH JAIN –CFO– IIFL
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to IIFL Finance Limited Q3 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapish Jain, CFO, IIFL Finance Limited. Thank you and over to you, sir.

Kapish Jain: Thank you very much. Good afternoon, everybody. It's a pleasure having all of you here and wishing all of you a very, very happy new year and on that note, I would like to just update you on for the quarter three of fiscal 24.

So for the quarter, IIFL Finance at a consolidated level reported a profit after tax before non -controlling interest of INR545 crores , up 29% on a Y -o-Y basis and up 4% on a quarter -on-quarter basis. We recorded pre -provision operating profit of INR960 crores , up 28% Y -o-Y and up 4% on a Q -on-Q basis. For the quarter, our consolidated loan AUM grew by 34% on a Y -o-Y basis and 4% on a quarter -on-quarter basis at INR77,444 crores . If I further dissect the AUM and concentrate on our core products, which is driven by gold, home, microfinance and the digital loan, there we grew by around 35% Y-o-Y and 6% quarter -on-quarter to around INR74,068 crores .

This segment now comprises 96% of our total AUM and we also crossed a key milestone in our housing company of an AUM of around INR25,000 crores for the firm. Our gross NPA is below the guidance that we gave of 2%. It stands at around 1.7, a shade lower than what we reported last time.

And also our net NPA now stands at around 0.9%, which is significantly lower by around 36 basis points and 20 basis points respectively when you compare the same period last year. With the implementation of the expected credit loss under Ind AS, provision coverage on NPA stands at 151%. In line with our capital optimization strategy, and we've been consistently following that, our AUM under the assigned or the co -lending portfolio stands at around 39% of the total AUM.

And going forward, we'll see a larger share of co -lending emerging in this number. The assigned loan book stands at around INR18,648 crores , up by 17% and 1% on a Q -on-Q basis. Beside this, there are co -lending assets of around INR11,586 crores , which is smartly up by around 103% Y -o-Y and 10% on a Q -on-Q basis.

Our quarterly average cost of borrowing increased by 28 basis points Y -o-Y, in spite of the big change that you saw both in terms of MCLR and the repo rates. And on a quarter -on-quarter basis, it is mildly flat, down by around 4% to 9.07, sorry, up by around 4 basis points. A brief update on our liquidity.

Now, during the quarter, we raised INR5,046 crores through term loans, bonds, refinance, and around INR3,976 crores was raised through direct assignment of loans. So the key highlights of the fund rate that we did in this quarter was around 7.5 billion JPY, which we raised from Mizuho IIFL Finance Limited
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Bank through the ECB route. And we also raised funds from the U.S., from DFC for financing our affordable housing book. We also closed our first made -in public issue of NCDs in Samast a,

which was subscribed by over two times. So our cash and cash equivalent and committed trade lines from banks and institutions aggregates around INR10,081 crores, which is adequate for us to meet not just our near-term liabilities, but also to fund our growth momentum coming for quarter four as well. We are positive on our ALM across every bucket and exceed the expectations on all flows around them.

And we have also, our net gain is also shared

lower at around 3.3, which is in line with our capital optimization strategy. Our annualized ROE for the quarter stands at around 19.7, while the ROAs stood strong and stable at around 3.8. This all translates into a basic earnings per share for the quarter at around INR12.9, up 29% Y-o-Y and 3% on a quarter-on-a-quarter basis. From a capital position perspective, we are fairly well capitalized.

Our capital adequacy stands at around 19.6 compared to the regulatory requirement of 15%. And for the housing finance company, it's around 45.8. And for Samasta, it is also at around 24.3%.

Our CRARs are well above the threshold, as I just mentioned, and which is well supported through the internal accruals and the op book as well.

With this, I come to an end of the session and now, you can open it for Q&A. And before that, I just hand it over to Nirmal.

Management: Thank you, Kapish sir.

Nirmal Jain: And I think I'll just take a couple of minutes on the macro strategy and then we can have Q&A.

So, liquidity has been tight and that has pushed up interest rates a little bit. But I think the good news is that inflation is stable and interest rates seem to have peaked down. And from here, this will be trending down maybe in the later part of the year, later part of this calendar year. But on the economy, things are very good. The economy is growing very strongly.

And with the political stability in sight for the next five years, the flow of capital and the flow of money to equity is also very strong. So, we see a spate of IPOs and the capital market is in a good shape. But at the same time, with the credit demand and the business activity in the MSME sector, that we mostly cater to three different products is good.

So, affordable home loans and affordable housing, growth has been slower in the last calendar year compared to, say, luxury homes, but it looks like that things this year should improve significantly. And the demand already is showing signs of picking up. Maybe with this, probably I open the floor for Q&A and we can take up more queries there. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Mona Khetan from Do lat Capital. Please go ahead.

Mona Khetan: Yes. Hi, sir. Good afternoon and thanks for taking up my question. So, firstly, I just want to touch upon the gold yield. We have seen a continuous rise in gold yield, especially over the last two quarters. So, what is driving that and do these yields include the entire AUM or are calculated only on an on book basis?

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Nirmal Jain: So, gold yield is on the entire AUM. And that is going back to the normal level because, as you have seen in the last two quarters, particularly the last year, last quarter and the second half of last quarter, yields were impacted by some cutthroat competition and TGF skills which competition had introduced. Also, our newer branches are in smaller locations where, you know, we have a slightly, and I will say slightly, not very significantly, better yield or better ability to price ourselves. So, I think they are getting back to the normal level and the marginal rise is because of the base which was lower last year.

Mona Khetan: Okay. So, what is a little contradicting is, on one side, you are seeing the average ticket size increasing and on the other side, typically when the ticket size is increasing, your yield should come down, but that's also increasing. So, just wanted to understand that.

Nirmal Jain: So, Mona, ticket size increase is all gold price related. So, I would say that broadly what has happened is that gold prices have gone up and for the same quantum of gold, you know, people are able to borrow a little more. And, I mean, adjusted for inflation.

So, there is always be a certain rise year

after year which is more inflationary. But, other than, I mean, still our gold price ticket size at INR70,000 -INR75,000 is very low.

Mona Khetan: Got it. And when we look at this 19% yield, is it for the entire nine-month period or just Q3? Because the charts are not very clear. We see both kinds of charts.

Nirmal Jain: Okay. This is for the nine months, yes.

Mona Khetan: Okay. So, from a Q3 perspective, the rise is actually more than 50 bps in that case. From Q2 to Q3, if I want to understand.

Nirmal Jain: Yes, it will be around that range, yes. Okay.

Mona Khetan: And secondly, yes.

Nirmal Jain: And also a caution that in Q4, the yield may moderate by a few basis points, you know. This again is a little peak quarter in terms of volumes and competition tends to become intense. So, what we have seen in last couple of weeks or last month or so, that again the competitive pricing pressure is coming by other gold companies also.

Mona Khetan: Sure. And secondly, you know, typically we have this step-up in yields across gold financiers. So, just wanted to understand that on average, what percentage of customers typically, you know, delay payments and undergo step-up in yields in your case? And if you could also share, what's been the trend, say, pre-COVID and now in this percentage of customers? Thank you.

Nirmal Jain: So, COVID was an exceptional time period in terms of people needed a lot more loans also. So, and that is behind us. It's like almost three years old. But what you say is that the fizzle in interest and the... because people don't pay in time, that is not very significant in our case. We'll be around -- I think, you know, if you see the -- our stage wise breakup, no? So, 1 to 30, 30 to 90 for gold loan is about 15% in total.

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So, those are the customers where not all, but many of them probably there can be increase in interest rate. So, if you see our presentation slide 13, so you have a stage wise breakup. In gold loan, you see that 85% of people are zero DPT, they are paying in time.

So, you won't have any increase in interest rate for them. And the remaining, again, it depends, you know, but in some cases, in that 15% remaining, we can take higher interest.

Mona Khetan: Got it, sir. That's very useful. And this 15%, was it very different pre-COVID? Not through COVID, but just wanted to understand pre-COVID?

Nirmal Jain: Again, it's, you know, a question of what kind of customers you target, what kind of products you have. So, when many competitors were targeting teaser products, then there was a tendency to increase the rate more aggressively and quicker. But, you know, then I think most industry players have realized that it doesn't work and customers basically resist, reject and they move away to deep competition.

So, the industry practices are maybe, you know, also getting aligned a little bit. I really don't have the number that what it was pre-COVID. It may be slightly higher, but not very different to my mind.

Mona Khetan: Got it, sir. Thank you. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes, hi, sir. Congratulations on the good set of numbers. So, just two, three questions from my side. So, one on this, you know, the entire noise about the unsecured loans, including, let's say, sourcing via digital or fintech partners. And even our digital loans are largely, you know, sourced from these fintech partners. Plus, we do have some, I think, 2% exposure to personal loans. Where in, regulators incrementally, you know, it's been very watchful. So, do you foresee, because of this, there can be any moderation in our AUM growth or you would like to revisit our growth assumptions in the near term?

Nirmal Jain: No, good question. And what we have done is, so we had a few

partners, but now, in last quarter

itself, as soon as RBI came up with this policy, we have scaled down those partners, almost like kind of discontinued with many of them. So, to day, our personal portfolio is around 2%.

And last quarter, it did grow, it did not grow actually, because whatever old loans are running down, because in the middle of the quarter, we put a break. So, it will not have any impact on our AUM growth, one. This is 2%, what you are seeing, will also go down, because we are not doing incrementally personal loans.

We may do very sporadic, very, very insignificant to our existing customers, if need be. Like, suddenly, I've got a home loan customer, I've got a customer with a good track account. But, by and large, this product is discontinued for us.

So, what you are seeing right now, the portfolio 2%, which will also go down. So, a negligible impact of this on our AUM as well as yield or profitability.

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Renish: And on digital loans? I mean, digital business loans?

Nirmal Jain: Yes, so digital loans, we are focusing only on business loans. Also, what we are doing is that, we started supply chain financing. So, there is a company in which our FinTech fund is invested and taken a controlling stake, and they have the software and the relationship. So, these are short duration loans, but with the dealer or with distributors or some of the companies, like the FMCG companies or automotive companies, you can tie up. So, the supply chain or the average

discounting is 2 months, 3 months, or less than 6 months product.

Yield is lower, and that will basically fill the gap of whatever digital partner that we earlier had, and probably will also help us grow faster. But this will also have a moderating impact on the yield of digital loans. So, you'll see that this quarter, there's a bit of a fall, because the short duration loans are at 11% to 13%, 14%.

But they are, in a way, if the anchor dealer is like quality AA or A AA, so they are more like treasury, but you know, so you can price them competitively. So, that is how the business is going to evolve.

Renish: Got it. So, you don't foresee, even if, let's say, regulators tomorrow ask these FinTech partners to tighten the ir credit rules, we don't see any even AUM growth implication...

Nirmal Jain: Our contribution of FinTech partners is negligible, and we are also scaling it down. So, our strategy and philosophy has always been that we want to do credit underwriting ourselves. So, we really don't believe in the FLDG model, because you are giving FLDG only when you want your partner to take part of the risk, and that means that you are not doing the full underwriting, or you don't have access to the entire data.

So, that is, I mean, we had, to a limited extent, this kind of partnership also, but that is not what we are encouraging, and we are discontinuing. Some of the times, you can't discontinue overnight, because some of the FinTech partners are dependent, and you also have earlier portfolio that you can collect. But, strategically, we are not into that business model.

Renish: Got it.

Nirmal Jain: So, for us, even if digital partnership becomes zero, it hardly impacts me.

Renish: Got it, got it. So, I mean, just to summarize, I mean, we are just fine -tuning our model, at least as per what regulation wants. I mean, is that correct...

Nirmal Jain: I have 38,000 employees on the ground, so, and, you know, almost 4,500 branches, including all the subsidiaries. So, for us, you know, we have invested so much in people and branches, primarily because we want to source our own loans.

Renish: Got it. This is very helpful, sir. Secondly, again, if I look at the, stage -wise, product -wise break - up, surprisingly, our that -- Stage 1, is the lowest, you know, at 83 odd percent. So, just wanted to understand, I mean, why is that, and stru

cturally, does this portfolio is actually to behave the same way, or there is some seasonality to it?

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Nirmal Jain: No, actually, we have tightened our credit policies and in some of the businesses, like microfinance or whatever, we slowed down the growth, but we want to be a little more stricter on the credit underwriting standards. So, I think that is what will be reflected in the stage -wise loans.

Renish: Sorry , sir, actually, my question is for a LAP portfolio.

Nirmal Jain: LAP portfolio? Yes, yes, yes, at 83%. So, basically, we are dealing with 17% 1 plus CPT customers.

Renish: So, I just wanted to get a sense of what is happening there?

Nirmal Jain: Because if you see our loans against property, it's a very small ticket loans against property. So, loans against property is a product where you can have typically INR50,000 to INR50 crores, and still everything can be LAP and can be MSME. But our average ticket size of loans against property is about INR7.9 lakh, which is, you know, you can imagine that is less than INR10 lakh of property loans.

And they're actually, okay, this is a product where collection is also done physically. So, typically, you can have a little higher than the normal larger LAP in the Stage 1 and Stage 2, but they get collected. So, our experience of this product has been fairly good.

Renish: Got it.

Nirmal Jain: So, if you see INR7.9 lakh of LAP loans, then there will be Tier 3, Tier 4 towns, the self -occupied residential property. That is how incrementally we are doing business.

Renish: Got it. So, do you, I mean, do you see this proportion normalizing to 90 odd percent or this will continue to remain this way only?

Nirmal Jain: I think this will continue like this, if you have to maintain the yield. Because if you see our LAP yield is around, see, okay, there's always a compromise in yield. So, we are getting 18% yield, around 18%. So, you can do a LAP at 11 %, 12% and have a very high quality of assets. But for our kind of yield, I think it will remain broadly in the similar range.

Renish: Got it. And sir, just, if I may, last question from my side on the microfinance yield side. So, again, you know, a regulator in his various commentary has been mentioning about MFI lending rates to be on a higher side. So, any risk we foresee, I mean, directionally MFI yield should come down or will be able to sustain at current level?

Nirmal Jain: So, maybe they'll come down by a round 50 basis points in next few quarters for us. As a, you

know, as a suo -moto this thing. But, you know, what is happening in MFI, there are many small MFIs who are charging even 28% and more.
And I think that should be there on the RBI's mind when they are talking about this. Because for the cost structure that is there in MFI, even many banks and their statuaries charge interest rates similar to what we are charging.

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Renish: Yes, got it. Okay, sir. Thank you very much.

Nirmal Jain: We would like to say that the yield may come down by 50 basis points or next few quarters.

Renish: Got it, sir. Okay. Thank you very much, sir. And best of luck for coming quarters.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Philips Ca pital.
Please go ahead.

Shubhranshu Mishra: Sure, thanks. So, the first question is on the housing loans, given the fact that the CLSR is over. Are we expecting any kind of revamp or relaunch of CLSS with a new name or another CLSS to the current budget?

That's the first, on housing because it has had an impact on supply of affordable housing. Second is on the gold loans. If you can spell out what the top 50 branches contribute in terms of disbursement and AUM and top 100 branches. Just want to understand t he concentration there in terms of disbursement as well

as AUM.

Also, what sort of LTVs are we working with in gold loans in this quarter or in the last two odd quarters with the gold price going up? And my third question is on, again, harping on the digital loans, given the fact that we are doing business loans.

What sort of businesses do we select or maybe what sort of businesses do we reject? I think that would be the question. And if you reject, what would be the key reasons for rejection of those businesses? Thanks.

Nirmal Jain: So, you are saying the businesses we reject for housing loans, you are saying?

Shubhranshu Mishra: Yes, what sort of rejection parameters would we have for...

Nirmal Jain: So, maybe I think -- I'll have Monu take the housin g loan questions in a minute. Maybe Monu, just, why don't you take the housing loan questions first?

Monu Ratra: So, I think your first question was on CLSS. Will it be back or not? So, as per the initial indication, it seems it should be there, but maybe in a new avatar. So, we are all expecting that it should be part of the budget, expectedly. Although, as far as we are concerned, if you can see our disbursements have been pretty stable and largely growing as we have had the distribution in place. So, I t hink, Shubhranshu , that was your question for CLSS?

Shubhranshu Mishra: Correct, correct.

Monu Ratra: Was there any other follow -up question on HL?

Shubhranshu Mishra: Do you see a supply -side squeeze because of the lack of CLSS?

Monu Ratra: Sorry?

Shubhra nshu Mishra: Do you see a supply -side squeeze because of the lack of CLSS?

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Monu Ratra: Yes, for sure, especially in the metros and Tier 1s, we do see a lack of supply because of developers not coming out with new supply. And also the fact that the mid -segm ent and the premium segment is doing exceptionally well. So, yes, absolutely, there has been a constraint of supply in the metros and the Tier 1s. No doubt about it.

Shubhranshu Mishra: Understood. Thanks.

Nirmal Jain: Right, coming back to your gold loan question, now, I don't have the data handy, but at least, you know, because we monitor all the branches, so I don't think there is any concentration as such. So, even if you take top 50 or 100 branches in terms of, say, they have doubled in the average AUM and I don't think it will be significantly more than that.

If you are taking 100 branches or 50 branches, then it still will be less than 5% or 10% of our total portfolio, for sure. So, there is not much -- okay, to answer your question, is there a concentration in gold loan branches? It's not significant at all.

Shubhranshu Mishra: Understood. That was helpful. And the part on LTV and because of the gold loan...

Nirmal Jain: Right. Now, LTV, as of now, is around 68% -69% or so, maybe. 75% is a statut ory thing. But our LTV will be around little less than 70% at this point in time.

Shubhranshu Mishra: Which was last quarter, would have been how much?

Nirmal Jain: Something similar, maybe 1% here and there, not significantly different.

Shubhranshu Mishra : Understood. And my last question on business loans, what sort of businesses do we reject?

Nirmal Jain: What sort of businesses we reject for which product?

Shubhranshu Mishra: In business loans, you said that we largely do...

Nirmal Jain: So, okay, there is a whole lot of. So, first of all, there are many PIN codes that we reject. Then there are many businesses which are like mobile or -- so I think there is a very long list and also it varies from area to area. So, every state probably might have a different rejection list also. But typically mobile phones, restaurants and these businesses we are more careful about. Also, because we do smaller loans, so typically we don't have jewellers as our customer segment for business loans. So, because our ticket size is smaller. So, they are mostly grocery, textile and

these kind of products.

Shubhranshu Mishra: Understood. So, is it a fair assessment that these would be largely traders and not manufacturers?

Nirmal Jain: Yes, I think largely shopkeepers and traders and very few manufacturers. But there can be a few ancillary units. But bulk of it will be traders and shopkeepers.

Shubhranshu Mishra: Understood, understood. This was very helpful. I'll come back in the queue. Thanks.

Nirmal Jain: Thank you.

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Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, thank you. Good afternoon, everyone. So, the first one is on microfinance again. I've seen that you've calibrated your growth a little bit given that we were already growing at a very, very strong clip. So, I mean, is this, I would say sequential decline in disbursements that we've seen in this quarter a conscious strategy or how should we look at it?

Nirmal Jain: I think it's a conscious strategy to tighten the credit rules and the amount that we give. So, last quarter, as you have noticed, the sequential disbursements have fallen. But even after, I mean, so we are still growing by 10% on a quarter-by-quarter basis. So, we'll maintain this pace, actually, but this is a conscious, very thought-through strategy.

Abhijit Tibrewal: Got it. So, where are we tightening things in microfinance? Because, I mean, the ticket sizes are largely the same?

Nirmal Jain: So, what customers we reject is the key thing. So, if they, like, supposing customers have three loans or two loans or one loan and if the customers' Bureau score now or 15 days or earlier before the settlement there are a whole lot of criteria that, you know, we put in place. Venkatesh, you're joined? Venkatesh? No, sorry, I'm microfinance. So, I think the number of criteria that we are tightening I believe.

Moderator: Excuse me, sir, he's available. He's available.

Nirmal Jain: Yes, from the Bureau. So, also microfinance customers have their Bureau data. So, I think the policies you can tighten at different levels. And in different states, it works a little differently. I mean, does this answer your question?

Abhijit Tibrewal: Yes, yes, that answers my question. So, the second question I had, again, on digital loans, you've said already that we have kind of tightened standards. They stopped working with a few of the FinTech partnerships that we have. So, incrementally, we are not doing personal loans now, except as a cross-sell product to other product customers.

But, sir, I mean, will it be fair to say that, I mean, the lending that we did in the past, let's say until March '23, where our onboarding ticket sizes used to be around that 30,000, 40,000. From there, we are continuing to see flows, because if I look at it as the gross NPAs and digital loans on an absolute basis, it continues to inch up. And even if you look at the GNPA on a lagged basis, six months or one year, it is only inching up in digital loans.

Nirmal Jain: Yes, you are right, actually. So, those loans of a very small ticket size and some FinTech partners. But typically, those loans are a shorter duration. But yes, there is a flow from those loans.

Abhijit Tibrewal: Got it. And so, typically, what is the tenure of the loans? By when can that pool of loans, 30,000, 40,000 average ticket size pool run down?

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Nirmal Jain: So, typically, six months to 12 months, they run down very soon. I mean, if it would run down, but maybe another quarter or so. So, I think it would run down significantly.

Abhijit Tibrewal: Got it. Perfect. And maybe my last question here is on home loans for Monu, sir. So, just wanted to understand co-lending in home loans, both in terms of, I mean, disbursements or as a percentage of the home loan AUM.

I mean, has been on a declining trend for the past few quarters. Is it being done intentionally or are banks not too keen on co-lending in home loans now?

Monu Ratra: Hi, Abhijit. How are you? So, in this case, in home loans, as we saw that two things. One, we were sitting on pretty adequate capital, number one. The demand hasn't slowed down really. And also, we have this principal business criteria, which has got kicked in by NHB, which is that you have to have a minimum percentage of individual home loans on the loan book itself. So, otherwise -- so we are pretty much very well on the capital. And this principal business criteria is just keeping us on track to how much we can put it off book. So, otherwise, no other reason for us to -- we are very consistent and we see this is a long-term strategy.

Abhijit Tibrewal: Understood.

Nirmal Jain: Abhijit, just to add, what he is saying is that the HFC has three components, a very small component of construction finance and LAP and home loan. So, banks are very keen to do co-lending on home loan. But if they don't do for other products, then the criteria applies for loans on my books. And there I have to maintain the home loan percentage to remain HFC. So, that is one.

But other than that, with 45% -50% capital adequacy, there is no compulsion to do co-lending at aggressive pace. But we will still continue to do that because we have a long-term relationship and it is a part of our long-term strategy.

Kapish Jain: And there is no demand period, Abhijit, on the other side.

Abhijit Tibrewal: Yes. Okay, got it. And sir, just squeezing in one last question. Sir, I mean, we keep talking about retail products, all retail products are doing exceptionally well for you. The wholesale piece that we have in CRE, wanted to understand how are you thinking about it? While we keep doing the construction finance in the HFC, more from getting more retail home loans, but other wholesale book that you have in the standalone entity, are there any plans of running it down? I mean, whatever loans, if at all they are stressed, are there any plans of getting into some ERC transactions and disposing them off in the next 6 to 12 months?

Nirmal Jain: So, Abhijit -- okay, there are two parts to the question. One is construction finance through HFC, which will continue, but typically ticket sizes are small, maybe INR30 crores to INR50 crores. And there also, Monu's preference will be, and probably consciously he will look for developers where we can be a priority or a preferred partner to do home loans. So that dovetails into our core business of home loans. Am I right, Monu?

Monu Ratra: Absolutely. That's what we are doing.

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Nirmal Jain: And secondly, coming back to the wholesale piece in NBFC, we are looking at -- so what has happened is that in last COVID period, the projects have been delayed. The projects are good, touchwood. We don't have any problem with any of the borrowers as such. So we are looking at various options. And the option may be not to transfer to ERC as such, but transfer to a different entity or sell down some of the debt, which we have with builders, we convert that to -- maybe get another builder who can take over the loan also. So it becomes like a sell of the project. So there are certain alternatives that we are looking at where we can do a bulk reduction of these loans in the NBFC book. And that will help us restore our capital adequacy also and again, the core strategic focus will remain on the retail that way. So we are looking at some alternatives there, but it's still too early. And if we have something concrete, then obviously we'll communicate to everybody.

Abhijit Tibrewal: Understood, sir. This is very useful. Thank you very much and all the very best to you and your team.

Moderator: Thank you. The next question is from the line of

Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: Yes, thanks for taking my question and congrats on good set of numbers. So firstly on post RBI increase in the risk weightage, which entity of yours has seen the rise in the borrowing cost? I don't think it would be for home finance, but MFI and this standalone entity?

Nirmal Jain: The borrowing cost impact has been there on all the entities, but yes, on HFC less, but there is impact and this is an increase you see. So I think the impact has been there on all the entities and the interest rates have gone up a little bit, which is there in our Slide 9 -- no Slide 11, sorry -- no Slide #12, you'll see the rate increase impact.

Anusha Raheja: So how much has been the increase?

Nirmal Jain: Standalone has gone up by 12 basis points, home finance is flat actually down by 2 basis points, but what you're saying is right. So home finance is in a static, Samasta is up by 11 basis points on a quarter-over-quarter basis.

Anusha Raheja: That would be the blended yields, but incremental rate at which you borrow, how much that has been?

Nirmal Jain: Up by 50 basis points.

Anusha Raheja: Up by 50 basis points across home finance and...

Nirmal Jain: Monu, how much is the impact on incremental, any idea?

Monu Ratra: It's hardly any because we have a NHB refinance, so incrementally it's just about 20 bps, 20 to 25 bps, that's it.

Nirmal Jain: Okay. So other businesses will be 20, 25 basis points?

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Kapish Jain: Because we also expanded our borrowing basket, we went and raised funds through ECBs from Mizuho Bank Japan, we were also leveraging the opportunity to raise funds through the shorter window, which was near zero, which is helping us in addressing the requirement, then see that coming on the bank borrowing, which again is now 25, 30 basis points. So in all the impact on the overall borrowing is ranging between 15, 20 basis points.

Anusha Raheja: Okay. And so...

Kapish Jain: On the incremental side.

Anusha Raheja: Yes. So do we see further rise in the borrowing cost or you expect that it will remain at this rate?

Nirmal Jain: I think that now, at least this is my personal view, but nobody can have a -- but my view is that

I think interest rates seem to have peaked out. So from here, they may remain at elevated level

for some time and may come down the later part of this calendar year or from the later. But I

think for next few months, they remain at this level, but they won't go from here.

Kapish Jain: So we got an outlook change last month from CRISIL. Even Samasta entity, I would like to

highlight that we have got a rating of AA from India rating, which is helping their ability to

borrow from wider window as well and the element of shorter opportunity that we have. All this

will help us in keeping our cost of borrowing under tap from an incremental perspective as well.

Nirmal Jain: So CRISIL has upgraded our outlook to an AA positive from AA stable. So these things will

also -- they're helping us to make sure that we can mitigate the damage of interest rate increase

in the system. And incrementally, we should look at interest rates coming down after a lag of

maybe a quarter.

Anusha Raheja: Okay. And if I just observe on the asset size, I think largely whatever the increase that has

happened on the borrowing cost, you have passed it on to the customers, right? So we have seen

sequential rise in the lending rate as well.

So on a spread basis, I think we are up by around 10 basis point on sequential basis, right? So

just one question there. How much do you feel that customers will be able to absorb it and your

growth will not be impacted?

Nirmal Jain: So the current yields are fairly normal. So I think it will remain in this band, maybe 5 -10 basis

points up and down. . But I think that what we are seeing right n

ow looks to me a stable scenario

in terms of what customers can take for the underwriting that we want to do.

Anusha Raheja: Okay. And so broadly, is it too early to comment like a broader call, on the margins for the next

two to three quarters, how do you see it?

Nirmal Jain: I see stable margins at these levels, Anusha.

Anusha Raheja: Okay. And in Gold loans, growth rate has been quite strong at around 35% in MFI. Do you see

that this current rate to continue ahead as well without diluting on the asset quality side?

Nirmal Jain: You are saying microfinance or gold loans?

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Anusha Raheja: Both.

Nirmal Jain: Yes, so I think this growth will continue. We don't see any -- as the economy does well and

things become better, then this can become stronger. But if you want to be -- I don't see any

challenge to continue this growth, let me put it this way.

Anusha Raheja: Okay. And if I just look on your asset quality, the Stage 2 assets have increased to around 4.7%,

if I am not wrong. So is it more to do with the seasonal nature of the book, or how is it? Stage 3

has definitely come down from 1.8% to 1.7%.

Nirmal Jain: It's 4.2% I think this quarter. It's not gone up. It's similar. Might have come down, actually.

Hello?

Anusha Raheja: Yes.

Nirmal Jain: It is 4.2%. 4.2% is our Stage 2 as you see on Slide 13. You are comparing with Stage 1 or you

are comparing with last quarter?

Anusha Raheja: I am comparing Stage 2 this quarter versus last quarter. So how is that?

Nirmal Jain: Last quarter was 4.4%. This has become 4.2% this quarter.

Anusha Raheja: Okay. Broadly, how has been the asset quality performance across the segment?

Nirmal Jain: It has been very good, actually. So, asset quality is improving. We are able to maintain at a high level of quality. So Stage 1, Stage 2, there are 20 basis points here and there, but they are in the same range that we are comfortable with.

Anusha Raheja: Okay, sir. Thanks a lot.

Nirmal Jain: Thank you.

Moderator: Thank you. The next question is from the line of Devesh Kayal from Monarch AIF. Please go ahead. Mr. Kayal, I have unmuted your line. Kindly proceed.

As the current participant is not answering, we will move on to the next question which is from the line of Sanket Chheda from Dam Capital. Please go ahead.

Sanket Chheda: Yes. Hi, sir. Congrats on the good numbers. My question was on credit cost. So far, the credit cost has been a little over 2%. It has been moderating in the recent past. But as we move deeper into the normalised macro, do we expect it to come back?

Nirmal Jain: No, I think we expect it to remain in similar range. Unless some event happens that we are not - that we can't foresee at this point in time. So our credit cost on an annualised basis should be in this range only.

Sanket Chheda: This 2% range?

Nirmal Jain: Around 2%, yes.

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Sanket Chheda: Okay. And in the last two and half, three years, we have almost tripled our housing branches and also there is about 50% increase in the gold branches as well. So from here on, do we see some moderation in the branch expansion and what will be the number of branches we will look to add on an annual basis? And if it moderates, do we see a possibility of some operating leverage taking in, in FY'25-'26?

Nirmal Jain: Yes. So, in housing, for sure, there is a pause kind of a thing. Gold has slowed down but will continue to set up some new branches. In microfinance also, when there are larger branches, we split them into two. But to put everything together, the pace will slow down and will moderate. And the operating leverage impact also should be now in the next few quarters, we should see that.

In the last quarter, we stepped up -- and maybe in this financial year, we have stepped up our advertisement and marketi

ng campaign and that has impacted our cost to income. But going forward, I think we should see that impact coming in the operating leverage also.

Sanket Chheda: Perfect. And last question from my side is that our Stage 2 on gold is higher. It has been high in the previous as well. It comes down materially in Q4 along with the sharp growth also. Now this time, Q3 usually is seasonally weak. But do we expect a bounce back in Q4 on growth also and moderation on Stage 2 as far as gold loans are concerned?

Nirmal Jain: Yes. Growth bounce back we should see in Q4. The gold loan customers, typically, they are in touch with our branch people and they also know that if they pay back by 90 days, then company is okay with it because it's not NPA. So, generally, behaviourally, many gold loan small customers, they let it run for 30 days, 60 days, 90 days and they just pay it just before time. So some amount of skew in terms of Stage 1, Stage 2, Stage 3 in gold loans will be there. I don't -- maybe they will continue in this quarter also. There won't be much difference because as long as you have a gold collateral fully covered, branches are also not pushing customers too much to pay or liquidate if the cost is 60 days. So, obviously, it becomes much stronger and tighter follow-up and control between 60 to 90 days.

Sanket Chheda: Sure, sir. Yes. I was talking about the trend. Usually, by Q3, we have 8% to 10% in Q2 and Q4, it falls to maybe 5% -6%. So, that is a seasonal fall, whether it will happen.

Nirmal Jain: Yes, I think so. Maybe what you're saying is right, that Q4 there can be a little moderation in this.

Sanket Chheda: Perfect. Yes, those were the questions from me. Thanks a lot.

Moderator: Thank you. The next question is from the line of Jeet from Pinpoint Asset Management. Please go ahead.

Jeet: Hi, sir. Congratulations on a great quarter. My first question is on the financials for the standalone entity, which is given later in the presentation. So, in the standalone entity, we've seen good growth across gold and digital loans. Gold loans have, in fact, seen an increase in yields. But if I look at the interest income, that's actually declined 7% in Q-o-Q. And the net

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interest income is declining quite a bit on a Q-o-Q basis. So, if you could just explain that progression, please?

Nirmal Jain: So, in gold loans, in particular, what has happened is that what we were doing earlier, assignment, now that assignment used to have upfront income as per Ind AS accounting. And we are moving towards co-lending. In co-lending, income is accrued consistently. So, the incremental, what last year we had assignment, and what we have, so the assignment is moving to co-lending and we see that the upfront income, which comes as a part of does not fund-based income, that goes down significantly.

Secondly, we have taken fair value based on CRISIL model, a certain reduction in our, in the valuations of the AIF units. And that also is reflected in the fair value decline. So, these are the things that are impacting the income that you are seeing.

Jeet: Okay.

Nirmal Jain: But then the profitability has gone down because this has also been coupled with our increased spend on the branding budget and advertisement budget.

Jeet: Right. But this assignment income which is upfronted, does that get reflected in the interest income line item or does it get reflected in the non-fund based income?

Nirmal Jain: So it's interested in the interest income line item and it's not the, from the front end income.

Jeet: Okay, understood. And, and more on a strategic level, what, what are you thinking behind going more towards co-lending? Do you have some assignment or any special agreement for that?

Nirmal Jain: You know, co-lending is a very stable model because if you do assignment is more transaction based. you bu

ndle asset, every quarter you go to the bank, they negotiate, they check the model, they get the reading done and they do it. Co-lending is simultaneous. So, in a way, both banks and the partners, they are dependent on each other and over a period of time you have a stronger relationship. So, and co-lending happens at origination. The assignment can happen only after assets are seasoned for 30, sorry, 90 or 180 days depending on the tenure.

So, co-lending, to my mind, so, okay, we want to have a mix of it, but co-lending still will become a little more, I mean, a larger on dominant part because it's a long-term relationship, every day it happens, so, you are fairly comfortable with that.

Jeet: Okay, understood, very clear, sir. Thank you so much.

Nirmal Jain: Thank you.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Thank you, sir for the opportunity. I have three set of questions. Number one, you mentioned earlier that the margins are looking stable visibly going forward. But what reinforces your confidence given the fact that there is recalibration on MFI portfolio, digital loans are being

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clamped down due to regulatory forbearance, and also affordable disbursements are declining. So, which are the vectors that you believe will drive the stability in margins? That is number one.

Number two, so, admittedly there, the supply shocks abstain on affordable housing finance side, right? So, can you just throw light upon how are we pairing on productivity metrics there in light of, presumably, the inquiries might have come down or the per files that we handle for months, what is the status there?

And thirdly, you mentioned that on the microfinance business side, there will be recalibration on ease, right? I mean, you also mentioned that RBI might come hard probably on smaller players with higher interest rates on 28% not. But then, still, we are sort of recalibrating both growth and ease. So, are we coming from the fact that we are seeing some systemic risk building up, say, over-leveraging of customers?

You also quoted an example wherein, somebody might be having a home loan or such. Are we seeing that or maybe you also sense that somewhere due to aggression led by tailwinds in the sector, probably regulator might be one, one-and-a-half years down the line?

Nirmal Jain: So, can you just pick up the handset. I think your voice a little miffed. So can you just speak in the...

Shweta Daptardar: Okay. Is it any way better now?

Nirmal Jain: Yes, it's better. Okay, go ahead.

Shweta Daptardar: Okay, okay. So, yes, so I was wanting to know the reason on why the recalibration on ease and growth on microfinance side. So, is it that you believe that the over-leveraging of customer has gone higher? Or second, you believe RBI may be probably one or two years down the line, might again sort of bring the cap on their net interest margin? Or the sense that, there is been certain markets or geographies which sort of would have heated up for you or for the industry in particular? Yes, those are my three set of questions.

Monu Ratra: So, Nirmal, may I answer the affordable one first?

Nirmal Jain: Yes, please go ahead.

Monu Ratra: Yes, yes, hi Shweta. So, Shweta, as far as affordable housing is concerned, you're absolutely right. There's been a constraint of supply in the metros and Tier 1. I think, Shweta, if you look back at strategy for the last two and a half years, where actually we have gone more deeper into the country, into Tier 3, Tier 4 cities. So, hence, what is getting incremental business for us is the deeper geographies.

If you'll see sequentially, in the last three quarters, our affordable housing, our housing home loan disbursement has increased from, it's also gone up from Q2 to Q3 as well. So Shw

eta, we

believe that the kind of branches we have opened, they're yet to reach an optimum level of

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productivity. So, we don't see, although they slowdown in the metro and Tier 1, but we'll get offset by our deep distribution.

So, I think we should be good as far as the continued growth of affordable housing is concerned.

But Tier 1 and metro, yes, it's slowed down. But you're offsetting by that. And it's shown in the numbers as well..

Shweta Daptardar: Okay. And how are we faring on say AUM for employee or AUM for branch?

Monu Ratra: Right. So, if you see, we have two kind of set up, one which we call as hub locations, other is called as expansion locations. So, expansion is typically a very lean model we have, which is very technology backed. And most of these locations are less than one year old. So, all of these locations as of now to average out AUM will come out in a few years. But as far as the hub locations are concerned, we have about 50 locations, and they constitute almost as a housing finance company, they almost have about INR24,000 crores of portfolio. You can so easily say it's about holding about INR500 crores plus portfolio.

Shweta Daptardar: Right. Okay. That helps.

N Venkatesh: Nirmal, Should I answer on the micro finance?

Nirmal Jain: Yes, please go ahead on the micro finance.

N Venkatesh: Yes. In terms of if you look at the credit cost post, I mean, during the pandemic, it had gone up and subsequently pricing was slightly calibrated because of that. But if you look at this quarter onwards, we have reduced prices by 50 basis points. And also if you look at it in terms of the growth, we have been a little more cautious in terms of how we have been growing the business in certain pockets and all those things.

As such, there has not been anything, but we just wanted to make sure that we are taking the cautious approach in terms of how we have been growing the business over the last one year.

And given the new regulations which came in about last year, and the new – the loan – I mean the overall rejection percentage, if you look at our credit bureau thing, has gone up also substantially.

Shweta Daptardar: Okay. That's a fair point. And the last question on the vectors to stability in margins, because the higher yielding portfolios are sort of getting recalibrated in my understanding.

N Venkatesh: Hello? Can you come again please? Sorry.

Shweta Daptardar: So what are the vectors for margin stability? What reinforces your confidence? Because I believe that all the higher -yielding products have been sort of getting recalibrated especially on the yield transfer the digital loans, affordable disbursements declining, micro finance yields slightly coming down. So what gives us confidence on margin stability ahead?

N Venkatesh: Yes, but if you look at our we have also substantially brought down on I mean especially with aspect to micro finance, we have brought down our opex is on our downward spiral, and also,

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we are also looking at borrowing costs also has come down with aspect to micro finance. So we will be able to maintain the NIMs.

Shweta Daptardar: Okay. And even console like across the NIMs should be maintained, right? Overall book.

N Venkatesh: Yes. Kapish, can you come on this?

Kapish Jain: I'm so sorry. Can you repeat?

Shweta Daptardar: We are guiding stable margins. So how do we see that? You know, what reinforces our confidence on stability margins going forward? Correct me if I'm wrong, most of our higher -yielding products are getting recalibrated on the yield front. So what is the confidence on margin stability ahead?

Nirmal Jain: Okay. Just so there are one is that they're getting recalibrated in terms in a very narrow band. So

it's not that there's a significant impact on the product and

and the in terms of margin one. Secondly,

if you see that the growth that we have, like in micro finance, even after slowing down was 7% quarter-over-quarter last quarter. So it's around 3-4% growth is something which will be maintained. So it's not that growth is slowing down to a negative level.

Secondly, as a mix of, so if you really see last few quarters, then the mix change, which is, so we have a home loan which is a low-yielding product. LAP can be relatively still lesser as we go ahead in terms of, but the digital loan microfinance is a high-yielding product. So they've been growing faster, but instead of growing much faster, they continue to grow fast, but at a pace which we are comfortable. So if you work out the weightage average of everything, we don't see much impact on the margins, on the yield also.

And as I said that, the later part of the year, you'll see probably cost of funds also coming down, in line with the systemic interest rates coming down, and that probably will give us more leeway to bring the rates down. But supposing, for argument's sake, even if you don't bring the rates down of gold loan or microfinance, then also I think we are not really violating, we are really not in terms of RBI or any other competitive pressure in a situation where we have to do any radical reduction in our yield.

Shweta Daptardar: Understood, sir. That helps. Thank you so much.

Kapish Jain: Thank you.

Moderator: Thank you.

Nirmal Jain: Also, any other more questions you have?

Moderator: Yes, sir, we have a few participants. Can we take them now?

Nirmal Jain: Yes, please go ahead.

Moderator: Thank you. We will take the next question from the line of Rajiv Mehta from YES Securities.

Please go ahead.

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Rajiv Mehta: Yes. Hi. Congratulations on good set of numbers. So I've got a few questions on gold loans and microfinance. On gold loans, if you can spell out, what was the movement in overall tonnage? And also, if you can throw light on how is the average pledge per customer moving in the last three, four quarters?

Nirmal Jain: Average?

Rajiv Mehta: Pledge per customer moving in the past three, four quarters?

Nirmal Jain: So the pledge, you can work out based on the LTV, as I said.

Rajiv Mehta: But I'm saying it's not going to tonnage per customer?

Nirmal Jain: Tonnage per customer, I think, will be grams, you know, so.

Rajiv Mehta: Yes.

Nirmal Jain: So it's the average ticket price, INR75,000. Gold will be worth INR110,000. So you can calculate that again changes based on the carat and the adjustment. So it will be a few, 20, 30 grams or whatever. And then, in terms of tonnage growth, I think we had about 2% tonnage growth last quarter. Quarter over quarter. So the festival quarter, there are a lot of releases, but still we had a tonnage growth of around 2%.

Rajiv Mehta: 2%?

Nirmal Jain: Here it's around 8.7%.

Rajiv Mehta: Correct. And, sir, what has been driving the improvement in gold loan yield? Because, we've been seeing a lot of competition having come in and there was also competitive, reduction of rates one and a half years back. And now the yield for us has been continuously improving. What has been driving it?

Nirmal Jain: So, one, Rajiv, we were, so the base, if you see last year or earlier, when there was a cutthroat competition, the yield had come down artificially or not artificially, but maybe unsustainably low than what is the relative sustainable model which is around here. We are still very competitive vis-à-vis the yield of competitive players. And the newer branches which have been set up in smaller areas, there we are able to command a little better yield. So, all these sectors are combining to give us slightly more yield in the last quarter versus previous quarter and the fairly last three quarters, if you see.

Rajiv Mehta: So, can you break up

a gold loan book in terms of, say, ticket size below INR1 lakh, INR1 to

INR5 lakhs and more than INR5 lakhs? That will be helpful to understand the profile and also the yield?

Nirmal Jain: Not much change in what we had last time. I think this question was asked earlier. Because of the millions of customers, it remains more or less similar, but the data will send it to you, Rajiv.

I don't think I have it ready here. Or if somebody can dig this, I'll just let me check.

Rajiv Mehta: Sure, sir. I'll just move to microfinance. So, microfinance, we have got one plus DPD of 3.7%. Which markets are, driving this slightly higher number?

N Venkatesh : Yes. If you look at certain markets, like for us, maybe MP, Rajasthan and Orissa are slightly on a higher side. And if you look at the older market like Tamil Nadu will be on a slightly on a higher side for us.

Rajiv Mehta: Okay. And amongst the new borrowers being added in microfinance, where do we come in, in terms of being -- which number in terms of being the lender? Are we the -- I mean, are we unique or we also, take up a customer being a third or a fourth lender as well?

N Venkatesh : Yes. We are new to credit would be close to around 9%. New to Samasta is close to around 40%. And we have close to, we don't go to the fourth lender at all. We have, we just -- one of the things if you looked at why our growth is -- thing is we recalibrated and we are not looking at this over leveraging of customers and all that. And we don't want to be the fourth lender in the thing. And in some of the cases, we are okay with giving higher ticket size to our existing customers who have been with us for a longer time and looking at customers who have been borrowing from multiple borrowers.

Rajiv Mehta: All right. Okay. Just lastly, wanted some more colour in terms of, Nirmal spoke about recalibrating, calibrating underwriting in MFI. So one of the aspects of not chasing, not chasing a borrower and becoming a fourth lender, which are the other aspects of what we have changed in terms of underwriting or customer selection in MFI?

N Venkatesh : Yes. We have looked at very geographic specific things, how the market is playing out in a couple of these geographies. And certain geographies are slightly, if you look at the borrowing levels have been a thing and the overall economy in those places have been not supporting. So we normally slowdown in certain geographies and things and we take a call on time to time basis. I mean, if you look at the -- if the rains are not sufficient or something, we, we look at it in a different way.

Once things are better, we go back and see more traction in those geographies.

Rajiv Mehta: Sure. Thank you so much.

Nirmal Jain: Yes I'll just take first question that has come through social media, actually. So it's about the AIF provisioning and the RBI norms that have come for that. So we had certain units in our HFC, which were, which required provisioning and we have done the full provisioning for that. So the 900 crores portfolio on our book of our loan, you have 77,500 crores and our loan book, which is close to around 47,000 crores is not very significant, that is one.

Secondly, we have taken some provision as I said in the fair value of the units in this quarter. And this AIF is the service for three years which is coming to an end in the month of June. 9th June or maybe something like that but in the month of June of this year where we expect it to be in a close matured or completely distributed. So, I think I don't think there's a serious concern from the way our numbers will, no it doesn't impact the numbers of our capital or the provisioning our income.

We have taken some provision and if required more we can take it but it's just one more quarter and after that it will

I get liquidated. But anyway, we can go to the next question. I just thought that I will take up this question because this has come through some social media, yes.

Moderator: Thank you. We'll take the next question from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Yes, hi, thanks, sir, for taking my question. Just wanted to understand our stage one provisioning is down sequentially from 1.9% to 1.5%. So having revised the ECL model, this quarter?

Nirmal Jain: No, sorry, what is 1.9 to 1.5?

Jigar Jani: The provisioning on stage one assets, which was in Q2, 1.9%, that's come down to 1.5% this quarter. So have you revised the ECL model this quarter?

Nirmal Jain: No, it's 1.9% this quarter, right? So, okay. You're saying it's changed now? So, maybe I'll have to check this. Where is this change in terms of the stage one? Or is it a little different? Yes, actually, in CRE portfolio, I think there is a revision from 10 % to 8%, yes. So that is the weighted average.

Jigar Jani: Okay, so --

Nirmal Jain: These are all based on the actual performance of the assets. They work out of the numbers. But what we have done is we have increased stage three provisioning from 44 to 49 .

Jigar Jani: Okay, so -- so this is on account of some role forward or is it like your --

Nirmal Jain: It's based on the actual performance of the assets. See our overall -- we could have gone down because stage two and stage three has increased more aggressively. So if you see stage two has increased from 7.6 to 8.2, and stage three has increased from 44.5 to 49.6.

Jigar Jani: Okay, okay, understood.

Nirmal Jain: And so based on the actual role forward, they calculate these numbers.

Jigar Jani: Okay, understood. And sir any update on or any timeline from the QIP? When can we expect some update on that?

Nirmal Jain: So we have taken approval for a year, which is now ready for another 10 months or so. We are not in a hurry to do this thing, but at appropriate time in market and if other conditions are okay, we'll look at that. But, I mean, it's not imminent.

Jigar Jani: Okay, okay, I understood. Thank you so much. That's all the questions. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

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Abhijit Tibrewal: Yes, thank you for allowing me a follow up question. So just one question on microfinance. If you look at the last three quarters, the NPAs have been pretty much sticky at around, the last three, four quarters, NPAs have been pretty much sticky at around 2.1%, your stage three numbers. Despite we taking provisioning write-offs in the -- some of the MFI. So, I mean, why is it that we are still seeing kind of incremental continuous flows in microfinance? When, I mean, if I look at all the other NBFC, MFIs, COVID pain for them is largely over.

I recall we've done some amount of restructuring. So, I mean, when can we really expect this number, the gross stage three number in microfinance to start trending down? And credit costs in the microfinance business to start coming down?

N Venkatesh: Yes, in terms of, if you look at the provisioning and the stage three, it's gone up from 63% to 80%. And if you look at also, if you look in a couple of places, there have been some kind of a thing, but all those have been evened out in terms of how the book has performed. And in the last four quarters, it's on a downward spiral. And loan book also is on a similar level, actually.

Nirmal Jain: Yes, I think you said the stage three is 2%. So, I think we need to compare this with industry players to figure out whether stage three 2% is the normal or is below or higher than the other peers.

Kapish Jain: Abhijit, if I may add, I think we can discuss with you separately. So, if I compare my lagged NPA numbers over the last four

, five quarters, they've been smartly coming down here. And I think we did come to the conclusion yesterday itself. It's not with me handy, but that's why you see that this lagged NPA is the right measure has been showing improvement.

Abhijit Tibrewal: Understood, understood. Got it, got it. This is useful, thank you.

Moderator: Thank you. The next question is on the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, sir. Thank you for allowing me a follow-up question. Few questions, the first one is on the risk management. What is our selection infrastructure? How many people out of that 38,000 do we deploy across businesses and collections? That's the first. Second, just a clarification. Did you mention that we do an assignment of gold loans? Because gold loans are bullet loans and the regulator doesn't allow assignment or securitization transactions for gold loans.

Nirmal Jain: Sorry, you're saying, can you repeat, please? I couldn't hear you.

Shubhranshu Mishra: Right, can you hear me now, sir?

Nirmal Jain: Yes, yes.

Shubhranshu Mishra: So this first question is on the collection infrastructure. How many people do we deploy in collections out of the 38,000 people across businesses, which is MFI, mortgages, digital loans and other gold loans, so on and so forth. That's the first one. Second is, you mentioned that we do assignment on gold loans, but the regulator mentioned that we can't do assignment or

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securitization transactions on gold loans given the fact that they are bullet loans and not term loans. So if you can clarify on that part, sir thanks.

Nirmal Jain: No, gold loan assignment transactions cannot be done with bullet. So gold loan, no, I don't, you're saying they're bullet loans, so we don't do bullet loans for that.

Shubhranshu Mishra: Okay, we do EMI gold loans, there.

Nirmal Jain: Okay, and if there may be a small portfolio of bullet loan that we don't assign, but our bullet loan

portfolio is very, very negligible. In collection, so we have 125 people in our digital loan and LAP. Monu how many people are there in collection and home loans?

Monu Ratra: There are more than 500 people in collections for --

Nirmal Jain: More than 500 people and the gold loan primarily branches and there may be a small team to oversee. All put together, we'll have about 700 people and 800 people in collections. And then there are agencies also to support in certain buckets as we require.

Shubhranshu Mishra: How many agencies do we have, sir, about hard buckets?

Nirmal Jain: At local level, there'll be multiple, but I don't know, Monu how many agencies we deal with?

Monu Ratra: So in HFC, we don't employ agencies. Really, we all do in-house. So we have different buckets of collection people. We don't employ agencies in HFC.

Nirmal Jain: Our agency requirement is minimal, but still they're supported for a hard bucket or whatever, but there are a few locally tied up. So I don't have that number, but they are not like very significant in our total contribution to collections or cost.

Shubhranshu Mishra: Understood, sir. And you mentioned that we largely do EMI gold loans in assignments. Is that.

Nirmal Jain: It's not EMI. It may be monthly interest or a regular interest payment. So the bullet loans are -- so gold loan what we do, okay, they're not really EMI, but interest is paid on a monthly or quarterly basis.

Shubhranshu Mishra: So, no, what is written on the customer loan sheet, sir, is it a bullet repayment loan and we are collecting the interest on a monthly basis? So that is how we define it as a monthly interest loan, or have we told on the customer loan sheet that it is a monthly interest loan?

Nirmal Jain: No, the customer loan sheet, very clearly we're saying it's a monthly interest.

Shubhranshu Mishra: Okay, okay. So just a counter —

ter —

Nirmal Jain: Customer will always have option to change the loan if they want to, but otherwise written very clearly.

Shubhranshu Mishra: Right, so just a counter-intuitive question to this. So if we are doing it on a monthly interest, then the interest would be, the yields would be yield dilutive, right? If we are collecting on a

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monthly basis rather than doing it on a bullet loan basis, but our yields are pretty much closer to the other gold loan NBFCs.

Nirmal Jain: No, if you see the, okay, there are two things, that how fast you can vary your branches, but other gold loan entities have higher yield than us. What you're saying is right, that if you try and accumulate it, then obviously you can command higher yield because of the way IRR will work and you can charge a penal or higher rate of interest, but our yields are lower than many other banks in the industry.

Shubhranshu Mishra: Sure, sir. Maybe I'll take this offline, sir. Thank you so much and best of luck for the future.

Nirmal Jain: Thanks.

Moderator: Thank you. The next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: Yes, thanks. Just on the AIF exposure only, how much was the provision that had come in this quarter?

Nirmal Jain: So this quarter, individually we had done 40 crores provision in our NBFC and in our HFC, we had 180 crores rupees -- is completely knocked off from the capital itself. So, you know, we made, that is the provision.

Kapish Jain: And there was 10 crores provision in the last quarter also for the AIF.

Anusha Raheja: Sorry come down again?

Nirmal Jain: So for 180 crores, we had knocked off from the capital itself. So obviously, it doesn't require any provision because we have not considered it in capital. And other than that, we have another INR50 crores of provision.

Anusha Raheja: Okay. And how much will be the pending part or you have fully provided in this quarter itself?

Nirmal Jain: No, we -- okay, we don't have to fully provide it. It's not that these assets will become zero and you know, this thing, but as I said that we have complied with the guidelines. So one is that the guidelines basically were that the receivables which are transferred in the last 12 months. Now our AIF has been there for two and a half years and we have not transferred any new receivables. So these receivables are transferred two and a half years ago when AIF was formed. So really that particular clause of the circular is not applicable to us.

Anusha Raheja: Okay. Okay, sir.

Nirmal Jain: But still we are conservative, we are trying to make adequate provision for this in case of liquidation or in case of closing down of the funds. Yes, thanks.

Anusha Raheja: Thank you.

Moderator: Thank you.

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Kapish Jain: And Abhijit, if you're still on the call, our actually lagged NPA is down by 40% to what it was in March. I'll discuss with you separately, but MFI is actually showing improvement in the lagged NPA.

Moderator: Thank you very much, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Kapish Jain for his closing comments. Over to you, sir.

Kapish Jain: So thank you very much for joining this call and for a very interactive conversation that we had. We're happy to take any further questions, queries, or anything that you want to understand further. You can reach out to our Investor Relations team. Or you can also connect with us separately for any conversation that you wish to do. Thank you very much.

Moderator: Thank you, sir. On behalf of IIFL Finance Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Mar 2024

IIFL Finance Limited

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March 13 , 2024

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Sub: - Investor call transcript

Dear Sir/Madam,

In furtherance to our earlier intimation regarding the Investor conference call dated March 04, 2024 and March 05, 2024 , please find enclosed herewith transcript of the said conference call held on Tuesday, March 05 , 2024 .

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said conference call.

The same has also been made available on the website of the Company, i.e. www.iifl.com .

Kindly take above on record and oblige.

Thanking You,

For IIFL Finance Limited

Kapish Jain
Chief Financial Officer
Email Id: csteam@iifl.com
Place: Mumbai

Encl: as above

"IIFL Finance Update Conference Call"

March 05 , 2024

MANAGEMENT : MR. NIRMAL JAIN – FOUNDER & MANAGING
DIRECTOR , IIFL FINANCE

IIFL Finance Limited
March 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to I IFL Finance Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nirmal Jain – Founder and Managing Director . Thank you and over to you, sir.

Nirmal Jain: Thank you. Good morning. I will address the concerns which arise from RBI 's action against our Company . So. first I will try and explain the issues which RBI pointed out in their communication through PR and then the action that we are taking and the way forward.
The major concerns what they have mentioned are certain material supervisory concerns observed in gold loan portfolio, serious deviations in assaying and certifying purity and net weight of the gold at the time of sanction and at the time of auction upon default and b reaches in loan-to-value.

Now , these are connected points, which I will just try and explain how and what they mean. So, in the branches when our people disburse a loan, the gold is tested and based on a certain purity the loan is given . Typically , when our internal audit which is our own audit team, they value the gold later as a part of audit process and also for gold sent for auction , at that time there can be variation because the gold testing is a very manual and a subjective process , on the stone , the gold is rubbed and there 's acid, and based on the color , the person has to make an assessment whether it 's 24 carat, 22 carat or 20 carat. And obviously , the audit team is more conservative and their assessment many a times can be lesser in terms of quality than what branches and the sales -oriented people do .

Last year, we had 18.89 lakh cases of disbursement , out of which 82,000 cases have gone for auction. RBI has just taken the samples that were sent to auction and obviously there , the variation can be higher because these are the cases which have defaulted, so there can be accumulation of mark -to-market interest and the quality difference that will be higher. So, their point is, because the net weight what is done by our internal audit team is a notional weight where the physical weight is adjusted for the quality. Their point is that if they take the net weight which is as the audit team post facto has certified, then there is LTV breach. We have taken corrective action to make sure that the differences are minimal in terms of the assessment of gold the branches have done, and the audit team does .

But I just want to make again one point very clear that at the time of disbursement at the branch level, based on the branch assessment, which is given in the customer certificate, there has not been a single case of LTV breach . So. the deviation in assaying or certifying purity , net weight at sanction and auction and breaches in the LTV , they are all connected points and they are basically as I said based on the net weight done by our audit team , then the packets go for auction
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which is adjusted for quality , based on that if you calculate then probably you will find that the LTV is breached. Because what branches said 22 carat , post facto audit says 20 carat , obviously , the value will be lesser . But in any case , we are putting in stronger systems in place to make sure that these deviations are minimal.

Also, I just want to bring to everybody 's notice that all our packets, most of our co -lending partners open each and every packet and they make their own assessment of quality and the weight.

The second point is related to cash which is in excess of the s

tatutory limit . So, we have been

disbursing and collecting cash up to Rs.2 lakhs , whereas RBI's point is that your disbursement cannot be more than Rs.20,000 based on certain sections of Income Tax Act . Now, the Income Tax Act interpretation is not clear and different people have different views on that. And almost every NB FC in the industry is giving cash up to Rs.2 lakhs . But nonetheless, we are making sure that we comply with this also and we stop the disbursement of above Rs.20,000 as soon as we are allowed to do as the fresh disbursements.

The Third Point is about standard auction processes where last year from October, we followed e-auction by Auction Tiger. Now that is an independent platform which is also used by large banks like SBI and Bank of Baroda . We thought that a taluka level auction ... because when we got almost 3 ,000 branches across the country, smaller taluka, practically may not be feasible to fetch the best price for the c ustomer . And e-auction is in a way a transparent means to discover price and get the best price for the customer as well. Nonetheless, RBI circular has been very clear , the auction should be at a taluka level and we 'll make sure that we comply with that also.

The third point is about lack of transparency in charges. The charges we have mentioned in our customer receipt as well as on the website. But this confusion has arisen from one charge. So, when we actually send notices to customer s about auction , we charge Rs.200, and many a times customers will repay and the auction will be averted so then they are not charge d anything extra . But the actual auction happens when there 's a charge of Rs.1,500. But this extra Rs.1,300 we charge only when the actual auction happens .

So. RBI's point was that even if an auction does not happen , you charge Rs.200. But there is auction notice or auction intimation charge which is also what RBI require s us, to send these notices physically, so these are the legal and the courier costs that we try to defray by these charges. But we 've made it very transparent , separated the auction intimation charges and the actual auction charges. So, these are the major concerns which RBI has pointed out and I have tried to explain that what they mean and what we are trying to do there.

Now from the investors' point of view, I think I would like to address a couple of issues about liquidity and cost. So, we have adequate liquidity , we always had a t a group level and we always disclose these numbers at quarter end. Further, now till this issue is resolved and RBI allows us the fresh disburse ment , we will continue to collect money from the repayment s. And from that perspective, I think we are adequately covered for liquidity in the foreseeable future, and we

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don't see any challenge there. We have four businesses . The RBI has audited all of them. The only business that is impacted by this action is gold loan, but two-thirds of our other businesses continue , and also, we shall try and double our efforts to c ross-sell and sell the other products from the same branches. These branches are at fixed cost structure of monthly about 65 to 70 crores and our NIM on the existing portfolio is about 125 crores on the gold loan portfolio. So. I'm talking about gold loan cost and the gold loan NIM broadly. Typically, these portfolios, they run down in a natural course over 7 -8 months . So. I'm just trying to give a perspective of the liquidity and the cash flow and the cost that will be impacted by this action.

So, we understand the concern that such news can generate amongst our stakeholders. However, I want to make it unequivocally clear that there are no govern ance or ethical issues at play . These are more operational and procedural issues which we will address with all our effort and sincerity . Our foundation remains solid, which is built o

n trust and support that all stakeholders have generously extended over the years.

And I also want to assure that our team is taking immediate and comprehensive steps to address all the concerns raised by RBI. Our team is committed to implement the necessary remedial measures not only to comply with the regulatory standard, but also to exceed them. So , our resolve to rectify the situation is unwavering and we are dedicated to navigate this situation or this challenge with transparency and integrity and utmost respect for compliance standards, regulations and principles that have guided us. So, in this hour of crisis, I request all of you for your continued trust and support. Your belief in our capabilities and mission ha ve always been our greatest strength and together we have weathered many storms and celebrated our success and I thank you for your cont inued trust and partnership and look forward to navigate this phase together with grace and strength.

We are taking thoughtful steps to address the current situation and our actions are guided by our commitment to all our stakeholders, customers, employees and partners. I just want to say that we are more than a Company . We are a community that serves millions of customers, tens of thousands of employees and c hanne lized bank credit to underserved segments of the society and therefore your support in this hour is very crucial for us.

While th is directive of RBI appears to be a bit harsh. I take a moment to express our profound

gratitude and admiration for the Reserve Bank of India. Their steadfast commitment to ensure stability and integrity of our financial system is unparalleled with their proactive and prudent regulatory measures that have not only safeguarded interest of all stakeholders and investors but also significantly to the nation's economic growth and stability. So, the guidance and oversight provided by RBI are invaluable, fostering an environment of trust, transparency and resilience across the financial landscape and we are grateful for their visionary leadership, unwavering support and guidance that inspire us to meet our challenges with determination and strive for excellence in all our endeavors.

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So, we take corrective action by RBI in a constructive way as an opportunity to introspect and improve our systems and processes, compliance, and controls; to emerge as a stronger player in the long term.

Thank you. With this I open for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Dhaval from DSP Mutual Fund. Please go ahead.

Dhaval: I just had two questions. First is relating to the timeline that you think would be required to make these necessary changes? And also, in your view how much time would it take for the special audit to get completed and whatever further changes need to be made to get implemented, how many months of business loss do you envisage in this case?

Nirmal Jain: Except for the cash disbursement part of it, which we can implement only when the disbursements are allowed, but more or less we are already ready... we are already compliant with and we have approached RBI for an urgent meeting and whatever special audit they want to do, so we are ready for that. And hopefully this should happen sooner than later, and we'll try and basically request and approach RBI for the fastest process, whatever they want to do for this special audit. We are ready in terms of compliances or whatever they wanted. So, we have implemented those things, and the audit can start maybe immediately.

Dhaval: The second question is relating to the engagement with RBI. So, in the letter, they highlight that they've been engaging with the management and auditor for a while and there were no strong corrective actions taken and hence these steps needed to be taken. So, just wanted to

understand

how long this process has been going and has this been a recurring remark in their supervision audit that that they conduct annually?

Nirmal Jain: The FY'22 report came to us on 21st September '23 and the next year audit started in 31st October '23, which just about 40-days from there. And I think the comments and the report came in January 18th and after that we had a couple of meetings and so on. I think this has happened very quickly. And one of the key challenges that we had was that, from the receipt of last FY'22 report to FY'23 inspection, there was just about a month. But in the last couple of months, I've met the EDs and a few others and Venkat also had met the team here. So, all the interactions have happened in maybe last 45 days or so.

Moderator: The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: My question is related to the securitization and assignments you do. So, when you assign gold, does gold stay with you and it's on your assessment only that loans are assigned?

Nirmal Jain: This is our assessment, gold remains with us, but every packet has a number and the assignment partner or the co-lending partner, they have the data and they do come and check and audit. So.

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some of the banks basically check each and every packet that is either in a co-lending or assignment and some of them do as a sample basis.

Mahrukh Adajania: And securitization obviously it's PTC route or it's largely assignment only because securitization there's no need to check, right, because..

Nirmal Jain: It's assignment only. Also, in last year, we disbursed 18.89 lakh gold loans and the total number of complaints that we received from RBI related was about 135 to our gold loan customers. Out of 18.89 lakhs disbursements that we did, last year we would have more than 16 lakhs active customers and 56 lakhs total customers. So, if you really see the number of complaints that have come from RBI are very, very few compared to the size of business that we do.

Mahrukh Adajania: So, basically what will be the normal portion of the assignments that you do as a percentage?

Nirmal Jain: Assignment is 10:90, where the 90 goes to the bank, 10 remains with us and co-lending is 80:20, 80 goes to the bank and 20 remains with us.

Mahrukh Adajania: So, you have 15 co-lending partners. But how many of those would be gold partners because some of them are for home finance, right and some for -?

Nirmal Jain: 6-7 are gold partners for gold loan.

Mahrukh Adajania: And it would not be possible to name them?

Nirmal Jain: The names are in our analyst presentation actually.

Mahrukh Adajania: There are 15 names , right, so -

Nirmal Jain: Across the group actually, yes.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

V Ramakrishnan : I have two questions. One, I wanted to know about the balance sheet liquidity, I mean , there is this assigned loans which anyway what you have on the balance sheet in terms of maturities of loans and how much liquidity you have and what is the action plan in terms of showing up liquidity if need be? So. that's question #1. The question #2 is, you had mentioned that they had noticed a deviation at the time of the auction. How much was the deviation in value, I mean net - net, we recovered all our monies, right?

Nirmal Jain: On the first question in terms of liquidity, so at a group level, we have 4,000 crores liquidity ...

I mean , I will not have precise numbers because that is generally done when the accounts are closed . And on top of that, what will happen is that till this is resolved we continue to collect so that will keep getting added to our liquidity. And in terms of your other question was about the IIFL Finance Limited

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deviations

, last year, as I said, out of 18.89 lakhs disbursement that we did, 82,000 went for auction. What that does is that , you look at the net weight as certified by the auditor of that pool compared to the net weight at the time of disbursement done by the branch and this is our audit team and there were differences. In 55,000 cases, there was a deviation. But as you said that in most of the cases we recovered our money, there is hardly any losses when the auction which had been very, very few and targeted , I mean, negligible .

V Ramakrishnan: Since we all have exposure to individual entities as well , even at the end of the call if the finance team can say how much liquidity is there in IIFL, how much maturities are there? And the collections in terms of the certain probability how much collections , that would be very, very useful ? I can wait till the end of the call for that also.

Nirmal Jain: So. maybe we 'll get back to you on this .

Moderator: The next question is from the line of Prakriti Banka from HSBC Mutual Fund . Please go ahead.

Prakriti Banka: You mentioned that the issue was with respect to valuation of the gold at the time and by the audit team and there was slight deviation. I 'm just trying to understand, I mean , what was the materiality of this because from what you say, it appears like a pretty standard practice of what any gold finance NBFC would be seeing, right , so what was so materially different for RBI to take such pretty material steps?

Nirmal Jain: So, some of the companies, I don 't know, they didn 't do the current -based valuation also because they take only standard valuation of gold, I mean, but I have the data on this because RBI would audit those companies and they 'll be able to compare and contrast. But , as far as we are concerned because this was done only with the sample that goes for auction and not for the entire thing , obviously that is a central where variations can be higher. So, I think in the overall scheme of things, it 's not material. If you look at our entire business of the number of customers, the number of business are very, very significant . Whether it 's material vis-à-vis other gold loan companies, I don 't have an answer to that.

Prakriti Banka: So. again, I mean, when you 're talking about this valuation, they found this to be overvalued because they also mentioned that they are also maybe concerned about the customers or was this being undervalued ?

Nirmal Jain: So, their concern about valuation would be that if the gold is undervalued at the time of auction, then you realize lesser, and customers will not get the full money or the full credit. There's a concern. So, now the challenge here is that audit will always be a little more conservative in value as compared to branch and that is what we are trying to address in terms of training in the process that we run. But as I said, by far the number of customer complaints that we have because obviously it's customer 's personal property and they 'll be more concerned than anybody else about the value that they set. And so given the 56 lakhs customers, today we have more than 19 lakh customers active , the number of complaints that have gone to RBI about this have been very, very few and far between . There is a serious concern with the customers, yes.

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Prakriti Banka: You did mention that you 've been engaging with them only for the last 45 days because they did for to say that over the last multiple months, we 've been engaging when no outcome has been seen, but you 're saying that you 're quite prepared , I mean, you did mention that you are going to approach them immediately.

Nirmal Jain: So. I'm requesting for a meeting today itself if possible . There's a draft report was discussed and the final report that comes. So, we got our report on 23rd January of '24. So. we got our report about 40-42

days back.

Prakriti Banka: In none of the previous engagements with them, did they highlight any observations?

Nirmal Jain: They have been highlighting these observations. As I said, from the last year's report and this year's audit commitment, there was not a significant gap. But they have highlighted these concerns, and we are taking corrective action on this. So, some of these issues like cash or the other issues which are there, I mean, we have to be competitive, we have been in the industry. But as these were highlighted, we are taking corrective action on this.

Prakriti Banka: You're saying that you're doing at this point of time your disbursement is happening through cash?

Nirmal Jain: Today, the disbursement is stopped. Yes, disbursement happens up to Rs.2 lakhs and many of the NBFCs do more than Rs. 2 lakhs also. I'm not very sure but banks are allowed to do cash disbursement up to Rs.5 lakhs. But for NBFC, the interpretation is that they can't do more than Rs.20,000.

Prakriti Banka: You mentioned Rs.65 crores to Rs.70 crores would be the OPEX of the branches.

Nirmal Jain: There is a fixed OPEX of the branches for gold loan.

Prakriti Banka: So, this is the monthly OPEX?

Nirmal Jain: Our monthly collection is Rs.300 crores from the gold loan portfolio but out of which certain part goes to the partners, co-lending, but what we can retain is also on the current portfolio is more than 125 crores. On the gold loan portfolio itself, I'm talking about NIM.

Prakriti Banka: Rs.125 crores per month?

Nirmal Jain: Broadly. So. These are very quick numbers, but our collection maybe Rs.300 crores, but as I said, there's a significant part of that will go for co-lending and assignments to meet those requirements.

Prakriti Banka: Also, just the communication that you are sort of sharing with your branches at this point of time, I mean, you are sort of expecting a faster run down of the book or I mean what are you

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sort of communicating to the branches for that matter to the employees or whatever you are thinking?

Nirmal Jain: So, this is unprecedented. I don't know how the customers in the branches will react to this. But what we are communicating to them is that we comply with the RBI directives in toto and fully and we will try and address the concerns at the quickest and we will engage the RBI to come back and bounce back at the fastest speed. And at the same time till then they have to service the customers and they have to make sure that there's no customer inconvenience. RBI has allowed us to service or collect the recovery process for the existing portfolio. So, there's no concern there, then will basically help the customers with whatever they need.

Prakriti Banka: Also, on this part where you mentioned the lack of transparency of charges, this is only the auction charges?

Nirmal Jain: Rs.200 was the auction intimation charges. And then the point was that if it cannot be auction, why these are auction charges. But the difference is when the actual auction doesn't happen, we charge Rs.200, which is more like auction notice charge, it's not an actual auction charge. But many times after the notice, customer pays, he doesn't go for auction. There are quite a few cases in the queue. So, I will request we brief and not repeated in any case this call I think will be uploaded on the website. This call will be uploaded on the website, so those who have missed the preliminary remarks, so you can listen to them on the website.

Moderator: We'll take the next question from the line of Muthu krishnan N from Sundaram Finance. Please go ahead.

Muthukrishnan N : So. basically the three issues you mentioned right at the beginning of the call, the first one was regarding the quality of the gold one assigned in the branch and your internal auditor, right? So

what was the disparity there like, were the affair undervalued, the gold or something like that.

On a transactional level, I would like to understand that. Does this pertain to a particular region or an area the total quantum of gold and the accounts which have fallen under the deviation?

Nirmal Jain: This is not in any area specifically, the second question. The first question, supposing the branch gave a gold loan, which was 30 grams with the way they gave a loan to the customer. When it goes to auction, our audit team does the reassessment of the quality and the weight. So. suppose if they say this is not 22 carat or 20 carat, and they say, okay, there is some stones or something which weight is X and not Y and they say that these are not 30 grams but 25 grams. So. now what happens, when RBI says that at the time of auction you are saying 25 grams, at the time of giving loan, you said 30 grams. And so, if you take 25 grams, then it goes to auction that you wrote about this, which is this is 25 grams is not 30 grams. So. that is LTV br each and that is the deviation in the purity, and net weight of the gold at the time of sanction of loan at the time of auction. The first point is that they've mentioned there. The second is about cash and the third is our standard auction and the fourth is about charges. So, these are the points that are given by the RBI.

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Muthukrishnan N : So. vis-à-vis the LTV which the branch has given for the customer, it is higher than the value of the gold , is it what I should infer, sir?

Nirmal Jain: No, it is higher than the value of the gold as assessed at the time of auction. But the value of gold or the quality of gold is a subject to assessment. So. there is no difference in the physical weight of the gold what branches have done at the time of auction. But the net weight, which is the total weight based on the quality assessment, has been different.

Muthukrishnan N: Have the branch made a higher assessment in terms of value related to quality ?

Nirmal Jain: Sorry?

Muthukrishnan N : You mentioned LTV , sir, so I 'm just relating that question to that. So, we need to say that the branch made a higher value in terms of quality vis-à-vis your internal audit team and the time of auction ?

Nirmal Jain: Exactly. So. branch, if there is no case where branch is here more than 75% LTV required by statutory limit at the time of disbursement, based on the assessment of physical weighted quality that the branch did. But more factually audit that weighted quality if applied to the loan which was given earlier, then there is a difference.

Muthukrishnan N: That means the internal audit team did at a lower value ?

Nirmal Jain: Yes, that 's right.

Muthukrishnan N: One more question related to this. What period does it pertain to this particular set of plan of action ?

Nirmal Jain: Last year, 2022 -23.

Muthukrishnan N: Before that, RBI audit has mentioned any discrepancy ?

Nirmal Jain: No, I mean the inspection was done for 2022 -23.

Moderator: The next question is from the line of Murthy Nagarajan from Tata Mutual Fund. Please go ahead.

Murthy Nagarajan: I want to know what is the liabilities which you have to pay in the next 2 -3 years and what are the cash flows which you have got against that across your companies?

Nirmal Jain: So. I think these numbers are there in our quarterly presentation . So, I don 't think anybody has changed from there.

Murthy Nagarajan: What we have been asked is that I think what RBI guidelines is, is it up to one year you require to keep your cash flows positive, right?

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Nirmal Jain: Yes, that 's right. We follow that.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Just wanted to understand, I mean when someone earlier in

the call asked you that, how long it

might take . You shared that we are kind of ready to approach the RBI, request them for the special audit. So, given that RBI has already been engaging with us for the last couple of months, like you said, Jan 18th is where you received the inspection report , I mean, why couldn 't we have fixed this earlier itself rather than letting it come to, this is what I am trying to understand ?

Nirmal Jain: So. after RBI inspection , response to a report was to be submitted by 9th March and we were ready with this. But this has come to be ahead of it. So. it's not even a couple of months actually.

And we were in the process of fixing it and this has come as a bit of a surprise and quicker than what we thought.

Abhijit Tibrewal: So. the second question that I had was around, I mean you 've been sharing that out of 18.9 lakhs disbursements, only 82,000 bid for auctions and there was a deviation in almost 55,000 cases and 135 complaints received from RBI from gold loan customers. But these complaints would either have been on, I would say, charges that you levy or for that matter, the auctioning process if the customer is not happy. But I mean the deviations that they 've identified in purity of gold and like you shared, there was deviation in when you disburse the loan versus when it went for auctions, the net weight of the gold and the consequent LTV . So. there I couldn 't understand, I mean what corrective actions are we taking in particular to this certifying the net weight of the gold and the purity of the gold?

Nirmal Jain: So, one of the things is that the branches, when they do their assessment and valuation, we have to make the process tighter where the quality assessment is more conservative and stricter. That is one thing that we have seen . We can also have a much more intensive training processes of making the quality assessment at the branch level.

Abhijit Tibrewal: With regards to this non -adherence to the standard auction process, I think you shared that we started doing e-auction on Auction Tiger , which is followed by some of the banks as well , so I mean to kind of address this issue which has been raised by RBI or what is it that we now kind of need to be compliant with the standard auction process ?

Nirmal Jain: The auction has to be done at taluka level or at a branch level. And that is what RBI's circular and directive is. So , we shall comply with that.

Moderator: The next question is from the line of Pratik Chheda from Guardian Capital Partners. Please go

ahead.

Pratik Chheda : I understand that you received the inspection report in January and now we are in March, and this is when the disclosure has happened when we are now taking corrective action . Is there any other inspection which is going on by the RBI in any of the other products which is still pending ,
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certain reports , or is there any draft or observation, however trivial it is , any other product which is pending ?

Nirmal Jain: No, RBI has done the inspection for all together. So, I don't think they do it separately for products . RBI's inspection for '22-23 is over.

Pratik Chheda: No, no, not for '22-23, I'm asking for any other products is there any other inquiry going on ?

Nirmal Jain: There's no other inquiry to our knowledge is going on. The inspection has been completed by RBI. The report has been done and the response is also ready to be submitted. There 's no other inquiry or investigation that we are aware of.

Pratik Chheda: And second question is , if there are 55,000 observations out of the 82,000 cases that have gone to the auction, is the Company planning to do another internal audit for all the disbursements that have been made during the year ? And how has the internal auditors not really highlighted this in the annual report , because if it is 55,000 cases, it would have been

throughout the year,

right , it's a very high proportion of cases.

Nirmal Jain: See, the auction cases are the cases which are stressed accounts . So. the probability of these deviations is mostly in auction cases of the stressed account, where the customer failed to pay, the interest was accumulated , is more than 90 days , they only go for auction. So, obviously you'll find the probability of findings in deviation are significantly higher in auction cases because they are the stress accounts.

Pratik Chheda: But do you plan to take any action on the other accounts ?

Nirmal Jain: Yes, we are taking , the whole process is being done, we are obviously taking a lot of action for this.

Moderator: The next question is from the line of Amol Patel from ID FC First Bank . Please go ahead.

Amol Patel : Whether this will have any financial implication , first of all ? Secondly , whether any earlier warnings or any other penalties were imposed on IIFL before by RBI before taking this action?

And I would also like to understand what will be the impact if in case generating loans are rolled over on the maturity ? So, now because IIFL will not be able to disburse fresh loans, what will be the impact of that on overall asset quality and how are you planning to address this issue?

Nirmal Jain: So. there has been no penalty or any other action by RBI till now. And the second is the financial implication. So. it also depends on how long we take to come back. But I'm personally very sure that we will come back , even longer life, short term aberration like this should not have a major impact on the financial health of the Company or the financial numbers. They can impact till the issue is resolved. But again, as I said, with our most sincere and strongest effort to resolve this at the fastest speed. Incrementally you had about a 5% to your portfolio in the quarter and you

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run down the portfolio about 10 % , 12% every month. So. therefore very difficult to say what will be the impact but again depends on how long the whole situation lasts.

Moderator: The next question is from the line of Damodar Agarwal from DCB Bank Limited. Please go ahead.

Damodar Agarwal: Was there any specific observation on AML KYC?

Nirmal Jain: No observation.

Moderator: The next question is from the line of Sujay Mallik from Indian Bank. Please go ahead.

Sujay Mallik : I just wanted to ask three questions. First, what is the impact on the recoverability of the pool assets from the direct assignment assets to the bank? Second , is any future embargo on auction anything or auction of the goods if any , loan goes back? Third point is what is the timeline of rectifying this operational issues by the Company ?

Nirmal Jain : First question on the recoverability, there is no impact because all our gold loans, the customers are there, and RBI has allowed to do the recovery process and the collection process as normal .

So, I think that also answers your second question . There is no embargo on auction or recovery .

Very specifically they said that our collections and recovery can continue as normal . And third is how long it will take ? So, we have already rectified and put in place all the recommendations of the RBI. Our report has to be submitted on time, which is a couple of days, and this has come .

But anyway, we will actually engage with RBI, try and see how quickly we can get their report .

Sujay Mallik : No, Mr. Jain, I wanted to know any internal corporate governance issues wherein you have taken a stand that will rectify these operational issues within a such span of time because it is jittery in the market as of now?

Nirmal Jain : Even if you see , Mr. Malik, RBI's report or whatever communication is , there are no governance

issues or even KYC or either issues. So. all the issues are operational and what I will request al

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of you is to try and understand that we are always trusted and we count your trust going forward . But you can see the communication by RBI as well as with in this call I am making it very clear that there are no governance issues , there are no other issues related to this . All the material concerns they have brought out is in the press release itself.

Moderator: The next question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra: My first question is around that whatever RBI is pointing out is pretty much business as usual for all shades of gold financiers. Do you think that the RBI action has been fairly harsh, and they could have done something else? Second part of the question is how long do we think that we 'll get back in the business – three months, six months, one month? If that can be quantified or some direction can be given to that space. My second question is around assignment. Do we originate loans as bullet loans or term loans? Because if they are bullet loans, my fair

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understanding is that we can 't do assignments or securitization as per the present regulations . If they originated as term loans. I do understand the fact, sir.

Nirmal Jain: RBI's action it may appear harsh in the short term or the immediate this thing, but I would say that because the businesses are built for long life and sometimes these corrective actions are good to make sure that the system becomes stronger and over long term you emerge as a stronger player. So. I will take it in a positive and constructive way and would like to rectify whatever lapses we had in our system at the earliest. How long would it take ? We try to do it fastest, maybe in a few weeks or a month or immediately, but I think it 's very difficult for me to comment on that because that 's not entirely in my head. But as far as I said in this call that we are ready, and we are compliant with all the observations that they had, and we are about to submit our report to RBI maybe today itself or in a day or two.

Shubhranshu Mishra: The second question on assignment, sir.

Nirmal Jain: There can be co-lending of a loan which are cash loan or a bullet loan. But as I said that our operations will continue rather as usual for existing loan portfolio , collecting , recovery and servicing, I don 't see any impact on the loans which have been assigned and which have been co-lent because the gold is there, the customers are there , and the collections are in a normal course.

Shubhranshu Mishra: Sir, I understand all of that. My moot point is , are they originated as bullet loans or as term loans, sir?

Nirmal Jain: I don 't think we have a bullet loan originated for this thing. Most of the loans are term loans which are for a period where interest is paid periodically, and the principal is paid when the term is over . That will be the predominant part of our loans. There can be bullet loans, some of them can be on our books and some of them can be co-lent, but I don 't think assignment happens of the bullet loan. There is no assignment of bullet loans , but they can be in our books , but most of our loans, I am repeating , they are in the nature of a fixed term where interest is serviced, and the principal stays at a periodic interval.

Moderator: We'll take the next question from the line of Renish from ICICI. Please go ahead.

Renish : Sir, just two questions from my side. One is on this profitability. So, if I look at the standalone P&L, which is predominantly gold loan phase for us and we have generated around 130, 140 crore s kind of PAT in Q3 . So, is it fair to assume that let 's say till the time we resolve let 's say the RBI observation , to that extent our profit will get impacted in the next couple of quarters ?

Nirmal Jain: So, Renish, all the discretionary cost like advertisement and the

variable incentives basically

also the advertisement campaign will discontinue immediately. So. marketing cost, which is one of the market line activity for acquiring customers that basically is discontinued. And on our portfolio what we have , we continue to have the interest income . So, the immediate impact will not be so significant , but the impact, if it continues for a longer term, the portfolio runs down

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can be significant on this part of the business . So. this is one-third of our total business at a group level. As I said, the portfolio will continue for the time being.

Renish: So. you mean that impact will be lower than what we reported in Q3 because we might save on some of the costs, I mean is that the fair assumption ?

Nirmal Jain: Yes, it will save some of the costs and the portfolio we have that continues, that's not everything will run down immediately. But whatever portfolio will continue. Maybe if I assume for a quarter, 10% goes down, then also you have 90% on which you continue, the costs also go down to that level.

Renish: Just last question on this entire segment fees for us, which is roughly 40% of the AUM currently .

Do you foresee any risk to that because of the RBI implication or you feel that like the home loan and the MFI in whatever limited capacity we do assignment that will continue?

Nirmal Jain: Home loan, MFI, our business will continue as usual. And the assignment of gold loan will not happen now. So, that is actually paused.

Renish: On this release, RBI did mention about the special audit which will be conducted or might be going on, so what sort of this special audit in nature, I mean, since we have already received the communication from them, and we might have already submitted our responses by now, so what does it mean of mentioning this special audit, sir?

Nirmal Jain: We are complying with it. The special audit will probably to reconfirm whether we complied with that.

Renish: So, the next audit will be limited to whatever observation they have given to us, right?

Nirmal Jain: That is what I would like to believe, but actually because RBI is prerogative, but logically that should be the case.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Vihag Mishra from Kotak Mutual Fund. Please go ahead.

Vihag Mishra: My only question is that regarding the cash disbursement, what is the industry practice for cash disbursements, or other gold loan NBFCs is also disbursing up to Rs.2 lakhs in cash and thus I felt disbursing cash in other products also up to Rs.2 lakhs?

Nirmal Jain: No other product is a cash disbursement, but other than this, we are disbursing up to Rs.2 lakhs and some of them are disbursing more than Rs.2 lakhs also. And there are many customers who shared their receipts or whatever with us, so at least we have the documents from many NBFCs, that is the same thing.

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Moderator: Ladies and gentlemen, as that was the last question, I would now like to hand the conference over to Mr. Nirmal Jain for his closing comments. Over to you, sir.

Nirmal Jain: So, thank you so much all the stakeholders who are there in the call. I really appreciate your trust and support and your confidence that you've shown in us, and we count on your continued support. So, these are the moments where we have to show our resolve and resilience and I'm sure that many organizations as they grow larger they face these kinds of challenges during their life journey, and obviously if our intent is right, our values of transparency, integrity remain uncompromised, we will bounce back stronger. And we also really appreciate because the RBI and regulators measures like this, which may appear harsh in the short term, but basically make the organization stronger from a long-term

perspective and more often you are stronger and more competitive over the long-term. Thank you so much. I really appreciate your time and patience in this.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of IIFL Finance, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

IIFL Finance Limited

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June 25 , 2024

The Manager,
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BSE Scrip Code: 532636 The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , and further to our earlier intimation regarding the earnings conference call for the quarter and year ended March 31, 2024 , please find attached here with transcript of the said earnings conference call which was held on June 18 , 2024 .

The same is also made available on the website of the Company i.e.
<https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Mauli Agarwal
Company Secretary & Compliance Officer
Email Id: csteam@iifl.com
Place: Mumbai

Encl: as above
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"IIFL Finance Limited
Q4 FY '2 4 Earnings Conference Call"
June 18 , 202 4

MANAGEMENT : MR. NIRMAL JAIN – FOUNDER AND MANAGING
DIRECTOR – IIFL FINANCE LIMITED

MR. MONU RATRA – CHIEF EXECUTIVE OFFICER -
IIFL HOME FINANCE LIMITED

MR. PRANAV DHOLAKIA – CHIEF RISK OFFICER –
IIFL FINANCE LIMITED

MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER – IIFL
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the IIFL Finance Limited Q4 FY24 Earnings Conference call. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kapish Jain, Chief Financial Officer at IIFL Finance. Thank you and over to you, sir.

Kapish Jain: Thank you very much. Ladies and gentlemen, thank you very much for joining this call. This is the Q4 Earnings Call for IIFL Finance. On the call today, we have Mr. Nirmal Jain, Founder and MD of IIFL Finance. We have Mr. Monu Ratra, who is the CEO for IIFL Home Finance. We have Mr. Pranav Dholakia, who is the Chief Risk Officer. Myself, Kapish, and today we will talk about the progress of the company with regard to Q4 Earnings performance, including what's happening on the RBI side. For a complete update on that, I now hand over the call to Nirmal. Nirmal over to you.

Nirmal Jain: Thank you, Kapish. And welcome to the call to review Q4 as well as the full year performance. Very unusually, this time it has been delayed. The result announcement has been delayed a little bit, but there we are. As you have seen the results of the full year, we have ended with a loan AUM growth of 2%. And primarily, there has been a decline in gold loan on a quarter-over-quarter basis by 5% because March is the peak quarter and last year in the fourth quarter, we had a quarter-over-quarter growth of 13% in gold AUM. So that impact obviously is there on our total growth as well as on our profitability. I think we ended the year on a consolidated basis with a total decline of 6% on a Y-o-Y basis in our Q4 post-tax profit. And on a full-year basis, our post-tax profit has grown by 23%. And we ended the year on a consolidated profit of INR1,974 crores, which was a little short of our earlier guidance of INR2,000 crores for the full year on a consolidated basis. This is prior to minority interest. Now, a brief update on the RBI embargo and then about the macro environment. And then also, I'll discuss certain key aspects of the numbers before I hand it over to Kapish for a more granular and line-by-line discussion. So as you're aware, on 4th of March, we had an RBI order on about, basically, a cease and desist for the gold loan disbursement and certain other activities with the gold loan business. And RBI in the order stated that they will institute a special audit and based on the findings of the special audit, as well as the inspection as they require, they will consider lifting the ban. The special audit has completed, and special auditors have submitted the report to RBI.

In terms of, as far as the company is concerned, we are very confident that we are fully complied with all the regulations of RBI as well as we have addressed all the deficiencies. Besides this, we have taken several other steps internally in terms of strengthening the organization, hiring senior-level people. A few have joined and a few more are in pipeline.

Also basically, having a much stricter and stronger audit and we are also in the advanced stages of having concurrent compliance audit along with more strengthened internal as well as the audit which is required to make sure that the compliance is full proof on an ongoing basis. Also, there are quite a few policy changes, and the board supervision will now significantly be higher. And all the alerts and compliance will be updated to the board as well and the board will regularly

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discuss any exceptions in this to make sure that there is

no recurrence of any lapse on

compliance. So, we want to meet and exceed whatever expectations RBI can have from a regulated entity like ours.

Coming back to the macro environment, the macro environment is very positive. The democratic government is back for the third time and obviously the reforms continue. What the buzz and the activity that we are seeing at the ground level is also very positive. The first announcement has been about affordable housing which again is positive for our housing finance business. In terms of financial numbers, I think there are a couple of aberrations that I want to explain broadly before we, of course, take them up in question and answer if required as there may be more questions on the same.

One is about the gold loan NPA, because there's a significant spike in this quarter. But as far as that spike is concerned, in my opinion, there is no increased risk for a medium-term or long-term risk in that business as such. There are certain rollover cases.

Historically, if the customer has not paid in time, but if the gold value is enough to rollover the 75% LTV that was being done, obviously that practice has been objected to and obviously our auditors have taken a view that those assets or those gold loans have to be classified as NPA. Not only those gold loans, but the linked accounts. So supposing there's a delinquency like this in one account of a customer and the customer has taken two more gold loans, then all three have to be classified as NPA.

Now, if you have rolled over these gold loans, then we also can't go back to the customer and ask him to liquidate because we can't take that to auction until the rollover period is over. So it's a matter of one or two quarters, because obviously when these cases come up for rollover again, we should not have this practice which is not fully compliant with the RBI regulations. But what we intend to do is that once the rollover period is over, then either the customer has to pay or these loans will go for auction and in whatever customer can arrange for it, they can also get the balance transfer done.

So that is about approximately INR272 crores in the gold loan and that has resulted in the spike in gold loan GNPA and which I think will normalize in the next couple of quarters. But what is really heartening and what is really positive for us to note that our loan book which was around over INR26,000 crores on the 4th March has come down a little below INR16,000 crores currently and more than INR10,000 crores of gold loans have been repaid by the customers and they've taken their jewellery and we did not have any case of customer disgruntled or any asset quality issue or losses and that actually has been a real trial by fire which basically testifies to the systems and our credit underwriting has been fairly robust. Other than that, I think there's a INR200 crores of loss in a fair value.

We had an AIF which was expiring, tenure was expiring on 1st of June but the large investors basically opted for In Specie distribution and that, those debentures, we also opted for the same, have been sold to ARC and broadly there has been a fair value loss of around INR150 crores there and also the SRs which we had with ARCs have been, most of the ARCs valuations of the SRs have been more conservative and there was almost a write-down of about INR100 crores

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there and there has been some provision right back so broadly there's a INR200 crores of hit coming primarily from the AIF unit.

Now, our exposure to AIF is just about INR5 crores which is the minimum required as a sponsor and all other assets have been, the units have been redeemed and the debentures which we received in specie, they have been basically disposed off to ARC. Another question which obviously will be there in the investor's mind is how are our disbursements

and the growth in

businesses other than gold loan?

So we have three more businesses as you are aware so in the month of March obviously because of the sudden shock the business has slowed down after the fourth month but in this quarter home loan is more or less resumed and has become normal and I think the disbursement in this quarter are expected to be similar to the same quarter last year broadly in-line however microfinance still is under a little bit of caution in terms of availability of credit from the banks and the growth that we want to basically have in this.

We also want to make sure that this business also becomes full proof in terms of compliance before we resume the normal growth. So the disbursement in this quarter compared to last

quarter last year maybe about half and the book may go down a little bit in this quarter as well. In terms of our operating cost which again in Q4 till the RBI order came we were on a growth path and particularly our microfinance business was also on an aggressive hiring spree for the branches that were set up in the quarter before. And March quarter typically also is a higher volume and higher cost as well in terms of the incentive bonuses which have been committed or approved, they are also paid out.

So the cost has gone up in the March quarter but now when we talk about this quarter we have not retrenched any people and obviously whatever retrenchment is happening is normal of course what was the trend even before the RBI order because we are very hopeful that we will be able to resume our business and even if it means operating cost or operating loss in terms of maintaining the infrastructure which is very important for us to do that because millions of customers' jewellery and ornaments they are in the custody of our employees and our branches. So our branches and employees remain as it is and I must express my gratitude to all the employees because despite this uncertainty they've been holding the fort with full commitment as well as confidence and faith in the company and the business and they've been servicing the customers because despite the fact that several lakhs of customers have closed their accounts we did not have any customer service issue or any complaints from customers of any significance as such.

So we hope that we'll come out of this crisis, and we'll have our compliance much stronger as we go forward. I think with this I'll hand it over to Kapish and then I'll be back for Q&A. Thank you.

Kapish Jain: Thank you very much, Nirmal. Once again ladies and gentlemen a quick update on our financial performance. In light of the embargo that's currently there with the RBI the numbers are in IIFL Finance Limited
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slightly muted. So for the quarter IIFL Finance profit after tax before non-controlling interest was INR431 crores down 6% Y-o-Y and down 21% on a quarter-on-quarter basis.

We recorded pre-provision operating profit of INR990 crores which is up 30% Y-o-Y and 3% on a quarter-on-quarter basis. For fiscal 24 IIFL Finance profit after tax before non-controlling interest was INR 1,974 crores which is up 23% Y-o-Y and pre-provision operating profit was 3,664 up 30% Y-o-Y. Talking about the AUM for the quarter consolidated AUM grew by 22% on a Y-o-Y basis and 2% on a quarter-on-quarter basis to around INR78,960 crores.

Further dissecting the AUM, our core product driven by home loan, gold loan, digital loan, microfinance, and LAP so the gold loan had a degrowth, the core products in aggregate grew by around 25% and 4% Q-on-Q. The segment now comprises of 97% on a retail book perspective because the CRE book de-grew by around 31%. Our gross NPA is marginally high at 2.3% for the reason that Nirmal explained earlier and the net NPA is around 1.2% which is up by 48 basis point and 11 basis point respectively when you compare with

the same period last year. Our

series guidance has been 2% of gross and 1% of NPA. We have slightly digressed there but we're going to come back to those numbers in the soonest time possible.

With the implementation of the excess credit loss under Ind AS, our present coverage ratio stands healthy at around 104% and during this quarter as Nirmal mentioned the real estate AIF investments were matured and these assets along with two CRE accounts have been transferred to an ARC since there was a higher expectation with regard to recovery time for the ARCs. In line for our capital optimization strategy 36% of our AUM is either assigned or co-lent to banks as of March 24 and going forward we will see our relationship going forward in additional products like business loans and home loans on the co-lending side. The assigned loan book stands at INR16,488 crores down by 3% Y-o-Y and 12% on a quarter-on-quarter basis. Besides this, co-lending assets are at INR11,639 crores up 54%.

Our quarterly average cost of borrowing has increased by 20 basis point Y-o-Y and 6 basis point to 9.13 as on 31st of March. Now a brief update on our liquidity position. So during the quarter, we raised INR5,531 crores. Prominent among them was INR1,271 crores that we raised through the rights issue in May and INR500 crores that we raised through the NCD that we borrowed in the month of March. Our cash and cash equivalents stands at around INR6,559 crores.

This is adequate for us not just to meet our near-term liabilities but also to fund our growth as we go forward. We have a positive ALM whereby our inflows cover or exceed expected outflow across all our buckets. And our net gearing stands at 3.7% not considering the INR1,271 crores that we raised in the month of May. Our annualized ROE for the quarter stood at 14.6 while ROA stood strong at 2.9%. For the full year, it was 18.4% ROE and ROA is now 3.4%.

Our basic earnings per share for the quarter is INR9.8 per share and fiscal 24, it was INR46.3 per share. To summarize, as of March 24, our capital adequacy ratio for NBFC is 19.7. If I would have considered the equity raise in the month of March, this capital adequacy would have

been healthier at around 26%. Housing finance capital adequacy was 42.8 and Samasta was 24%. So with this, I hand over the mic back to Nirmal for any Q&A that you open the floor now.
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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhaval from DSP. Please go ahead.

Dhaval: Yes, hi. Thanks for the opportunity. I have a couple of questions on the opening commentary. First is relating to the fair value impact. Just wanted to understand, versus our last valuation, how much was the cut down in our final realisation. And so just if you can spend a minute more to explain what led to this markdown given that generally real estate market is, doing reasonably well. So just any specific reason for the sort of reduction in the value? So that's the first question. And second is relating to, you know, just given that the bulk of the quarter is behind for 1Q, if you could just update on the liquidity position as well as on the growth across all the three businesses, how do you see that for the rest of the year? And also if you can give some perspective around assignment income, how that is likely to shape up in the current financial year? Yes, thanks.

Nirmal Jain: Thanks, Dhaval. So the markdown has two components. One is AR C, the security receipts that we have. And the second is AIF units that we sold. So in case of AR C, there's a valuation done for SR, there's a fair value which is done every quarter. And so, the real estate market is good. That is a fact and there's no denying that. But this quarter -on-quarter valuation, they basically take the realization, the

flow of interest, and many other things.

So how rating agencies do this, I also don't have 100% insight into it. But these valuations are done quarter over quarter basis. My perception is that, given that there's general caution with the regulatory stringency that we are seeing, that people are becoming more conservative in terms of how they value the SR. But whatever we realize, so we get our component of SR, which is maybe more -- typically is around 85% in the many of the transaction that we have done. So to that extent, this becomes like a temporary thing. Because ultimately, what we realize the bulk of it comes to you. Most of it comes to you. So the second component is AIF, which is where we have again, real estate assets. So, these units, again, when they are sold to AR C, the typically 85% SR remains with us. And there again, because we had to do this transaction a little quicker in the month of March, and everybody wants to be a little more conservative today when they value these assets. So the fair value was done every quarter, and we could have let it run the full course till first of June.

But there was concern about AIF, which RBI has raised several points in time, that regulated entities should not have their loan accounts or these assets in the AIF. Now, this is a very little bit of a tricky case because RBI regulations said that last 12 months, these assets were transferred three years ago. But when they were transferred 12 months before that, they were on our books. So the AIF also had been transferred at a negotiated value. And in case we realize more that the real estate market is good, then that will come as a gain on the SRs that we hold.

The second question about growth. As I said that in the home finance, we are seeing that the growth is, the disbursements has normalized. They are at a level maybe similar to what it was in the first quarter of last year.

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Maybe, and then going forward in the next few quarters, we'll see growth as the environment also has become positive with Prime Minister announcing the reinstatement of affordable housing scheme and the incentive for the same. And I think the third question was about assignment income. So gold loan assignments have not happened, obviously, because of the RBI embargo. To that extent, assignment income will be impacted incrementally, because whatever we could have got on this and the other income will run down over a period of time.

And in Housing Finance, I think assignments will go at normal course. But in any case, if you see our last year's Housing Finance, then there was hardly any incremental assignment income, which is upfront is almost negligible now. It's zero. It's negligible. And therefore, we don't see any Y-o-Y impact there.

Dhaval: Just one follow up on the first point on the AIF unit. Just these were transacted by 360 One for us and were largely sold to private investors, because...

Nirmal Jain: No, 360 One is not involved in this at all.

Dhaval: Okay.

Nirmal Jain: So there's no 360 One in this. It was straight away sold to ARC.

Dhaval: Straight away sold to ARC and got it.

Nirmal Jain: In the fund, I think 36 0 One had a INR1 crores investment originally, but that remains. So there's no change there. But other than that, 36 0 One has no involvement in this.

Dhaval: And just one final thing on the NSE stake that we bought. Any update on that? Have we monetized that in this quarter?

Nirmal Jain: So I think that has been bought in this quarter, June quarter. And by the end of the quarter, most likely it will be liquidated. And whatever gain or difference will be accrued in this quarter, June quarter.

Moderator: Thank you. The next question comes from the line of Anusha Raheja. Sorry, that's Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: So I just wanted to underst

and now, because of this uncertainty, even our cost th is quarter has gone up, right? When the cost -to-income is on a higher note. So how do we see that the cost -to-income in this year, FY '25? I mean, will it normalize, or will it stay at these range?

Nirmal Jain: Yes. I think the cost -to-income also – now, t here are two. One is the total absolute cost might come down a little bit because although we have not retrenched or we are not reducing manpower as such, but the variable component may become lesser with the business and whatever cost control measures tha t we are taking. But cost -to-income ratio may remain a little more elevated because our gold loan book has run down. And obviously, the income that we get, the net interest margin, which we are getting, say, on INR26,000 crores on March and actually would have grown further in the month of March will be significantly lower.

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But once the ban is lifted, I think it'll take a couple of quarters or a few months for us to try and gain our market share as much as possible. But because the income will be impacted, the total AUM is impacted, cost -to-income will be impacted this year , at least for this year nega tively.

Deepak Poddar: So absolute level, I mean, I think this quarter, it was around INR1,060 crores, right? So on an absolute level, going forward, maybe it will be around that range only, right?

Nirmal Jain: It should taper off a little bit with the savings and variable and whatever we are able to achieve. But it won't be significantly different, but it should be a little lower.

Deepak Poddar: Okay. And I got that point. And on the gold loan side...

Nirmal Jain: Our consolidated quarterly operating cost is INR769 crores. INR769 crores that is the number that you're referring to, right?

Deepak Poddar: Yes. This quarter, it was about INR1,060 crores, right, on the operating cost?

Nirmal Jain: No. I don't know which number you're referring to.

Deepak Podda r: Yes. The consolidated operating expenses, right?

Nirmal Jain: Consolidated operating expenses for the quarter is INR769 crores.

Deepak Poddar: No. So it includes those fair value, adjustment as well.

Nirmal Jain: Fair value is one off. So I don't thin k that INR200 crores loss, should not come back. I mean, that is that is not recurring. The operating cost component is INR769 crores, not INR1,000 crores. Fair value as I explained, that is the one-off thing. Yes.

Deepak Poddar: And do we have any kind of understanding on the gold loan side? I mean, will this ban be lifted or how soon we expect it? So any kind of comment would be helpful?

Nirmal Jain : No. Actually, it's all with RBI. So I don't have any more insight into this. We are engaging with the RBI. We are trying to satisfy and make sure that we meet all the requirements that they have.

Deepak Poddar: Correct. Fair enough. And, I mean, do we want to taper off the growth outlook that we had given earlier in terms of this year 25% growth? So what mayb e the range we may look at right now given the consensus?

Nirmal Jain : I don't think, at this point in time, we can give any outlook or guidance on growth. The thing is RBI ban has to be lifted. So, our focus will be in compliance this year and the complia nce, risk management and control. So, there's no guidance for growth that we can give.

Deepak Poddar: That's fair. I think that's it from my side, sir. All the very best. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Tibre wal from Motilal Oswal. Please go ahead.

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Abhijit Tibrewal: Yes. Good afternoon. Thank you. Sir, first question was on, the SRs. What is the total quantum of SRs that we have on our balance sheet? And against them, what are the provisions that we're holding today?

Nirmal Jain: So SRs are valued at

fair value. So every quarter, the ARC basically do to valuation of them.

And so we have SRs for all businesses, in terms of microfinance, SME and construction and real estate finance. So I think on the standalone NBFC it is a little less than INR3,000 crores.

Abhijit Tibrewal: Okay. So in the Standalone of NBFC, we have total quantum of SRs, which are less than 2,000 crores?

Nirmal Jain: Less than 3,000 crores.

Abhijit Tibrewal: INR3,000 crores, okay. And versus this INR3,000 crores of SRs, how much provisions will we be holding on them?

Management: As mentioned, they are marked down. So, depending on the valuation that you get. Yes, so there's a fair value, which is done. So, basically, the provision is taken care of the fair value.

Abhijit Tibrewal: Got it, got it. So, secondly, on gold loan...

Nirmal Jain: So, we have marked them down by almost INR100 crores.

Abhijit Tibrewal: So, secondly on gold loans, I just wanted to understand why you have already said, I mean, the ball is now in RBI's court. But just wanted to understand, after the special audit was concluded, what kind of conversations we've had with the RBI? And secondly, in gold loans, are we taking any cost rationalization measures?

Nirmal Jain: So, we are having a very positive engagement with RBI. We are taking their guidance and trying to come up, to make sure that there's 100% and highest adherence to the compliance. Cost rationalization measure, I said no, because we have a fairly well-trained team and a business that has been built over the last 14 years assiduously.

So, we don't want to do any cost-cutting because customers jewellery is in our custody, and we hope that we should be able to resume business quickly. So, at this point in time, I think we are running the entire infrastructure as is. And we are doing all the necessary steps required to make sure that we retain all our people as much as is possible.

Abhijit Tibrewal: In your opening remarks, you suggested right that gold loans are a little less than INR16,000 crores. Now, this is as of May or as of date?

Nirmal Jain: As of date.

Abhijit Tibrewal: And so, I mean, has gold loans seen, especially employees in gold loans, have we seen any significant attrition, especially the front-line staff?

Nirmal Jain: There's normal attrition, which has been there historically, but there's no additional attrition that we have seen. So, in the entire crisis, we've been able to hold back our people and make sure

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that the customers are not inconvenienced, and they're serviced properly. Actually, it's just coincidental that last year we had announced a golden ESOP scheme where many of our old employees were given three-year bullet-resting ESOPs at INR10, regardless of the stock price. Obviously, those stocks are significantly in the money and people expect to build their wealth and that has been a good retention tool. But other than that, we are engaging with our people and most of them are old, loyal, trusted people and they have full confidence and faith in the company's business and our ability to steer clear of this.

Abhijit Tibrewal: And so, my last question is, again, kind of circling back on liquidity and cost of borrowings.

Understandably, you might not have had to borrow a lot incrementally after the gold loan ban, but how is it the engagement with banks or that market participants going on after the ban?

And I think in your commentary or the press release, we said that we are now kind of thinking about more controlled AUM growth. So, understandably, until the time this ban gets lifted it's difficult to really guide on AUM growth targets but at least are we kind of looking at more moderated growth going ahead given that you spoke about gold loans will start going only after the ban gets revoked. In microfinance, we are again kind of looking at s

ome calibration. So,

other than maybe digital loans and housing finance, we are seeing some moderation going ahead.

Nirmal Jain: I think I don't want to speculate about growth, and I don't think that it would be right to say it will moderate or not moderate. But what I'm trying to say is that we don't want to give any guidance on growth. And this year, primarily we want to make sure that our assurance functions, which comprise of risk management, audit, and compliance they should become full proof.

They should become something like industry benchmark. And in terms of the organizational goals, growth becomes secondary. But that doesn't mean that there's any guidance of a slowdown or acceleration of growth. But the best is that there's no guidance for growth. That is what I would like to put it. Secondly, in terms of liquidity, we have INR6,559 crores of liquidity as of March end which is fairly comfortable.

Even today, our liquidity is quite comfortable. And even before the crisis we had always been conservative and kept our liquidity which is enough to cover the contractual liabilities for the 6 to 12 months in the foreseeable period. So, we have not faced any liquidity issue as such. And even continuing, I think liquidity is not the challenge right now. But what we need to put together is that once RBI's positive action is there then we can resume our business.

Abhijit Tibrewal: Just to sum that up, I mean suffice to say that if at all we see any controlled growth going ahead, that will not be because liquidity is something that is constraining. This is all that I was kind of trying to understand.

Nirmal Jain: I mean, I won't put an adjective of controlled growth, but yes, liquidity is not a constraint for whatever growth you have to achieve.

Abhijit Tibrewal: Got it. So, that's all from my side. That's all from my side. Thank you very much and wish you the very best.

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Mod erator: Thank you. The next question is from the line of Pranay Jhaveri from JNJ Holdings Private Limited. Please go ahead.

Pranay Jhaveri: Good afternoon, sir. Thank you for this opportunity. This is just one question from my side. Can you just elaborate on your comment earlier which you made on microfinance? Thank you.

Nirmal Jain: In terms of what, what was the comment about microfinance?

Pranay Jhaveri: Basically, you will see in the book, degrowth or basically the disbursements are quite slow.

Nirmal Jain: Yes, basically, microfinance growth has been slower in this quarter, in the current quarter that we are seeing. So, microfinance business, historically, last year has grown much faster. Now, you know, actually, when we talk about growth, growth is neither a problem or a solution, but when there's a growth that can be a source of the problem.

So what I'm saying is that we don't have growth as primary objective this year. Our primary objective is to make sure that our assurance functions are robust, our systems and processes are such that they're completely fail-proof and they meet in absolutely 100% the regulations in letter and spirit. So that is what the objective is.

Now, in microfinance, there are two things that have happened. One is we are trying to make sure that our compliance is strengthened further there. And two is that after the RBI embargo, the banks have been cautious in lending incremental credit to this business, microfinance. And we also see that as an opportunity to make sure that we make our systems and processes more robust and make sure that there's a reassessment of our control system.

So one or two quarters of microfinance will remain slow. And that actually gives us an opportunity to make sure that our house is fully robust and properly in order. But that is what I got in my commentary on microfinance.

Pranay Jhaveri: So just one clarification here that will be helpful. So is this b

ecause of the embargo of RBI for the gold loan business or there is something...?

Nirmal Jain: What happens is that, yes, embargo of RBI for gold loan business, the banks have become cautious about lending to all the businesses. But in case of housing finance, we have raised equity capital, and we have a fairly robust capital adequacy that you see there. And also, it's an entity which is regulated by NHB as well. And in terms, so all the businesses work differently and separately, but microfinance credit lines have been impacted more.

Pranay Jhaveri: So this would be on the liability side. Because we are hearing some noise of RBI in terms of higher interest being charged. Is there something to do with that?

Nirmal Jain: In the entire microfinance sector, actually. So yes, there has been RBI concern about these things. And everybody, I think, the association is also looking at it about the interest rates and many other things about the industry. See, this industry long term has tremendous potential, and it serves a very good social cause because people at the bottom of the pyramid, even if they borrow at 22% or 24%, what is the current rate typically in the microfinance industry, this is my

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understanding, but obviously and I don't have any authentic research in my hand, but obviously, with our people, with our branches and whatever feedback we get from our customers, the alternative cost of funding for these customers at the bottom of the pyramid would be significantly higher or complete non-availability of capital. And even by paying this kind of interest rate, most of them see significant improvement in their living standards. They are like handicraft or people who are vegetable vendor or those who are in certain cottage industry. For them, capital is such a constraint that if some small amount of capital also can basically change their lives. So the industry has a good purpose and a good cause, but there are certain regulatory practices which may get tightened and obviously, industry and regulators will work together for that.

Pranay Jhaveri: Great. So to sum it up, do we see AUM degrowth?

Nirmal Jain: In this quarter?

Pranay Jhaveri: No, for this whole year.

Nirmal Jain: I don't think so. I think we should be able to catch up over a period of time, over the rest of the year.

Pranay Jhaveri: So, like a flattish year for microfinance this year?

Nirmal Jain: I'm saying it's difficult to give guidance, but what we have to do is that, if there's enough, the industry will grow, we'll participate in that. This quarter may be slow, but in next quarter, as we get very confident about our assurance, we might be in line with the industry. So it's very difficult to give guidance, but we really have to see how things evolve from here.

Pranay Jhaveri: Fair enough. Thank you so much, sir. Thank you.

Moderator: The next question is from the line of Anand Laddha, from HDFC Mutual Fund. Please go ahead.

Anand Laddha: Hello, sir. Sir, if you can give some more clarification on the value of SR. So what is the gross value of SR at the console level we are holding? And what is the current markdown value of those SR?

Nirmal Jain: I don't have these numbers readily with me, but we can figure out. So what happens in case of SR is, I don't think that the concept, the way it works, the accounting and the INDAS, is that they're valued every quarter and they're just like in all the stocks or any other asset for that matter and then you take the value. So many times, the value goes up with the accrued interest as well as the gain that is there, but I don't have those gross value markdown number, but we value at the basis, the fair value, what we get from the ARC, so.

Anand Laddha: Okay. But, sir, we would at least have the markdown value of those SR we are holding today?

Nirmal Jain: Well, I'll tell

you why it becomes very difficult to do that. Because once you have SR and whatever repayment has come, that basically keeps adjusting the value. So the value, the gross value, supposing two years ago or three years ago, we had issued certain SR, there have been IIFL Finance Limited
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quite a few repayments done over a period of time. There may be small, small repayments, but every quarter they come, they also keep adjusting the value. Plus, there's a pool which keeps changing over a period of time.

So it is not an instrument which is static because if there's a repayment, NAV goes down and then there's the mark-to-market up or down, so it keeps changing every quarter. And it's a pool, so some of the SRs would have been issued last quarter, some of the SRs would have been issued two quarters, three quarters, one year, two year back, so it's all, to segregate and find out gross value will be very difficult. It will be very different for every SR.

Anand Laddha: Okay. So I'll take that offline. Sir, if you can give some clarification on the NSE transaction we did, sir. It's not a usual business transaction. So at one instance, we are taking a liquidity support from Fairfax, one of our large stakeholder, and at the end of the transaction, we are buying some equity from them. So if you can give some rationale for this NSE transaction.

Nirmal Jain: So as per our internal treasury policy, out of the liquidity that we have, a small percentage can be put into, say, such as equity, IPO, or other equity-related instruments, but with a short-term objective. Now, this transaction was contracted before the RBI order, which is before 4th of March. But I don't know, as a group, we have more than 2% of NSE in various funds of our 360One and others.

And therefore, the approval process is a little longer. And NSE took more than a couple of months to approve the transaction. But obviously, Fairfax had contracted the trade before the order, and the approval came later, but both the parties committed to honour the contract. And that's how the transaction culminated after the order. And that is when it came to the public as well as the limelight, in terms of discussion. But having said that, as I said, that as per our treasury policy basically, these equity instruments are only for short duration. So they'll be liquidated during this quarter. And so I think, I mean, does that answer your question?

Anand Laddha: Perfect, sir. So lastly, on the NPA, we have seen some increase in gross NPA in the Gold Loan as well as developer loans. So if you can give some colour on the same.

Nirmal Jain: So I think I explained in my preamble that with Gold Loan, there are rollover cases where earlier we took a view that if the loans are less than 75%, we can take it as a new loan or we can deem it as a new loan. But auditors have taken a view that that is not the case. And these have to be treated as NPA. But then we have rolled over for the customer, we can't really press the customer for repayment faster. So we'll wait for the rollover period to get over. So in this quarter, next quarter, they'll come back to normalcy.

But as I said, in our Gold Loan portfolio, almost the book has reduced by 40%. But we did not have any case of a customer complaint or a loss or any other problem for that matter, so this is about the Gold Loan rollover. In case of construction loan, there's one case, one loan of around INR50-60 crores or so, where there is a one-quarter delay in the payment.

But we have a fairly strong quality cover there. But that has to be classified as NPA because

GNPA for the quarter . Because now the book also has become smaller after the ARC transfer.
So on the smaller book, that

INR 50-60 crores also becomes significant.

Anand Laddha: Perfect, sir. And lastly, sir, on the housing finance business, at least you don't have any liquidity challenge in that business and that business can continue to grow.

Nirmal Jain: Yes, Monu is here with me. Maybe he can talk, share his thoughts on this.

Monu Ratra : Yes, hi, Anand. So in housing finance, usually, as you know, the Q1s are a bit muted because a lot of changes happen. But keeping that in light, we are very much the way Q1s are. And our disbursements of housing finance business are as usual as they would be in a quarter one. So this was as per our annual plan as well. So we are doing pretty fine there.

Anand Laddha: Perfect, sir. That's from my side, sir. Thank you.

Moderator: Thank you. The next question is from the line of Anusha Raheja from the Dalal & Broacha. Please go ahead.

Anusha Raheja: Yes, thanks for taking my question. So you had AIF exposure amounting to around INR1,200 - odd crores, which was supposed to get matured. So, I mean, the loss rate is notional, or you have booked it? It's a realized one?

Nirmal Jain: No, it is not. So this loss can be recouped if these assets basically realize, although 85% of loss can be recouped because if there's a higher realization, then this SR, 85% share comes to us.

Anusha Raheja: Okay. And so in Q1, so can we expect normalization in the gold loan entries, or do we expect the rise in the NPA and the gold loans to continue in the Q1 as well?

Nirmal Jain: No, I think NPA in gold loans will get normalized partly this quarter, partly next quarter. But hopefully next, by next quarter, more or less, they will be in line with the historical normal trend.

Anusha Raheja: And what's the resulting rise in commercial real estate loans NPA?

Nirmal Jain: there's one loan where the instalment was not paid and it became over 90 BPD, so it had to be classified as NPA.

Anusha Raheja: Okay, sir. Thank you.

Moderator: The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: So my question's on the standalone business. So in the period where there's a contraction in gold loans and you can't disburse, you'll still be maintaining the infrastructure, the people, branches, all of that. So that cost will obviously stay on the book. So is there any alternate business that you are planning to do in the meanwhile? Or just how do you plan to use that infrastructure? Or did you just maintain it and wait for the approval from the RBI? What's the strategy there?

Nirmal Jain: No, it's a good question, Abhishek. So we thought and internally we deliberated and debated a lot on this. So one is that the people are still in gold loan while we have tried to train them in

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unsecured business loan as well as LAP. And also, they're cross-selling insurance and other products. But because the core is gold and as we expect that maybe in a short time, we should be able to resume our business, based on that premise, we have not disturbed that infrastructure. But what we have done is that we have told our people to engage with customers and track them carefully, service them properly, so that whenever business resumes, we can get back our old loyal customers as quickly as possible. So that's a call one has to take.

And so in terms of -- I don't think we'll diversify in terms of strategic focus but the product that in any case we've been doing where we have the core competency that is where we can use the branches more intensively. Because what happens is that it's just a matter of a few months and any new business product matter will take a few years to stabilize go up the learning curve and get critical mass. So we thought that we'll stay put. We'll do certain cross-sell and mitigate the damage. But other than that, we'll wait for the gold loan business

to resume.

Abhishek Murarka: I was thinking of something like sourcing the gold loan for a bank where you can keep using your customer and you're not deploying anything to the bank.

Nirmal Jain: I think we can become a business correspondent and source 100% for the bank. That is not something which is prohibited. Now the challenge is that every integration in terms of process, technology is fairly long particularly with banks. Because even in co-lending, it takes six to nine months because almost in the real time KYC check and a credit underwriting is done. So what is happening is that we tried to pilot this, but we realized that if the normal business operations

will resume say in a short time, say a few weeks then it may not be worth the effort to change the course because it's a huge effort.

And then when the colending starts then we are already tried and tested for colending . So we can do all our other activities quicker if we don't digress. That is what the thought is. But we have piloted, we have talked to a few banks, and we are still working on it. We are keeping it ready as a backup emergency plan in case there's an inordinate delay. There the margins are also different and there are many other implications in terms of process flow , technology and integration.

Abhishek Murarka: And in terms of the RBI conversation, while I understand there won't be any timeline, yourself might be a little unsure of the timeline but after the RBI comes back then how long does it take for you to restart? Let's say whenever they come back.

Nirmal Jain: We have been engaging with RBI they've been supportive, and they've been helping us understand the issues and how to navigate. But whenever the ban is lifted, we can come back quickly because immediately the next day we can start the business. Now the question is that the bank credit lines , typically banks also take some time to process the application, which can take about a month to month and a half, but we already have liquidity cushion .

So the colending and many other of these transitions can start very quickly immediately, maybe on the next day or within a week, if I had to be maybe a little more conservative but I think the business will start immediately. And it gathers momentum as we go along. Within a month or two months, we'll try and get back to the disbursement level that we were. And within a few

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months maybe six months, we'll try and get back, we'll hope to or look forward to get significant part of the market share back.

Abhishek Murarka: And just lastly, in terms of MFI , so till the time the ban lasts, you expect some liquidity tightness to continue, or can that be independent of the ban and slowly lenders get comfortable and start lending more? How do you see?

Nirmal Jain: In microfinance, Venkat has joined the Board and we also got very marquee people on the board.

And the business model is also under review and we are making sure that it is robust from long term point of view. So hopefully, that business , in terms of the disbursement , pace should pick up from next quarter and we'll accelerate from there.

Abhishek Murarka: Okay, thank you, Nirmal , all the best.

Nirmal Jain: Thanks, Abhishek. Thanks a lot.

Moderator: Thank you. The next question is from the line of Dhaval from DSP. Please go ahead.

Dhaval: Thanks for the follow up. Just a few more questions. First is on this running cost of the gold loan business now. Nirmal, if you can just give some perspective on it. And also, what's the potential runoff that we expect in the next couple of months? So that's one part. And the second is on the NPA in the digital PL book, while the book is small . But just any thoughts of seasonally 4Q is normally a good quarter. So any specific reason? And are you seeing some bit of pullback in 1Q or it's?

Nirmal Jain: I think

your voice is getting a little muffled. Your first question was, what is the running cost of gold loan?

Dhaval: Yes, running cost of gold loan. And the runoff that is expected in the next couple of months in the book. And the second question was relating to the digital PL book. We've seen a spike in the NPA in the fourth quarter, which is a seasonally good quarter. Just is that getting arrested in 1Q or is it likely to deteriorate further? And what's the course direction that we're taking in that portfolio?

Nirmal Jain: So gold loan, our standalone running cost is around the INR360 crores in a quarter, which is around INR120 crores per month. But that includes the top management cost as well as business loan. And significant part of that cost is difficult to separate. So that is one thing. Second thing is about digital finance. That book has a higher yield and slightly higher losses also. But over medium to long term, I think business still is profitable and generates the required RO A. Now in that business, what has happened is that we have in terms of small ticket business loan, what we're doing is smaller and smaller. As you become granular, your yield goes up or yield is maintained at a higher level.

And your NPAs may go up a little bit. So, I think that's the character of that business. But what we have done in that business also is that there are certain changes that we have done in terms of the credit underwriting process as well as the ticket size. So, what you will see in this year is that ticket size might improve a little bit and the GNPA's will fall.

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So, if you say from FY'24 and FY'25 end, then our internal business strategic plan is basically to bring down the GNPA's which are between 3% and 4% to closer or maybe less than 3% or more closer to that. And that might impact yield a little bit, but broadly, I think that we should be aligned with that. And the business will have robust growth this year also.

Dhaval: And sorry, let me just comment, runoff in the gold book, that's roughly about INR3,000 crores kind of number per month?

Nirmal Jain: So, runoff in the gold book is almost about 10% per month.

Dhaval: 10% per month. And does it accelerate in the rest of the year because of the residual maturity being now relatively lower compared to when we started? So, does the principal runoff accelerate as we progress month after month?

Nirmal Jain: Not really, because at any point in time, you have a book which has different residual maturity. So like, supposing March, when we had a pause, so there would have been loads of Feb, Jan, December, and going back. So broadly, there won't be any acceleration in the runoff. But as the book goes down, the absolute amount of runoff will also go down.

Dhaval: And just to the question that Abhishek asked around this alternate option, including the BC one that you talked about, at what point do we decide to sort of move in that direction. Is there a particular timeline that you have in mind around which we think of this INR120 crores fixed cost that we have largely to re-utilize that in other ways?

Nirmal Jain: So I think, by September, hopefully. When we've been engaging with RBI and we are taking their guidance, and they're very supportive in making us understand, and they're also understanding the problems and the issues that we are going through. So, I think what they want is also the compliance is done, then they also want the business to resume and support.

So, there's no reason to be really pessimistic about this business as such. But still to answer your question, if these things continue for three more months, then obviously we'll look for, or maybe two months to three months more, then we'll look for alternate plans, which is, maybe a significant cut in cost, or the other businesses as such.

Dhaval: And our audit for FY'24 will be started

anytime, or it's already underway, the RBI audit?

Nirmal Jain: So, the audit cycle has started, so maybe the next year, FY'24 audit will start anytime. I really have no idea on that, but that can start at any point in time now. I think it starts from July, if I'm not mistaken, I think there are many NBFCs, so they take it up from July onwards.

Moderator: Thank you. The next question is from the line of Gokul Raj from Bavaria Industries Group. Please go ahead.

Gokul Raj: Hi, Nirmal. Any updates on the business...

Moderator: Sorry to interrupt, but the line is not very clear. We're getting a slight echo as well from your line.

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Gokul Raj: Yes, I was wanting an update on the business loan because all the other three segments have been updated, so any update on the business loans?

Nirmal Jain: Business loan has many segments. One is unsecured business loan, the second is supply chain financing, and the third is loan against property. On a smaller base, that business has been growing at a normal pace as it was growing in the last quarter. So that business on a relatively smaller base will continue to grow this year.

Gokul Raj: Because of the business loan in the standalone NBFC, has that had a huge impact or that is continuing as per your plan?

Nirmal Jain: No, the standalone NBFC, the business continues in standalone NBFC, and so the disbursements are at normal pace.

Gokul Raj: Thank you. Best wishes.

Moderator: Thank you. That was the last question, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Management: Thank you very much, ladies and gentlemen, for joining this call and for your patience hearing. For any further queries, you may reach out to the investor relations team, and we'll be happy to address any query that you might have any further. Thank you very much and connect back with you soon. Yes, thank you so much. Thank you all the investors for being on the call and your support. Thank you.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

IIFL Finance Limited

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August 14, 2024

The Manager,
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BSE Scrip Code: 532636 The Manager,
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Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
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NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , and further to our earlier intimation regarding the earnings conference call for the quarter ended June 30 , 2024 , please find attached herewith trans cript of the said earnings conference call which was held on August 7 , 2024 .

The same is also made available on the website of the Company i.e.
<https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Mauli Agarwal
Company Secretary & Compliance Officer
Email Id: csteam@iifl.com
Place: Mumbai

Encl: as above

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"IIFL Finance Limited
Q1 FY '25 Earnings Conference Call "

August 0 7, 2024

MANAGEMENT : MR. NIRMAL JAIN – FOUNDER & MANAGING
DIRECTOR , IIFL FINANCE LIMITED
MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER - IIFL
FINANCE LIMITED
MR. MONU RATRA – CHIEF EXECUTIVE OFFICER -
IIFL HOME FINANCE LIMITED
MR. VENKATESH N – CHIEF EXECUTIVE OFFICER -
IIFL SAMASTA FINANCE LIMITED

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August 07, 2024

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Moderator: Ladies and gentlemen, good day and welcome to IIFL Finance Q1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapish Jain – Chief Financial Officer , IIFL Finance.

Thank you and over to you , sir.

Kapish Jain: Thank you very much. A very good afternoon, ladies, and gentlemen. Thank you very much for taking your time out to our Quarter 1 Fiscal '25 Earnings Call.

I have with me in this call Mr. Nirmal Jain – Founder and MD of IIFL Finance , and we also have Mr. Monu Ratra – CEO of IIFL Home Finance , we have Mr. Venkatesh, who is the CEO for IIFL Samasta Finance , and the rest of the Management Team as well .

I will now hand over the call to Nirmal to give his opening remarks . Nirmal, over to you.

Nirmal Jain : Thank you, Kapish . Good afternoon to all the participants and good morning to people who are joining from UK or some other geographies.

In terms of updates, maybe I will start with an update on the RBI , because that has been the most significant event in our Company , and I am sure that most of the investors will be anxious to know more about it.

So, the RBI order had come on 4th of March where it ordered to cease and desist of sanctioning and disbursing gold loans and assigning and securitizing as well. However, the order allowed us to continue servicing the gold loan portfolio through usual collection and recovery.

The supervisory concerns by RBI were there in the Press Release done by the RBI, which related to deviations in assaying and certifying purity at the time of loan sanction and auction , the cash transactions above Rs. 20,000 of loan disbursements , the standard auction process recommended by RBI in Master Direction was not followed. And then there were issues related to loan -to-value breaches, which again were linked to the purity certified at the time of sanction and at the time of auction.

So, in terms of Company 's response, we have ensured that there's a full compliance , all the remedial actions have been taken. And we have made sure that we have full adherence to not only the findings in the inspection and the order, but also all the RBI directives and guidelines which are there in the Master Direction for NB FC. And we have also done the root cause analysis for the deviation to make sure that there's no recurrence of these issues.

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Further, we have also done management strengthening. We have hired a few people at the CXO level , and we are in the process of hiring few more to strengthen our senior management team

and also the entire assurance organizations. So, that means that even at the mid-level and low-level we are enhancing the resources.

The assurance organization comprises risk, audit, and compliance. A special audit was commissioned by RBI and that has been completed on May 27, a couple of months ago. And we believe that it was satisfactory, and verified and validated all the compliances that we had done. And the same was again verified by the internal audit team and internal auditors of the Company and reviewed by the Audit Committee. And that compliance certificate also has been submitted to RBI, as required.

Impact on the business has been very significant, as you have seen in the financial numbers. And then there's a disclosure of gold loan AUM currently, which is as of August 5th that is as of day before yesterday. So, the gold loan AUM which was a little above Rs. 26,000 crore has fallen to Rs. 1

2,162 crores, so it is less than half. More than a million customer accounts have closed their accounts and safely taken their jewellery. And as you are aware that many of these loans were co-lending arrangement with the banks and the direct assignment to the banks, so we had paid about Rs. 13,500 crores to banks from the liquidation and realization of these loans.

A very important thing here, from a longer-term perspective is to note that, while more than half of the gold loan assets have been liquidated, funds have been repaid to banks and jewelry has been returned to customers, without any issue of any significance about customer satisfaction, asset quality or our operations. That demonstrates that there's a robust asset quality in operations. This kind of trial by fire is faced very seldom by any financial institution. But I think this is a true test of the quality of assets that only when you start liquidating do you know whether the assets realize or not.

In terms of future outlook, we are committed to make sure that there is full compliance in terms of letter and spirit, and we are engaging with the RBI and communicating with them. And we expect that RBI will lift the restrictions in a short time from now. The RBI processes are involved and therefore we cannot have any certainty of when this will happen. But we anticipate that to happen at an early date. We are dedicated, obviously, we will not only survive but come out stronger from this in terms of our systems, our processes, and our risk management, as well as our compliance. So, all our businesses are continuing. We have not retrenched any employee, nor have we shut down any branch. So, we continue to be confident and optimistic about our resumption of normal business as soon as possible.

Other than this, in terms of environment, as you are aware that economy has been doing well, but a very brief overview of all our businesses:

Gold loan business has suspended at this point in time; however, gold prices have been firm. And secondly about our business loan and digital finance, our entire focus is now on MSME, and that business has been growing well at a steady pace. And on the small base it is growing

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quite well. And we believe that from a long-term perspective our branches can contribute significantly to the business. So, in this time period of last five months, we have trained our branches to handle this business as well. It's a long process, but it's on the way.

Our home loan business has seen a slack quarter in April to June. But the government has come out with very strong support and impetus for this business. They allocated significantly higher resources for affordable housing. So, we expect that this business, which had a relatively slow growth rate in last one or two years, will also have stronger growth. And we are fully prepared to seize the opportunity.

In microfinance, business has also been impacted by the squeeze of credit lines by banks in the wake of orders on our gold loan business. Also, in the last quarter due to election, the asset quality has suffered, and the provisions and losses remain at an elevated level in this business in this quarter also. But this is in line with the industry trends at this point in time. Maybe Venkatesh will speak a little more about it later in our Q&A, where there's an impact of guidance by MFN also on the maximum number of loans which the customer should take, and the amount is linked to the income.

With this, I hand it over to Kapish to take you through the Financials in more granular detail.

And then we can have the Q&A. Thank you.

Kapish Jain: Thanks a lot, Nirmal. Our Investor Presentation is on our Website and it has now further been detailed out by Company as well, so you can get a differential view as well there. However, just to highlight:

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At a consolidated level for the quarter Q1 FY '25, the profit after tax before non-controlling interest was Rs. 338 crores, down by 28% Y-o-Y and down 21% on quarter-on-quarter basis, for reasons that Nirmal highlighted earlier. We recorded pre-provision operating profit of Rs.

647 crores, down 18% Y-o-Y and down 35% on quarter -on-quarter basis.

For this quarter, consolidated loan AUM grew by 2% on a Y-o-Y basis. If I dissect this by Company, the degrowth in IIFL finance standalone in particular was around 25%. However, both Housing Finance Company and Sama sta entity recorded almost like 20% growth Y -o-Y. On a consol basis, we degrew by around 12% on quarter -on-quarter basis, touching AUM of around Rs. 69,610 crores.

If I further dissect the AUM on our core products, which is largely Microfinance, Gold loan, Home loan, Digital finance and LAP, there we grew Y-o-Y by around 4%, and degrew by around 12% on quarter -on-quarter basis to Rs. 67,853 crores. The core loan AUM now in comparison is 97% of the overall AUM for the firm as a whole.

Our gross NPA stood at around 2.2% and net NPA was around 1.1%, which is up by around 40 basis point and 4 basis points respectively when compared to the same period last year. With the IIFL Finance Limited

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implementation of the expected credit loss under IndAS, provision coverage ratio on NPAs stands at 128%.

In line with our capital optimization strategy, we have done DAs and co-lending in some of our other businesses, and our off book stands at around 35%, which is the aggregate of assigned and co-lending book as of 30th June. The assigned book stood at around Rs. 14,609 crores, which is down by 17% Y-o-Y, and 11% Q -on-Q. And the co-lending assets stand at around Rs. 9,532 crores, which is up 6% Y-o-Y. Our quarterly average cost of borrowing decreased by 2 basis points on Q-on-Q basis and is up by 2 basis points Y -o-Y.

Just to add to what Nirmal highlighted, we additionally also repaid to our capital market lenders close to around Rs. 2,239 crores. So, in aggregate the entire repayments since the embargo to all our lenders have been around Rs. 15,700 crores. In addition to that, we also raised funds in aggregate to around Rs. 2,886 crores through term loan, bond, refinance. And also assigned around Rs. 1,769 crores of other loans.

Our cash and cash equivalents including committing credit lines from banks and institutions was around Rs. 6,853 crores adequate to meet not just some near-term liabilities but also to support growth in some of the other businesses which continue to operate. We have a positive ALM whereby inflows cover exceeds the outflows across all buckets, and with the infusion of capital that we raised in the month of May of '24, our net gearing stands around 2.8x. Supported by that, our capability NBFC entities stood at around 27.8%, for HFC it was 46.5%, and for Samasta it was 27%. Each of them much higher than the minimum threshold of 15% laid down by the regulator. Our overall annualized ROE stood at around 10.3% while ROA was around 2.3%.

The basic earnings per share for the quarter was around Rs. 7.2.

With this I finish my update on the Financial Numbers and open the floor for Q&A, which you can then jointly address. Thank you very much.

Moderator: Thank you very much, Sir. We will now begin the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: I had three questions, first one on gold loans. Nirmal sir, you had shared in the last Quarter's Earnings Call that in case we do not get RBI's approval, or the ban is not lifted, then maybe we will look at sourcing loans for other banks acting as BCs. So, just wanted to check, I mean, while you have already said in your opening remarks that we are ver

very confident that this ban should

be revoked sometime soon, are there other proposals also which have been evaluated? That is on gold loans.

The second one again a related question, I mean, gold loan, while there is a ban, we are also seeing slower disbursements in LAP as well as MFI. MFI you said there is some liquidity problems which are there after there was a ban, so just trying to understand, because when we talk about MFI, the kind or the extent of stress or pain that we are seeing in the sector for some of the other listed MFI players has not shown that kind of a stress on our balance sheet as yet. So, if Venkatesh sir can comment on different states, some color there on the MFI business.

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And lastly, in terms of the ARC transactions that we have done during this quarter, if you can just kind of throw some light on that from the CRE book? And out of the total quantum of S Rs that we have on the balance sheet, what is the provision cover that we have on the S R? Those are a few questions.

Nirmal Jain: Thanks, Abhijit. So, gold loan, proposal is evaluated, but then we discovered that banks have a little longer process to appoint BC which starts with RFP and then you submit a proposal and then there's evaluation. So, we have started participating, I mean, we will participate in it. But

we have all along been engaging with RBI and we believe that if in a short term we are going to restart our lending and co-lending, then it may be unwarranted distraction to the resources as well as process. Because once you start a BC, then obviously banks will expect certain commitment in the volume. And from a commercial point of view, that may not be as viable for our cost structure as the other proposals are, because of the BC structure you get a fee, and the banks probably typically will keep the entire interest income and the margins. So, that is the first question that you had.

The second question is about LAP. So, that was linked to MFI, because a significant part of our LAP was also done by our microfinance Company. So, the LAP which have a very small ticket is done by HFC as well as MFI. But as I said, the MFI in particular has faced relatively higher resistance from banks in terms of opening of credit lines. In fact, after this embargo, most of the banks have basically frozen the credit lines, even the existing ones. And there has been a few trickles here and there. But in case of HFC, we have a higher capital adequacy and also the co-lending and the DA is continuing. And that basically is making sure that we do not have the constraint there as much. But the LAP is also impacted a little bit. Okay, the first part is seasonally slack quarter in the last quarter when you are comparing with Q-on-Q is a significantly better quarter. But they are part of the LAP business, the micro-LAP what we do through MFI has also been impacted.

The third question about CRE and the SRs valuations in the provision. Yes, we have actually transferred a couple of large CRE cases to ARC. And what our experience is that from a long-term point of view that may be a better way to manage these exposures, probably because 90-day income recognition norm for real estate developer and project becomes difficult. Because even once they default, then it goes into NPA and then it's very difficult to do the incremental loan and sustain the project. Now, unlike banks, we really cannot have a DSRA or a debt service reserve account. And therefore, these exposures will be better managed through an ARC structure. In terms of SR provision, the way SRs are valued, and this is the industry practice in line with the standard accounting is, there is a valuation done every quarter by the ARC. And that's a fair value based on the realizable value of the SRs, and that's the value that we take in our books.

oks. So, there is an increase or decrease, that comes into fair value line item in the profit and loss account.

Yes, I think I just responded to all three questions. Can we move to the next line, Abhijit, do you have something more?

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Abhijit Tibrewal: Sir, just wanted to have some more color from Venkatesh sir as well in terms of the sectoral stress which is there in the MFI space today. I mean, not quite seeing that same stress in our book as yet. So, what is the view which is there? I mean, yesterday also there numbers were reported and they talked about very high leverage building up at customers' end, customers having more than five lenders lending to them. And that proportion of such customers were more than four, five lenders has actually shot up significantly in the last 12 months. So, what is our view on this? Thanks.

Venkatesh N.: Good afternoon. I mean, in terms of if you look at recently, the guard rails have been announced by MFIL in terms of number of lenders and what would be the total outstanding per borrower.

But if you look at what we have done internally is, we fixed up this very early. I mean, we did it in January itself in terms of, we bought in some kind of control. We looked at the credit score of customers, and we started implementing. I think we were one of the first ones to implement the, taking the credit score of the customer to lend to a customer. And, we have also started looking at the rule-based engine which has actually been underwritten. There was some certain stress in certain pockets because of elections and continuous rain and certain aspects of it. We have in a very few states like Rajasthan, MP and Orissa have been showing a different color. But we have been able to hold good is because we were able to implement certain things early in the third quarter of last year.

Nirmal Jain: Also, we have relatively lesser exposure to Punjab, which has been more impacted.

Abhijit Tibrewal: What is happening is, I mean, in this quarter when numbers have reported, what was just restricted to Punjab until last quarter is getting much more broad based. Like Venkatesh sir said, Rajasthan, MP, Orissa are also some of the states which were flagged off yesterday, states which are highly impacted or states with no stress compared to other states in India.

Nirmal Jain: That's right.

Moderator: Thank you. The next question is from the line of Rajagopal Ramanathan from Sada Khush.

Please go ahead.

Rajagopal Ramanathan: Just one question, and I would appreciate comments from the management on this. A few years back you sold your vehicle financing business to one of the other NBFCs. That business had significant issues, subsequent to the other NBFC taking it over. You have now had a situation

wherein the gold finance business has seen an embargo imposed by RBI . Sir, what are the learnings that the management has drawn from these episodes ? And can you afford any similar accidents in any other business lines? Thank you.

Nirmal Jain : Thank you, Rajagopal. So, first of all, the commercial vehicle business that we sold , and that was sold in the beginning of I think 2019 sometime . And the diligence and the payment terms are also over a period of more than a year that obviously showed that we had full confidence in the asset quality that we demonstrated to the buyer. Unfortunately, the COVID happened after that and that is when the asset quality would have deteriorated for the buyer . But that should not have any relationship whatsoever to the kind of business that we did , and the asset quality of the IIFL Finance Limited
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business when we sold it. So, just first a clarification for the commercial vehicle business that we sold , because we were very transparent, we were very upfront on what the quality of asset is .

And obviously , there was no deviations from what we represented . But with the unfortunate circumstances of COVID happening a few months later, that is something which is not in either our control or the buyer's control.

Secondly, coming to gold loan business . So, if you see the asset quality, as I said in my opening remarks, that is like maybe unprecedented in the history of financial world that a million customers have taken their collateral back and the money has been paid back without any single issue . Because if there's asset quality issue then obviously if more than a million are redeeming their loans then that will throw up , I mean, that will come up and obviously you cannot hide it beyond a point . So, that again is testimony to the fact that our asset quality, our credit underwriting, and our collection processes are absolutely robust .

Now the learning from this is that of course you have a diversified book, and the compliance has become a much more significant issue now or much more significant aspect to take care of. But I would like to say that whatever we are doing in terms of the violations that have been identified by RBI were industry practices , they were done by other gold loan companies as well. Now in terms of extent or in terms of what are the reasons for we being the Company to be penalized for this , I do not have answer to this. But at the same time , I understand, I agree, and I with all humility I accept that there's no excuse for any compliance violation. There were deviations, and we are committed to make sure that we rectify them, and we also make sure that they do not recur.

Rajagopal Ramanathan : And I hope sincerely that we do not end up hearing such incidents in any of the other financing businesses, because ultimately that has significant ramifications on the confidence of lenders, the confidence of the regulator and everybody else with respect to your ability to conduct any funding businesses going forward. I hope that is well understood within the management .

Nirmal Jain : There's no doubt about it . But in the same time, in the recent past, regulatory action has happened against many regulated entities. So , this is something which has been in a way an industry wide awakening of the regulated entities. Maybe sometimes I will take an analogy of a traffic signal , that if you travel abroad, then normally nobody violates the traffic signal. But in India, people basically take it in a very different way . And obviously if somebody has to enforce the rules very strictly , then he would pick up one or two and make an example of that. But at the same time, if everybody follows the rules, then it becomes a level playing field and it becomes very easy to comply with that.

I can take an example further if you really want to. Supposing you are disbursing cash more than Rs. 20,000 , everybody else is doing it. Now if I follow very strictly the guideline and this thing, then I will lose all the customers because customers will walk to the other gold loan branch and say, big deal, you are not giving it , I am getting from somewhere else. But what has happened is that after the action taken on us and then there was a nother circular from RBI, at least to my knowledge, everybody has stopped now giving above Rs. 20,000 in cash.

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Rajagopal Ramanathan : I understand that . I hope the right lessons are taken. That's all.

Nirmal Jain : Absolutely. I think the right lessons are about compliance, which has to be strictly enforced. And that's what I said that we are strengthening our organization, we are making sure that our compliance becomes the top priority of top management starting from me . And that basically the communication goes down the line to all the branches and employees. So , we have taken number of steps , Rajagopal, to make sure that these things d

o not recur. And I think we are fully committed to that. That much I can assure you.

Moderator: Thank you. The next question is from the line of Agam from RSP N Ventures . Please go ahead.

Agam : I just had one question. I was going through the numbers shared by you. While we understand that gold loan book is under embargo, however, the loan AUM growth in home finance book and the MFI book is not that great either. So , any reasons for stagnation in the AUM in both these books ?

Nirmal Jain : No. So, as I said that the 1st Quarter is seasonally slack , and also due to election there are many days are lost and the activity also comes to a bit of a slow down. I really have not compared with the peers in both these sectors . But I would suspect that a similar trend will be there more or less . We have been little bit impacted also by the reluctance in the bank basically sort of holding back on the credit for other businesses as well. But that thing is also evolving and changing , so slowly we are seeing that the resources are becoming available , our co -lending and DA in other businesses also are continuing.

Monu Ratra : So, I just wanted to share with you that if you see Y-o-Y the AUM growth is 22% , for the quarter -on-quarter it looks flat because usually the Q4 are pretty spiked , and I think we are almost in line with our expectations for this year as well.

Nirmal Jain : Yes, thanks. Monu I would agree with that.

Agam : So, that's true in the home loan , however , MFI book has degrown in fact, if you look quarter -on-quarter.

Nirmal Jain : Yes, MF I has been impacted . And MFI , if you see the industry also has been a little volatile , so that also turned us a bit more cautious . And we have to really see how the industry and the credit is evolving here , because last year there were a lot of major changes done by RBI in terms of the loan amount, liberalization as well as the rules which are set in. So , I think the industry is passing through that phase . But hopefully , the sector has a tremendous contribution to make to the economic growth, so we are very optimistic on the long-term prospects of MFI as well.

Moderator: Thank you. The next question is from the line of Murthy Nagarajan from Tata Mutual Fund. Please go ahead.

Murthy Nagarajan : I have only one question. What I wanted to know is that you are showing in this quarter you have collected Rs. 2,886 crores . Rs. 2,886 crores disbursement which has happened to you. Can IIFL Finance Limited

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you give us some color about how much has come from banks and who are the guys from whom we have been able to borrow?

Nirmal Jain : You are saying Rs. 2,886 crores of borrowing, or resources ? What is it? Kapish, just give him that.

Kapish Jain: Murthy, I will come back to you on this later .

Management : I think the Rs. 500 crores , the ECBs that we have taken from Fairfax , plus we have some that we raised from LIC Housing Finance . But we are going to come back to you with details on more . And Kapish, is the right issue also included in this ? Or the DA transactions are part of it?

Kapish Jain: DA is separate , DA is Rs. 1,769 crores.

Nirmal Jain : So, in the normal course maybe we can get back to . But I think broadly these are the details of Rs. 500 crores from Fairfax through E CB route . Whereas from LIC Housing Finance and then some small bank borrowings that we got from PSU banks as well.

Murthy Nagarajan : So, we wanted to know who are the guys who are lending to you right now , so that will give us some confidence.

Nirmal Jain : So, there are a number of them , it is not that , but they have trickled down. So, supposing we had applications of Rs. 500 crores, we got Rs. 100 crores from some of them. But as I said that after the initial hold back slowly that's coming back , the resources are becoming available.

Kapish Jain: Few names I can

quickly tell is Bank of India, Bank of Maharashtra , State Bank of India , and then we can talk more as well.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : The first one, the gold loan, what is the count of employees that we have and versus what it was prior to the RBI embargo? I want to understand, let's say if the embargo is lifted in a quick span of time, how quickly we can come back to the previous disbursement run rate that we were doing?

Nirmal Jain : So, we have not retrenched or sacked anybody. So, what is the natural attrition is there . And when the embargo is lifted then we can come back very quickly. That is what we have prepared for.

Nidhesh : But is it reasonable to expect that the employee force would have declined by 30 % , 40%?

Nirmal Jain : No way , 4%, 5%.

Nidhesh : 4%, 5% only ?

Nirmal Jain: Yes.

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Nidhesh : Secondly, if you can also give some color on the microfinance collection trends in Q2 in July, how the trends are ? And any data point around customer leverage, what percentage of customers would have more than more than or equal to five loans product ?

Nirmal Jain : Venkatesh will take this.

Venkatesh N. : Yes. I mean, in terms of the collection trends, July actually it dipped a little bit , but not significantly. But if you look at, it's not the case with , see, once the RBI has given us the thing of relaxation in number of lenders , we are not seeing the same stress. Suppose if we have properly assisted the customer and we have given a loan, it does not mean that all the customers who have borrowed from five lenders are defaulting or something like that. That's a wrong note to pick up . But anyway, now we are also looking at that guard rail of MFIN, all of us are adhering to that. We are following a four-lender rule that only four lenders can exist to a customer and with a maximum cap of Rs. 2 lakhs . But there were very odd reasons for July being a spiked month, rains across the country. And we had, I mean , difficulty in collection going, our people going . And in many cases, we also give a little bit of leeway for customers if they get into , I mean , they are not able to generate their income during that period of time. But it's not a significant decrease in July.

Nirmal Jain : Just to elaborate a little bit more on this. RBI relaxed the number of lenders . So, you can have more lenders than four. Now what Venkatesh is trying to say is that a customer may default with two lenders also and may not default with six lenders also. So, the more important thing is to do the credit assessment and underwriting properly . Nonetheless , the self-regulated organization MFIN has basically guided , which is not a regulatory guideline but it's an association guideline, which may not legally binding, but we still abide by that, and we follow that being a part of the association . And they basically suggested that there should not be more than four lenders to a customer. Typically , this can be a good safeguard, other things being equal . And that the loan amount should not exceed Rs. 2 lakh to one overall. So, they put an overall guideline which we are also now complying with.

Nidhesh : Sir, this Rs. 2 lakh is including all borrowings of the borrower or only microfinance borrowing?

Nirmal Jain : Micro finance borrowing at the household level.

Moderator: Thank you. The next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja : Sir on home finance subsidiary , this quarter was there any increase in the NP As? Because if I just compare the credit cost, the provisioning line item for this quarter, it was, I believe Rs. 60 odd crores , much higher than what was there in the last quarter . So, what explains this higher provisioning?

Nirmal Jain : So, if you look

at our ECL, then we have increased the provisioning requirement for Stage -2 and Stage -3 customers. So, as I said that microfinance provisioning is about Rs. 110 crores. Also, for our HFC, the provisioning is about Rs. 54 crores, which was only Rs. 10 crores in the last IIFL Finance Limited
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quarter. So, last quarter we had from good recoveries as well. But all these things added up to the provisioning of around Rs. 251 crores , what we have as loan losses and provision . So, we also increased the provisioning of ECL 2 and ECL 3 of CRE portfolio . Although the portfolio is small, but we increased the provision there. Now , these ECL computations are in line and in discussions with our statutory auditors. So, then we can estimate, and we do that.

Anusha Raheja : So, how much are we saying the CRE and the capital market book down by around almost 50% on a Y-o-Y basis, but what is the broader call and henceforth any more further increase in the provisioning there?

Nirmal Jain : No, so the books are small, but that does not mean that has anything to do with provisioning because our provisioning has increased in microfinance also. So , in case of microfinance, as you are aware that the industry , I think in microfinance for the industry as a whole, what we are looking at 2% might become 3% as the guidance for the provisioning requirement in a year , loan losses and provisions . In other industry , in a way, it becomes mature, so that loan tickets for the total loan per borrower grows , of course , the risk is priced in. But that may be higher on account of provisioning. CRE portfolio, I mean , the book is just like sort of tapering off and will become very insignificant just like our capital market. But for the time being, as recommended by auditors, we will increase the provisioning .

Anusha Raheja : And just one last thing on this AUM growth that we have seen , on sequential basis apart from gold loans there is decline in other segments as well. So , is it more to do with the credit lines which were available to you? And that was squeezed out , and you got much lesser than what was expected and that has impacted the growth. Is that a better way to put it?

Nirmal Jain : Yes, that has impacted the growth , but also the last quarter was impacted by the 1st Quarter of

the financial year being the slack quarter , the elections , and other disturbances in that quarter . I mean , that has also impacted the business. All these factors have combined , but our growth on a Y-o-Y business still is in line with the expectations. But now going forward, our first focus is to make sure that our compliance and assurance is robust, and growth can follow over a period of time . But in the 1st Quarter also we spend a lot of resources from the top management as well as the entire organization to make sure that at every stage at every link we strengthen our compliance.

Anusha Raheja : So, one last thing on this MFI , I think last quarter you had shared tha t you were facing some liquidity concerns there. So, what is the status on that side?

Nirmal Jain : As of now , so I think liquidity concerns are easing slowly . But the growth is impacted also by our conscious strategy on compliance , as well as the industry trends.

Moderator: The next question is from the line of Franklin Morris from Equitas Health Advisory. Please go ahead.

Franklin Morris: Sir, I have got two question s. One is, I just wanted clarity, what do you say in terms of gold loan business , once assuming the RBI lifts the embargo, how long will it take to come to a normal

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business , how many months ? And secondly, would you be open to selling part of your portfolio to any other entity?

Nirmal Jain : So, I think once the embargo is lifted , we can start with that immediately. This is unprecedented. So, it is ve

ry difficult to say how long will it take to get back to the original position or this thing , we will try our best. We will make sure that we reach out to our customers and offer them the best product , and also being fully compliant with RBI's guidelines . But I really do not have any estimated guess on this that how long it will take. Which is another question you hav e, sorry?

Franklin Morris: The other question was like; would you be open to selling part of your gold loan business to any other entity?

Nirmal Jain : As of now, the RB I restriction is also on selling the portfolio.

Franklin Morris: Assuming the restrictions are lifted.

Nirmal Jain : We w ill be open . I mean , the portfolio can always be sold to a bank or anybody else for that matter. And until the restriction is lifted, very difficult to speculate on that.

Moderator: Thank you. The next question is from the line of Vivek Rama krishnan from DSP Mutual Funds. Please go ahead.

Vivek Ramakrishnan: My question is on the microfinance portfolio only. The first question is that , besides elections , heat wave, and rains and so on, there's also been an incidence of over leveraging with customers, which you have pointed out. So, is there any kind of income shock with the customers that makes default will be a permanent one ? Because we have always had this other na rrative that CIBIL scores are becoming more and more important when the customers pay back . So, that's question number one .

And question number two, Venkatesh, you talked about some rule engines that get put in place. If you could give a little more detai l on how that helps, that would be really useful. That's it from my side. Thank you.

Venkatesh N. : Vivek, for the first question, in terms of the income , you said they are over leveraged , if I am right?

Vivek Ramakrishnan: The customer can be overl everaged and facing an income shock. But as far as I can see, there is no major income shock in the economy. I just wanted to know whether they eventually pay you back.

Venkatesh N. : Yes, sure. With aspect to that, if you look at April , May, there was a he at wave in a couple of States and things. In that time if you look at, there would be some kind of a little income shock .

But it is not, I mean , it was for you can say for a 10 to 15 days kind of a thing . And it was also impacting a very few states with th at aspect of it. And in terms of if you look at the overleveraged aspect of it, it is not that again when we start assessing the customer, probably we see a good

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thing. So, what we went about, I am actually answering the second question now , the credit scores for the customers became very important.

We realized it very early. So, the third quarter of l ast year we started implementing it and we tied up with an entity called Synaptic where we were able to use their rule engine to put in. A nd if you look at, we have also gone state-wise, we were able to figure out ticket size. It's not that when we are onboarding and new to Samasta customers , we get about with the same ticket price in all the states, and we handled the new -to-credit in a different way. So , all these are helping us out in terms of things . And July was again , with the rains and all it was a slight spike. But it's

not a significant spike in terms of the microfinance portfolio for us .

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : A few questions on your MFI portfolio. Firstly, can you share what is the proportion of your borrowers who have more than four lenders?

Nirmal Jain : Can you repeat, please?

Ashlesh Sonje : What would be the proportion of your MFI borrowers who have more than four lenders?

Venkatesh N. : Yes. I mean, if you look at it, we have less than 15% of our customers with more

than four

lenders.

Ashlesh Sonje : And secondly, can you share what was the slippage for the quarter in the microfinance business?

Nirmal Jain : Rs. 110 crores provision in this quarter.

Venkatesh N. : You are asking about the NPA, no?

Ashlesh Sonje : Yes.

Venkatesh N. : See, in microfinance 2.32% actually.

Ashlesh Sonje : So, this is the slippage or the Stage -3 that you are talking about?

Venkatesh N. : Stage -3.

Ashlesh Sonje : I wanted the slippage number if you have it.

Venkatesh N. : We did close to Rs. 100 core write-off.

Nirmal Jain : I think he wants to know the zero DPD or 1 to 30 DPD increase this quarter versus previous quarter. I think we do not have the data . We will get back.

Venkatesh N. : You are asking the increase in the in the delinquent accounts ?

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Ashlesh Sonje : Got it. The write-off you said was Rs. 100 crores in MFI this quarter?

Kapish Jain: Yes.

Ashlesh Sonje : Got it. And sir, just lastly a qualitative question , in the recent few quarters, three, four quarters, have you seen an increase in cases of employee frauds or borrower frauds in the microfinance business?

Nirmal Jain : Yes. I mean , for us, we have seen it with competition which has impacted us, but it's also restricted to few states again. But I mean , it is there , we have seen some impact.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nirmal Jain, Managing Director , for closing comments.

Nirmal Jain : Thank you very much. Thanks all of you. And please do reach out to our IR team in case you need any further clarification. Thank you so much. Have a good day ahead .

Moderator: On behalf of IIFL Finance, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Oct 2024

IIFL Finance Limited

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October 31, 2024

The Manager,
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BSE Limited,
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Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 532636 The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , and further to our earlier intimation regarding the earnings conference call for the quarter ended September 30 , 2024 , please find attached herewith transcript of the said earnings conference call which was held on October 24, 2024 .

The same is also made available on the website of the Company i.e.
<https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

"IIFL Finance Limited
Q2 FY'25 Earnings Conference Call"

October 24, 2024

MANAGEMENT : MR. NIRMAL JAIN – FOUNDER & MANAGING DIRECTOR ,
IIFL FINANCE LIMITED
MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER - IIFL
FINANCE LIMITED
MR. MONU RATRA – CHIEF EXECUTIVE OFFICER - IIFL
HOME FINANCE LIMITED
MR. VENKATESH N – CHIEF EXECUTIVE OFFICER , IIFL
SAMASTA FINANCE LIMITED

IIFL Finance
October 24 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the IIFL Finance Q2 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapish Jain – Group CFO, IIFL Finance. Thank you and over to you, sir.

Kapish Jain: Thank you very much, ladies and gentlemen, for joining us joining in our Q2 Earnings Call for financial year '24 -25. And I just would hand over the line to Mr. Nirmal Jain – our Founder & Managing Director to give you a perspective on the Company 's Performance for Q2 before I take it back again and talk on our Numbers as well.

Nirmal Jain: Thank you, Kapish, and welcome everybody on the call.

As all of you are aware about the RBI that RBI had put an embargo on the gold loan business in terms of sanction , disbursement on March 4th of this year and the same was lifted on 19th of September over six and a half months later. So, I think we have been able to satisfy RBI with our compliance rectifications and all the corrections that we did, and we have strengthened our compliance as well as all assurance functions which comprise risk and audit as well and we continue to do so.

So, while this period has been challenging but we came stronger from this and this is something that would have happened to many strong companies that they faced short term challenges and in the last one month what we are seeing is the resilience of the Company and the team that we are coming back strongly. The customers renewed loyalty is also very heartening and satisfying.

As we restarted our business in the month, you would have seen that the gold loan book which had fallen from 26,000 crores to around 10,000 crores by the time the embargo was lifted, is around 12,000 -odd crores now. And as you know, we could apply to banks only after the embargo was lifted and banks have a process of three to four weeks. So, we expect the liquidity to improve and that will allow us to continue to grow the book at a good pace.

Otherwise, the environment is very good about the gold loan as well as MSME business. All our businesses, even the affordable home loan business, also we are seeing that the demand is picking up as interest rate seem to be peaking out. We will see that the demand growth continues. The new government has also reintroduced something in a modified form, affordable housing incentives through PMAY schemes and so on.

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Microfinance business has been passing through a bit of challenging times. Maybe later in the question -answer we can discuss this more but primarily because after the liberalization of loan to the microfinance or self -help group, there have been concerns a bout overborrowing by these customers and then MFIN came up with the guidance of not more than four loans per customer and that basically has led to some bit of stress in some of the borrowers . We believe that it might take maybe this quarter , next quarter, but again the business will bounce back with strength.

With this, I hand it over to Kapish for a more detailed discussion on Financials and then we will join you back for our Q&A .

Kapish Jain: Thanks a lot , Nirmal .

For the 2nd Quarter Fiscal '25, IIFL Finance at a consolidated level reported a net loss before non-controlling interest of 93 crores, so it's down by around 118% YoY and 128% QoQ . We recorded a pre-provision operating profit of 732 crores which is around 21% YoY and 13% on a QoQ basis . For the quarter , consolidated loan AUM degrew by 8% on a YoY basis and degrew by 4% on a QoQ basis to Rs.66,9

64 crores . Our core AUM or we call it as the product that we are focusing on is microfinance, gold, home, digital and loan. It de-grew by around 7% YoY and 4% QoQ to Rs.65,145 crores, forming around 97% of the total overall loan AUM . There was one exceptional item which we had reported in the financial, which is also elaborated further on Slide # 5.

So, the Company has certain AIF investments which are due to mature in June '24 for which it preferred in-specie distribution of assets, i.e., debentures of the underlying companies in lieu of its AIF investment. Subsequently , these debentures were assigned to an ARC . The book value of the SRs with the same underlying assets as of September '24 was 586.5 crore s.

The RBI Circular on December 19, 2023, on investments in AIF required 100% provisioning of ARC investments if they are not liquidated within 30 -days of the circular . To comply with the spirit of this circular , a provision equivalent to 100% of the book value of these SRs was made in this quarter, which caused an overall loss. However, this is an absolutely exceptional item. We do not expect this to recur and the same is disclosed as an exceptional item.

On the business -as-usual basis , our gross NPA stood at under control at around 2.4%, and net NPA around 1.1%, which is marginally up by 51 basis points and 3 basis points respectively compared to the same period last year.

Our ECL provision gives overall provision coverage on the NPA assets on 136% . The assigned loan book stands at around 13,948 crore s down by 24% YoY and 5% QoQ. Besides these, there are co-lending assets of 8,489 crores which is again down by 20% YoY and all of this is led by because the gold embargo was largely in place for the last six months.

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Quarterly average cost of borrowing marginally increased by 12 basis points YoY to around 9.15% .

From a liquidity perspective, during the quarter we raised around 3,216 crores through term loan , bonds , commercial papers, including 1,882 crore s was raised to reassignment of our loans.

From a cash and cash equivalent perspective, we hold around 3,882 crores which is adequate to meet our near -term liabilities, and we are looking for as Nirmal mentioned for the mobilization of liquidity to boost our growth since the embargo has been lifted .

We are positive on ALM across all our buckets and our net gearing with the infusion of capital that we raised in Q1 of 1,272 crore s. It's comfortably placed around 2.7 . Our annualized ROE stands at around 5.2% negative while ROA was 0.7 negative. As of 30th September, our capital adequacy with the infusion of capital stands at around 26.3%. In the Housing Finance it is 49% and for Samasta it is around 30.5%. So, across all the entities , the capital adequacy is way above the minimum 15% requirement from regulatory perspective.

So, that's all ladies and gentlemen, I will now open the floor for questions and answers.

Moderator: We will now begin the question -and-answer session. The first question is from Dhaval from DSP. Please go ahead.

Dhaval : Just two questions. One is relating to this AIF provision that we have created. When do we expect the writeback , any thoughts around that would be useful? And the second question was relating to the gold book. Now , that the ban has been lifted , how do we see the ramp up and when do we get back to our original size like do we have a timeframe and strategy around that, some color around that would be useful ?

Nirmal Jain: AIF, all the full recovery of the underlying assets as they get monetized maybe about two to three years. And gold loan, I mean, it's very difficult to say, but I think by March quarter end we should be back to where we were a year before. So, that is what my estimate will be. But I think nobody can really see how things will pan out from here in terms of market, but

that's what my guess would be.

Dhaval: Nirmal, just on the gold business come back, like the absolute quantum delta in the next few quarters that you expect is quite material , so what are the one or two big changes has already seen rate but any other points that you want to highlight to sort of see how we get back the lost business ?

Nirmal Jain: So, I think we aren't doing anything extraordinary in terms of being aggressive or whatever. Customers are coming back. There has been a relationship with many customers for more than 10 years. And wherever they have taken the loan that gets over, then we see that the customers in many cases prefer to come back to us. And the second one, the thing that has happened in the industry is now I think it's become completely cashless, more, or less. So, it's become completely digital which is easier from a long -term perspective and good for the industry going forward. And what you realize

is that earlier there was a fear that if we move away from cash and customers will go back to money lenders. But I think customers have a digital Jan Dhan account or UPI. Sometimes you have to educate and make sure that the activation happens . Even the competition has gotten away from cash. So, that is I think one healthy practice . And I think more or less the industry is now becoming fully compliant and that also is a good development I would say. And given that the gold prices are firm, I think there is a demand at the ground level in the economy. Many of our customers are small businesses again. So , we see that there is good traction going forward in the next few months.

Dhaval: And this last question is on the MFI business . How do you think the credit cost is likely to move in the next like a couple of quarters and how are we looking to navigate the cycle , any color on that would be useful ?

Nirmal Jain: I think Venkatesh, who is the CEO of our Microfinance, will take this question.

Venkatesh N: If you look at most of the stress which spanned out in Q2, we are seeing some mild improvement in Q3, I mean, it's still early days for us in the month of October . Given the whole thing, if you look at, given 65% of our overall customers who borrow or are allied their income levels , given the monsoons have done well, will not see a dip and we see that these things are stabilizing . And also our fresh lending if you look at it, we introduced our guardrail even much before MFIN bought about it, we have got it in . So, our new book is still doing well . The stress is only with the older thing which will also ease out . By Q3 and Q4, it will look much better.

Moderator: The next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Just again circling back to the gold loan business, we have also seen a management change in our gold loan business ; Mr. Saurabh Kumar has moved to a group role now. So, are we now looking to appoint someone internally to lead this business or are we looking for an external hire? Also, I mean earlier in the question when Dhaval asked about your outlook on gold loan business, we shared that we are looking for normalcy to come back by March quarter end and maybe go back to where we used to be prior to the ban . But are we working with some loan growth targets now in mind if not for this year , at least from next year onwards? That is my first question.

Nirmal Jain: No, sorry. What is the second question?

Abhijit Tibrewal: So, the question is, while we said that by March quarter end, we are expecting that we will be where we used to be prior to the ban in the gold lending business, not in terms of loan book , but in terms of momentum. So, I mean if not for this year at least from next year onwards, are we thinking about how we want to grow in terms of some loan growth targets for the gold loan business?

Nirmal Jain:

Firstly, the management changes are in the normal course of the business. So, they have been there for long term. So, there is nothing more than that to read into it . In terms of hiring internally or

externally , unless they are done it's difficult to make a statement on this because we have quite a few talent available inside also, but obviously they're doing their jobs and at the same time, we also want to strengthen our management team . Actually, normally all our businesses we prefer a cross breed of talent where we try to take it from a few very good players in the industry so that we get the best practices from multiple players . So, these are the things which are very difficult to make a futuristic or a forward -looking statement because we have a very good HR team and NRC, which is Nomination & Remuneration Committee , so they look at all the senior management and take a call on that. Second thing is how do we look at growth next year? So, one is that you would have noticed, when we say digital loan, this is a business loan, and this is the MSME loan and gold loan in a way many of our customers are MSME . So, in terms of when we look at our standalone Company , we will try and diversify it a little bit more, so the loan against property which is the secured business loan and unsecured business loan, I mean that business will grow faster . Next year, growth will depend on number of factors including gold prices as well as the economic activities. So, we don't want to make any guidance or a forward -looking statement, but that all depends on industry and economy. But in terms of strategy for a particular product, yes, we will grow business loan, I mean , given the small base and investment that we made in the last six, 12 months, that is expected to grow faster, but that again as I said depends on the macro environment.

Abhijit Tibrewal: Second question that I had was for Venkatesh. So, I mean while you said that early days seeing mild improvement in third quarter and the fact that we already implemented those cartridges that recently came out . I was trying to understand your assessment, what could likely credit cost be for the MFI business for this full year given that, I mean, we already saw Q2 was elevated ? And when we speak to other your NB FC MFI peers, no one is really kind of giving that sense that things have already peaked out in the MFI space. So, how are you thinking about the MFI business?

Venkatesh N: See, earlier when I answered, I said it is early signs of some kind of a stabilization. I didn't say it has peaked out or something, but in terms of the credit cost, if you look at it, we should be hovering anywhere between around 3.75% to 4% kind of a thing for this year.

Abhijit Tibrewal: And the last question that I had, I mean, some of it is data-keeping and some of it is on the credit cost. One is this time around if I go through our P&L on the other income side, some of the items like net gain on fair value changes and the assignment income that you report, they are higher. So, just trying to understand, I mean, are they going to be at these levels or there is something lumpy out there? And also on the assignment income side, have we done any assignments after the gold loan ban was lifted is one thing that I wanted to understand? The other thing is if I look at credit cost for this quarter, credit cost even in our standalone entity was elevated. So, was just trying to understand, was it just some residual cleanup on the gold loan side that we did or this was predominantly coming from our CR E business?

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Nirmal Jain: I think you have two questions. One was about the assignment. So, the assignment was done in housing finance because gold loan business has been continuing. And given our strategy where we believe in maybe 40% of the off-book that

can be either by way of assignment or co-lending. So, assignment transactions you can expect more or less every quarter. And then second, coming to the lumpy fair value changes, yes, there is one that the NSE shares, most significant part of it has been sold and that profit has been booked in fair value gain of about 80 crores or something. I think that is not recurring but from the treasury we have something or other that there are opportunities, but there is one lumpy item in the fair value gain. You will recall we had NSE shares which we sold in last quarter.

Abhijit Tibrewal: The second question was credit cost in the standalone entity also appeared a little elevated. Was it some clean up that you've done on the gold loan side or was it predominantly coming from the CRE portfolio?

Nirmal Jain: No, it's coming from MSM E actually as the MSME book is also growing. So, we increase our provision and we have a fairly conservative provisioning policy. So, the increase in the LLP in the standalone is primarily because of MSME and there you have digital loan and LAP.

Abhijit Tibrewal: Given how the environment is, everyone is talking about broad based stress that they're seeing in unsecured segments. Despite that, I mean, our guidance is that we will continue to grow our digital loans and unsecured business loans, I mean, how are we looking at it in an environment like this?

Nirmal Jain: That is a very good question. So, the worry about unsecured loan is more on a personal loan and consumer loan, which is "Buy Now Pay Later" or a personal loan where many guys, the salaried people, because they offer too many loans, and they get over leveraged. Our focus of digital loan as well as unsecured loan is entirely on business loan. There are two advantages that we have over, say, personal loan business. One is these are covered by insurance. So, I think the government has two very good insurance schemes, C GFMU and C GTMSE. So, the one covers loan less than Rs.10 lakhs and the other one covers loan above Rs.10 lakhs. We have applied and we have got the approval now. The approval has recently come. There is a process and then we have to comply with it. So, from this quarter onwards, we will be able to take advantage of that also. Secondly, all the banks on their own they find it difficult to achieve the Mudra targets or the SME or MSME segment of the priority sector lending. So, we are seeing a very good response from the banks to partner with these loans and also the risk is priced in. So, there will be losses you know which can go up to in a bad cycle up to 5%, 6%, but then the interest rate also is around 20% to 24%. So, our strategy basically is to make sure that we are protected by insurance cover. Of course, our credit quality also we try and be strict and not that we want to underwrite anything, but we try to leverage our distribution network to source these. And third is that the bank partnership model where risk along with the benefit of priority sector is also transferred to bank.

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Moderator: The next question is from Shubhranshu Mishra from PhilpCapital. Please go ahead.

Shubhranshu Mishra: So, two questions. The first one is what is the level of provision and write-offs we are going to see in the microfinance business going forward in the next couple of quarters? Second is on the gold loan, are we seeing what is the proportion of customers who are coming up and pledging their gold in order to pay up for their unsecured exposure?

Nirmal Jain: So, I think Venkatesh spoke about around 3% to 4% of LLP this year, which is I think, in the first two quarters we have done the provisioning of 300 crores already in microfinance and the book is around 12,400 crores. In terms of the current expectation is another 200 crores in the next two quarters broadly, so 500 crores we are talking

about. Home loan to repay unsecured loan, we have not seen that kind of tendency, I mean, if somebody is doing and not disclosing is a different thing because that's not something that we will normally capture as the stated end use. But my gut feels from talking to people is there may be exceptional, but that is not the trend.

Shubhranshu Mishra: What has been the write-off in microfinance in the first two quarters and what is the write-off we are

expecting in the next two to three quarters ?

Nirmal Jain: So, I think the write-offs and loan loss positions put together will be one thing. I think two quarters we have taken the total loan losses and provisions to 300 crores and now write-off is 200-odd crores and over and above 100 crores is the provisioning.

Shubhranshu Mishra: What is the write-off we are expecting in the next two quarters or three quarters ?

Venkatesh N : We are trying to minimize things. I mean if you look at in the last quarter, we were able to figure out what it could scale up to. Now, we have a collection mechanism where we will be working on. Even they will be a lot of pullback in terms of the 90-plus and the provisions we have made and even the write-offs we have taken. So, we don't expect it to go practically above from what we have already done in the first two quarters.

Nirmal Jain: Incrementally I think if you see 4% as a loan loss provision. Write-off/ provisions put together can be another 200 crores in the next two quarters based on the current estimate, but it's very difficult to make a forward-looking statement in this how the industry evolves on, one has to watch.

Moderator: Next question is from Vivek Rama krishnan from DSP Mutual Fund. Please go ahead.

V Ramakrishnan : It's a continuing question with other questions. So, let me start with microfinance. Venkatesh, in microfinance, when you say this stability, the par-zero going to par - 30, par - 30 going higher. Has the flow stopped, has the momentum of flows been improving over the last few quarters, do you see any improvement from that? Another way of asking the question is whatever is there, you are going to be writing it off, but the new flow is not going to be that significant.

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Venkatesh N : Vivek if you look at the flows have actually not completely stopped. I mean, if you look at Q2 was the worst quarter I mean we have gone through. What I mentioned earlier was given that we have the October month where we have a lot of holidays we are seeing slight stabilization in terms of the flow. Post all the festivals getting done, so that's when the stability of the sector would be seen. So, we are seeing post somewhere around November 15 kind of a thing where the stability we will be able to see. As of now, the collection efficiency were slightly improved from what we saw in the month of September.

V Ramakrishnan: The second question is on the digital loan or the unsecured SME loan. Nirmal, you mentioned about credit loss guarantees which are there. How much does it cover in the sense that what is the typical SME loan loss in your unsecured portfolio that you are estimating and then what will be the overlay of insurance that we will reduce it to going forward ?

Nirmal Jain: So, Vivek, it's quite a complicated scheme, but I will try and briefly explain it to you. So, there are two schemes, one about Rs.10 lakh and one less than Rs.10 lakh. So, above Rs.10 lakh, they cover only twice the premium, so 1% is the premium, so the maximum they can cover is 2%. So, broadly, 1% of losses can be covered by that scheme above Rs.10 lakhs. You get it? Less than Rs.10 lakhs, what they do is you can cover 15% of your portfolio, in which 3% of losses will be borne by the originator like us by the Company, and out of the remaining losses, 75% is given by the insurance. So, to put numbers in perspective, if you

have 1,000 crores of your portfolio, you can cover maximum

150. So, that is good enough because normally one wouldn't expect more than 15% of losses. And out of that, 3%, which is about 4.5 is borne by you. And say out of the remaining losses, 75%, they will pay you. So, roughly 109 crores can come from them if you have a 1,000-crore portfolio and your losses are maximum up to say 15%. But this is how the numbers work. I mean you got it, for the less than Rs.10 lakhs loan. Premium is around 90 basis points to 100 basis points, that's what we are looking. So, in summary above Rs.10 lakhs, you should try and restrict your losses to 2% and they're also like a 1% premium, 1% subsidy. In less than Rs.10 lakhs it can be significantly better, but of course 75% they'll bear, 25% still you have to bear, and 25% over and above first 3% of losses.

Moderator: Next question is from Yash Dantewadia from Dante Equity Capital. Please go ahead.

Yash Dantewadia: So, wanted to know now on the gold loan side going forward, since we have a lot of capital, right, and we have raised capital to rights issue, etc., what I want to understand is, are we going to focus on gold loan itself or we are going to focus on co-lending because right now we have no reward to focus on co-lending because we have surplus capital and we want to get profitability and co-lending is not very profitable, right, and can you put some light on that whole area, how you are going to go forward ?

Nirmal Jain: So, right now our capital adequacy is good, but in three to six months as we get back to the earlier level, it will get back to those again the older level. So, as a strategy, nothing changes because we

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continue to focus on both co-lending as well as our own loan book in a ratio of 60:40 that we had historically for the entire portfolio.

Yash Dantewadia: We should be focusing on gold loans itself, right, why co-lend?

Nirmal Jain: Why co-lend – it's for liquidity and the use of capital, then that allows you to go without damaging capital. So, at this point in time, what we are saying, right, that this quarter, next quarter we can see

that we can grow on our own book. But we want our capital adequacy also to be 15% minimum requirement but we want to be to be around 20% or more just as the marginal safety and that is where co-lending helps .

Yash Dantewadia: See, the reason I raised this point is your microfinance is clearly slowing down, and I don't see microfinance recovering for the next six to eight months . So, definitely on the microfinancing you are not going to be able to increase the book size . Home loan size that is going to go at a steady rate of 15 % to 20% from what I am able to see. Now, since the microfinance part is not growing and you do want to grow your unsecured book, you are obviously going to focus on growing your secured book, which is the gold finance book at a much higher rate. So, you don't need to co-lend at least for the 6 -7 months, right , you are completely right , I get the point on the capital side, but co -lending is not very profitable. So, anyways, that was just one point that I wanted to –

Nirmal Jain: So, what you are saying is right that now I think the focus is more on the secured where gold loan as well as LAP which is also a secured product as a part of business loan. Co-lending is a long-term strategy because see what happens is what it allows you to leverage. So, even with a reasonable ROA, your ROA can be significantly higher. But for the time being, maybe like we have to see for next one or two quarters and then you look at the strategy .

Yash Dantewadia: You are completely right. Co-lending works. You've been doing at 30 %, 35% in the CAGR in the gold loan space .

Nirmal Jain: Absolutely right. Again, it's a phase of growth. For the time being we will watch the next one or two quarters

and then re-work on the strategy .

Yash Dantewadia: So, I was just saying, at least for the first six months, I think you can focus on gold loan and take it into your loan books and then maybe focus on co-lending ending as and when the old book is built back up. That is one thing I wanted to point out because clearly unsecured space is kind of wobbly for the next 6 to 9 months I see it till the whole micro finance cycle plays out? That was point #1 .

Now can you talk more about our focus on the MSME portion , how are we planning , are we planning to grow that at a significant pace as secured MSME I am talking about, how are we focusing on that whole segment? And also on the housing loan front, there have been talks about an IPO for value unlocking. I think in the last interview that I watched, we said something about two years sort of timeline. So , could you throw some light on that too?

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Nirmal Jain: MSME, because we have a very large distribution network and as we roll out a product, on a small base growth can be good. But this is something which is because we got a 2,700 branches for gold loan. And if you add up all our branches, then we have more than 4 ,000 branches, including microfinance and other products . So, the loan against property is a product which our branches can do. And in the six and a half months of embargo on gold loan, we were training our people to do the unsecured as well as secured business . Although unsecured business loan obviously evokes negative emotion about risk and quality of asset . But as I said that this is something which is a priority sector lending, which is what the government is also pushing banks to achieve the target, because that's for the economic growth . Just to give you perspective that despite so much of push on MSME , in India, MSME contributes 30% of GDP , in China and South Korea where the countries have grown very rapidly in the last two to three decades, it's 50 to 60% of the economy . So, MSME has a long way to go and the only way MSME can grow is by availability of credit and the distribution of credit and the 8.5 million MSME . So, the number is so large, enormous that the banking system alone cannot achieve this target or objective or mission. So , we will work in partnership and that's why the government is supporting by way of insurance schemes or by way of targets of digital lending. What we have to do is that we have to partner with the banks and make sure that we do what we are good at and then the bank basically also achieve the targets and we make sure that the risk is contained within the price that we charge. So, that is about MSME . Listing is I don't think we will do an IPO , unlikely , I mean I can't say we will not do or do because this will take time, but we have an investor in our housing finance Company and every investor basically need some kind of option to exit or liquidate , but there is no rush or no hurry. But when we do this , whatever we have discussed , the preferred option what we have done for the group is demerger of the businesses, so that without any further dilution or without any change in the economic interest of various shareholders, the companies get separately listed. That has an advantage that you can attract different types of investors because there are some investors who are keen to invest in microfinance who are more oriented towards social goal , there are investors who are very keen on housing finance and then the investors for gold loan or other businesses. But I think that's the process and the process takes time. So, at this point in time nothing has yet been discussed , approved by the board and whenever that happens, obviously we will let everybody know.

Yash Dantewadia: But see after the Bajaj Housing sort of listing, it's very clear that HFCL is that is able to grow that book at a 20% sort of rate

un rate and that have stable asset quality, get a very decent price -to-book. I am pretty sure that you have more input than me in this particular thing. So, I hope you do the best for the shareholders.

Nirmal Jain: Yes, we will do it at the right time.

Moderator: Next question is from Anusha Raheja from Dalal & Broacha. Please go ahead.

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Anusha Raheja: Firstly, is on the gold loan side. I think could you take through how the walk -ins have been recently versus it was six months prior and the competition has also intensified , what was taken away some of your market share , so in that sense , how do we see growth in this background?

Nirmal Jain: We have a database of customers that were our customers and walk-ins are also there and as you know people get to know that we have resumed business as usual , so, there is a flow of customers. So, we actually have a very healthy trend and our people are really motivated and committed to get back the market share and obviously the profitability and everything depends on that. So, the trend is positive.

Anusha Raheja: And the stage -2 asset of 31 to 90 DPD, there is no significant rise across all the loan segments and the levels are higher than what it was in Q1 as well. So , what is causing such a significant rise?

Nirmal Jain: In gold loan I think we just started almost towards the end of the quarter. So, we wouldn't force customer to liquidate the loan and obviously we are also waiting for it. So, if you see gold loan typically we have small customers, 50 ,000 - 60,000 loan, they tend to pay towards, just before 90 days to avoid the auction or threat of the liquidation. Then the construction finance is a lumpy business with one of the loan basically not being paid or delayed by more than 30 -days despite the number. And I think the other businesses, the trend would be similar if you really look at 31 to 90 days of the last quarter.

Anusha Raheja: If you can just tell us what could be the standard

Nirmal Jain: There is an increase in the gold loan part of it which is a bit of increase in gold loan. So, there is a marginal , the 6% has inched up to 7% on the whole and we are talking about stage 2 31-90 dpd .

Anusha Raheja: And what could be blended credit cost that we can factor in for on the overall consol book for FY'25 ?

Nirmal Jain: Microfinance has moved up more than we had expected , other businesses is more or less similar. So, what we are talking about is 2%, maybe some 2 .5% percent on the whole.

Anusha Raheja: Any number to put up there, including this M FI credit cost on consol book ?

Nirmal Jain: We are at 2% of the loan of our steady state business . It's again very different in all segments of the businesses . So, the gold loan is slightly higher , 2.4% , but we expect it to go below 1% as the business has fully rolled out properly and the other trends are more or less low. So, the business loan will remain around 3% . We may bring it down to 2 , 2.5% over a period of time.

Anusha Raheja: And if you can just take us through growth in across all segments like you said that in go ld loans we would see by March '25 the growth will revi ve back and MFI likely we will see a consolidation.

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Some color on the growth for the home loans and digital loans and LAP loans how do we see that segment growing in FY'25 and in the medium -term?

Monu Ratra : So, we are seeing home finance as a whole, we are expecting about the AUM growth of about 17% to 18% for this year and all the segments would move in the same tandem. We can expect home loan maybe a couple of percentage more about 20% growth in home loan , and the other part of the business should be about 16 % to 18%. That's what we expect in the housing finance business.

Nirmal Jain: Other business, I think we already spoken about .

Moderator: Next question is

from Mr. Shikhar Mundra from Vivo g Commercial Limited. Please go ahead.

Shikhar Mundra: I just wanted more clarity on this exceptional item. So, where were the AIF investments exactly made and what is the reason for them not being liquidated?

Nirmal Jain: AIF investment was made in June '21 and it was to mature on 1st June '24. The circular of RBI came on 19 th December, giving 30 days to either liquidate or make 1 00% provision for the same . We couldn't l iquidate in the 30 days. But what happened is that in the month of March, when we got in specie distribution then those debentures that we got in our book were also delinquent because they were also delinquent in the portfolio, most of them , not entirely. So, that thing is what we sold to ARC . And normally for all the delinquent asset s, resolution mechanis m is through ARC and basically in the ARC normally we also invest in the security receipt s. So, the underlying col lateral will be the same. What we have tried to be is that we be conservative and follow the regulation not only in the letter but also the spirit, while the effect has changed the form , instead of AIF become security receipt, but underlying co llateral is the same. So, we decided to make a full provision of it.

Shikhar Mundra: And when can we expect ...

Nirmal Jain: This is one-time exceptional provision that we are making and this does not have any implication in the cash profits or anything . So, this is just a provision.

Shikhar Mundra: Can we expect the write backs from them ?

Nirmal Jain: I think maybe two to three years will take to realize all the se.

Moderator: Next question is from Kriti Tripathi from NVS Brokerage . Please go ahead.

Kriti Tripathi: In continuation with the AIF question just mentioned, I wanted to know that how much was the amount invested by the Company in the AIF? Apart from that , the initial amount and then now our share of profit and loss, what is the difference between that , so can you explain that?

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Nirmal Jain: So, original amount was I think was 900 / 1,000 crores out of which repayment happened , this is 900 crores. And then when we got the in specie distribution we transferred , it was 675 , but I think there was a write -down and the ARC took it , ARC do their own valuation, then there is auction bidding process. Actually so what we hold from that AIF was 58 6.5 crores as of March in NBFC. So, there are lots of transitions in this, but I will give you the broad estimate that when you started close to 900, 1,000, but now it's 5 86, some payments as well as some write -downs , both put together, yes.

Moderator: Next question is from Kamal Mulchandani from Investec Capital Services. Please go ahead.

Kamal Mulchandani: I had a couple of questions regarding the gold business. Firstly, I wanted to know that have we reduced any interest rate on gold loans recently? Additionally, I wanted to understand how are the recent trends post the lifting of the RBI ban ? And if you could just brief upon the strategy around how to scale up the gold business back to where it was as earlier ? . I am sorry if I may have missed the strategy related part.

Nirmal Jain: So, we have not resorted to cut throat price competition to get the asset back. So, there are various multiple schemes that you run like suppose you have a 99 paisa or 12% interest where it has to be a monthly interest and there we have slightly lower LTV than in the other schemes. So, initially we expect the traction to be more in the lower yielding products that we have , but we are not resorting to any cut throat price to get the asset back. Secondly, our strategy is very simple to focus on the customers. At this point in time we don't see the need to be very aggressive or go out of way to focus on getting the customers , customers are coming back . And as the ir loans mature elsewhere, we are

seeing

seeing good traction of customers getting back to us where they were earlier.

Kamal Mulchandani: Any initial trends which you are seeing like it's a very small period, but how has been the disbursement trends in October?

Nirmal Jain: It's very good, very positive. So, in about a month just when we started , obviously, it's take time to get back to the momentum. So, our loan book, which was 10,000 , has gone up to 12,000.

Moderator: Next question is from Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg : Just one very small question. In standalone business, is there any overlap between the digital loan customers and the gold loan customers?

Nirmal Jain: Very minimal. I would say maybe less than 1%.

Raghav Garg: Another question is, so when I look at Slide # 12, right, which has stage wise updates , there the digital loan assets is about 6 ,500 crores on Slide # 12, whereas on Slide # 18, the digital loan AUM is about 5,400 crores. So, where is this difference , in which entity ? I am just trying to reconcile these two numbers .

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Nirmal Jain: There are some loans which is sourced by Sama sta Microfinance, and they are booked in the parent Company . So, that is the difference. So, the way the individual loans which are booked through Sama sta for micro -LAP , that is where I think there will be a reconciliation which I will tell you where. So, if you go to Slide # 35 I think it's home equity, which is LAP secured, which is originated by Sama sta but booked in NB FC. Maybe from the next presentation we will make it little more clear in terms of how we classify and show the assets .

Moderator: Next question is from Rishikesh from Robo Cap. Please go ahead.

Rishikesh : Firstly ,on gold loan. So, if I see in peak, we were around 20 ,000, 23,000 crores of loan growth. Do we have any internal targets to get there again and by when?

Nirmal Jain: No, we don't have any target as such, but as the business grows will get there in some time , it won't take too long.

Rishikesh: And how do you see the growth in our LAP book going ahead ?

Nirmal Jain: So, LAP book had two components, one was the old LAP book which was the large r ticket size. So, that basically is tapering off. So, when you see the overall LAP book, the re is only 1% growth, but the normal LAP book that we are continuing which is the smaller ticket size is growing healthily. I think Monu said that about 17% to 18% is the trend there.

Rishikesh: So, are we expecting this to grow by 17% , 18% going ahead?

Nirmal Jain: The overall reported LAP has the older LAP book, which is a larger ticket which we have discontinued . So, what growth you see here will be not so much, but maybe slightly little lower.

Rishikesh: And just to come again on gold loan, what growth that are we expecting going ahead?

Nirmal Jain: I think again, maybe everybody is very curious about this. Unfortunately, I am not in a position to give any forward -looking guidance on this. The only thing is that we will continue to grow at a steady pace as our customers come back , and because we have a distribution network and base of customers ,

we do not think that it will take too long to get back to what our loan assets were before the ban, but still I can't put a finger and say this is the timeframe. What we have told is that we want to make sure that customers are serviced well, no compromise in terms of compliance and on the risk management and at whatever pace we can grow the business that should be a healthy growth, that is more important for us.

Moderator: Next question is from Shweta D from Elara. Please go ahead.

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Shweta D : You actually partially answered my question, but nonetheless, so in light of regulatory forbearance and RBI calling out on interest rates, so do we see repricing of our assets on microfinance side on the lower

side? And alternatively, I think you answered this. On the gold loan side, are we going to stick to competitive rates because we have seen a slight drop in your yield? So, in the quest of growing the gold loan book, we are looking at keeping the rates competitive on the gold loan front.

Nirmal Jain: So, on the first point of interest rate, if you see slide 40, then we have implemented the risk-based pricing and that is what actually even RBI is looking at and we did not have any predatory pricing in any of our businesses. So, those 35%, 40%, 45% rate are not for any of our businesses. So, we are very conscious about it. And also we have now a board approved policy for interest rate cap. So, that is about the higher interest rate side. Then your second part of the question is on the lower interest rate to be competitive. As I've said that the customer when they come back, the early customers or the flow will be in the lower price scheme, but there the requirements like the LTV are more conservative and there is a monthly interest payment. So, the yield may fall a little bit, but as I said that we are not getting into any cutthroat competition, so there won't be a dramatic impact, but yes, marginal tapering off will be there in this quarter, next quarter for sure.

Shweta D: Sir, just coming back to the MFI side, so I didn't imply you said it's rate or something which you are not confirming with the RBI norms, all I meant was are we looking at recalibration in interest rates further on our MFI?

Venkatesh N : As Nirmal pointed out, the risk-based pricing is already introduced, so this is with the guidance with what RBI asked us to do. So, that's already in force as we speak.

Moderator: The next question is from Navneet Baya, who's an individual investor. Please go ahead.

Navneet Baya : Hi sir, I wanted some clarity on your security receipts portfolio. So, in your slide 23, you've mentioned that your outstanding security receipts are about 3,600 crores against which you have a provision of 612 crores. So, the 3,000 remaining is that also at risk, why aren't we providing against those?

Nirmal Jain: So, security receipt accounting is done based on the accounting principle and then there is a fair value, and based on that, you have to make sure that they are valued. So, this is an exceptional thing just to make sure that RBI's circular is complied with in letter and spirit. But the other security receipts are good and in terms of their expectations, on the whole, our portfolio, we expect it to recover fully, and we don't see any need to basically provide for it, but on slide 23, we have given more color on the portfolio of security receipt. But we make sure that for any risk or for any expectation of the loss, we provide for, but we don't expect any loss in the portfolio.

Navneet Baya: Of the 3,600 crores, you've provided for 586 crores. So, we are saying that the remaining 3,000 crores, we are not expecting any credit costs also to occur in our P&L?

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Nirmal Jain: 3,600 crores portfolio that you have, I think that we will recover fully along with some interest or whatever which should accrue to the ultimate borrower. That is what our expectation would be.

Navneet Baya: So, no further charges is what we expect on the P&L. Do I understand that correctly?

Nirmal Jain: Yes, you are right.

Moderator: That was the last question in the queue. I would now like to hand the conference back to Mr. Kapish Jain for any closing comments.

Kapish Jain: Thanks a lot, ladies, and gentlemen for joining our Q2 earnings call. For any further query, we are available. You can write to us at our investor relations e-mail ID or reach out to us separately and we will be more than happy to clarify things anything further from the results.

Nirmal Jain: Thank you so much. Have a good day ahead.

Moderator: On behalf of IIFL Finance, that concludes the conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Feb 2025

IIFL Finance Limited

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February 20, 2025

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Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter ended December 31, 2024, please find attached herewith transcript of the said earnings conference call which was held on February 13, 2025.

The same is also made available on the website of the Company i.e.
<https://www.iifl.com/iifl-finance/financial>

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

CC:
India International Exchange (IFSC) Limited
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MANAGEMENT : MR. NIRMAL JAIN – MANAGING DIRECTOR , IIFL
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MR. R. VENKATARAMAN – JOINT MANAGING
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MR. MONU RATRA – CHIEF EXECUTIVE OFFICER ,
IIFL HOME FINANCE LIMITED

MR. N. VENKATESH – MANAGING DIRECTOR , IIFL
SAMASTA FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY'25 Earnings Conference Call of IIFL Finance Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*", then "0" on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to the management for their opening comments.

R. Venkataraman: Good afternoon, and thank you for joining the analyst call of IIFL Finance. I'm R. Venkataraman, Joint Managing Director. Along with me in this call are Nirmal Jain, Managing Director; Mr. Monu Ratra, CEO of IIFL Home Finance; and Venkatesh, who is the Managing Director of IIFL Samasta Finance. Unfortunately, Kapish Jain , our CFO could not join us in the call because he's recovering from some health issues.

Now I'll ask Nirmal to share the brief picture and the broad macroeconomic outlook.

Nirmal Jain: Thank you, Venkat. In terms of big macroeconomic picture, I think the long -term structural growth outlook remains intact, but there's a cyclical slowdown and that has impacted earnings and market sentiment. Coming to NBFC sector, I think the stress is evident in unsecured and microfinance segment and primarily due to rising consumer leverage, whereas the income growth has not been there, the real income has been stagnant.

And a significant portion of the borrowings in the recent past of the unsecured credit has been directed towards consumption rather than productive or income -generating activity, and that has further strained the repayment capacity of the borrowers. The slowdown in IIP to 3.2% further signals the weaker economic momentum. SME growth has also moderated, reflecting broader economic sluggishness.

And additionally, the liquidity remains tight for most NBFCs as banks have restricted the funding access and most of the NBFCs are encouraged to diversify the sources of funding. And that reduced availability of credit and rollover options for the borrowers has exacerbated the financial stress in the sector.

The Karnataka government's regulation on MFI, although targeted at unregulated entities, is affecting the borrower sentiment and the repayment culture. However, the good news is that the regulator and the government are focusing their monetary policy and fiscal policy stance and narrative towards a more supportive and accommodative approach. And therefore cyclical slowdown is likely to be halted and reversed very soon.

I think maybe Venkat can take you through the -- as Kapish is not there today, through the financial numbers, and we can take Q&A after that.

R. Venkataraman : Thank you, Nirmal. Coming to the numbers. For the quarter, IIFL Finance profit after tax before non-controlling interest was INR 82 crores, down 85% year -on-year and up 188% on a quarter -

on-quarter basis. Pre -provision operating profit was INR 534 crores, which was down 29% quarter -on-quarter and down 45% on a year -on-year basis.

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For the quarter, our consolidated loan AUM fell by 8% year -on-year and was up 7% quarter -on-quarter. It is now INR 71,410 crores. Further dissecting this AUM, our core products loan AUM, which comprises home loan, gold loan, MSME loan, and microfinance, this fell by 6% year -on-year and was up 7% quarter -on-quarter. This segment now constitutes 98% of our overall AUM mix, showing the retail granular nature of our portfolio.

Our gross NPA stood at 2.4% and net NPA was at 1%, which is up 70 basis points and 14 basis points, respectively, when compared to the same period last year. This is due to asset quality stress in microfinance, unsecured loans, small

ticket LAP which reflects the overall sluggishness in the Indian economy.

The assigned loan book stands at INR 12,472 crores, which is down 33% year -on-year and 11% quarter -on-quarter. We also have co -lending assets of INR 9,236 crores, which is down 20% year-on-year and up 9% quarter -on-quarter. While co -lending assets grew and has met expectations, the assigned assets declined due to reduced availability of eligible and seasoned book.

This is an outcome of RBI's embargo, which constrained new loan origination and hence the pipeline of assignable and available assets. We expect assignment volumes to recover as fresh disbursements pick up over time. Our quarterly average cost of borrowing increased 9 basis points year -on-year and 1 basis point quarter -on-quarter to hit 9.16%. During the quarter, we raised INR 9,964 crores through term loans, bonds, and commercial paper and INR 1,477 crores was raised from assignment.

Our cash and cash equivalent and committed credit lines from banks and institutions stood at INR 5,656 crores. This is adequate to meet near -term liabilities, but also fund growth. We have a positive ALM in all buckets and our net gearing is at about 3.1x. Our annualized ROE for the quarter was 1.4% and ROA was 0.6%. Earnings per share for the quarter was INR 1 per share. Our capital adequacy for the NBFC is at 22%, HFC at about 46.2%, and for Samasta Microfinance is 32.2%, which is well above the minimum threshold of 15%, reflecting our off -book strategy and growth model.

With this, I come to the end, and we are open to questions that you may have. And thank you once again for joining us.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Sir, two questions really. First one on your gold loan business. I think we saw some good momentum during this quarter, almost 39%, 40% up Q -o-Q. Just trying to understand somewhere I think we have also guided that by the end of this year, we want to get closer to where we were prior to the bank. So I mean, what progress are you making in that direction? Is the demand strong enough for us to get us there?

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And then in your press release, you've also spoken about some pressure on gold loan yields since you've been trying to regain customers. So just trying to understand again what is it that you are doing there and what impact it could have on your gold loan deals going forward?

And the second question I had, again, was on the MFI business. Undoubtedly, the sector is going through its share of pain. We have seen that in other MFIs as well. For us, in our assessment, what is the extent of the pain? And is there any ballpark credit cost guidance you can give out? And for us, by when do we expect things to start improving maybe 1, 2, 3 quarters from here? Those are the 2 questions.

Nirmal Jain : Yes. Taking your first question, gold loan volume growth is there, but the portfolio yield is down by almost 2%. The way this industry works is that normally basically to get the customers onboarded in a very competitive environment, one has to offer lower rate. Over a period of time, the rate improves. Most of the times, the customers basically opt s for a product and the conditions which basically allow them to take lower rates like monthly interest on a lesser LTV. But over a period of time, this gets stabilized.

So for the time being, it looks like that our volume growth will be stronger. So we -- at the time of ban, we had 10,000, then we went up to 11,000 in the 10 days after the ban in September then 15,000. And more likely, our target was to go back to 24,000 to 25,000, where we were. We

may fall a little short of it, but still we will be closer. But it will come at some compromise -- some small sacrifice on the yie

Id, which we hope to make it up in the next financial year fully.

Then coming back to MFI, I think the industry has been passing through a significant pain and also not only MFI, but adjacent loans of the cross-selling products of MFI also because the entire sentiment of borrower has been impacted. Maybe to some extent, this is a bit unprecedented. So as things unravel, we are also learning and understanding. So most of the MFI customers, their track record has been good. They have given the small macro or the individual loans. And even those unsecured or the LAP loans performance has deteriorated significantly. What we gather from the market and from the field is maybe if Venkatesh is there, he can talk about it in terms of how does the next quarter look?

Although in the last quarter, also in the beginning, we thought that things will improve, but again, they deteriorated. The borrowers as they know that they are not going to get new loan because of the restrictions on the number of loans or the amount of loan or also many microfinance companies pulling back, then they stop repaying the earlier loan and/or whatever they have because they say that, okay, we are not going to get new loans. So I just -- like I don't want to repay and I want to keep the money for my business or whatever it is.

So to that extent, Venkatesh, you're there?

N. Venkatesh: Yes, I'm there. Can you hear me?

Nirmal Jain : Yes, yes. So maybe I think you can talk about the way things stand now and how the industry should look at the microfinance asset quality going forward?

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N. Venkatesh: Sure, sure. Thanks. I mean in terms of the asset quality, if you look at what -- in the last 6, 7 months, what the industry has gone, it's a little unprecedented, given that the industry implemented the guardrails and how the things have panned out.

Most of the states have shown improvement in collections. As in the initial remarks, what Nirmal had pointed out that Karnataka's ordinance is where slightly the Karnataka historically, even during this phase was doing well, but a slight thing, though the ordinance clearly talks about it is not for regulated entities.

We expect slight disturbances for a couple of months or so till people -- I mean, even now if you look at it on the ground, most of the stakeholders have understood that it is not for the regulated entities and things, but slight disturbances will affect Karnataka for slightly little thing. On an average, we will be looking at a credit cost of around, for this, around 8% to 8.5% kind of a thing.

Abhijit Tibrewal: And sir, I mean, there are other MFIs also who have started now reporting their current bucket collection efficiencies just to kind of impress upon us that maybe December, January things have gotten better versus October and November. Is this something that we have also seen and/or for us, I mean, things are still where we were in October and November?

N. Venkatesh: Yes. As I pointed out earlier, if you look at most of the states have started improvement in collections, especially on our zero-day bucket. I think the forward flow in the zero-day bucket is slowly coming down. So that was the initial thing. So yes, things -- I mean, the things have improved in the last 3, 4 months. I mean post October, I can say November 15 onwards is where we saw the improvement happen.

Abhijit Tibrewal: And sir, it has sustained in Jan as well?

N. Venkatesh: Yes, Jan also it has sustained. Yes.

Moderator: The next question is from the line of Yash from RSPN Ventures.

Yash : So first question is with regards to the home loan segment. I think the IIFL Housing Finance has recorded a 20% decline in profits. So if you could just provide some color on the same.

Monu Ratra : Yes. Nirmal, may I?

Nirmal Jain: Yes, go ahead.

Monu Ratra : Yes. So what you are looking at -- I believe y

ou're talking about quarter-on-quarter, right?

Nirmal Jain: I think on a year-on-year basis.

Yash: Yes.

Monu Ratra : Yes. So if you look on the quarter-on-quarter basis, Yash, in the last quarter, we had a very significant interest strip income, which was there. And if you see our numbers, which are net of

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the interest strip income, which in this quarter was actually negative, which was there. And one, the YTD adjustment of FPC, which RBI had implemented regarding the fair practice code, we put together. So there's actually a quarter-on-quarter increase of 2% in our profit. So on the actual cash basis, we are still positive by 2%, Yash.

Yash: Actually, sir, I meant it on the year-on-year basis.

Monu Ratra : Yes. Okay. So if we're talking about the year-on-year basis, the decline which we are seeing is primarily for 2 reasons. One is, again, slightly increased our cost of funds, which was there, marginal. And the other is the credit cost. So we have -- ever since we have had a pretty, I would say, a very conservative write-off policy which we have. These are majorly technical write-offs, which are there, which are actually not write-offs, which are there as we're seeing some stress in the micro LAP portfolio.

So if we see that -- so the slight increase in the credit cost is the major reason for it. But we're pretty confident of these technical write-offs to give us decent recovery in the coming quarters. But as it is, ever since COVID times, we have been pretty conservative on the -- our write-off policy and the SICR policy. So it's more from that standpoint, Yash, but we are very confident of all these loans being coming in, in the next 2 quarters.

Yash: Secondly, with regards to the construction and real estate finance, I think the AUM has gone down by 58%. Are we supposed to -- are we planning to regrow the AUM or are we going to cut it down more?

Monu Ratra : So I think you would be seeing this at 2 levels. If you see it at the housing finance level, actually there's been a slight -- it's flattish. But overall, at a group level, I'm sure Nirmal can answer better on this. We have been averse to the real estate business. But as far as HFC is concerned, standalone, it's pretty flat. And we do see some headroom for growth in the HFC on the construction finance business, which is a pure construction finance for affordable units.

Nirmal Jain: So the construction finance that we are doing now is primarily -- so earlier, one used to do it on a collateral of land also and unapproved projects, but now it's done for projects which have got all the approvals. And the funding part is only for the construction and not for the land or any other cost of sort of bringing the land to the approval stage.

So to that extent, there are two advantages. One is the risk is much lesser because the borrower equity is much more. And two, this also dovetails into our home loan product because most of the cases that we fund, we can be one of the priority lenders for the customers. But obviously, ticket size is smaller and the portfolio performance significantly different and better.

Yash: And just a couple of more questions. With regards to gold book, when do we see the gold book getting to the normalized levels? And secondly...

Nirmal Jain: This year is -- so next financial year, maybe from first quarter itself, we'll see that the yield coming back to the normal levels. The whole year will be normal. The first quarter -- so supposing we are lower on by 2 percentage points, I mean I expect at least 1% to be recovered

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in the first quarter of the new fiscal year itself. But it's very difficult to be precise on the forecast.

But at least whatever sentiment we pick up, I think this is what I would expect.

Yash: And also we have the AUM size, like we are

at 15,000 odd right now. When do we expect it to reach to around 25,000 levels?

Nirmal Jain: 25,000 you're saying?

Yash: Yes.

Nirmal Jain: I think the year we should end at around 22, 23 and it will take maybe some more time to get to 25.

Yash: And the last question would be in regards to the MFI loans. So are we bottoming out on the provisions? Or do we expect the provisions to increase furthermore the GNPA ratio that I'm talking about? So are we expecting bottoming out or how is it?

Nirmal Jain: See, at this point in time, we expect -- again, because the industry has been so fluid and is passing through all kind of problems and new problems. But I think that we should be bottoming out now.

Moderator: The next question is from the line of Aagam Shah from Flute Aura Enterprise.

Aagam Shah: I just had one question, and I think Yash had already asked it, but I just want to clarify. The gold loan AUM will be back by next financial year, right?

Nirmal Jain: So gold loan AUM will be back by mostly, maybe in a very close vicinity of wherever we were by this financial year-end, which we are talking about March '25. Yield will be back to normal in the next financial year.

Moderator: The next question is from the line of Anusha Raheja from Dalal & Broacha.

Anusha Raheja: I just wanted to understand why there is a reduction in the assigned assets on Q-on-Q basis?

Nirmal Jain: So as per RBI regulations, you can assign the assets, and they require minimum seasoning or

minimum period on your book of 3 months if the asset duration is less than 2 years and 6 months if asset duration is more than 2 years. So, you can assign book only of the assets which have been on your books for minimum 3 to 6 months. But practically because after that 3 months, you give it to the rating agencies, and you give it to the potential buyer of the assets. So, it takes another 1 to 2 months.

So normally, the 4 to 5 months lead time for, say, gold loan and 7 to 8 months for the other products before it is ready to assign. So, this seasoning requirement is RBI regulation that you can assign assets only after they stayed on your book for certain minimum time period.

Anusha Raheja: And sir, incrementally assigned assets and on the co-lending side, which of the assets are the assets that have been assigned? Is it MFI or gold loan?

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Nirmal Jain: All the assets, the gold loan, the home loan, and even MSME for that matter. So, all the products that we do are all assignable assets. When there's a disruption in the first half, then it will take us 4, 5 months, 6 months for the assignment book to be ready in a significant manner for size.

Anusha Raheja: And from the asset quality side, there was an increase in the secured business loan as well in this quarter. So how do you assess overall MSME loan secured plus unsecured asset quality -- from asset quality standpoint going forward? So how do you see that shaping up? And what could be the consol credit cost number that we can expect for Q4 or, say, for that matter in FY '26?

Nirmal Jain: So, the entire segment of high-risk credit which is unsecured as well as micro small ticket secured. They've been very badly impacted. Many a times these borrowers are also MSME, and they need it for working capital of business, then overall system credit reduces, they are not going to roll over. And also, the whole sentiment, everything also gets impacted. So, the business slows down, the income slows down, the repayment default happen.

And so, when we say if you -- on Slide 12, we have now given a breakup of MSME secured, which is LAP and unsecured, which are sourced by 3 different entities. And what has happened is the Samasta, which is a microfinance entity, their sourced assets have suffered the most because they are the same set of borrowers who are also microfinance customers.

Typically, in the microfinance industry, 25% of the book can be non-microfinance. And it was actually supposed to be a diversification and a better -- so the individual -- so what happens, microfinance is given to a group of women, typically 5. When they have a good track record, say, for 2 years, 3 years, then individually microfinance companies will lend them sometimes unsecured and sometimes against some property.

Now the property is also in the rural or areas where they live and the property can be a deterrent, but their repayment will happen with the cash flow. When their income and cash flow is impacted, then you see that unsecured as well as the small ticket secured, both get impacted similarly. But NPA might show similar trend.

In case of property, our experience is that ultimate default should be lower because you have ability to take the property or that basically makes the borrower get finance from somewhere but not lose the property. So, the ultimate losses might be lower in the LAP segment, but GNPA is impacted by cash flow, which is similar impact on -- that actually depends on the profile of the borrower.

Anusha Raheja: But I just missed on to a credit cost guidance for the MFI segment. What did you -- what was mentioned?

Nirmal Jain: I think Venkatesh spoke about it, that 8.5% was his guidance. Venkatesh am I right, that's the number you said?

N. Venkatesh: Yes, that's 8% to 8.5% is what it will be around.

Nirmal Jain: Thank you.

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Anusha Raheja: And sir, on the construction finance, I think sequential growth has been quite on a higher side. So, if you can just give some color as to how do we see this segment's growth shaping up over the next 3 to 6 months' time because this forms one of your noncore segment, right? And what is the -- so what explains such a sharp rise? And what is the strategy of growth in this segment and incremental increase?

Nirmal Jain: Why you are saying that construction finance is a sharp rise, Where is this number. Actually, it is a decline there, significant decline.

Anusha Raheja: Construction finance book.

Nirmal Jain: No, has gone down. Look at Slide 11 actually.

Anusha Raheja: Okay.

Nirmal Jain: Probably you see a sharper rise in capital market, but this is on a small base. So -- but otherwise the construction finance book has fallen 39% quarter-over-quarter and 69% Y-o-Y.

Moderator: The next question is from the line of Murthy Nagarajan from Tata Mutual Funds.

Murthy Nagarajan: So, this question is directed to Nirmal. Sir, can you give us some idea about what is happening recently in this company right now? So, this is something...?

Nirmal Jain: Bandhan Bank?

Murthy Nagarajan: Yes, so which we are reading in the news. So, if you can give us, throw some light on that.

Nirmal Jain: No, I'm sorry, Bandhan Bank, how would I be expected to throw some light? Bandhan Bank you're saying, right?

Murthy Nagarajan: Yes. So, what has been happening recently in the company? Like if you can give us some light or can you give us some idea about what is happening?

Nirmal Jain: So you're saying in our IIFL or where, IIFL you are saying, right? Murthy, I can't get your question. Can you repeat it?

Murthy Nagarajan: Sir, actually I'm ...

Moderator: Hello. Mr. Murthy, can you hear us? Hello. As there's no response, we'll move on to the next participant. It's from the line of Varinder Bansal from Omkara Capital.

Varinder Bansal: I think maybe Mr. Murthy also wanted to have some light on the news, which was going around the income tax, okay, raids at the IIFL.

Nirmal Jain: So I was responding to the question about income tax by Murthy earlier, I think. So income tax had a search in the office premises of all our group companies as well as the residential premises of some of the key employees, including mine.

And the search, they have right under Section

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132, where basically they take -- I mean, they check documents, take data, take statements of various people.

Obviously, they have some suspicion that there could be some undisclosed income or underreported profit. But as a company, we follow the highest standards of governance and compliance of tax as well. So we gave all the statements, documents as required. And the search started on 28th of Jan and it concluded on 2nd of Feb or maybe 3rd February morning, so 5, 6 days, it was there in various devices.

Varinder Bansal: So any results, sir, of the income tax raid we have?

Nirmal Jain: Okay. The way the process is, Varinder, that there's nothing which was there for us to declare or do anything or for them to do anything at this point in time. But once they collect all the data and documents, then the process that I'm told is that they will make something called appraisal report, which goes to -- which can take about 3 months, which goes to assessing officer. Then if he believes that the income was not reported fully, then they give a notice to the company, the assessee that is us, that you file a revised written within 30 days.

And if you do not file revised or after revise return is similar to what it was and then assessing officer sees that still there is a cause for doing an assessment differently, so they can do it and for which you can go and appeal against it in case they are not satisfied. But at this point in time, we don't have anything beyond this.

Varinder Bansal: My second question, sir, in the press release, you have mentioned that we believe the worst is behind us. So just hypothetically thinking that we have taken all the pain of the technical provisions in the last 2, 3 quarters. So next quarter, we will not be having more technical provisions coming in and hopefully, the quarter 4 will be better than quarter 3 and progressively.

Nirmal Jain: Yes. So if you look at the average loan book of gold, from the where it was the lowest in last quarter because it has been declining till September and has -- we started to resume, but still the yield and gold loan has been impacted very badly.

In terms of provisions, yes, I believe that we have taken, in case of MSME, our insurance cover starts from the loans, I think from September or October. In microfinance, I think some pain is still there, but it may not be as bad as the third quarter, which was the worst ever quarter.

So all put together, I think that worst is behind us and things will improve. Also if you notice that even the RBI directive and the government has also been pro-growth and pro-supportive stance rather than the sort of a tightening or more the regulatory actions, which have been very stringent in the last few months. So all things put together, they are very good industry. We think that things should start improving from here and this will improve significantly as we go forward.

Varinder Bansal: Sir, my last question, if permitted. We also hear that ADIA has been pushing for demerger of the home finance business. Any update on that?

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Nirmal Jain: No, there's nothing . RBI has no view of this. I don't think RBI ...|

Varinder Bansal: ADIA , sir, I said, you know.

Nirmal Jain: ADIA . No, ADIA is a long -term investor. So I think there is some understanding that they are invested for at least 7 years in terms of their own investment horizon. So it will be done strategically whenever it's appropriate time. So I don't think there's any push or pull from anywhere for demerger or otherwise.

Moderator: The next question is from the line of Desmond Lee from Wellington Management.

Desmond Lee: Just maybe 2 items here. Can I ask you about the capital levels for the standalone entity? I noticed it declined Q -o

n-Q by quite a bit. I think about 22% now from 26%. Just wondering, can you provide some forward guidance as you regrow your loan book, will your earnings be able to follow that loan book growth and maintain a capital level? Just want to get some sense whether this number will cover or will it fall?

Nirmal Jain: You're saying capital adequacy has fallen from?

Desmond Lee: 26.3% to 22% Q -on-Q. So just wondering any forward guidance on where you want to bring capital?

Nirmal Jain: Yes. So the capital adequacy margin is down because the loan book has grown , Mr. Lee . And as I said that the assignments have been much lower because they require seasoning. So the way our long -term strategy on the capital efficiency has been if the loan book grows, then that consumes your capital. But if you are able to sell those loans along the risk, then that reduces the capital.

So last quarter, our assignments have been much lower because the book has not seasoned . But loan book has grown pretty smartly in case of gold. And also the subordinate debt or the Tier 2 capital falls when the bond maturity reduces to less than 5 years, then you can't consider them as Tier 2. But we can always -- in this quarter, we've raised more subordinate bonds. And when we assign the assets, then the capital adequacy will be restored to the earlier level s. So, we are watching it very carefully, but it's just sort of a phase that it has dipped a little bit. And we have enough cushion actually because we are far above the regulatory levels.

Desmond Lee: So just to clarify. So as you start to pick up on the assignment, again, you expect capital levels should get better from here or?

Nirmal Jain: Yes, so when we do assignments, the capital adequacy is a function of the risk assets on your balance sheet and what your own capital is, your own funds are. So your own fund basically will increase by profit, which also have been much lower in the last quarter for reasons that we discussed. And your risk assets have gone up because we have not assigned. So when you assign the assets to banks, along with the risk , the risk assets go down, which is the denominator and the capital goes up.

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So to summarize, you're right that as assignment picks up and as we raise subordinate bonds, both of these things will contribute to higher capital adequacy. At the same time, when the loan growth happens, then the capital adequacy goes down.

Desmond Lee: So maybe just one final question from my side here. Maybe just on the liquidity side. It seems like the liquidity buffer has weakened compared to pre -ban levels. Just wondering, are you taking steps to improve that free cash plus undrawn lines buffer going forward? I noticed you've issued a dollar bond since then -- since the quarter end. So maybe just some thoughts on your liquidity position, where you want to maintain that going forward.

Nirmal Jain: So these numbers are as of December 31. At that time the liquidity buffer is close to a little less than INR6,000 crores. The dollar bond issue money came on the 14th -- sorry, 24th of January in this quarter. So the liquidity as we speak is back to the normal level, but you don't see them in these results, you see them in the next quarter. The dollar bond issue happened in January, these numbers are of December.

Desmond Lee: So can you give us an updated level, just thinking coverage of your next 3 months debt and interest payments, would it be higher than the next 3 months payments?

Nirmal Jain: No. We are very well covered for next 6 months of interest and principal payment.

Desmond Lee: Next 6 months.

Nirmal Jain: Actually for the contract ual, we are covered -- yes, our 6 months total maturity is -- I mean, I'm talking in Indian rupees INR5,297 crores. And our liquidity as of 31st December was INR5,656 crores. And now in the month of Janua

ry, we have further added. So we are well above requirement for the next 6 months.

Moderator: The next question is from the line of Gokul Raj from Bavaria Industries Group.

Gokul Raj: Could you speak a little bit about the availability of funds for growth? And also if co-lending and asset management partners, is it similar to what you see in terms of pricing and availability of funds? Or has there been any structural decrease in the -- or addition in the premium that we are looking for?

Nirmal Jain: So availability of the fund is not an issue, but the cost is an issue and the dollar bond that we have raised in the month of January with full hedging, the cost is significantly higher. It's almost kind of double digit, and that will impact the weighted average cost of fund going forward. But the availability of fund is not an issue. We are able to raise from banks, mutual funds, and the external commercial lenders or investors as well.

Gokul Raj: So when do you expect -- you said roughly you will catch up on the yield side, let's say, in a year or so. So let's say, from a spread point of view, when do you think it will get normalized?

Nirmal Jain: Your voice is echoing, so I couldn't hear it properly. Can you please repeat?

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Moderator: Mr. Gokul, can you please use your handset?

Gokul Raj: Is it better now?

Moderator: Yes, please, go ahead.

Gokul Raj: I was just asking on the yield side, you have mentioned that within a year, you expect the yields to normalize on the gold loan side. So from a spread point of view, when should we expect the economics to return to the pre-ban level?

Nirmal Jain: I think next financial year as a whole and, of course, the trend will be evident from the first quarter itself.

Gokul Raj: And from a growth point of view, I know growth probably may not be the first concern at this point. But from a growth point of view, any broad view on how you are thinking about growth next year?

Nirmal Jain: I think whatever we are seeing now in terms of -- as I said, even the cyclical slowdown seems to be reversing. And I think we should look forward to a strong growth next year. And we don't give any forward-looking guidance. But I think this year has been a year of consolidation, challenges, as well as certain unexpected things that happened.

Next year should be a very strong growth on a base. From a trend line point of view, this year is like more or less stagnant compared to last year in terms of size. So next year should be a very -- I'm very optimistic on the next year's growth.

Gokul Raj: Sorry, on assignment and co-lending, you said the yields have increased, sorry, the costs have increased, but has all the partners on board and the quantum of lines that they give to you for this co-lending or assignment, do you think that's pretty much similar to the pre-ban stuff?

Nirmal Jain: So the cost across the industry for NBFCs in particular has gone up. Now this is was the story till December. What we are seeing now is that the unanimous consent of MPC to reduce the rate and also it looks like that RBI seems to be committed to make sure that the liquidity issues do not arise. So I think that the cost of funds also seem to have peaked out. But the impact of -- okay, what happens is that, as I said that we raised high-cost money in the month of January. So your March quarter impact will be there of the cost of fund. But beyond that, I think the incrementally we see cost of funds moderating.

Gokul Raj: And last question would be on gold loans. Has there been any change in the type of product? Is it getting more EMI based? Or is there any change from how we were doing the business pre-ban to now? And so once you get back to the old peak, should we expect normal growth? Or is there something different that we should think about?

Nirmal Jain: So as of now, we'll

have a faster growth as we are recouping our customers and business. But next financial year, we should see normal growth.

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Gokul Raj: And on the product mix change, is there any higher product EMI-based gold loans that's happening? Or is it just a normal mix similar to...?

Nirmal Jain: So our focus is more on retail, smaller ticket loans, but I think mix will be more or less similar to what it was. We have cut down on the -- so the larger ticket loans, strategically, we want to focus on the small ticket customers more as compared to the larger customers.

Moderator: The next question is from the line of Murthy Nagarajan from Tata Mutual Funds.

Murthy Nagarajan: Yes. Am I audible now?

Nirmal Jain: Yes, Murthy, go ahead.

Murthy Nagarajan: Yes. So I want to know on one thing, like how is the next 2 years, 3 years, how do you see the composition of your balance sheet changing? How much will be a gold loan? How much will be unsecured? If you give us some breakup on this.

Nirmal Jain: Yes.

Murthy Nagarajan: Or you got some idea about how you would like to go?

Nirmal Jain: Yes, I'll tell you, Murthy. So one is that the microfinance industry has undergone a fundamental change in terms of -- because the new guardrails, which restrict the loan amount to broadly say INR2 lakh instead of INR3 lakh, number of lenders from unlimited to 4 or maybe 3 going forward.

So microfinance growth, which was a significant driver of growth in the last 3 years will not be -- will not see much growth. And as of now, they've seen decline. So what we will see is that the microfinance, which are, say, around 15% of mix or 14% right now will go down to 10% or even maybe slightly lower than 10% over the next 2, 3 years.

Gold loan will continue to be strong and home loan as well. But within MSME, we'll see that the secured piece will grow faster. The other thing like personal loan, we have discontinued, which we had earlier with Zest and Nira, some partnership s which we have done in '22, '23. Construction real estate has already declined, will not decline now, but will see a relatively slower growth. So in terms of mix, if you see the current mix, then home loan is 42%, gold loan is 21%. But this is because gold loan was impacted in the first half. So both these will be around, say, 1/3, 1/3 of our total portfolio.

And microfinance may be around 8% to 10%. And then another 20%, 25% will be MSME loan, 25% or so, which will have 2/3 or 70% will be secured and the remaining will be unsecured.

Broadly speaking, our unsecured -- our target is to bring it to 15% or lower of the total portfolio.

Murthy Nagarajan: But this will also affect your margins, right, going forward?

Nirmal Jain: That's a good question. But gold loan margins are good. And secondly, in the home loan also because we are able to sell down the asset, the margins are -- I mean, probably are pretty okay.

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So there will be some advantage of cost -to-income ratio also because when the book shrink s for whatever reason, cost -to-income goes up.

So yes, while the NIM will be a little lower, but cost -to-income will also come down. So on the ROA level, there will not be much impact.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

R. Venkataraman : Thank you so much for joining us on this call. And if you have any other further questions, please feel free to reach out to our Investor Relations department or Veenashree and we'll be more than glad to answer your questions. Thank you so much.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

IIFL Finance Limited

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Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter and year ended March 31, 2025, please find attached herewith transcript of the said earnings conference call which was held on May 9, 2025.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
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Moderator: Ladies and gentlemen, good day and welcome to IIFL Finance Limited's Q4 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to the management team of IIFL Finance Limited. Thank you and over to you.

Kapish Jain: Hi, thank you very much. This is Kapish Jain here. I am the CFO at IIFL Finance. I welcome everybody on this call today and for sparing your time with us. On this call today, I have Mr. Nirmal Jain, our Managing Director. Mr. Venkataraman , our Joint Managing Director and Co - Founder, Mr. Venkatesh, who is the Managing Director for IIFL Samasta Finance and Mr. Monu Ratra, who is the CEO for IIFL Home Finance.

I now hand over this call to Mr. Nirmal Jain to give a perspective on the overall macro sector and economy and also on the company's going -forward strategy.

Nirmal Jain: Thank you, Kapish and good afternoon everyone and thank you for joining us today. So let me begin with a brief overview of the macro environment. India continues to be among the fastest - growing major economies globally, driven by resilient , domestic consumption, a robust financial ecosystem and deepening credit penetration, especially amongst MSMEs and retail borrowers. The NBFC sector remains a critical pillar in this growth story and although the regulatory environment has become progressively more stringent, pushing all of us to raise the bar on compliance, governance and risk management. That said, the past few days have brought heightened geopolitical tensions with Pakistan following serious cross -border hostilities. While the situation is evolving and we hope for a swift de -escalation, the immediate impact on the broader financial markets and domestic economy is difficult to assess.

Against this backdrop, I am pleased to say that IIFL Finance has demonstrated remarkable resilience and agility. After navigating the regulatory embargo on gold loans in the first half of the year that has gone by, Q4 has marked a decisive turnaround for us. Our consolidated profit after tax was INR 251 crores which is quarter over quarter up 208% and our AUM in aggregate rose by 10% sequentially to INR 78,341 crores.

We expect to see acceleration in profit and asset base in FY26 as well , towards the normal trend line that is our pre -RBI embargo levels. Gold loans saw a significant 40% sequential growth, reaffirming our customer loyalty and franchise while MSME loans, which is our strategic focus for the future, continued their steady rise up 18% year on year. Home loans also maintained healthy momentum, reinforcing our leadership in the affordable housing finance segment.

I am also very happy to report that asset quality has improved further with our GNP A declining to 2.2% from 2.4% in the previous quarter. Our capital adequacy as we computed for the consolidated is robust 29% at the group level, well above regulatory norms. However, we are conscious of the individual company -wise capital adequacy levels, especially for the parent IIFL Finance Limited

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entity, where we expect direct assignments and co-lending to pick up during the course of the year.

Most bank partners have held back awaiting RBI's final guidelines on co-lending , which we expect in this quarter. Our liquidity buffer of over INR 5,200 crores ensures that we are well prepared to meet our growth requirements as well. On the funding side, we mobilized close to INR 8,500 crores during the quarter, which included the MTN - the medium -term note dollar

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issue of USD 325 million, which was topped up by another USD 100 million, so USD 425 million in aggregate, and a successful domestic NCD placement of about INR 1,500 crores during the quarter.

Beyond the numbers, we have made significant strides in fortifying our compliance framework in line with RBI's scale-based regulations for upper-layer NBFCs, and this includes tighter board-level oversight, automated compliance systems, proactive monitoring and reporting, and this reaffirms our commitment to governance and transparency. We are equally focused on leveraging technology for growth and efficiency. Our digital strategy is driving faster loan disbursal, superior customer experience, and smarter risk management.

With 4,900 branches now digitally integrated, our phygital model will allow us to scale sustainably, and we plan an aggressive investment in digital as well as AI technology in the current year to maintain our edge in the sector. Looking ahead, we expect to build on the momentum of Q4 and drive profitable growth across key segments. We believe that our strong balance sheet, our disciplined execution, and clear strategic focus will enable us to deliver sustainable value for all the stakeholders in FY26 and beyond.

With this, I hand over to our CFO for a detailed financial update.

Kapish Jain: Thank you very much, Nirmal. Ladies and gentlemen, for the quarter four of fiscal FY25, as mentioned by Nirmal, the consolidated profit after tax before non-controlling interest was INR251 crores. It was down 42% YoY for reasons already mentioned, and it's up 208% on a quarter-quarter basis, led by the growth that we have in our loan book as well, and at the AUM level as well.

We recorded a pre-provision operating profit of INR651 crores, which is down 35% YoY.

However, it's up by 22% on a quarter-quarter basis. Going for the quarter, consolidated to an AUM, while it decreased by 1% on a YoY basis, it was up by 10% on a QoQ basis at 78,341.

If I further dissect the AUM and talk about our core products, which is home, gold, MSME, and micro, on a YoY basis, it was flat at around 1% growth YoY and 10% growth on a QoQ basis, which is 76,654 as of 31st of March, 25. The mix stands healthy, with home taking a share of 40%, gold running back to its last share of around 27%, and microfinance has decreased growth in line with the way the sector has performed over the last one year.

Our gross NPA has improved to around 2.2%, and net NPA, around 1%, which is down by 10 basis points and 15 basis points, respectively, if I compare with the same period last year. Our ECL provision is driven by IndAS, and our provision coverage ratio on our NPA stands at around 100%. Being quarter four and with the increase in momentum of our business, and as our

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assigned portfolio becomes more mature, then we see some momentum coming in in our assignment and co-lending asset book growth as well, which is marginally shown growth in this quarter, and the decrease was more because the book was running down due to the embargo in the previous quarters. So the assigned loan book stands at around INR 12,789 crores, up 3% QoQ and down 22% YoY, and the co-lending book has gone up by around 15% Q-on-Q and is down 10% YoY basis at INR 10,606 crores.

A brief on our liquidity. Our cash and cash equivalent, committed trade lines from banks and institutions stands at around INR5,216 crores, adequate not just to meet our near-term liabilities but also to support our growth momentum, and we also find good traction in our conversation for new lines of credit from various institutions, including banks.

As always, we hold a positive ALM, whereby inflows cover or exceed the outflows across all our buckets, and net gearing standing healthy at around 3.4x. Our annualized ROE for the current quarter stands at around 7%, while ROA stood at

1.6%. So the basic earnings per share for the quarter was 4.9 per share. As of 31st of March, we hold a healthy capital adequacy of around 18.5 in the NBFC, housing finance at 47.2, and microfinance at 32.4%, well above the threshold of 15% regulatory defined.

With this, I come to the end of my presentation, and I hand over and open the floor for Q&A.

Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We'll take our first question from the line of Sukriti Jiwarajka from Laburnum Capital.

Sukriti Jiwarajka: My question is on this MSME unsecured book that you're doing in the standalone entity. Now, I'm sorry if you've covered this before in previous calls, and I'm seeing the book has grown at 3x over the last two years, 21% yield, 8 lakh ticket size. I'm just not able to understand this category of loans. These are MFI yields almost. What sort of MSME is taking these loans and why?

Nirmal Jain: Yes, so these are the MUDRA loan for which government is also pushing banks to meet their

target. And then there is insurance coverage on these kind of loans also. And our insurance coverage is effective from last quarter. Now, coming back, I mean, maybe coming sharply to your question, which is that what is the profile of these customers?

So these are typically small shopkeepers, ancillary units, you know, who borrow at these levels. So normally the higher working capital banks will be willing to consider application, but normally these small customers get ignored. So they are typically shopkeepers, traders, freight operators, small service providers, like professionals also. So these are the kind of customers.

Sukriti Jiwarajka: Are these working capital loans? What is the tenure?

Nirmal Jain: So tenure typically is between 12 to 24 months. And mostly, yes, you're right, these are working capital loans. I mean, some of them can take it for expansion also, for capex also.

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Sukriti Jiwarajka: Okay. And a couple of follow-ups on this, right? Are you doing this from your own balance sheet or because you said banks have a requirement, is this a sell-down for PSL?

Nirmal Jain: So we have been -- so as you rightly said, this is a relatively new portfolio and has accelerated in the last couple of years a lot. So banks have a good appetite for this. And we've been talking to various banks. They've been, you know, integrating our flow as well as basically we are negotiating with several banks. So maybe this year probably we'll see that there's a significant co-lending and DA in the year.

Sukriti Jiwarajka: Today that INR4,500 crores is on your balance sheet.

Nirmal Jain: Sorry, what did you say?

Sukriti Jiwarajka: Today this MSME unsecured is on your balance sheet, right?

Nirmal Jain: MSME unsecured is largely on our balance sheet.

Sukriti Jiwarajka: Got it. And how big, like you're saying you want to grow overall MSME at 25%, 30%. Honestly, this book is looking very risky to me. I just want to know if I'm not understanding this properly, because it's a little long for working capital, the tenure. And is this something that you want to grow at 30% as part of your MSME? How big can you take this?

Nirmal Jain: Our growth will be in the secured part of portfolio, which we had guided last year also, so our secured portfolio has been much smaller. And that is where we intend to grow faster. And so the unsecured growth will be primarily more driven by bank partnership. And if you really see, then in terms of target, we'll probably bring down our unsecured portfolio and focus more on secured.

Sukriti Jiwarajka: Any early warning signals in this portfolio? Because I think you've slightly reduced growth in the last two quarters.

Nirmal Jain: Can you please repeat?

Sukriti Jiwarajka: Sorry, any early warning signals in this portfolio that you

are seeing, because I've seen that you've sort of flattened growth in this book in the last two quarters? So any early signs, early warning signals that you're seeing?

Nirmal Jain: So what has happened is, as I said, that unsecured is what we are slowing down. So if you would have seen that our unsecured portfolio is basically going down or not growing, or maybe will grow at a slower pace. Secured infrastructure, the team that we are putting in place for the last few months. So for secured portfolio, typically it's a LAP product for which you have a different set of people.

Then you build your network for title verification, technical, as well as sort of valuations, all those things. We were also doing -- some of these were also sourced by the microfinance company that also has slowed down in last year significantly. So we'll see a big, or maybe a significant ramp up in the secured portfolio in the next few quarters.

Sukriti Jiwarajka: Got it. And my last question on this is the insurance...

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Nirmal Jain: Primarily MSME is more of a LAP or loan against property product. Average ticket size will go up over the next year, yes.

Sukriti Jiwarajka: Got it. And the insurance coverage, is it similar to how that CGFMU coverage works for MFI? For this?

Nirmal Jain: Yes. So there are two schemes which government has, but broadly similar. So in one scheme...

Sukriti Jiwarajka: So you get it after two years.

Nirmal Jain: Hello, sorry -- about 3%. So basically, but at least a significant coverage which government now provides for MSME.

Moderator: We'll take our next question from the line of Niharika Karnani from Capgrow Capital.

Niharika Karnani: My question is also on the MSME sector. So we have highlighted that we'll be growing our MSMEs by 25% to 30% and ROE from the current overall 3.4% to 16%. So just wanted to have an idea as to focus would be around what parameter? Would it be on growth or credit quality?

What would be your focus?

Nirmal Jain: Credit quality is the focus, but also the gold loan growth, because we are getting our lost business. So last quarter, technically, we have grown by 40 % quarter-over-quarter, but it's mostly we are trying to recoup and regain the lost customers. So gold loan will be a significant contributor to our profitability as well as growth, where we expect, you know, that we'll probably get back our earlier level and also exceed that and getting back on the trend line growth.

MSME is a new segment, for which, again, we will leverage our gold loan branches. We've been working on this segment for quite some time. Our distribution capacity is significantly higher.

But last year, because of the gold loan and after that MFI and then certain other things, you know, we had held back. But on the low base, given our distribution capability, so you see the growth appears higher. But it's something which is within our capacity.

Niharika Karnani: And one more question here on the MSME part. What kind of ROEs expected here given will be going this book?

Nirmal Jain: So ROEs, we have given our guidance on an overall basis. And that also assumes that our co-lending and DA will continue at a level which historically has been there prior to ban and it can accelerate, or decelerate. So that's one. But it's primarily, you know, many of our overheads and costs are also combined. Because we use the same infrastructure, our HO and technology and many other functions are combined.

So we're not done the allocation to figure out ROE separately. Also the cost infrastructure is together. So we look at it holistically.

Niharika Karnani: Got it. And one last question here. Again, in the MSME sector. So what would be our focus there? Whether we'll focus on the cost part or will we try to reach out to as many possible customers there?

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Nirmal Jain: No, first one was - we focus on which part?

Niharika Karnani: Cost. So it's kind of cost versus reach in case of MSME?

Nirmal Jain: No, in case of MSME, we leverage our infrastructure and also the DSA channel for that. But cost we are conscious of. But our advantage is that we already have infrastructure of branches across the country which we can leverage. So we don't have any plans to aggressively increase our cost base at this point in time.

Moderator: We'll take our next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: So just wanted to understand, how are we looking at ROA for this year, FY26?

Nirmal Jain: Closer to 3%.

Deepak Poddar: Closer to 3%. And I mean, because you are still guiding for a credit cost of 2.5 to 2.7%, right? Is that right? I mean, so at that level of credit cost, how are we maintaining still ROA of 3%? I mean, what will drive that? Because on your normal level of credit cost, it's little on the higher level?

Nirmal Jain: No. So last year, credit cost was 3.1. Our NIM will also improve because we see that the interest rate cost seems to have peaked down. And maybe, you know, in a liquidity type situation, we've paid higher price. And also, in the mix, when the gold loan is the significant driver, we'll see the NIM improvement. And -- Sorry?

Deepak Poddar: Yes, please continue. Please continue, sir.

Nirmal Jain: Yes. So I think there's a NIM improvement, there's a volume growth, and continued co-lending and partnership with the banks. So these are the three drivers.

Deepak Poddar: Cost to income also improve?

Nirmal Jain: Cost to income. You know, cost to income will also improve with the volume. But okay, we also have plans to make certain aggressive investment in AI and technology benefits of which will accrue over a period of time. But yes, cost to income will improve definitely compared to last year. But if we can bring it to FY24 level, I think that should be a good target.

Moderator: Thank you. We'll take our next question from the line of Anusha Raheja from Dalal & Broacha.

Anusha Raheja: Yes, congratulations, sir. On a good set of numbers. So yes, I want to understand on the strategy, you know, what will be on the gold loan side. Both, I think you have recouped the previous levels closer on, it used to be 24,000 odd, you are closer to 21,000 odd crores now. So how do we see the loan book growth over the next two years' time?

Also on the branch expansion side and the changes that you have done at the NBFC levels so that we are complying with the RBI norms, if you can highlight some of the important ones. And also the last quarter you had said that you are being competitive in terms of pricing the gold loans in order to attract the customers.

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So how is the scenario right now? And at the margin level, how do we see, you know, margin spanning out for the gold loan?

Nirmal Jain: Yes. So gold loan growth will be fairly strong this year as well as next year. But underlying assumption is that the gold prices will remain firm. A significant part of gold loan industry growth is also driven by a significant increase in gold prices, which obviously increases your loanability against the same collateral.

That is one. So our margins will be inching up, we'll get back to our normal margins, you know, quarter after quarter this year as well as next year. We are competitive and market is very competitive, there's no questions about it. And you have to really make sure that operationally you are efficient and use technology to save costs to make sure that you make up for the competitive pressure on the margins.

So I believe that gold loan this year, next year will do well because for two, three reasons. One is gold prices are firm. Two, unsecured lending has become difficult and more expensive. So

many a times if the, you know, gold loan NBFCs are lending at 18%, 19%, 20% and you have very aggressive set of unsecured lenders, sometimes FinTech, sometimes new NBFCs, then customers always get respected.

So I think that will also be one of the factors. And third is obviously the economic growth and the credit under penetration. So all these factors drive growth and if the growth is there, the margins are maintained.

Anusha Raheja: Okay. And so in terms of branch expansion?

Nirmal Jain: Branch expansion, see, at this point in time, we want to shut our existing branches and get them to productivity level, which is comparable with the best in class. So that's still some time away.

But, you know, branch expansion still requires RBI's approval. And what we probably, you know, that has to be evaluated and how quickly we regain our lost business and start growth path from there.

But we are open to branch expansion, if not in the first half, then second half for next year.

Maybe it's going to happen in the next six months, but if things go as planned, then we'll start expanding from, say, you know, later part of this financial year or next year.

Anusha Raheja: Okay. And so how much is the LTV now in the gold loans incrementally?

Nirmal Jain: Maximum is 75 and average is 66.

Anusha Raheja: At the origination?

Nirmal Jain: At the origination, it's around 70. Between 70 and 75.

Anusha Raheja: Okay. And on the asset quality side, you said that I just want to understand how the asset quality behavior is panning out across the segment in the MFI, home loans and on the gold loan side as well. And related question is the credit cost estimate is 2.5 to 2.7, right? So previously, it used to be close to around 200 basis points. Is it that you're assuming a pain in MFI to continue in this IIFL Finance Limited

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fiscal, in this entire fiscal? So I just want to understand the broad rationale for a higher credit cost estimate.

Nirmal Jain: Okay. There's some bit of pain in MFI that may linger on and unsecured MSME portfolio also can have, you know, I mean, because the high yielding portfolio, so it can always have slightly higher credit losses also. So these two factors are there primarily for the estimation of credit losses this year.

Anusha Raheja: And do we expect, normalization in FY '27 on the credit cost side?

Nirmal Jain: Yes.. As our MSME portfolio mix will also change in this year, we'll see that next year probably credit cost will get back to our earlier levels.

Anusha Raheja: Okay. And so lastly, on the off book assets, so we have seen a good growth on the co-lending side. Can you just help us understand, it used to be closer to 40% of the total AUM.

So how do we expect the, co-lending and assignments to happen in the FY26 and I think that will definitely have a good impact on the P&L.

Nirmal Jain: So I think we are right now at 30%. Our endeavor will be to go back to 40%.

Anusha Raheja: In FY26, you say?

Nirmal Jain: That's right. So by the end of FY26, I can say.

Anusha Raheja: And within that, the share of co-lending will be higher.

Nirmal Jain: Yes, now RBI has come up with a new draft guidelines for co-lending, for which they invited for comments till, I think, 12th May, which is Monday. So let's see the final set of guidelines and then we'll know how co-lending will evolve.

Anusha Raheja: So model one is, that is not workable as per the new RBI guidelines. So you are on that model, right?

Nirmal Jain: See the -- it's like a little more complicated than that, but the thing is that for gold loans, you know, what happens for home loan mortgages, there's no problem because you have enough time. Gold loans are small loan products which are instant. So I'm sure that all gold loan companies will have submitted their feedback to RBI and also the industry association. So let's

see the fin

al guideline and then we'll figure out what will be the DA versus co -lending target for this year.

Anusha Raheja: Okay, fine. Got it. Thank you.

Moderator: Thank you. We'll take our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, good afternoon, sir. Thank you for taking my question. So first thing is, again, on this FY26 guidance that you have put out in the presentation, I just wanted to understand when we are

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guiding for interest spreads of 6.9% to 7% versus 6.7% in FY25, I mean, what are the underlying drivers for that? Basically, what I'm trying to understand is earlier during the call, we spoke about doing more secured.

We have also given a guidance that MFI is not going to grow very highly this year. You've guided for 5% to 10% growth. So is it coming from a change in product mix or is it some benefit of cost of borrowings that you are making in for a higher guidance on interest rates? That's the first question.

Nirmal Jain: That's a good question. So last year, because of gold loan ban, the relative share of gold loan has been significantly lower in the average assets as compared to the year before. We ended at 24%, but if you take the year average, then it was even lower because all the growth has come in last six months.

So the first six months of the declining trend and we had come down to almost 10,000, which is about maybe 12%, 14%. So the mix of FY25 is little skewed with much lesser share of gold loan than normal. So if you fix that, then also you see a slight improvement or like reasonable improvement in the margins. That is one.

Secondly, also we see that the interest rates have peaked up. In last quarter and after the gold loan ban was lifted, we have paid much higher interest costs because the liquidity requirement was faster as we are recouping our business than what we could really get from our usual traditional sources.

Also, till recently, now RBI has improved liquidity in the system very significantly, but still a couple of months back, liquidity was tight, NBFC money, cost of funds had gone up. So these factors played last year. Also, when we did the dollar bond issue, which was a significantly higher cost fully hedged, so if you adjust for that, then you see this improvement.

Abhijit Tibrewal: Okay, sir. Thank you. So the second question that I had was for Manu sir, more particularly on the housing finance business.

If you could just share two things. One is, what is the one plus DPD that we are seeing today in the housing business? And so I mean, last year, arguably was a very tight year, particularly for unsecured, but of late, we've been seeing some tightness in collections in the affordable housing side as well.

While we do a very wide spectrum of products, in the fourth quarter, we've reported a minor asset quality deterioration, which again, by any width of imagination is not bad. But I mean, what is your view? I mean, are we seeing early signs of some spillover from unsecured into the affordable housing segment now? Or is it just some seasonality, some weakness in government spending, which is leading into lower earnings in the hands of customers? And which is why some tightness in collections that we are seeing today?

Monu Ratra: Yes, hi. So I'll answer them. So I'll go one by one. Yes, there has been -- unsecured has gone through a cycle of the pain. And we did see that in our secured small ticket loans, the micro lap

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loan, we did see some spill coming out there. So that's why you see relatively, our growth in the secured MSME has been pretty flattish.

So we were cognizant of that. And I think we proactively looked at it to be more watchful of that portfolio is concerned. But I'm sure as things even out, we should start doing t

hat business

again, in a slightly different, moderate, slightly increasing the average ticket size, and maybe lead yield expectations to soften.

Barring that, as far as the overall asset quality is concerned, I think it's holding on well, except this micro lap segment, which we saw in the home finance business. And if I see this, our performance of our ex the secured micro lap business, actually, our asset quality is improved from the previous year as well. So I think the pain is behind us. And now we can expect a pretty consistent growth from here on. And we have become a sizable AUM of nearly 40,000 crores

now.

Abhijit Tibrewal: Got it, sir. Thank you for that. The last question, rather two last questions that I had was one, again, for Nirmal sir. Just wanted to understand, I mean, who's heading our gold loan business now? And in gold loans, again, these draft guidelines that came out on gold loans, I just wanted to understand how are we positioned with regards to the LTV, more importantly, the LTV guideline, draft guideline that came out that the 75% LTV has to be maintained throughout the tenure of the loan. So, A, what is our readiness?

And if at all there is any impact that you see here. And lastly, for Venkatesh sir, just trying to understand, I mean, last quarter, Q3, we had taken very high credit costs in the microfinance business. This quarter, again, I mean, while the credit costs have come down, how should we look at the credit cost trajectory from here on? How are we looking at credit costs for the full year FY26 in the microfinance business? Thank you so much.

Nirmal Jain: So, Abhiram is heading the gold loan business. And what was the other question? LTV, yes, actually gold prices are up significantly. So, instead of 75, say, you bring it down to 70 or whatever, then more or less will be covered throughout.

But then that just will recalibrate the loanable value if these guidelines become effective. And, to my mind, you assume that, okay, gold prices are not INR1 lakh, but say INR90,000 or INR95,000 which they were just a few days back. And of course, the business at that level was also healthy. So, I think the gold prices are firm, strong. So, that probably will allow the industry to mitigate this change in the LTV competition process.

Abhijit Tibrewal: Got it.

Nirmal N. Venkatesh : With regard to the microfinance credit cost for the FY '26, the guardrails one was implemented in July 1st and the guardrails two came in on April 1st. I mean, if you look at the present book has been performing well. So, hopefully, most of the things would be done and dusted by this quarter. And we are looking on an average credit cost of around 5% for the FY '26.

Abhijit Tibrewal: We got it. And lastly, this Tamil Nadu bill that came out, TN bill, are you seeing any early impact? Just like we saw maybe in Karnataka earlier when that ordinance came out, while I

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appreciate it is not applicable to registered and regulated entities. But anything that you're seeing some disruptions in Tamil Nadu because of this being that was passed recently in Tamil Nadu?

N. Venkatesh : Yes, vis-a-vis Karnataka to Tamil Nadu, there was a huge buildup in the media with respect to this. And post that the bill was introduced in the assembly and it happened. But abruptly, the bill was in, I think in the Tamil Nadu, which even many of us were not even aware of it. By vis-a-vis to Karnataka, we had a lot of preliminary discussions with the various government departments and all those things. But nothing has played out so far in the Tamil Nadu case vis-a-vis what we saw in Karnataka. So Tamil Nadu has remained status quo.

Abhijit Tibrewal: Got it. So it's fair to say that Tamil Nadu collection is still holding up well. Nothing outright alarming that we're seeing in Tamil Nadu just yet.

N. Venkatesh : Yes, that's right. I

t's holding up well.

Abhijit Tibrewal: Great, sir. Thank you so much. And I wish the team at IIFL the very best.

N. Venkatesh : Thank you.

Moderator: Thank you. We'll take our next question from the line of Harshit Khadka from RoboCapital. Please go ahead.

Harshit Khadka: My question is already answered. Thank you.

Moderator: Thank you. We'll take our next question from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Hi. Good afternoon, everyone. So, Nirmal, one question on this gold loan. Now, last couple of quarters, we've ramped it up back to INR21,000, INR22,000 crores. And on a quarter-on-quarter basis, are we likely to see this kind of a ramp up now? Or are we back to a level where we are comfortable and we can grow more at a, you know, equal pace or even pace rather than, you know, just trying to recover lost ground?

Nirmal Jain: Yes, actually, the market seems good. And we'll have a growth momentum continuing. Even after we have recovered our lost ground. So, I think the momentum seems good in this year.

Abhishek M: Okay. And then, you know, following up from that. So, if you look at your Tier 1 and then, you know, parent entity, it has come down very sharply last couple of quarters because, you know, you've ramped up the portfolio. And you saw this reverse effect last year when, you know, the portfolio ramped down, your Tier 1 went up. But if you continue this kind of growth momentum, this 13.8 can fall pretty sharply. So, at what level do you, you know, do you say that now it's urgent to raise capital or infuse capital at the parent level?

Nirmal Jain: So, Abhishek, you know, this, I think we'll focus on one is that the portfolio sell down, which is DA, as well as colending, which, you know, because of the RBI guideline, most of the banks have put on hold. And other than that, we should also look at subordinate bond. But for Tier 1

something which the board and shareholders have to make an assessment. And we will do that every quarter to see where we stand.

Abhishek M: Right. Because if with this kind of growth and maybe even 1.5% percent depletion, you're back to 12.5, 12.4 kind of level where you were earlier before the ban. And that is also...

Nirmal Jain: So, that's what I said in my opening remarks that we are conscious of that. So, we have to work on. So, if you look at our historical trend and our current off balance sheet asset, they are significantly lower. So, the real question that I said first is that if we get back to that level, then we should be safe.

Abhishek M: Fair enough. Okay

Nirmal Jain: Now, this question arises, if you are not able to sell down the assets or get the colending partners for the growth. So, I believe that we should be able to do that. And that is what our first priority is.

Abhishek M: Okay. And in gold now, you know, we've started off with slightly lower yields than earlier, basically, again, to recover the ground. But now, do we see that normalizing? Now, should we incrementally do we do business at higher yields just to -- just from a profitability perspective? You know, now that we are back to INR21,000, INR22,000 crores.

Nirmal Jain: So, yield has started improving. If you see this quarter is up by 20 basis points on the portfolio level. And it's okay. There are competitive pressures which we cannot ignore. So, it might improve at a slow pace, but still, it has some more room to improve.

Abhishek M: So, at the ground level, have you increased deals? That's the question. Or will you increase deals? Or will you keep it where it is and just run?

Nirmal Jain: We have. So, we don't, as of now, we don't have any product or any scheme less than 1.2% per month, which typically, most of the gold companies will have 99% paisa

or 83% paisa also,

which is equivalent to 9 %, 10% or 12%. As of now, we are not doing new loan s of less than around 15% or so. We can look at the reduction on a tactical or a strategic basis. But the boarding itself is higher at this point in time.

Abhishek M: Okay, okay, okay. The other question is on microfinance. In 4Q, is there any kind of write back? Because when I see the provision number, it's actually quite low Q oQ. I don't know, maybe I missed something.

Nirmal Jain: No, what you said is right. So, there are a couple of things. One is that we had a sell down to ARC in which there are some gains or a write back. Two is, we also reduced our stage 3 coverage from, I think, 88 to 70. And trying to bring it to more realistic levels . So, these are things that I had.

Abhishek M: How much would have been the write back due to the ARC sale?

Nirmal Jain: I think INR50, INR 60 crores.

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Abhishek M: INR50, INRR 60, okay.

Nirmal Jain: Yes, I don't know. And if I see, it should be in that range, yes.

Abhishek M: Okay, okay. And even if I, on your stage 3...

Nirmal Jain: So Q3, on stage 3 is 87.9%. We have brought it down to 70.5%.

Abhishek M: Yes, correct. So, around 18. So, that would be around INR60 crores, you know, if you were back at 87 -88. And another INR60 crores here , so, INR120 crores. You would still be lower than your 3Q provisions. Whereas, you know, most of the MFIs, if I see, the 4Q provision is pretty much similar to 3Q. So, it's because of better experience, better recovery. Can you, you know, throw some light on that?

N. Venkatesh : Yes. I mean, if you look at how it's spanned out and post -October, how the collection things have improved, we have -- that's what -- whatever the management overlay we had, we have actually, that rollback is based on that. And that's the reason you can see the change in the provisions, what we have done.

Abhishek M: Okay. So how much is the...

Nirmal Jain: So, our management. INR125 crores.

Abhishek M: Overlay, which was...

Nirmal Jain: Which has been released, yes.

Abhishek M: Okay, okay. So, around INR125 crores. That's what you said, right? Just to get the number.

N. Venkatesh : Yes, that's right.

Abhishek M: Okay, understood.

Nirmal Jain: Yes, you're right.

Abhishek M: Yes, yes, exactly. So, now it is pretty much similar to last quarter, which, yes, that's fair. Okay. And in 1Q, do you expect, like 1Q, 2Q, how do you expect this credit cost to trend in MFI?

N. Venkatesh : The credit cost, if you look at it, I mean, actually, if you look at it, as I explained earlier, whatever the lending, post the guardrails, the things have improved, the asset quality has improved. So, we are almost seeing -- we are at the fag end of it. If you look at our zero bucket collection percentage, also, it's increased. And we are seeing the forward flow has decreased considerably. So, we are going to see an improvement in -- I mean, quarter 2 will be much better. Quarter 1, we may have slight thing, and quarter 2 from onwards, we'll have a better trajectory.

Abhishek M: Okay. Venkatesh, one more question. Sorry, just squeezing it in. In Karnataka, 4Q saw a very quick recovery, right, especially in March. How have April, and so far may have been, have

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collection efficiencies fallen below levels which you would expect normally, or they have just fallen in line with seasonality, or they are stable? How has that moved?

N. Venkatesh: No, there's not much of anything fallen. We are maintaining, and in some states, we are seeing improvements. Karnataka fell down to whatever we had in the month of March.

Abhishek M: Okay. April is similar to March.

Venkatesh: Yes.

Abhishek M: And how much would that be, the number? Which would have been how much?

N. Venkatesh: Both, we would have hit around 96% in collection efficiency in Karnataka.

Abhishek M: Understood. Right. Thank you so much, everyone. Thank you, Nirmal.

Moderator: Thank you. We'll take our next question from the line of Hitendra Pradhan from Maximal Capital . Please go ahead. Hitendra, can you please unmute your line and go ahead with your question, please?

Hitendra Pradhan: Yes. So for the microfinance business, can you give us your SMA 1 and 2 numbers for quarter 3 and quarter 4? And also your gross and net slippages for quarter 3 and quarter 4...

Nirmal Jain : There are there on slide 19 , Hitendra.

Hitendra Pradhan: Okay. I'll have a look. And also, you know, in terms of your overall OPEX , do you have any guidance of how, this should trend in the first half and the second half as we sort of, grow our...

Nirmal Jain: Overall what did you say, capex ?...

Hitendra Pradhan: Opex. The C/I ratio in the first half and second half, are they going to be meaningfully different given that you also mentioned some investments that you are planning in the next side?

Nirmal Jain: It will not be materially different , because we'll have some other cost savings also and these expenditures will be spread out.

Hitendra Pradhan: Okay. And for the new proposed gold loan regulations, so in case we have a sort of falling gold prices scenario, then do you see that as a big sort of an impact on your gold loan business?

Nirmal Jain: So if the gold loan prices fall significantly, I think there'll be impact on the industry as a whole.

Hitendra Pradhan: Okay , sir. That's all from my side. Thank you.

Moderator: We'll take our next question from the line of Mohit Jain from Tara Capital. Please go ahead.

Mohit Jain: Yes. Sir, I wanted to just have a clarification in terms of the microfinance management overlay that we are carrying of INR125 crores. So we have exhausted the entire overlay and going into next year, we are not having any overlay left, sir?

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N. Venkatesh: No. I mean, if you look at the things we have, we have a thing of around 70 %-odd right now. And given the historical things, we are still much ahead. We have around 7 % overlay over there.

Mohit Jain: So because my understanding was that ECL is based on the recent data. And if I am reducing the rate last year, the rates, the losses on the ECL rate would have been much higher. So it's very surprising to see, because if it is an overlay, we could use it. But it's very surprising to see the model throwing a lower loss rate, for this year ?

Nirmal Jain: We had taken conservatively up significantly last year. They were increased. So now they are brought back to normal level.

Mohit Jain: And this is done for both Stage 2 and Stage 3, because in stage 2 also we are seeing a lower rate as compared to previous quarter?

Nirmal Jain: Yes, there's a slight lower rate for Stage 2 also.

Mohit Jain: Okay, sir. And just one thing on the home loan part, you said the increases in the NPA in stage three is because of the micro -lap. How much of our home loan portfolio, in the home loan portfolio, how much proportion is the micro -lap out there? What is the share?

Monu Ratra : Yes, Mohit, out of this total book which we have, it's about INR2,400 crores.

Mohit Jain: Yes, okay. Thank you, sir.

Moderator: Thank you. We'll take our next question from the line of Aswin Balasubramanian from Franklin

Templeton Mutual Fund. Please go ahead.

Aswin Balasubramanian: So I just wanted to check in terms of the standalone balance sheet, your borrowing mix has moved much more towards, the market borrowing. I just wanted to just understand the last 3 months, what would have been the [inaudible 51:05] beyond March we are [inaudible 51:15] bank borrowing with them?

Nirmal Jain: Ashwin, your voice is a little not audible, but if I understand then you're saying that the borrowing

mix has changed. Yes, so we are trying to reduce our dependence on the term loans which are primarily from banks. Going forward, we'll try to make it more and more balanced.

Aswin Balasubramanian: In terms of the liquidity on the balance sheet would you be sort of increasing that especially on the standalone book considering that the mixes were to move over to market borrowings?

Nirmal Jain: Yes, in standalone probably we'll increase our liquidity a little more from current levels.

Aswin Balasubramanian: Okay. So just to understand with regard to my first question, would we be, I mean, in this quarter would we have got till [inaudible 52:20]?

Nirmal Jain: I can't hear you?

Aswin Balasubramanian: Would we have got any bank lines since March?

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Nirmal Jain: Yes, okay. Of course, we got -- we're getting new bank lines and I think we've given some data in the press release also. So there's a continuous process. April is generally a slack month.

Normally people wait for the full year results, which is today. But there are quite a few things in pipeline. The bank liquidity has improved and there's a really positive response from the bank to all our loan applications.

Moderator: Thank you. We'll take our next question from the line of Gokul Raj from Bavaria Industries Group. Please go ahead.

Gokul Raj: Hello.

Moderator: Please go ahead. I'm sorry, the participant's line is disconnected.

As there are no further questions, I now hand over the call to the management team for closing comments. Over to you, sir.

Kapish Jain: Thank you very much for all the participants and their active participation during the call. For any further questions, please reach out to our Investor Relations team and we'll be happy to address all your further queries in case anything is remaining. Thank you very much.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

IIFL Finance Limited

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August 07, 2025

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BSE Scrip Code: 532636 The Manager,
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Bandra - Kurla Complex, Bandra (E),
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NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter ended June 30, 2025, please find attached herewith transcript of the said earnings conference call which was held on July 31, 2025.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

CC:
India International Exchange (IFSC) Limited
The Signature, Building No. 13B, GIFT SEZ,
GIFT City, Gandhinagar, Gujarat - 382355

"IIFL Finance
Q1 FY26 Earnings Conference Call "

July 31 , 2025

MANAGEMENT : MR. NIRMAL JAIN –MANAGING DIRECTOR , IIFL FINANCE LIMITED
MR. R. VENKATARAMAN – JOINT MANAGING DIRECTOR , IIFL FINANCE LIMITED
MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER , IIFL FINANCE LIMITED
MR. MONU RATRA , CHIEF EXECUTIVE OFFICER , IIFL HOME FINANCE LIMITED
MR. VENKATESH N – CHIEF EXECUTIVE OFFICER , IIFL SAMASTA FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to IIFL Finance Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the Management . Thank you and over to you.

Kapish Jain: Hi, thank you very much. I welcome everybody on the 1st Quarter Results Earnings Call for Fiscal 2026.

On this call, I am joined by Mr. Nirmal Jain – our Founder and Managing Director , along with Mr. R. Venkat araman – the Joint Managing Director of the Company . We also have the CEOs of two of our subsidiary companies, Mr. Mo nu Ratra – CEO of the IIFL Home Finance, and Mr. Venkatesh, who is the CEO for IIFL Samasta. Myself, Kapi sh Jain, I am the CFO , and as we take it forward, I would like to now request “Nirmal to just take over and give an Update on the Broader Macroeconomic Situations, Industry Update and Company Strategy for this Quarter and Going Forward .”

Nirmal Jain: Thank you, Kapi sh. Good afternoon, everyone, and thank you for joining us. So, the macroeconomic backdrop remains broadly constructive. India continues to demonstrate strong growth fundamentals with stable inflation, improving rural se ntiment, increasing digitization and formalization of credit. And for the NBFC sector, the growth runway remains wide, supported by rising retail -credit demand, digital inclusion, financial inclusion, and the robust security framework.

However, the operating environment is not without its challenges, so asset quality and MSME lending has come under pressure across the industry, especially in the unsecured and micro -LAP segments, reflecting regional volatility as well.

Even in our portfolios, NPAs have edged up sequentially, but we have acted swiftly by curtailing exposure to high -risk segments, recalibrating our policies, and deploying dedicated collection teams and embedding AI -led early warning systems.

On the global front, rising trade friction, especially the return of tariff rhetoric from the U.S. is something we are watching. While near -term impact on our customer segment is likely limited, we remain vigilant given the second order in effect on inflation, currency, and exchange -linked MSME.

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Yet, on the whole, Q1 FY26 has been a quarter of revival and reassurance. Our gold loan business has fully bounced back from last year's embargo, reaching an all -time high in AUM. MSME -secured lending continues to be one of our core growth engines, and we are exiting the riskier segments. We also strengthened our governance and risk architecture. We have boosted our leadership team

and doubled down on tech-led execution and innovation. We remain focused on building a high-quality, compliance, retail loan franchise, generating targeted return on equity, and fulfilling the mission of financial inclusion.

With this, now I hand it over to our "CFO, Kapish Jain, again to walk you through the Detailed Financials."

Kapish Jain: Thank you very much, Nirmal.

To take things forward and give you a more detailed update on the quarterly numbers, for the quarter at a consolidated level, IIFL Finance reported profit after tax before controlling interest of Rs.274 crore s. This is a 9% up quarter -on-quarter and 19% down on a YoY basis. We recorded a pre-provision operating profit of Rs.836 crore s, which is again up 28% quarter -on-quarter, and 31% YoY. As you all are aware of, last year we also hit by the gold embargo, which is causing this negative shift. However, the momentum is on the upper side when you compare things on a quarterly basis.

For th

e quarter, the consolidated loan AUM grew by 21% YoY and was up 7% quarter -on-quarter, aggregating to around Rs.83,889 crores . As Nirmal mentioned, this is led by gold, which has already surpassed the past embargo limit. We were up around 30% quarter -on-quarter in the gold AUM and 85% up YoY to Rs.27,274 crores . If I further dissect the AUM, the retail segment comprises of 98% of the overall AUM, which is like home loan, gold, MSME and microfinance. They all aggregate an upward movement of 21% YoY and 7% QoQ .

Our gross NPA is in line with our guidance and stands at around 2.3%. In a large balance sheet, there could be a marginal shift to a few basis points, but it is clearly in line with our guidance of 2.3%.

And our net NPA stands at around 1.1%. When compared to the same time last year, it is a marginal up around 10 basis points.

The company maintains a very cautious stance on the MSME and MFI segment and will continue to keep our focus on the recovery collection. And as things look better, we would like to see how we can further build up the portfolio here.

We have been implementing and we build our credit on the ECL model and under the Admin Dash provisioning , the coverage on this overall portfolio stands at around 91%.

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The assigned loan book currently stands at around 15,061 crores , which is up 3% YoY and more importantly up 18% QoQ . Besides this, the co-lending book assets have also moved up to Rs.11,565 crores , up 21% YoY and 9% QoQ .

Our quarterly average cost of borrowing increased by 34 basis points on a YoY basis and very marginally of around 4 basis points to 9.45 on a QoQ basis.

We have been maintaining good and healthy liquidity. If I give you an update, during the quarter, we raised around Rs.14,008 crores of borrowing through term loans, bonds, and commercial paper. And with the gradually seasoning of the portfolio, we could also enhance our direct assignment transactions like we have done historically across banks and including the gold loan portfolio to around Rs.4,489 crores this particular quarter compared to Rs.2,400 crores last quarter.

Our cash and cash equivalent stands at around Rs.7,367 crores, adequate to not just meet our short-term liabilities, but also support our growth momentum as we envisage in some of these particular asset classes. We are positive of our AUM across buckets, and the net gearing stands at around 3.4 x.

On an annualized basis, the ROE stands at around 7.6, ROA at around 1.6%. Our basic earning per share for the quarter stands around Rs.5.5. We are adequately capitalized with the consolidated capital adequacy standing at around 28.4%, much higher than the minimum threshold of 15%. And individual companies' capital adequacy stands around 18.3 % for the NBFC, 47.4 % for HFC, and 28.4% Samasta Microfinance.

In line with our endeavor to enhance our strengthening on the board, both from a governance and supervision perspective, we have the pleasure to have Mr. B.P. Kanungo as one of our board members in the IIFL Finance. As you would all know, he was a former RBI Deputy Governor.

We also have Mrs. M. V. Bhanumathi, who was the former Income Tax DG on the board of our housing finance company, IIFL Home .

There have also been meaningful changes on the management side to kick-start all the critical initiatives like AI innovation. With this, I come to the end of the entire presentation , and we will open the floor for Q&A. Over to you.

Moderator: We will now begin with the question-and-answer session. The first question is from the line of Chetan Gindodia from Mahindra Manulife Mutual Funds. Please go ahead.

Chetan Gindodia: Yes, hi sir. I just wanted to understand the changes that have happened on the asset quality side in this quarter. So, we have seen that across all segments other than gold and capital markets, most of the segments, stage 1, stage 2

, stage 3, they have all seen deterioration. So, can you explain segment -

by-segment what are the key changes that have happened on the asset quality? And commensurately, IIFL Finance

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what has been the impact for credit cost in this quarter? And how do you see the credit cost going up ahead?

Nirmal Jain : Chetan, gold loan, asset quality has improved. I do not think there is any stress in gold loan. And in the core home loan also is a marginal difference. So, the primary problem is microfinance. And then MSME, they are also unsecured in the micro -LAP , the small ticket LAP . So, these are the issues that we have. And in home loan, we have exposure to the Andhra Pradesh state government scheme where the project is halted, but with a small exposure. So, if you really look at gold loan, which is like almost one -third of our business, and it will grow even faster. And then the core home loan product also, I mean, a very small marginal difference, but not much ; it is 1.14 % , 1.31% now. And what we are seeing now is that even the other segments, particularly the MSME and microfinance also, things are, I mean, the industry -wide trend , but they are getting better.

Chetan Gindodia: But still on that, unsecured MSME for us is still largely a Rs.4,000 crore s book and even the secured MSME is a substantial portion of the book. So, over here, how do we see the trends, like going ahead, what sort of provisioning can come from this segment?

Nirmal Jain: So, if you look at the overall portfolio, let's look at the product -by-product, segment -by-segment. So, 38% is home loan, where, I mean, there is a small Rs.500 crore s portfolio , out of which 65% is paying. But that is where there is a stress. But other than that, that portfolio is doing okay. Gold loan 13% is not a problem. MSME secured, what we are seeing has come down because that micro LAP , which was to microfinance customers as a cross -sell or a very small segment of customers, that will be discontinued , the new disbursements are not taking place. But then the rest of the portfolio is okay. And microfinance, which is about 10 % , 11% now, I mean, that is also stabilizing across the industry. I mean, this part we had a total loan loss provisions of a little over Rs.500 crores on a consolidated basis, which is a little higher than what our guidance or expectations were last quarter. So, we were talking about the guidance, I think, 2.5 % to 2.7%. But we might end up, if you see the 1st Quarter trend, hopefully, even if it be a consolidated, it will be around 3.5% or so.

Chetan Gindodia: Okay. Got it. Thank you.

Moderator: The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, Nirmal. So, three questions. The first one is around the gold loans. What is the onboarding LTV that we have on the gold loans right now? Second is, in terms of housing finance, is the CLSS -2 acting as a demand driver or it is too tedious in terms of operational challenges? Third is around securitization in I IFL Samasta. It has been coming off. So, are we facing issues in securitization or people asking for more cash collaterals? Any changes in covenants, especially in I IFL Samasta from our raw material providers? Thanks.

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Nirmal Jain: So, basically, LTV in gold loans varies from product -to-product. So, we incentivize our customers to take a lower LTV and get benefit of lower rate of interest also. The yield has slightly improved in this quarter. If you see the first slide, which is slide, I think, two, the yield was 17.6 % when we restarted. It was 17.8 % and is now 18.2 % . And our LTV on a portfolio level is 66 % . But at the time of giving loan is around 70 %-75%. Then there are customers who can come and revise or can do the top-up loan also if they want to. Based on the portfolio level, we are at around

66% right now. And

securitization Samasta, because, see, the disbursements are slow. So, the portfolio is not building up at this pace. But in Q1, still, we did a direct assignment of Rs.1,100 crores in total of our DA and MFI compared to Rs.178 crores . So, actually, Quarter 1, Samasta, we did a fairly good amount of sell-down of pool assets by way of direct assignment ent.

Shubhranshu Mishra: Great. Any cash collaterals?

Nirmal Jain: No, in the DA, there is no cash collateral. DA happens without cash collaterals only. ETCs happen with cash collaterals. We have been not doing that. And now, maybe, the Monu probably can address the CLSS -2 issue.

Monu Ratra: Yes. As far as CLSS -2 is concerned, you are absolutely right, it is operationally cumbersome. Last time also we did pretty well on that. We have already given subsidy to 1 ,600 people, which we have done. So, I think we have got the hang of it. It took us a while. But we are pretty confident that this will act as a very good demand engine for us going forward. So, we have understood the nuances of it and we have already got subsidy for 1 ,600 people. And this time, the government is pretty swift. Once you upload everything, the subsidy is coming pretty promptly.

Shubhranshu Mishra: Right. And this salaried form al that we do in home loans, these are from CAT A companies, CAT B companies, CAT -C companies , what kind of salary levels, income levels are we speaking about?

Monu Ratra: So, typically, this form al salar ied for home loans is typically in very decent companies. I would not say super CAT -A companies , but B or C companies where people are down the order in the hierarchy of the occupation they are in , but these are absolutely in B or C category companies.

Shubhranshu Mishra: And average incomes of those customers?

Monu Ratra: Now, if we talk about the metros and other places, the average household income would be upwards

of Rs.50,000.

Nirmal Jain: Above 6,00,000 per annum.

Shubhranshu Mishra: Understood. And a DVR at the point of origination?

Monu Ratra : The DVR at the point of origination is below 50%.

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Shubhranshu Mishra: Right. Right. I will come back in the queue. Thank you so much.

Monu Ratra : Thank you.

Moderator: The next question is from the line of Anusha Raheja from Dalal & Bro acha. Please go ahead.

Anusha Raheja: Thanks for taking my question. Sir, you said that for the full fiscal year, you are anticipating credit cost of 3.5%. So, do we anticipate that going ahead for the next two quarters, the asset quality or the NPAs will continue to be on a higher side?

Kapish Jain : Anusha, your voice was not completely there. We heard 3.5 is something that you mentioned. Can you repeat your question?

Anusha Raheja: I think that we are anticipating credit cost of closer to around 3.5% for the current fiscal. So, do we anticipate for the next two quarters, the MSME and on the microfinance, the NPAs will remain and the slippage will remain on the higher side?

Nirmal Jain: I am saying that if you look at the 1st Quarter trend, which to our mind is highly elevated cost, then also it goes to 3%, 3.5%. But we believe that things will get much better in the second quarter, but more so in the second half of the year. And we should be able to end the year at a lower, not 3.5%.

So, sorry, I just want to correct it. I am saying going by 1st Quarter trend, if you just work out those numbers, then it goes up there. But hopefully, things will not be as bad throughout the year. So, the 1st Quarter, because there was a sudden unexpected much hit of the microfinance also and MSME, because the trend suddenly, particularly in Karnataka and some of the states has worsened. But, if you really look at it, then in the last few weeks, RBI has got more accommodative stand, liquidity has eased and there is an impetus for growth. And this impact will come or will be felt by the industry

and MSME, maybe a little bit after a lag. So, I believe that things will get much better from here in the second half. But as things stand, probably the 1st Quarter has been little much worse than what we expected in terms of credit cost and primarily for MSME and microfinance.

Anusha Raheja: And sir, on the AUM growth side, if you can just give some color on the gold loans, we are seeing a strong growth coming in there. On the home loans, I think the growth is slightly sanguine. But on each of the segments, if you can just give some color, how do we anticipate AUM growth for the full year and some color on each of the segments as well?

Nirmal Jain: So, you are right, Gold loan growth has been much stronger, that is one positive news is that sector or that segment is doing better than probably what we would have anticipated or guided. Home loans, 1st Quarter was flat and 1st Quarter is traditionally, historically, flat, and also, we were recalibrating our underwriting policies, exiting, and consolidating some of the segments of businesses. So, it grew only by 1% but moving already some more.

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Monu Ratra : So, annualized basis, we can see for mid-teens is what we should see at the end of the year.

Nirmal Jain: Yes, annualized I think maybe 15 %-18% growth is what should be very doable.

Anusha Raheja: And sir, lastly, I think on QoQ basis, we have been seeing a dip on the margins on the spread side. So, was it purely because of the fact that there could have been interest rate reversals on the NPA accounts or was it something additional related to margin fall?

Nirmal Jain: Yes, whenever you see the higher elevated NPAs and the provisions, obviously there is an impact in the interest reversal.

Anusha Raheja: And what is the broader call that we expect margins for the whole year, how do you anticipate that number moving?

Nirmal Jain: So, there were interest reversals, primarily MSMEs and micro LAP and microfinance. But I think that all these segments of the business are getting better and interest reversal should also reduce, and the second half should be much better, but things should start getting better from now.

Anusha Raheja: Okay. Thank you, sir.

Nirmal Jain: Thank you.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much for the opportunity. So, just first of all, I just wanted to understand, now given your credit cost outlook is now 3.5%, so what sort of ROA we are looking at for this year? I think we were targeting closer to 3% as per our previous call. Now, given higher credit cost, what sort of revised outlook we should look at?

Nirmal Jain: So, we were looking at, I think, 3.5% ROA.

Deepak Poddar: Close to 3% ROA, that is what we mentioned in the last call.

Nirmal Jain: So, the credit cost surpassing from 2.5 %, 2.7% level, if it goes up to 3%, partly we should be able to

meet. Now, the interest rate from this quarter probably will see a reduction in the borrowing cost, and maybe more so in the second half as a lot more loans come for renewal, loans come at a lower rate. And as the volumes grow, particularly in gold loan business, we should see some benefit in cost-to-income ratio also. So, I mean, at this point in time, it is too early to change the guidance or expectation on ROA, but we have to watch how things progress from here.

Deepak Poddar: So, 3% kind of ROA, you want to maintain that?

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Nirmal Jain: Yes, we should maintain that.

Deepak Poddar: Okay, understood. And in terms of overall growth, I think you mentioned 15 %-18% on the AUM growth we are looking at on a consol level, right?

Nirmal Jain: Yes. 15 %-18%, I talked about home loan. Consol level should be higher, around 20%, actually, the microfinance will

be slower. But around 20%, and we expect gold momentum to continue. So, on the consol level, 20% would be a good estimate.

Deepak Poddar: And 15 %-18% was for home loan?

Nirmal Jain: Yes. And the three problem areas that you mentioned about MFI, MSME, and small ticket LAP. So, what percentage of our book currently for?

Nirmal Jain: So, if you look at the businesses that we have on slide 5 is given. So, MSME that we have discontinued of unsecured business is 2.4%, and the LAP is 3.1% of total book. So, together, they are about 5%. Microfinance is 10 %-11%. But, microfinance, I think, because I think the policy support, RBI support, credit guarantee or whatever, the growth, we are not discontinuing that business. The business de-grew in the 1st Quarter. But I think in the next three quarters, we will have some growth as we have anticipated around 10% or so for the full year.

Deepak Poddar: Okay. Okay. I got it. And now that RBI has allowed us to open new branches, so any branch expansion plan you have laid out for us?

Nirmal Jain: So, as of now, the existing branches still are below their full capacity. So, I mean, first we want to focus on the existing branches in this quarter. And once we see that they are stable in terms of the profitability, they get back to the level we expect them to be, that is the time we can take up the expansion.

Deepak Poddar: Sure. Now we had this quarter some impact of guardrail also, I mean, that got implemented from April. So now on an absolute basis, one should look at quarter-on-quarter provisioning declining. Is that a trend that one should look at going forward?

Nirmal Jain: Yes, actually, see, there are some unexpected things that keep happening. But what we have seen is there are ups and downs. So, now that things are getting stabilized in microfinance, which is a one big problem area, and also in MSME, I think the quarter-on-quarter provision should decline. I expect second half to be much better because seasonal that is where the credit takes off and the interest rate trend seems to be down, benefit will come after some time, maybe after a few months. So, hopefully second half should be much better. But yes, quarter-on-quarter we should see a declining trend.

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Deepak Poddar: Fair enough. That gives a good sense. That is it from my side. All the very best. Thank you so much.

Nirmal Jain: Thank you, Deepak.

Moderator: The next question is from the line of CL Vicky from Nikko Asset Management. Please go ahead.

CL Vicky: I have questions on your asset quality. So, for your exposure to the beneficiary, the Andhra PLC, in terms of the NPA, how will you guys manage it? And also, will you guys get any kind of any resolution with, say, the government?

Monu Ratra: Yes. This beneficiary-led construction, first of all, just to give you a perspective, the total AUM is about Rs.500 crores. At a loan book level, it is about 400 crores. And so, it is a very small amount in terms of the total AUM at the HFC level also, or at the level of the group as well. So, it is a very mild exposure. And we have already been able to, like, have about 20% of our customers prepaid the loan. 65% of the customers are below 30 DPD. So, they are anyways paying. And 19% have already gone to the NPA. So, we have already taken the majority of the hit what we had to. The rest of the people are paying. This was a seven-year product. Over two years have already gone by. So, I do not see any major impact of this. And now on the ground also, we see things getting back on track in terms of the overall development of these projects. So, we should see things better from here.

CL Vicky: Okay. Then, there are two segments that you guys discontinued, right? So, there is no disbursement for this quarter. So, in terms of the exposure that is existing, do we expect to see this exposure even

eventually becoming NPA?

Nirmal Jain: No. So, our collection, infrastructure and operators remain stable. So, I do not think that just because we are discontinuing, so there will be more NPAs in this. Okay, I will tell you what is the figures.

Because we did a lot of analysis on this. So, on the face of it, they have a higher yield. We should take care of the risk. But they also have a higher operating cost. And then they basically are hugely manpower-intensive. And they are very volatile. Because these are the bottom of the pyramid where they are vulnerable and not resilient. So, of our overall broader loan portfolio, is about 5% what we discontinued. And what we have done is that, actually, we have increased our force for collection in this. So, we have our 300-people team, which is focused on collection of these discontinued businesses. So, the AUM trend will not change because of discontinuing. But already we have a threat that we will deal with and we will recover maximum that we can.

CL Vicky: Okay. So, in terms of NP A currently at 2.3%, what are we expecting for the next two to three quarters?

Nirmal Jain: We want to keep GNPA less than 2% on the whole. So, our target will be to get there. In the last two, three quarters, we have been out of that. But otherwise, we want to get back to the FY23 levels and
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then there have been different reasons from, like, gold loan was last year or whatever. But our target is to bring it below 2% by the end of the year.

CL Vicky: Okay. Thank you.

Nirmal Jain: Thank you.

Moderator: The next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: I think sir, most of the questions have been answered. Just one question. In terms of this micro-ticket LAP, is the problem any geography-specific or you are seeing this pain across the states, I mean, irrespective of the geography? So, that is just one question from my side.

Monu Ratra: Typically, we have seen more stress in Andhra Pradesh as one bigger piece, which we saw, and the second was the upcountry Maharashtra. But we had larger exposure in Andhra Pradesh. So, AP has been a bit stressful. So, I would say top two states would be Andhra Pradesh and then Maharashtra.

Nirmal Jain: Rest of Maharashtra, I mean, outside Mumbai.

Kapish Jain: Smaller cities of Maharashtra.

Suraj Das: Okay. Sure. Thanks.

Moderator: Thank you. The next question is from the line of Navneet, who is an individual investor. Please go ahead.

Navneet: Hi, sir. My question is, sir, I believe you have surpassed your AUM, which was there prior to the RBI embargo. So, December '23 is the reference point I am taking. However, your pre-provision operating profit is much lower. I believe your other income before the embargo, used to be in the range of Rs.50-odd crores per quarter, which is now in single-digit crores and your operating expenses have also gone up a bit. So, if you can just talk us through this?

Nirmal Jain: Yes, you are right. So, there are two, three reasons for this. As on the portfolio, in the initial first or two quarters, we built at a slightly lower rate of interest. Two, last year also we gave salary increments as normal to the existing people. So, not only did we retain all the people, we also gave them normal salary increments, and the interest rate increases with all the costs, as you are aware of. So, every year, for a similar kind of profit, you have to have at least 10% higher volume. Secondly, in the standalone business, the significantly higher loan losses and provisions are coming from MSME segment of the business. When the gold loan embargo period, we had grown that at a fairly good pace. And that has come under stress across the industry. So, that has contributed significantly to lower profits.

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Navneet: So, if you can talk a

little bit about your other income? It is in single digit crores per quarter right now, and it was averaging about Rs.50, 60, 70 crores.

Nirmal Jain: Which slide you are referring to?

Navneet: I am referring to your earning quarterly, yes, the consolidated. So, this quarter you reported in consolidated Rs.6.5 crores of other income in this quarter and it has been in this range. So, the line below total revenue from operations, Rs.6.5 crores in this quarter, Rs.3.1 crores in the March quarter, Rs.12 crores in the June quarter last year. This number used to be in the Rs.50, 60 crores and maybe even Rs.90 crores range prior to the embargo. So, since you have already surpassed the AUM, what is the difference?

Nirmal Jain: Yes. So, I think the fee structure from the insurance company has been negotiated separately. So, there are certain things which they used to support by your marketing support which is other income, but now that comes as part of commission itself.

Navneet: Okay. So, going forward, this will be the new normal, we will earn lesser other income than what we used to earn?

Nirmal Jain: Yes. It remains on its own low. Sometimes, when there are certain capital gains or certain IPO things that come, but that is politics. But yes, what you are saying is right that this will be the new normal, will be lower. But what will happen is that the fee and the commission income what you see above

will grow faster because there is 12.6 even in the slack quarter of Q1. So, a part of income will get reflected there. So, you see the two, three lines above the fee and commission income. Below that fee and income commission, other which is 94.9.

Navneet: That is right. So, some part of this income will get reflected there.

Navneet: Understood. Okay. That is all I want to understand.

Nirmal Jain: That has gone up in Q1 over Q4 also.

Navneet: Understood. Okay. Right. Thank you so much, sir.

Moderator: The next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek: Yes. Hi, Nirmal. So, my first question is on gold loans. Now, we have surpassed the levels we were at when the ban came into effect. From here, would the growth normalize, or would you still continue to see this kind of Q oQ growth? How are you thinking about the business now? And when does it normalize? If not this quarter, maybe next quarter or by year end?

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Nirmal Jain: I think growth should continue. And actually, we are just catching up. So, if you look at our disbursements per month, then they are not significantly higher. So, I think at least in the next two, three quarters, we should see the growth momentum continuing, Abhishek.

Abhishek: Okay. Because I think this kind of growth, so disbursement requirement in gold will be much higher than the net book growth, which means that you are borrowing more and it is also pressurizing your cost of funds. Why continue to grow so fast because -?

Nirmal Jain: A little bit of correction. First of all, I will be able to do co-lending and direct assignments at a faster pace. Therefore, the cost of funds will start easing now, hopefully, because it is given our beneficiary can handle these volumes, and we should be. Now, industry-wide, if you see, then there has been a stronger growth in this business in banks last year and NBFCs also. So, we are just trying to catch up at least partly. If we grow it faster, okay, we maintain the growth momentum because there is a market. Even if there is a slightly higher interest cost as we had seen last quarter, but I was hypothetical, I will come back to the reality on this, but that is more than made up by operating cost, leverage advantage that we get because our operating cost will not go up in the same proportion and plus, 18% is a fairly good yield to take care of everything. Now, coming back to cost of funds, last quarter, we had

ad to pay a slightly higher cost of funds because in the beginning of the quarter, liquidity was high. It is only towards the end of the quarter that we saw the new monetary policy, RBI is stepping into easing liquidity, bringing down interest rate in CRR, and that impact we are seeing in this quarter and we are negotiating with the banks. But on the cost of funds probably we will see still after a lag of a quarter, but I think liquidity has eased and we do not see any big difficulty in maintaining the pace of growth by more than borrowing by DA in co-lending.

Abhishek: The second question is actually to Venkatesh on MFI. So, can you give some sense on how much was the disbursement in 1Q and where do you see disbursements for the next quarter, quarter after?

And specifically in terms of credit cost, is there any writeback or utilization of some contingency buffer or anything, or is this like a clean credit cost and how do you see that for the next two, three quarters, when do we start seeing a sharper improvement in that number?

Venkatesh N: Abhishek, our disbursement in the 1st Quarter would be around Rs.1,300 crores and our provisioning continues to be the same from what we were provisioning around in the Quarter 4.

Abhishek: And going forward, how do you see disbursements from this quarter onwards -- should it pick up?

Venkatesh N: I mean, if you look at most of the collection, things are almost settling down, I mean, see again, if it has been raining in some pockets, slight disturbances are there, but we hopefully that disbursements will pick up, normally, towards this festival season, we have the biggest jump. Predominantly, if you look at microfinance, it has always been the second half of the year game actually, most of the disbursements happen now.

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Nirmal Jain: So, do you have any estimate of disbursement this quarter, next quarter? What is the rate and the going rate?

Venkatesh N: See, we did around that Rs.1,300-odd crores in the 1st Quarter. It should hover around at Rs.1,800 to 2,000 crores in the second quarter and it should pick up from there onwards.

Abhishek: Okay, great. And what about credit cost? So, how do you see that in 2Q and then 3Q? What kind of improvement? So, when do you expect it to normalize?

Venkatesh N: See, I mean, we have always given that post-COVID, credit cost has slightly moved up. So for the credit cost for the full year will be at around 6 %-7% kind of a thing.

Abhishek: Okay. For the full year?

Venkatesh N: Yes.

Abhishek: Okay. So I think this quarter you are at 8% annualized, so, then it should normalize pretty quickly from here?

Venkatesh N: Yes, yes.

Abhishek: Okay. The third question is from your slide 20. So, I think what you have given is the MSME secured loan breakup. If I look at micro-LAP in home finance and I look at the part in Samasta, both of them have very similar average ticket size and almost similar yields. But if you see the NPA, they are far apart ; in Samasta, it is 3.5% , in h ome finance, it is 15%. So, is there any fundamental difference in those two portfolios or customer profile difference or what makes the asset quality experience so different, and the book size is also similar, right , roughly 20% each. Yes, that is the question.

Nirmal Jain: So, I think, Abhishek, in Samasta, it is captive customers and the micro-LAP is cross -sell. Samasta is a cross -sell customer where the customer already has a portfolio, and they get additional loans .

And when we look at micro -LAP , then these are new customers , these are basically customers who based on their track record, based on their pre -underwrit ing, we have been tapping. So, what has happened is that where a customer has already a microfinance loan, has a good track record , and our collection people, o ur field force are already in touch with them, then, I mean, it is a

smaller portfolio,

but that is where we have done better.

Abhishek: Okay, but both are secured, right?

Nirmal Jain: So, when the housing finance does this, people have to get new customers. Ye s, these are secured, but because these are small -value properties. So, repurchasing them, selling them is a de terrent , can happen, and ultimately you can reduce your losses , but if they are impacted by the cash flows, then obviously you recognize them as NPA , but they are all secured by residential or commercial property.

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Abhishek: Got it. Okay. Okay. Thank you. Thank you. Those were my questions and all the best.

Moderator: The next question is from the line of CL Vicky from Nik ko Asset Management. Please go ahead.

CL Vicky : Can I clarify on credit costs? I can not hear clearly. What is the expectation for full year?

Nirmal Jain: I think we have been discussing that the credit costs will moderate from the 1st Quarter level. So I think the full year we were expecting at 2.5%-2.7%, might end up at around 3% at this point. That is what is the best estimate at this point in time.

CL Vicky: Thank you.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Good afternoon, sir. Thank you for taking my question. Just two questions. I do not know if they have been covered earlier. I joined a little late. First thing is this micro LAP portfolio that we have in our housing finance subsidiary, we should be able to leverage S ARFAESI , right?

Monu Ratra : Yes, very much.

Abhijit Tibrewal: I was trying to understand is if we can leverage S ARFAESI for this micro LAP portfolio and also is the quality of collateral and the size of the loan good enough to really leverage S ARFAESI and try for recoveries? That was my first question. The second question is for Nirmal sir. So, just trying to understand what happened in gold loans in this quarter. Very, very strong growth. So, compliments to you for that . But what I am trying to understand is usually the gold loan growth that one usually targets in a year has come in the 1st Quarter itself and we are seeing very, very strong growth in gold loans in this quarter across the industry. So, what really happened in this quarter which has led to such a high spurt in gold loans?

Nirmal Jain: Okay. So, if you notice NBFC microfinance loan portfolio has gone down from something like Rs.4,30,000 crores to Rs.3,50,000 crores and also similarly there is a stress in unsecure d portfolio.

So, many of these customers, the MSME enterprises, probably they would have been earlier reluctant to lend their gold, but now that they have no source of funding , so they might be taking gold loans, that is one. Two , gold pri ces have been f irm. So basically the loan-able value also has gone up against the gold. So, that is the second reason that I believe in. Thirdly, even the economic momentum has been improving , the growth momentum in the macroeconomic environment, the re is a demand, so there is a slight improvement , so, SMEs are seeing good traction. I think these are the reasons for the gold loan growth to be strong across the industry.

Monu Ratra : Abhijit , answering you the question of the collateral and the SARFAESI execution , these are collaterals, very much SARFAESI is executable and which we have started doing it expeditiously

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now. So, in that way, they are pretty secure d and we have given it against the residential houses only.

So, every business which we have discontinued, so the AUM is also dropping quarter -on-quarter. So, we should be able to handle this in the subsequent quarter.

Abhijit Tibrewal: Thank you. That is all from my side and I wish you and your team the very best.

Nirmal Jain: Thank you.

Moderator: The next question is from the line of Sudarshan from Pr

osperity Wealth Management. Please go ahead.

Sudarshan: Thank you for taking my question. So, my question is on the unsecured MSME pa rt. So, in the

previous call, you mentioned those come under insurance scheme. So, is there any possibility of reversal in the coming quarters?

Nirmal Jain: Yes. So, in the insurance scheme, our portfolio I think from October 1st they started getting covered. So, this would be the prior loans which has become bad, one. Two, yes, some recovery will happen. But, the way the main insurance scheme works, you do not get the first 3% of loss and you get 75%. So, basically you get 75% minus 3% of the overall portfolio. So, you get only part reimbursement. But, yes, for the loans that are covered, that will happen. But, as I said, I think our portfolio started getting covered about six, nine months ago. So, the loans prior to that may not be under the cover.

Sudarshan : Okay . Understood . And on your gold portfolio, you mentioned your Q1 growth momentum will continue for the coming quarters. So, how long is this going to continue like you have reached I think 47 tonnage, is it going to continue till your peak 60 or is it like -

Nirmal Jain: So, as of now, it looks good to continue. As I said, there are several factors working for it. So, maybe at the next one or two quarters, we see momentum continuing. It is very difficult to forecast beyond that.

Sudarshan : Okay, sir. Thank you very much.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for the closing comments.

Kapish Jain: Thank you very much, ladies and gentlemen, for your time on the call today. With this, we come to the end of our Quarter 1 Earnings Call. However, for any further questions, you can always reach out to our Investor Relations Team, and we will be happy to assist and provide you any further clarification on our results and numbers. Thank you very much.

Moderator: Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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November 7, 2025

The Manager,
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Listing Department, The National Stock Exchange of India Limited ("NSE"),
Exchange Plaza, 5
th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051. NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter ended September 30, 2025, please find annexed herewith transcript of the said earnings conference call which was held on October 31, 2025.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
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"IIFL Finance Limited
Q2 FY '26 Earnings Conference Call"

October 31, 2025

MANAGEMENT : MR. NIRMAL JAIN –MANAGING DIRECTOR , IIFL
FINANCE LIMITED

MR. GIRISH KOUSGI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , IIFL HOME FINANCE
LIMITED

MR. VENKATESH N – MANAGING DIRECTOR , IIFL
SAMASTA FINANCE LIMITED

MR. KAPISH JAIN –CHIEF FINANCIAL OFFICER , IIFL
FINANCE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to IIFL Finance Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapish Jain from IIFL Finance Limited. Thank you and over to you, Mr. Jain.

Kapish Jain : This is Kapish Jain. I am the Group CFO at IIFL Finance. Ladies and gentlemen, thank you very much for joining this call. This is about the Quarter 2 results for fiscal FY '25 -26.

On the call, I am joined by Mr. Nirmal Jain – our Founder and Promoter and MD for the group and the company. I am very happy to also introduce Mr. Girish Kousgi, who joins us as the MD and CEO for IIFL Home Finance . We also have Venkatesh on the call. Venkatesh, as you know, is our MD for the IIFL Samasta Finance . So, on this call, we will talk to you about our results for Quarter 2 .

And before I talk in detail on the number, I hand over to Nirmal to just give you a quick update on our business progress and the strategy for the fiscal.

Nirmal Jain : Thanks, Kapish. Good afternoon, everyone and thank you for joining us. Maybe I will just share my thoughts about the global macro and our company's strategy.

So, globally, growth events are uneven amid inflation and geopolitical tension, but India continues to stand out with strong domestic demand and discipline policies. The RBI has maintained stability with manageable inflation and improved liquidity, while the government's focus on MSME , housing and digital infrastructure continues to create opportunities for formal lenders like us. Again, this backdrop, Q2 was a quarter of renewed momentum for IIFL Finance. Our gold loan business has fully normalized post -embargo and reached a record AUM in the last quarter. The MSME focus continues to be on our secured portfolio now which is scaling up well with AI -driven underwriting and strong co -lending partnerships.

In Housing Finance , our growth has been consistent given leadership changes and a sharper focus on collection, particularly in micro -LAP portfolio. And we are delighted to welcome Mr. Girish Kousgi as the new CEO of IIFL Home Finance. His vast experience in Housing Finance and retail lending brings renewed leadership energy and strategic direction at an important stage of our growth journey in the Housing Finance company.

About guidance for loan losses and provisions, we expect lower loan losses and provisions in the second half and we are trying to analyze the data more and in our presentation you will find that the discontinued businesses of micro -LAP and unsecured digital loans, which are our 2% of IIFL Finance Limited

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portfolio each and have been skewing the loan losses provision, particularly in the first half, have been identified. They are now contained. Both these products have been discontinued and we expect in our home loan and gold loan, LLP to continue at 1.3 % and 0.4% and about 2 %-2.5% in our continuing secured LAP and unsecured business loan, which is in line with the trend in the last few quarters , whereas in the discontinued businesses and also in MFI, in the second half it would be about 8%. On a weighted average basis, we may have second half loan losses

provision around 2.2 %-2.4% and that coupled with 3.5% in the first half will give us full year loan losses provisions that what we expect to be between 2.8 %-3%. In the second half, we expect disbursement movement to gather pace, particularly in home loans and LAP. And I think gold loans will continue to grow strongly.

Our balance sheet remains strong. On a consolidated basis, our computed capital adequacy is 28.2%. Liquidity for the group was above Rs. 8,000 crores. Our net gearing is 3.6x and provision coverage ratio was 90%, which is producing as well for sustainable and high quality growth.

With this now, I hand it over to Kapish – our CFO for the detailed financial commentary on our quarterly performance. Thank you.

Kapish Jain : Thank you. Thanks a lot, Nirmal. So, some of the numbers that was highlighted by Nirmal, but I was just to go into further details. For Quarter 2, our IIFL Finance profit after tax before non-controlling interest was Rs. 418 crores, which moved up by 52% on a quarter-on-quarter basis, led by the growth that we have seen in the gold finance business. We recorded pre-provision operating profit of Rs. 1,033 crores, which is up 38% by Y-o-Y, and up 23% on a quarter-on-quarter basis.

For the quarter, ladies and gentlemen, our consolidated AUM grew by 35%, and it is at 90,122 Cr. It records a 7% quarter-on-quarter growth. This is driven by gold loans, which crossed, as Nirmal mentioned, a historical high of 34,577 Cr. And together, has been our stated intent, our home loan and gold now together constitute around 74% of the total AUM. If I further dissect this AUM, the other businesses on the core product side, comprising home, gold, MSME and micro, is up 37% Y-o-Y, and they aggregate 88,477 Cr, which form 98% of our total AUM, being largely retail.

Our gross NPA has shown marginal improvement. It is around 2.1%, and our net NPA is 1.0. Both are down by 21 basis points, 11 basis points on a quarter-on-quarter basis. The company maintains a very cautious status on the MSME and MFI business, and their focus has largely been on recovery and collection. This is also resulting into the fact on our guidance for the credit cost, which is expected to go down in second quarter and Quarter 3 and 4 of this particular fiscal. The assigned loan book, since we have been assigning our portfolio and we have got very healthy traction with banks, our assigned loan books now comprises around 34% of the overall AUM, off book primarily. Assigned book is standing at 18,607 Cr, which recorded a growth of 33% on a Y-o-Y basis and 24% on quarter-on-quarter basis.

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The co-lending book also has improved sharply at 11,848 Cr, up 40% Y-o-Y. The quarterly average cost of borrowing, it has gone down by 7% on a Q-on-Q basis. It is up 23% on a Y-o-Y basis. Heavy liquidity has been maintained at around Rs. 8,174 crores, and the ALM has always been maxed across pockets and buckets, with net gaining at around 3.6x. Our analyzed ROE for the quarter stands at 11.9%, and ROE is around 2.2%. So, our basic earnings per share for the quarter is around 8.9. Our capital adequacy is far higher than the regulatory requirements. We stand at around 18.6 for the NBFC. For HFC, it is 46.2%, and for Samasta it is 33.4%, much higher than the regulatory requirement of 15, led by the off-book strategy that we have with our bank partners. Key highlight for this quarter is, as I have already mentioned, that Mr. Girish Kousgi has joined us as MD and CEO in the Housing Finance company and we also have a good news that we got a rating outlook change from Fitch for our international rating from stable to positive.

With this, I come to the end of my submission and would open the floor for question and answer.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Subhanshu Mishra with PhilipCapital. Please go ahead.

Subhanshu Mishra : Hi, thank you for the opportunity. So, three questions. The first part is on gold loans. Congratulations on that strong growth. How do we look at the gold loan momentum going forward? If one can give Y-

o-Y or a Q-o-Q guidance for the next 3-4 quarters, first? Second is, in terms of home loans, especially affordable home loans, what kind of growth are we baking in for the next 2 odd years? And which all geographies will drive this particular growth? The third is on IIFL Samasta. Bihar is ballpark about 22% of the portfolio. What would be the IIFL Samasta plus 4 lenders as a proportion there? And what kind of par zero numbers are we seeing in the Bihar portfolio? Thanks.

Nirmal Jain : Sorry. Can you repeat the last part of the 22%?

Subhanshu Mishra : So, Bihar is 22% book. So, what is the IIFL plus 4 lenders in Bihar? And what is the par zero numbers in Bihar in IIFL Samasta's book?

Nirmal Jain : Thank you, Subhanshu. So, in gold loan momentum is very strong. It is very difficult to give any guidance in terms of percentage growth because what we have seen in the first half that growth

has been significantly higher than probably what we expected. And it is also a function of gold prices. So, at this point in time, I think I probably will refrain from giving any guidance. Only thing is that the momentum is strong as you have seen in the first half. It might taper off a little bit or might continue, but it is going to be strong. As far as our home loan is concerned, I think our trajectory for growth has been around 15 %-18% on Y-o-Y basis. As I said that the first 2 quarters have been a little cautious for multiple reasons and now Girish has taken charge as a new leader. And he has tremendous experience and I think we should be able to deliver anywhere from 15 %-18% loan AUM growth in the home loan portfolio in the second half. Microfinance, Venkatesh , are you there on line?

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Venkatesh N: Yes, I am.

Nirmal Jain : Can you take this question, please?

Venkatesh N: Yes. In Bihar, we have the first one to implement the guardrails. So, if you look at the plus 4, it is less than around 5% now. And this penetrates to all the older books which we have prior to the guardrails, actually. So, you had a second part to this question?

Subrانشu Mishra : What is the par zero number in Bihar?

Venkatesh N: We are at a collection percentage of close to around 99% in Bihar.

Subrانشu Mishra : Current bucket, right? What are the arrears there?

Venkatesh N: Our arrears would be close to around 6% actually in Bihar.

Subrانشu Mishra : Understood. Sure. Thank you so much. I will come back in the queue. Best of luck.

Moderator : Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Yes. Good afternoon, sir. Thank you for taking my question. Firstly, what I wanted to understand is other than goal loans, when I look at our MSME business, if I look at the other LAP that we call out, which is excluding the micro -LAP or whether I look at the unsecured businesses that we call out, excluding the digital and MFI sourced unsecured business loans which we have discontinued, even there we are seeing that asset quality kind of continues to deteriorate. So, I am just trying to understand was it a bad origination or are you seeing that overall at the industrial level unsecured business loans are still going through a little bit of a weather? And sir, I just wanted to add what is exactly happening in the LAP segment today. We have seen very strong growth across the industry in LAP , but at the same time, in this quarter as well, we have reported a deterioration in asset quality in the other LAP segment. So, if you could just help us understand that?

Nirmal Jain : We are reorienting these businesses and there is a legacy of this business where the micro -LAP business basically was a cross -sell product to the microfinance customer and that is where . When you are seeing the deterioration, one caveat there is that the denominator is shrinking because

we discontinued further disbursement. So, now on a small base, the percentages might look a little worse, because obviously , the base is shrinking and we are trying to sort out and when the business is discontinued, obviously these kind of things will happen. But even in the continuing businesses, as we say that we should be prepared for 2.5% -3%, particularly in unsecured business, maybe around 3% -4%. And this book is maturing and probably at a mature level, we are seeing the full impact of what is it going to be likely to be. Also, we are trying to strengthen our collection, there have been a few challenges in the last quarter and so we hired, we made some changes in the leadership and also we implemented certain more agencies and a better IIFL Finance Limited

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clear structure and that should improve our collection efficiency in these segments going ahead. Now, when you talk about LAP, it is a very heterogeneous product from Rs. 50,000 to Rs. 50 crore s can be LAP and the yield also varies and also the demographics and the customer segment can vary. Historically, we were doing this business, as I said, as a cross -sell product and in case of microfinance, what used to happen is that if the customer has done two cycles well as a group, then they usually, probably we will try to give them unsecured or LAP products. Unfortunately, this guardrails hit actually the larger customers more. The new guardrails which came last year, is it July '23, right . Now, but I think that impact is taken and going forward, things will get better.

Abhijit Tibrewal : Got it, sir. Sir, just a related question. Have we done any ARC transactions in this quarter? If not, any plans of doing ARC transactions, particularly in these two segments where NPAs are elevated in the second half?

Nirmal Jain : In digital segment, we have not done, but in home loan, we have done a small ARC transaction and in digital segment, we will see how much we can do. In this small loan, our collection has

to be done by us only. So, we have to really evaluate whether ARC transaction makes sense but next quarter probably we will look at some ARC transactions which we will let you know after the quarter.

Abhijit Tibrewal : Got it, sir. And sir, was there any one-off in your operating expenses in the standalone entity this time around? Or is it more in the nature of strong gold loan growth leading to higher incentives?

Nirmal Jain : Yes, so in gold loan, actually the competition has become intense and I think quite a few players have gotten and they have obviously kind of poached people from established players like us.

So, there has been bonus and incentive and actually many of our gold loan employees who have been loyal long-term employees, last year they suffered because last year, with the RBI embargo, the business did not do well and the incentives and bonuses were lesser. So, we have given salary and increment and bonuses in the last quarter primarily to gold loan employees.

Abhijit Tibrewal : Got it, sir. And sir, then the last question that I had is, this quarter, again, I am not comparing a Y-o-Y, but Q-o-Q, we have seen some slowdown in co-lending. Was it to do with these co-lending guidelines that come out and things have been reworked? Is that the case?

Nirmal Jain : So, actually, there are new co-lending guidelines, CLM -1 and industry is also seeking some more clarification from the banks about the weighted average rate, how will it work? And people also, there are many banks actually, they are just putting their systems and technology in place and in the interim, they have put the co-lending thing on hold, but there is tremendous excitement and also, I think banks as well as the NBFCs, both are keen to continue this with the new guidelines which come in effect from 1st Jan. So, I think we will see momentum in this from the next quarter.

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Abhijit Tibrewal : Got it, sir. And then, sir, sorry for squeezing one last question.

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Nirmal Jain : So, Abhijit, the new co-lending guidelines will be effective from 1st January and many banks are waiting to put their technology system processes in place and have complete clarity on it. If there are more clarifications on this, or if it is expected from RBI, then this will get a momentum from 1st January, next calendar year.

Abhijit Tibrewal : Got it, sir. And sir, I just wanted to squeeze in one last question while you briefly touched upon this in the last participant's question, we understand it is early for Mr. Kousgi. He just joined us yesterday. But we know him in his previous role. So, just trying to understand that from here, given that this book has been consolidating for some time, the home loan book has been consolidating for some time. Now, from 3Q and the second half onwards, can we see better momentum?

Girish Kousgi : See, if you look at the market in all the 4 segments, we are predominantly present in Affordable and Emerging that is cutting across EWS, LIG and MIG. So, market is quite robust across geography. And if you look at the industry, industry is doing well. H1, of course, the growth has been slightly lower. But, of course, there are reasons for that. Otherwise, even this year, we can see HFC, the book growth is going to be, I think, industrial level, it will be in the range of 13% - 14%. So, as Nirmal mentioned earlier, obviously, we had some challenges in the last couple of quarters. Now, we are almost nearing to come out of that. So, you can see good traction in H2 and going forward, we will be at par and maybe surpass the industry guideline. We already guaranteed that home loan is going to be over 15%. And this should improve as we go along. So, because market is quite good, team is good, there are certain challenges we have sorted of, kind of a next couple of quarters, we will see growth and we will further strengthen going forward.

Abhijit Tibrewal : Got it. Thank you so much, Girish sir. I wish you the very best in your new role.

Girish Kousgi : Thank you.

Moderator : Thank you. Next question comes from the line of Anusha Raheja with Dalal & Broacha. Please go ahead.

Anusha Raheja : Yes, thanks for taking my question. Sir, I just want to understand, what is your reading on the asset quality in MFI given the fact that we have seen last few quarters pain is there on the MFI side, but as per your assessment, how do you see the current asset quality? And secondly, if you can have in gold loans, tonnage wise increase in the gold so that we can understand, how much is the impact on the AUM because of the gold prices. And thirdly, what will be the key change? What are your initial readings in terms of what could be the key changes with the new management coming in the home finance subsidiary? So, what broad all things that we might expect are the key changes that can be brought?

Nirmal Jain : MFI, I think the worst is over, but still the second half will not be as good as the normal times till FY '24. And the loan losses and provisions, the guidance is almost about 8% for the year. So, second half will be a little better than first half, but still not to, like the normal times before these

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guardrails were introduced until FY '24. These three lender guidelines, maybe Venkatesh can add in case, there is something more they have implemented. Over medium to long term, they will reduce the leverage of these customers who are at bottom of the pyramid and improve the credit quality and the behavior. But in the interim, we will see that these pain continues. Maybe a little lesser than first 2 quarters, but still it will not be fully normal this year. Gold tonnage, in the last quarter -on-quarter, around 16%

growth. Y-o-Y, but it is not really relevant because we

started on low base, is 115% growth because just actually about a year ago, maybe 13 months ago, we had the ban was lifted, RBI embargo was lifted, so we started at the bottom. But maybe quarter-over-quarter, we have grown by 16% in terms of the tonnage.

Anusha Raheja : And in terms of, what can be the key changes that you might bring in the home finance business?

Nirmal Jain : Sorry, come again? Key changes in home finance? Yes, maybe Girish can answer.

Girish Kousgi : I know it is too early, just one day, but I think given the experience in this space and having worked for many institutions in this space, see, not too many changes, I think a little bit of rigor on business, a little bit of rigor in collection, improving collection efficiency, and a bit of a tweak in policy, because if you look at the overall challenge, what we had, it was largely to the team and the efficiency, both on business and collection side. I think that we will correct it in the next couple of months. Not too many changes in terms of product policy or program, because, by and large, it is a very simple product, simple program. So, one product, what we had, that we have already discontinued. But for that, in none of the other products, there is going to be any major change. Maybe change in terms of process, maybe slight change in terms of credit, policy, process in terms of aligning the team, otherwise, no major changes.

Anusha Raheja : And just one last thing, if I heard it correctly, in the second half, you are anticipating credit cost to be 2.2 %-2.4%?

Nirmal Jain : Yes, that is right. In the full year, we will end at 2.8 %-3%.

Anusha Raheja : Thank you.

Moderator : Thank you. Next question comes from the line of Deepak Poddar with Sapphire Capital. Please go ahead.

Deepak Poddar : Thank you very much, sir, for this opportunity. So, just wanted to understand, in one of your income items, the derecognition of financial instruments. So, in last 2 quarters, we are seeing a good income in that. So, we just wanted to understand the nature of this income and how should one look at going forward?

Nirmal Jain : You are talking about interest-strip income, right?

Deepak Poddar : Yes, so I am talking about the derecognition of financial instrument, the net gain from that. So, this was around Rs. 350 crores this quarter and last quarter it was about Rs. 230 crores.

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Kapish Jain: This is, as I mentioned earlier in the call, given our strong partnership that we have with bankers, we have been successfully selling our assets to bankers on a seasonal portfolio basis on the direct assignment side. So, this is, with the increasing share of that portfolio, there have been income that is coming into the portfolio, one on a pay-off-to-annuity basis where we earn and we get into the P&L. And second is, since the accounting requires you to upfront some of the income, then the DA transactions have almost doubled from what it was in quarter 1. And that is causing the upfronting of this income which is coming into the P&L. So, that is one element which is coming around this particular P&L from an overall aggregate perspective.

Nirmal Jain : You see, this is a technical terminology for Ind AS. Hello, can you hear me?

Deepak Poddar : Yes, I can hear you.

Nirmal Jain : Yes. So, this is basically the upfronted income on the portfolio, which is sold after providing for, I think this is a question that has come earlier also. So, when a portfolio, when there is a true sale along with the risk, then the NPV, which is the probable gain, net of expenses to service the loan is taken as upfronted income.

Deepak Poddar : I got it. So, now this portfolio is already, the securitization percentage of total your loan book is already at 30 %-35%, right? So, how should one look

at this income, in terms of trend or

trajectory, this Rs. 232 or Rs. 354 crores, is that a sustainable income or you expect it to ?

Nirmal Jain : Yes. So, normally, see what happens is, typically we will have 40 %-45% as our off-book loan assets. So, this should be sustainable and this has been there for the last several quarters actually.

Deepak Poddar : And what is your target to reach this securitization book, off-book?

Nirmal Jain : You know what happens in this, that on one hand, you upfront the new securitization, but by the same logic, whatever you had done earlier, that income will not accrue because that you have already taken. So, basically, when the actual interest income comes, you have to reduce the

upfronted portion and take the balance as income. You get what I am saying?

Deepak Poddar : Yes. I got it.

Nirmal Jain : So, while you get upfronted on the flow, you lose the normal NIM on the stock in your profit & loss account.

Deepak Poddar : Understood. I got this. And what would be our target for off -loan, off -book?

Nirmal Jain : I think normally, our target is around 40% or so.

Deepak Poddar : Yes, I think 33 %-34% right now.

Nirmal Jain : Yes. So, gold loan has grown at a good speed in last 2 quarters. Normally, a portfolio has to season for less than 2 years for 3 months and more than 2 years for 6 months before you can sell

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it down. And practically, with the audit verification, it might take some more time. So, the portfolio which has been disbursed in last quarter would not have been eligible for DA in the last quarter. So, obviously, over a period of time, this will grow.

Deepak Poddar : I got it. That would be it from my side . All the very best. Thank you .

Nirmal Jain : Thank you.

Moderator : Thank you. Next question comes from the line of Shweta with Elara. Please go ahead.

Shweta : Thank you, sir, for the opportunity. So, a couple of questions. Sir, now that the consolidation has happened and we have discontinued certain portfolios like Micro LAP and personal loans, how does the mix shape up now going forward and what are our growth targets?

Nirmal Jain : So, going forward, our focus will be on gold loan and mortgages and mortgages can have two components , one is home loan, and the other is LAP . Primarily, these are the key growth areas. Other than that, unsecured business loan can be a product for cross -sell to our gold loan and home loan customers but will be a very small component of the whole thing. MFI continues and we really need to see how the industry evolves from here. In terms of growth target, again, as I said that this year, for instance, home loan has been lower than our expectation but gold loan has more than made up. But over a period of time, I think 15%-20% should be our loan growth target and with operating leverage and if we can improve the margin, then our profitability should improve at a slightly better rate. So, on a steady -state basis, if you take a medium -term perspective, I think this should be the target.

Shweta : Sure. And sir, just a follow -up question there. Sir, now that we are targeting this 15 %-20% odd range and the growth is back in reckoning, so if I look at the standalone capital adequacy around 18.5 odd levels and the scope and leeway that we have even considering the gearing is around 3.6, then how do you marry this equation wherein are we seeing a capital raising and offering considering 20% growth target? Thank you.

Nirmal Jain : So, the growth , Shweta will also be in the co -lending. So, our internal accruals will meet the book that we grow and at appropriate opportunity, we can raise capital also. But the way the book is growing along with the co -lending and bank partnership, it may not be a requirement for capital just to meet capital adequacy. But to be safe and to keep margin of safety at appropriate

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time, we can raise capital.

Shweta : Sure, that answers my question. Thank you, sir.

Nirmal Jain : Thank you.

Moderator : Thank you. Next question comes from the line of Naveen with MLP. Please go ahead.

Naveen : Just wanted to get a sense on the ROA guidance for the full year. We stand at around 3% ?

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Nirmal Jain : ROA, you are saying?

Naveen : Yes.

Nirmal Jain : I think, we, there are so many volatile factors that we don't want to revise the guidance. But maybe, I think the first half was around 1.9%, then probably for the year, we should look at 2.5 now. The losses in the first 2 quarters in particularly unsecured and microfinance have been unexpectedly higher. But again, as I said, that it is better all the components of the business is different to forecast growth in each and every component with precise accuracy. So, ROA will be around 2.5 -2.8, I guess.

Naveen : Thank you. And, the credit cost guidance, sorry if I have got it wrong earlier, but it remains the same, right? Earlier, it was around 2.8 -3 and it still remains the same ?

Nirmal Jain : Yes, this is the same for the full year.

Naveen : I think the previous person had asked the question, yes. It remains within 2.8 -3. So, there is no change over there.

Nirmal Jain : Yes.

Naveen : Got it. Thank you.

Moderator : Thank you. Next question comes from the line of Ashwin Kumar with Franklin Templeton Mutual Fund. Please go ahead.

Ashwin Kumar : Yes. Hi, thanks for taking my question. I joined the call bit late, so in case any question is a repetition, feel free to refer me to the transcript, I will go through it. But just wanted to ask two questions. One is, with regard to the capital and the standalone entity, so I think that stable Q-o-Q, but if I see the growth, in the standalone book that is about Rs. 7,000 crores or about 20% from, on a Q-o-Q basis, I understand some of it is coming from assignment, but even otherwise there should have been some change in the capital adequacy. So, just wanted to understand the math there a little bit? That is the first question. And the second question is on the asset quality on the micro -LAP side. So, any particular reason why there has been such a sharp increase over the last 2 quarters because now the other players have reported in this segment such a big change, so just want to understand if there is any specific issues which is causing this and also want to understand where this micro -LAP book fits within the 3 entities with IIFL Finance, IIFL Home Finance and IIFL Samasta. And also given that you are discontinuing this segment and the digital loan segment, could that lead to sort of further asset quality issues given that you are moving away from segment so the book will keep coming down so at least from NPA standpoint, it may not come down quite a bit in this segment?

Nirmal Jain : Yes. So, thanks, Ashwin. So, on capital adequacy, your first question on standalone, the growth has been robust, and we are watching capital adequacy numbers very closely. As of now, IIFL Finance Limited
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obviously, we would like it to be higher around 20%, but in a longer -term perspective, and there are a few quarters where you can have slightly lower than what your target level is, but well above the regulatory requirement. So, as I said, that we are watching it, let us see how the growth and co-lending as well as the off-book components grow. And we will obviously take it up in the board meeting at an appropriate time what is required to be done, but I can assure you that we are watching it very closely on capital adequacy of each and every company separately as well as together. Now, coming to micro -LAP and why the losses are higher. So, one is, this, as I think I explained this earlier, the micro -LAP was a cross-sell primarily to

microfinance

customers. The microfinance customers were very badly hit by the new guardrail which restricted the loan amount very effectively from 3 lakh to 2 lakh and also the number of vendors from no restriction to 4 and then 3. This obviously caused larger customers in microfinance to be suddenly forced to cut down on their availability of credit and this is working capital for people who run small businesses. So, they are income-generating activities. So, that is where the micro -LAP has been impacted because of the cash flows of these borrowers. This micro -LAP basically sits in mostly in NBFC although it is sold by our MFI company. MFI earlier had a 75% qualifying asset requirement and then the process product was doing well and also the parent company had a larger balance sheet. So, we were booking this in the parent company. Why this is looking higher? Because once you discontinue, then obviously, your denominator stops growing and whatever has not resolved becomes larger and larger piece. So, that is why these numbers are looking unusually high. So, Ashwin, does that answer your question?

Ashwin Kumar : Yes, that answers my question, but does that mean that going forward also we will see this number remaining high for maybe a few quarters because if I look at your Stage-II in the MSME secured segment that is another 11% and 1 to 30 is also another 6%?

Nirmal Jain : So, Ashwin what has happened is that there is only 2% of our total book now and our focus is just on collection here. So, this component may remain little high, but when we are given guidance, we have taken cognizance of that, but it is a very small component, just about 2% of our total book.

Ashwin Kumar : Thank you.

Nirmal Jain : Thank you.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Kapish Jain : Thanks a lot everybody for their active participation and for any further questions, you may reach out to our Investor Relations team and we will be more than happy to address your queries. Looking forward to meeting you again for next quarter and thank you very much. And a very happy festive season to all of you.

Nirmal Jain : Thank you so much. Have a good day.

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Moderator : Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for

joining us. You may now disconnect your line s.

Call: Jan 2026

IIFL Finance Limited

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January 28, 2026

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Bandra - Kurla Complex, Bandra (E),
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NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter ended December 31, 2025, please find annexed herewith transcript of the said earnings conference call which was held on January 22, 2026.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

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"IIFL Finance Limited
Q3 FY '26 Earnings Conference Call "

January 22, 2026

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FINANCE LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to IIFL Finance Limited Q3 FY '26 Earnings
Conference Call .

As a reminder, all participants' lines will be in listen -only mode, and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during this
conference call, please signal an operator by pressing "**", then "0" on your touch -tone phone.

Please note that this conference is being recorded.

I now hand over the conference to management. Thank you, and over to you, sir.

Kapish Jain: Thank you very much. My heart iest welcome to all who have joined the call, ladies and
gentlemen.

On this call today, we are joined by Mr. Nirmal Jain – our Founder and Managing Director . We
also have Mr. R. Venkataraman, who is our Co-Founder and Joint Managing Director . We also
have Mr. Girish Kousgi, who is the Managing Director & CEO for our Housing Finance
Company . We also have Mr. Venkatesh N, who is the Managing Director for Samasta
Microfinance.

Through this call, we are going to run you through our performance for Quarter 3. And before
we go into the details of our financial numbers, I hand over the call to Nirmal to give you a
perspective on the entire macroeconomic situation and the company's strategy going forward.

Nirmal Jain: Good evening, everyone, and thank you for joining the call.

Before we get into our quarterly performance, I want to first address the income tax special audit
under Section 142(2A) , as this has clearly caused concern and anxiety in the market today. I
understand that the term "special audit " can sound unsettling when taken out of context .

The direction under Section 142(2A) is a procedural step in our ongoing income tax assessment
following a search conducted under Section 132 of the Income -tax Act. As per law, after a
search, there is always a block assessment for six assessment years preceding the year of search,
carried out together . This is not a finding, this is not an allegation, and this is not an adjudication.
Such procedural audits are not uncommon for large , diversified financial companies with large
transaction volumes , multi -year data and complex operating structures. This provision allows
the income tax authorities to appoint an independent auditor to assist them with verification and
reconciliation of data.

The audit report is an input to the assessment process. It is not a conclusion. There is no tax
demand, no penalty, and no determination against the company pursuant to this direction. At this
stage, there is no financial impact that can be ascertained. We will fully cooperate with the
special auditor. There is no impact on our operations, our capital position , or our growth plan s.

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With this clarification, let me turn briefly to the macro backdrop. While markets have seen some near-term volatility, the underlying Indian macro environment remains supportive with stable growth, comfortable liquidity, and improving credit conditions, and particularly in our core businesses of gold loans and mortgages.

Now, against this backdrop, let me turn to what truly defines the quarter and our underlying trajectory :

Quarter 3 and nine months FY 26 reflect consistent execution of our strategy with strong growth, improving asset quality, and a materially strengthened balance sheet. Loan assets grew 9.1% quarter -on-quarter, driven primarily by gold loans.

Asset quality has improved across the board with a significant reduction in GNPA from 2.14% to 1.6%, and NNPA falling below 1%. Stage -2 and Stage -3 assets are also trending down, indicating further improvement in asset quality going ahead. Our provision coverage stands at 92%, well above regulatory requirements.

Over the past few quarters, we have consistently reset

the portfolio, exiting higher-risk segments

such as digital unsecured MSME loans , Micro LAP under HFC, and select MFI geographies.

This is now clearly visible in the numbers: a more resilient portfolio, lower volatility, and better risk-adjusted returns.

From a financial standpoint , we remain well placed. Our ROA is 2.1%. ROE has been moving up and stands at 11.3% for the nine -month period . Our consolidated capital adequacy is 27.7% . Liquidity stands at over INR 9,400 crores, and net gearing of just 3.6x. Our funding profile continues to diversify. Cost of borrowings is trending down, and our ALM position remains comfortable with surplus across all buckets.

Operationally, our AI -led risk governance and early warning systems combined with a physical network of about 4,800 branches servicing approximately 4.6 million customers continue to be our core strength . This strength is also reflected in S&P reaffirming our international credit rating and revising the outlook to positive. With this context, we believe that the fundamentals of the business remain strong, stable, and improving.

I will now hand over to our CFO – Kapish for granular details of our financial results. Thank you.

Kapish Jain: Thank you very much, Nirmal.

So, ladies and gentlemen, for the quarter, the consolidated profit after tax before non -controlling interest was INR 501 crore, which is up 20% quarter -on-quarter. We recorded pre -provision operating profit of INR 1,075 crores , which is up 101% Y -o-Y and 4% quarter -on-quarter.

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For the quarter, the consolidated AUM grew by 38% YoY and 9% quarter -on-quarter at INR 98,336, being at the cusp of INR 100,000 crore, largely driven by gold loan, which crossed the pre-embargo level at INR 43,432 crores , supported by a healthy gross NPA of 0.36%.

If I further dissect the AUM, the leading core products of home loan, gold loan, MSME loan, and microfinance, they collectively grew by 46% YoY and up 11% quarter -on-quarter to INR 93,767 crores . Gold, in particular, grew by around 26% quarter -on-quarter and around 189% on a Y-o-Y basis.

The core segment now collectively comprises of 95% of our total AUM. As Nirmal mentioned, our gross NPA stood at around 1.6%, and net NPA at around 0.8%, which is down 82 basis points and 26 basis points respectively from the same period last year.

The company does maintain a cautious stand on the unsecured and MFI segments and clearly focusing on recovery and collection, which has been showing good resilience and been performing well every single quarter as they progress over the last few months.

With the implementation of the ECL, the provision coverage ratio stands at 92%. With our strategy to partner with banks and down sell our pristine assets, our assigned loan book stands at around INR 21,373 crores , which is up 71% Y -o-Y and 15% on a quarter -on-quarter basis. Besides this, the co -lending assets stand at around INR 13,176 crores , which is up 43% Y -o-Y and 11% quarter -on-quarter, taking the aggregate of books at around 35% of our AUM. On a quarterly average cost of borrowing, increased by around 13 basis points from a Y -o-Y basis and decreased 10% on a quarter -on-quarter basis to 9.28%.

We raised around INR 20,007 crore from term loan, bonds, commercial paper during the quarter, and around INR 7,774 crore of our assets were assigned to various banks. And our liquidity stands at around INR 9,433 crore, adequate enough to not just meet our near -term liabilities, but also adequate to support and fund our growth momentum, which stands quite positive.

ALM, as Nirmal mentioned, is positive across buckets, and our net gearing stands at around

3.6%. While the nine -month ROE is what Nirmal talked about at 11.3%, annualizing the last quarter ROE, our ROE stands at around 14.3%, and ROA was at 2.5% (Q3FY26 annualized).

Our basic earnings per share stands at around INR 10.9, and book value as of 31st of December is at around INR 306.85. Capital position remains to be healthy with the off -book strategy. The capital adequacy at a consolidated basis stands at around 27.7%. For individual companies, NBFC is around 18.9%, HFC is 47.7%, and Samas ta stands at 30%.

We did touch upon the revision and outlook from stable to positive by S&P. We also declared an interim dividend of INR 4 per share, which was approved by the Board of Directors and will be paid in due course.

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With this, I come to the end of the session and leave the floor open for Q&A. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nischint from Kotak Institutional Equities. Please go ahead.

Nischint: So, just before the questions on the business, this tax audit, this will be for which financial year or how many years? And any sense in terms of how long this continues?

Nirmal Jain: So, t his, if you are aware, you must be aware that last February, we had an income tax search under Section 132. So, a fter the search, there's always a block assessment of six assessment years. This tax audit, it is not a tax audit, it is a special audit based on their findings during the search, which will cover the block period of six years . This is supposed to get over in 60 days' time.

Nischint: And t his is for, I mean, one financial year or what?

Nirmal Jain: No, this is on the certain areas what they want to verify is for 6 financial years for the block period. So, this is when the income tax search has happened. So, this is an ongoing process. This is the ongoing income tax assessment. So, this is always for a block period. Wherever searches have happened, the assessment happens for 6 years together. And it is for the block period that we have filed our income tax revised return, in which we have paid another INR 1.47 crore of tax or something.

Nischint: And any specific items that you wanted to call out because of which the tax liability went up?

Nirmal Jain: The amount is a very insignificant amount relating to recomputation over the block period. There is nothing material.

Nischint: Okay. Got it. Just on the business front, I was looking at your secured loans, the standalone business, which has a ticket size of somewhere closer to INR 2 crores and earns almost like a 14% IRR. So , any texture on who these customers are? Because as we understand, typically there is a linkage between risk profile, ticket size, and IRRs. And for such a large ticket, the IRR looks a little bit on the higher side. So , just curious, who are these customers and what are these properties? Some texture of the business would be helpful.

Nirmal Jain: So, t hese are SMEs, and these are priority sector lending from smaller towns. And i n fact, this is a new business , so if you really remember, our historical portfolio had 18% -19% yield. So, we recalibrated our entire business portfolio.

So, these are typically between INR 50 lakh to INR 1 crore rupees, or maybe it can go up to INR 2 crores also. And b ecause they are from smaller towns and segments that we cater to through our branches, average yield is around 13.6% to 14%. That is what we are getting on an ongoing basis. And t ill now, in this portfolio, we don't have any delinquency as such.

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Nischint: And the secured MSME that's done from the housing company, what is the ticket size over there? Because I think that is sort of missing in the presentation.

Nirmal Jain: That secured MSME ticket size is INR 14.1 lakh. That is on slide #23.

Nischint: I know. It is just missing. Anyway, I got it. And just final two questions. Any status update on the SRs?

Any timeline that you are looking at for cash receipts?

Nirmal Jain: Last quarter, if you see Slide #17, then they have gone down from ~3,500 to ~3,000. In next year, 2026 calendar year, we will see a significant drop. Maybe most of these SRs will get redeemed.

Nischint: And finally, any plans on capital issuance at this stage?

Nirmal Jain: No. At this stage , we haven't announced any capital raising plan. We are monitoring the situation very carefully. But whenever appropriate, we will raise capital.

Nischint: But there is any particular leverage level in mind? Any particular capital issuance? I mean, if

one has to sort of model it, at what point of time we will think of ?

Nirmal Jain: Our situation is such that we are very comfortable on the subsidiary companies because if you look at our capital adequacy , Housing Finance is almost at 47-48%. And even Microfinance is at 30%.

Now, as far as the standalone company is concerned, where Gold Loan has grown very rapidly , typically, if you see, our strategy has been more of a bank partnership where we do co-lending and direct assignment . Co-lending was on hold for the last few months because RBI's new guidelines of CLM 1 have come into force from January. People are doing the integration. Once that gathers momentum, then we will be very comfortable again with our capital adequacy, b ut we are monitoring it very carefully. We are open, but at this point in time, there is nothing the board has decided .

Nischint: But I mean, I am just curious if I have to model growth going forward at any particular ratio that you would kind of urge us to see, saying that beyond this, we will probably have to look at capital?

Nirmal Jain: It is fair. Our leverage , we will keep it around 4 -4.5, and capital adequacy , we would like it to be closer to 20. Right now, it is slightly lower . So, we are monitoring it.

Nischint: This is very helpful.

Moderator: The next question is from the line of Digant from GreenEdge Wealth. Please go ahead.

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Digant Haria: So, first question is on gold loans , that i n the tonnage, have we reached the past peak tonnage? Have we crossed that tonnage? AUM, I understand we have comfortably crossed and moved beyond.

Nirmal Jain: Yes, Digant . Yes, so I will address this question. So , our tonnage has been growing up very quickly, very rapidly, much faster than the industry. But we are still a little short of what our tonnage was at the time of embargo. March end was around 59.6, now we are at 59.4.

Digant Haria: That's good to know. And see, my second question is this , that now that the tonnage, we have got all the low -hanging fruits . Those clients who had gone away from us , we would have got them back. We would have given them LTVs in relation to the new gold prices. But going forward now, in terms of new branches, new customers, what is our strategy like? Because it is just that markets are getting a little competitive on the gold loan side.

Nirmal Jain: Markets are very strong because loan -to-value has gone up. The addressable market's capacity to borrow has gone up significantly because of gold prices, one. Two, there has been a clampdown on the unsecured MSME and personal loan, and many of these customer s are also basically moving towards gold. The awareness has increased .

So, what I see at the ground is a strong momentum. The underlying factors, what I tell you are what I would think they are, but if you talk to the industry, then there is a very, very strong environment momentum in the business. The environment looks positive .

So, when we talk about competition, there are a number of players that come in, but the market is very large, and we have a network of close to 3,000 branches catering to gold alone. So, in our distribution catchment, we see significant potential to scale up. If you look at it t

his way,

then our average loan per branch is around INR 15 crores, which is nearly half of the market leader.

Digant Haria: No. Perfect. Thank you for that. And then last question is just on numbers that I see that non - Samasta or non -microfinance provisions are steady at around INR 300 crores. They used to be around INR 100 crores in the past. But now they are close to INR 250 -INR 300 crores a quarter. So, when does this particular part stop bleeding? I think it is because of the unsecured MSME that this portion is slightly elevated.

Nirmal Jain: Yes. So, see, our discontinued businesses portfolio in one quarter only has come down from roughly 4,000 to 3,000. And that is a short -term three -year loan that we had given through some digital partnership and as personal loan. Now, there is some flow from that, and that has caused the provisions or the losses other than microfinance.

But if you see, we are in line with our guidance because this quarter's loan losses provision annualized are around close to, 2.5%. And the last quarter, if you remember, we had given guidance for full year at 2.8% to 3%. Next year we will try to bring it to less than 2%. So , we are on track for that.

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Digant Haria: No, no. Perfect. I was just wondering that gold.. .

Nirmal Jain: Yes, we are on the guided path, and then next year, we will see a significant improvement as this book really runs down to a much lower number.

Digant Haria: Perfect. Then just this quarter, the OPEX seems a little higher. Is it because we pay incentives on the gold loan originated at the start? Or because the whole AUM has grown wonderfully, but it is not translated into the pre-provisioning operating profit in an equally strong way? I just wanted your thoughts on that. That is the last from my side.

Nirmal Jain: No, your point is valid, but this is a one-time charge that we have taken for the new labor code. So, INR 22.5 crore additional cost has come for that revision in measurement of gratuity and leave. All companies are basically getting this, which is the new labor code has come in force, and the employee liability, particularly for gratuity and etc., has gone up. We have put that in the summary slide note also.

Digant Haria: Yes, correct. That number I saw, sir. Just wanted to know that. But even apart from that INR 23 crore s, the OPEX was a little higher. So, that is.

Nirmal Jain: If we adjust that, then it is pretty much in line with, so OPEX has gone up by INR 50 crores, and that is maybe half of that is because of that, and then there is a normal inflationary growth.

Digant Haria: Thank you so much, Nirmalji, for the detailed answers.

Moderator: The next question is from the line of Abhijit from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Again, just kind of going back to that IT special audit which has been commissioned. So sir, thank you for the clarification. But just trying to understand, this does not have any business and regulatory risk, if I understand this right, right? Because if at all, after 60 days, whatever special audit happens, there could be a certain tax implication in which you can naturally contest. But beyond that, I don't think there is any other business or regulatory risk, right?

Nirmal Jain: Correct. This is purely an income-tax assessment process. There is no regulatory or operational impact.

Abhijit Tibrewal: And then, sir, the second thing I was trying to understand is on the housing business, you also put out one point in the notes to the accounts where you have said that, as advised by NHB, you have restated your March 25 NPAs and GNPA's, which is more in line with show the collections only after you realize. So, just trying to understand, until that point, right, which is March 25, when NHB said that, "Hey, both disbursements as well as collections should be done based

on

a realization basis," until then, the entire housing industry was working on the cash received basis, is it?

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Nirmal Jain: So, I don't know about the entire industry. But what happens, supposing the cheques which come in the last one or two days or last few days, they don't realize till the end of the quarter or the month. And basically, this could have been the practice of the industry, which NHB has advised us that this is not correct. We have restated. We have done that.

But the important thing is that if you look at our December results, they are in line with the cheques on the realized money and not based on the cheques in receipt but not realized. So, we are now following NHB's guided practice. And in fact, with that only we have seen it significantly better.

Abhijit Tibrewal: This is useful. And then on the housing bit again, we are still seeing that book is largely flat or a minor decline. And Micro LAP, anyways, we have discontinued and put it in, I think, the discontinued AUM. Now, when is it that we think that, I mean, the cleanup is done and we can start accelerating even in our housing business?

Nirmal Jain: This quarter cleanup is done. So, from next quarter, we should see acceleration in the housing or the growth in the housing portfolio as well, with a very clear strategy on focusing on certain segments that we are comfortable with and from a long-term point of view.

Abhijit Tibrewal: And sir, have we done any PLR changes in our housing book? Basically, have we passed on any PLR?

Nirmal Jain: No, no. We did not do anything. No change.

Abhijit Tibrewal: So, sir, that is all from my side. Thank you so much for taking my questions.

Moderator: The next question is from the line of Nishita from Sapphire Capital. Please go ahead.

Nishita: So, I just had one question. Today only your Chief Information Security Officer, Sameer Gadve, resigned. Any reason for the sudden resignation? And what will be the impact of that?

Nirmal Jain: No, there is no sudden resignation. It is a normal sort of churn that happens. People find better opportunities. Some people go abroad. So, there is nothing. And then we have a very competent second line and a very competent set of people that take over. So, it is a very normal business.

Moderator: The next question is from the line of Vedant from Nirmal Bang Securities. Please go ahead.

Vedant Sarda: Congratulations on a great set of numbers, sir. We have seen a tremendous growth in our gold loan portfolio. So going forward, at the current gold prices, how we are seeing the growth in gold loan portfolio?

Nirmal Jain: If the prices remain at current level. Even if they don't go up from here but they consolidate, then we will see very strong growth in the gold loan portfolio.

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Vedant Sarda: 25%, 26% growth on Q -o-Q basis?

Nirmal Jain: Yes. That should be a very comfortable target.

Moderator: The next question is from the line of Bhaskar from Jefferies. Please go ahead.

Bhaskar Basu: Just one question regarding the ARC transaction during the quarter in the housing finance business. Could you give some texture on how much of that was Micro LAP and how much was pertaining to the affordable housing book, that INR 900 crore kind of ARC deal which you did this quarter?

Nirmal Jain: So, Girish is here with me, our new CEO. Maybe I will just give a little bit of backdrop to this and then hand it over. Maybe Girish can add if he has something. So, with the new CEO and the board, based on the experience and whatever we have done in the past, we reviewed our entire portfolio of housing loan LAP. And obviously, there are certain segments that we had indicated last time also, which is like BLC or which are that beneficiary-linked construction, that is BLC, and then Micro LAP that we

exited completely.

So, all these segments, profiles of customers, or geographies or areas that we have discontinued, Girish took a view which board has agreed with him that we should basically dispose of that portfolio once to ARC, and there the collection can be joint effort, and then we can focus on our continuing businesses in a strategic way. So, almost INR 875 crore of total portfolio deal has happened. And that cleans the entire thing. And that is why if you see, our GNPA in housing has fallen from 2.2% to 0.9%. That is the level that we would like it to be. Maybe Girish, you want to add something?

Girish Kousgi: Yes. So basically, what we have done is we have reviewed the entire portfolio, and we also have a vision for next three years as to which all segments we need to operate given the opportunity and in terms of what is the kind of risk that we can take given the needs. So, we have identified certain pools which we think is not fitting into our line of strategy when we think of building the book for next three to four years' time. So, we thought we should do one-time cleanup exercise so that we can focus on energies towards segments where we can try and build the book. And that is where we have done this ARC.

Our focus, I think, going forward is going to be in terms of segments broadly on emerging and affordable. Affordable largely will be the priority for us, which can give us yield and emerging to asset mix, which can help us in terms of growth, which will be in line or maybe slightly better than the industry growth rate. So, this is one.

And number two, in terms of products, I think predominantly we will be focusing on HL and LAP. So, this is our focus. So, we found that certain products, as Nirmal mentioned, and also in certain geographies, the product picks, for example, in certain locations where we need to focus on HL predominantly and less of LAP and stuff like that, I think that is what we had identified.

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So, we thought we will just clean up so that the path will be clear for us to grow in the next three to four years' time. That was the exercise what we did.

Bhaskar Basu: So, just to clarify that BLC portfolio, I think which was about INR 400 crores -INR 500 crores, I think that has entirely moved out now.

Nirmal Jain: Yes. BLC, Micro LAP, that portfolio largely moved out.

Bhaskar Basu: And so now, the discontinued asset, which is there, primarily refers to unsecured Micro LAP, was the other area where you were kind of discontinuing. And I think whatever is there ...

Nirmal Jain: Micro LAP also has more or less gone to the ARC in this HFC's portfolio. So, Micro LAP was part of HFC portfolio.

Bhaskar Basu: Right. So, the discontinued now refers to mostly the unsecured business.

Nirmal Jain: Unsecured business loan and personal loan portfolio, which is part of the parent company. Yes.

Bhaskar Basu: Thanks a lot. That is all from my side.

Moderator: The next question is from the line of Adarsh from ENAM Capital. Please go ahead.

Adarsh Parasrampuria: Sir, a follow-up question was on your this IT thing. Just wanted to clarify again that the block years that you mentioned, is it routine that after every raid you would tend to have a block, or it is specific to us that we have got a block of six, seven years of?

Nirmal Jain: No, no. It is a part of income tax law that after the search, there is always a block. Okay. It is very, very well defined that the search can pertain to up to past six assessment years. Once the search is done, then the assessment is block assessment always without exception.

Adarsh Parasrampuria: And just to clarify here, this would pertain to, in their view, tax evasion and nothing to do with the authenticity of the accounts. Is that like how would you answer that?

Nirmal Jain: So, when the search happens under 132, which is

appened in February last year, that happened with a suspicion that there is a tax evasion. But it is a suspicion. It is not a conclusion nor an adjudication. With that suspicion, they come in a surprised way, collect a lot of documents, evidence, statements of the people and everything. Now, the way the income tax process is, the search department is supposed to collect facts and evidences, but they are not supposed to analyze or come to any conclusion on that. So then that goes basically to the assessment department. And then they are supposed to analyze and ask the company that, "Okay, these are our based on our findings, what do you want to do? We give you an opportunity to file a revised return ." And that has to be for a block period. So, that is what we did. And when the data collected from search or whatever evidence, data document they have, IIFL Finance Limited
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it is something where they need some external help for reconciling, verifying. That is when they appoint special auditor.
Adarsh Parasrampur: Which means , no, what I am trying to understand is this is not audit -specific or checking the authenticity of the accounts. It is more to do on tax evasion.
Nirmal Jain: No, no, no. Not at all. Special audit word to that extent may be a misnomer. It does not have anything to do with accounts. It is more to do with what they found in their search needs to be verified or reconciled. See, many times in the search, they can take certain documents. They may not get okay. Even if they get access to all the data and all the accounts, they can't analyze it in their five, six days that they are there.
Adarsh Parasrampur: That's it from my side.
Nirmal Jain: Thank you, Adarsh.
Moderator: The next question is from the line of Renjith from SIB. Please go ahead.
Renjith: Good evening. And congratulations for your better results this time. One thing which I wanted to ask is, what is any scope is stipulated for the special audit? And the second thing is, any preliminary assessment has been done by the company with regard to the maximum possible impact on account of these tax issues?
Nirmal Jain: No. Sorry. First part of the question, can you repeat, please?
Renjith: Can you just brief about the scope of the audit? Any scope of this audit is being given by the tax department?
Nirmal Jain: No. The scope of audit will be restricted to the search findings. So the report also is not fully shared with us. When the income tax search happens, they collect certain documents and statements. But then the scope is always limited to that.
Renjith: One more thing with regard to that. Whether the special auditor has been already appointed or is it under the process of appointment?
Nirmal Jain: It has been appointed.
Renjith: The second point with regard to the preliminary assessment about the maximum possible impact on account of these tax issues. Anything the company has ascertained?
Nirmal Jain: No. There is no way to ascertain. But what we ascertain is based on that we file our revised return. So that we already done.
Renjith: Thanks for the clarification. Have a great quarter.
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Nirmal Jain: Based on whatever findings and everything, we are supposed to file our revised return. That we have done for six years block assessment together. But there is nothing much in terms of that revised return that we have filed. So , that is the company's preliminary assessment. And now they have to verify it.
Moderator: The next question is from the line of Gao from Schonfeld. Please go ahead.
Gao Zhixuan: My question is on the credit costs. For this quarter, our credit costs have come down to 250 basis points odd. How should we think about the 4th quarter and also next year?
Nirmal Jain: Sorry, Gao. Your voice is not clear. Maybe can you pick up the receiver and speak?
Gao Zhixuan: Just on the credit costs, we have come down to 250 basis points this quarter. How should we think about 4th quarter credit costs and also next year credit costs?
Nirmal Jain: So, Credit cost has come down and we continue to keep it low. So, it is around 2.5%. For the full year, we had said that we will end at anywhere from 2.8% to 3% because first half credit cost was higher. But this last 1-1.5 months, our credit cost has been unusually higher because of the turbulence in microfinance industry as well as in the Micro LAP. But going forward, next year, we expect our credit cost to be even lower, maybe further 50 -60 basis points decline. It should be less than 2% on a steady -state basis.
Gao Zhixuan: So, next year Credit Cost we are expecting less than 2%?
Nirmal Jain: So, another 50 -60 basis points decline in the next financial year from the current .

Gao Zhixuan: 50.

Nirmal Jain: From this quarter level, yes. So, if this quarter annualizes around 250, we should go below 200.

Gao Zhixuan: Just a follow-up on the tax audit. Is this a normal standard SOP whenever there is a rate? We double-check it or probably assessment.

Moderator: Sorry to interrupt. Mr. Gao, we are not able to hear you properly.

Nirmal Jain: Yes. Please repeat it.

Gao Zhixuan: I just want to understand on the special audit. Is it a normal standard operating procedure after a kind of series and search? Is it part of the normal SOP for the tax department, or this is not typically done?

Nirmal Jain: So, when income tax search is done and the subject of the search is fairly large, complex, because our operations are really vast. We are almost more than 4 million customers. And if you look at six years, normally we have been larger. Then in such cases, that is a normal thing. But income

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tax search itself is not something that happens exceptionally. It is not that it happens on a regular basis in every company. But when that happens and the operations are large and complex, then this is normal.

Gao Zhixuan: I see. So, for large complex search, a special audit is typically a normal procedure.

Nirmal Jain: Yes. Again, if the searches or the documents and the accounts that they have are relatively simpler to understand, then they may not need a special audit. So, this is not something which is an automatic process. This is done only when needed. So, to that extent, it is by exception. It is not something which is automatic.

Moderator: The next question is from the line of Ansh from Capital One Partners. Please go ahead.

Ansh Khimavt: So, my first question is regarding the net gain on derecognition of financial instruments. So, as we have seen since FY '26, since the start of FY '26, there has been some movement in that line item. So, going ahead, how should we model that and what could be the strategy for this?

Nirmal Jain: So, this is something which is dependent on what assets we are able to sell to banks by way of direct assignment. And the way it happens is that you basically have certain yield on the assets, certain cost of funds or certain price at which you have sold to the bank. The difference basically you can take NPV and reduce it by operating cost or service cost and the probable early repayment. That is how it is. So, maybe the simpler way to look at it is that it may vary from quarter to quarter a little bit, but maybe it will be linked to the portfolio of off-book assets that you are assuming you have modeled.

Ansh Khimavt: And so the assumption is that it is calculated on an upfront basis. Had we amortized this value? Going ahead, what would be the ...

Nirmal Jain: It automatically gets amortized because every quarter, the assets which have been repaid to that extent get amortized because the net amount which comes to the profit and loss account.

Ansh Khimavt: I a

m sorry, sir. It was a bit unclear. Can you just repeat it, sir?

Nirmal Jain: No, it keeps getting amortized as the loans are repaid. So, what you see is the new assignment minus amortization. That is what you will see in the profit and loss account.

Ansh Khimavt: So, this can be the steady-state number, right, going ahead?

Nirmal Jain: Yes.

Ansh Khimavt: So, my next question would be regarding the Home Finance GNPA. It has reduced considerably in this quarter. So, can you give us some color on that?

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Nirmal Jain: No. It is primarily because certain NPAs, actually, as Girish also spoke about it, that certain categories of assets where we have significantly higher NPAs and delinquency are higher, that we have sold to ARC. So, that has gone off our books in HFC.

Ansh Khimavt: And sir, regarding gold loans, sir, our AUM has grown very strongly. But keeping in mind, the borrowings have not grown so strongly. So, when I try to model it on an average AUM basis, when I try to get total income on an average AUM basis, I am trying to understand as to how should we model this going ahead. If this growth continues and there is no movement in the borrowings, is there any other way of looking at it?

Nirmal Jain: No, it is a good question. So, whatever growth, we can fund either by borrowings or by selling assets to banks. In both cases, our income or our NIM will be similar, 6% -7%, or whatever which will come either by net interest income or as off-book income or income from assets which are off-book, DA or co-lending. So, what will happen? Whatever you assume, we assume 60 -40, 70-30. So, that percentage of income will go above the net interest income line, and the remaining will come below the net interest line, broadly in a similar range.

Ansh Khimavt: And these gold loans, sir, at what average gold price we would have booked them?

Nirmal Jain: No. So, gold price gain or loss is not to our account. The customer will take the gold back, only pay us interest.

Ansh Khimavt: No. I understand that, sir. But I understand that. But this movement we have been seeing in gold since the past year now, which we are just trying to understand as to in this quarter, what price you would have booked that loan at?

Nirmal Jain: So, right now, our LTV is just about 61%. So, obviously, part of it is contributed by gold prices also going up, which reduces LTV. And so every day, the price varies. And generally, we keep it below the 75% price, just to be conservative. So, there is a weighted average of everything. So, maybe you can look at LTV, which is 61%, maybe a good indication of what prices they have been booked on average.

Ansh Khimavt: So, I think, sir, we can take this offline. I think there is a bit some unclarity. There is some unclarity on this. So, I guess we can take this offline.

Nirmal Jain: On LTV you are saying?

Ansh Khimavt: On the gold price, sir, there is some unclarity here.

Nirmal Jain: Okay. Maybe I will try to explain once again, Ansh. So, every day, we have a gold disbursement, and there are certain repayments. Every day, gold price comes based on what RBI has indicated where do you take gold prices from. So, then your maximum loan amount is 75% that we can give to the customer. Typically, we may end up giving a little lesser, say 70 or whatever.

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And then on this gold, as the gold prices go up, our LTV will go down. So, at quarter end, LTV was only 61%. But because there are millions of transactions, so it is very difficult to say that if there is any particular loan booked at what price. Because they are booked at different point in time, partly repaid, repaid, renewed. So, there is a continuous process.

Moderator: The next question is from the line of Bhavin, an individual investor. Please go ahead.

Bhavin: Good evening to the management team of IIFL Finance. Post-merger by each passing quarter, I think the operating performance of the company has only been improving. My only request to the management is, if it is feasible, the management can issue a clarificatory note and file it with the exchange on this income tax because the special auditor word has spooked the nerves of many participants in the market. And that is the reason we have seen large correction in the stock price. So, while I do not have any question, but I have a request to the management, if a clarificatory note on this can be issued and filed with the exchanges.

Nirmal Jain: Sure. We will do that, Bhavin. But also, this analyst call transcript will also be put up on the website. So, in the beginning itself I have explained, but yes, your point is taken. We will do that.

Bhavin: Yes. It is my earnest request, sir, if separate filing can also be done because not many people go through the transcripts and all. But anybody would go through one page or two page related to this clarification. So, there is no downside to this, but it may protect the interest of many investors.

Nirmal Jain: Sure. Thank you.

Moderator: The next question is from the line of Shreya from Nomura. Please go ahead.

Shreya Shivani: My question is on the MFI, IIFL Samasta business. So, it is to do with the liability book. One can see that the bank, the term loans or probably the bank borrowings was declining till last quarter. Now that mix has sort of inched up. Though the cost of fund movement between the quarters has been volatile in a way, it was 9 point something, 9.7% last quarter. It's inched up this quarter.

There were certain media articles which mentioned that the NBFC MFI's equation with banks have not been at the best terms. And probably whatever new money that they are able to raise from banks are coming at an adverse cost of fund. So, I just want to understand, while it may not specifically be for that article, may not be for IIFL Samasta, but I just want to understand what is the ground reality for us and how are we viewing our liability mix on this book.

Nirmal Jain: So, if there is a slight decline in the total borrowings and the refinance, basically, the earlier loans get repaid, so they also get repaid. So, if you really look at it, it looks like 44% to 46%.

But if you go back six months, it was 52% of our total portfolio. So, I would say it is more similar level. There is no significant change in that. And our cost of fund, if you see the Slide 31

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again, has gone down for microfinance also by 10 basis points. So, I would say there is not any significant change there. They are similar.

But given our track record has been satisfactory for banks and also the parent, we have been getting new loans from banks also. The entire fear is more about standalone small microfinance

companies which may or may not be able to survive the turmoil that happened last year. But otherwise, we find liquidity comfortable.

Shreya Shivani: So, for us, the lines and the limits continue to be available from these banking partners, right? I mean, there are no new challenges or okay. Fair. That is fair enough. If I can squeeze in one more question again on the NBFC MFI performance. So, in your two biggest states, I mean, second and third largest state, Karnataka and Tamil Nadu, can you help us understand if probably the 30 -plus book or 30 to 90 -day book, how is that performance versus pre -crisis, maybe versus June of '24? Has the trends reversed back or things have normalized? Or how has been your experience in these two states?

Nirmal Jain: Venkatesh will take this, who is our CEO of microfinance.

Venkatesh N: See, in the month of November and December, the strongest comebacks, I can say, was in these two states. Though the portfolio

of Tamil Nadu overall for the industry also has dipped a little, but the collection efficiencies have considerably increased. And in both the states, considering that Karnataka came out of the ordinance, what was their last MFI act of last year, it is much better than the thing. So, we are back in both these states at around 99.5% plus.

Shreya Shivani: And the trend pretty much continues in January. Would that be a fair assumption?

Venkatesh N: Yes. The trend continues in January too.

Shreya Shivani: All right, sir. Those were my questions.

Moderator: The next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek M: So, one question on this gold loan growth. And now, if I correlate that with a Tier 1 of 12.8, how much can this growth continue with this kind of a Tier 1? Or does it need to necessarily now slow down, or you can find something else which allows you to grow fast in gold loans?

Nirmal Jain: Abhishek, see, now it more depends on our ability to do co -lending and DA. So, that is what probably will sustain growth. And if not, then we have to raise equity. So, that is a very simplistic answer to your question.

Abhishek M: So, is it urgent now to get equity, or can still go, say, two quarters or three quarters without raising anything?

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Nirmal Jain: No. It depends. If I go to do co-lending and DA, then we can continue. We will be on the edge, but we will continue. And we have a strong capital investment in our subsidiary company. But for the time being, the co-lending engine has to start quickly and strongly.

Abhishek M: So, incremental ...

Nirmal Jain: we can do at any point in time. But alternative strategy is to work with the co -lending and DA.

Abhishek M: I have one question for Venkatesh. So, what is the disbursement s last quarter? I mean, especially if you can break it down into October, November, December.

Venkatesh N: In October, we would have done around 500 -odd crores . In this November, we would have done around 700 and 600 -odd. And in microfinance alone, we would have done 700 -odd crores .

Overall, we would have done 800 crores in December for all products put together.

Abhishek M: That is helpful. And then I have another question for Girish. So, you used the words affordable and emerging when you earlier made a comment. How do you define it here? Is it different from your previous form, or what do you classify as affordable? What is emerging for you here?

Girish Kousgi: So, I think if you look at the market, basically, there are four segments. One is super prime, second is prime, third is emerging, and fourth is affordable. So, when you talk about affordable, typically, this is the business where we would be focusing on starting from Tier 2, Tier 3, Tier 4 kind of cities and towns. So, this is where we have an opportunity for affordable. So, this segmentation is quite standardized across the industry. So, these segments are pretty much standard.

When we talk about affordable, these are basically on the salary side, income level of, let's say, INR 20,000 to INR 30,000-INR 35,000. And on the self -employed also, it will be on similar lines. The ticket size will be about INR 14 lakhs to INR 15 lakhs. And this also covers under PMAY interest subsidy scheme, where the loan is up to INR 25 lakhs and the property cost INR 35 lakhs. So, this is typically the affordable segment. If you talk about the segment within this, basically, this would be focusing on ...

Abhishek M: So, the yield would be what? The yield would be what in this affordable?

Girish Kousgi: If I talk about most of the companies would be focusing on yield of 12.8% -13%. So, this is the affordable business. When we talk about emerging, this is a level up where the yield should be in the range of 11% -11.5%, both focusing on salaried and self -employed, both formal and informal.

al. So, this is the differentiation between these two segments.

Abhishek M: Ticket size should be?

Girish Kousgi: Ticket size should be about INR 20 -INR 21 lakhs. Affordable is INR 14 -INR 15. Emerging is

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prime, which is INR 50 lakhs and above. So, in terms of geography, I would say top 10 probably could be super prime and prime. And the next 30 cities would be emerging market. And the next 200 would be affordable.

Abhishek M: So, when I look at the yields and the average ticket size for the home loans part that you told, that is actually the blended that are around 10.5% -10.6%. Whereas the incremental target that you have is anything 11.5% and say 13%, 11% -13%, let's say. So, should we expect that going forward, the portfolio yield or at least the disbursement yield should be higher? And then that should translate into portfolio yields going higher over a period of time.

Girish Kousgi: Yes, you are right. I think the plan is to ensure that in the next few quarters, the onboarding yield is going to go up because predominantly, our focus is going to be on affordable and emerging, which I spoke about in terms of customer segmentation, property type, and the expected yield. So, this would aid in the overall portfolio yield going up. But this will take some time, maybe another two to three quarters because we have started this already. Our focus would predominantly be on affordable and then emerging.

Abhishek M: And the INR 32,000 -odd crore AUM that you have in affordable home loan, as you reported in IIFL, that is actually affordable and prime rather than or rather emerging and prime rather than emerging and affordable, as you described.

Girish Kousgi: So, basically, if you look at these segments, one city would give you an opportunity of doing or being in two or three segments. It is those pockets in a given city which are giving the opportunity. So, the exceptions are when you go to Tier 3 and Tier 4, predominantly 90% of business what you do is going to be from affordable. So, every city would give you a mix, let's say top 50 to 60 cities would have an opportunity of doing two or three segments within the given city.

So, our new strategy going forward would be in terms of trying to increase yield and therefore the overall yield on the portfolio goes up. So, our focus is going to be on different segments, different type of collateral, different kind of profile within the given city. We are today present in about we have about 315 branches. Our focus in this would be on emerging and affordable. I hope I have answered your question.

Abhishek M: Yes. That makes sense.

Girish Kousgi: For example, to make it very simple, suppose if you take, let's say, Chennai. Now, Chennai is the largest city we all know. So, in Chennai, there are three segments available, which is prime, emerging, and affordable. So, there are affordable companies in Chennai doing only affordable business, which is basically catering to outskirts areas where the property ticket size would be about, let's say, INR 30 lakhs -INR 35 lakhs, and the loan could be about 18 -20 lakhs.

Similarly, slightly away from city center would have an opportunity of emerging. And the core city center would have an opportunity of either prime or super prime. So, some of the largest

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cities would give you opportunity. The minute you go to small towns and all, I think predominantly it is affordable. This comes at a higher rate.

Abhishek M: No, what I was trying to understand, thank you for the explanation, is that from current portfolio which is about 32,000, average ticket is more or less in that affordable segment you described, but the yield is lower. So, was it just that underwriting was st

ill aggressive focus on that? Or

what is the difference between the why is the yield lower than typical affordable, which would be 12.5% and 13%?

Girish Kousgi: So, today, if you look at where we are present, we are present in top cities, which includes affordable, emerging, and also a little bit of prime. So, it is basically focused on certain segments and certain profiles. So, there has been a new strategy which is now laid out. So, I think your question is that we have a book where the yields are quite low, even though we are into affordable and emerging. I think that is the question.

Now, what we have done now in the revised strategy is that going forward in these locations, we are going to focus on the segments which we want to focus on. For example, predominantly, it is going to be affordable and then followed by emerging. So, there is a change in strategy to a certain extent. This does not require our focus in terms of geography because we are already present in many locations which can cater to these two segments. And within those geographies, within those cities, our segment focus will be a little different, which will get us a higher yield.

Moderator: The next question is from the line of Abhijit from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: While we are at housing, Girish sir, what is the housing growth that we are looking for from next

year onwards?

Girish Kousgi: Housing?

Nirmal Jain: Growth.

Abhijit Tibrewal: Yes, housing book growth.

Girish Kousgi: So, on the book, we plan to grow by about 15% -16%. And on disbursement, it will be 24% -25%.

Abhijit Tibrewal: So, disbursement is 24% to 25%.

Girish Kousgi: Yes.

Abhijit Tibrewal: Then a few other clarifications that I had. Nirmal sir, just trying to understand, given that we received that special audit letter yesterday, and like you mentioned earlier, they have 60 days to complete the audit. So, suffice to say, right, that in the next 60 days, this audit will be done?

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Nirmal Jain: Yes. They will do it and they will submit it to the Income Tax Department only. The report goes to the Assessment Department.

Abhijit Tibrewal: And then this audit is only with respect to certain points where the IT department might have a different opinion, right, versus what we would have filed earlier in our returns?

Nirmal Jain: So, this audit is only related to the findings of the search. So, search also was in certain specific areas where they had suspicion. So, they collected data, documents, and whatever information and statement that they wanted. And they compiled. And it is restricted to that.

See, this special audit has nothing to do with audit of accounts or whatever. Audit name in general can capture lots of things. But here, their purpose is to verify the things which are found in search or related to search findings.

Abhijit Tibrewal: And then this amount of INR 1.47 crore, right, that we have paid, right, based on our own assessment, the only thing is after this special audit is complete, maybe the IT department comes back with the final amount, right?

Nirmal Jain: Yes. And they can raise a demand and which you can dispute and appeal kind of thing.

Abhijit Tibrewal: And then lastly, sir, we said earlier that maybe from next year onwards, there could be a 50 -60 basis points decline from current level of credit cost of about 2.5%. But suffice to say, given that, like you mentioned earlier, the cleanup in the housing business is complete. The gold loan business is doing well. And then MFI also, what we are hearing from others, there is no further deterioration at the margin, the collection trends, the par accretion trends are looking better. So, even next quarter, directionally, right, you should see credit costs coming down, right, to get to that less than 2% for next year that you guided for?

Nirmal J

ain: Yes. So, the drive path has already started. So, you should see further improvement quarter after quarter.

Abhijit Tibrewal: This is useful. Thank you so much for patiently answering questions.

Moderator: The next question is from the line of Anusha from Dalal & Broacha. Please go ahead.

Anusha Raheja: So, on the gold loans, we have seen a very strong growth of around 26% on Q -on-Q basis. What has been tonnage -wise increase there in this quarter?

Nirmal Jain: Yes. There is about 7% increase tonnage -wise also.

Anusha Raheja: And also on this special audit, was it the case that the special audit was supposed to follow after the RBI embargo, which was there a few quarters back?

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Nirmal Jain: Yes. So, there was special audit done by RBI also, very thorough and detailed special audit. And that was only related to gold loan and for three years. Now, although this name is similar, but this is very different. This is for certain areas of search documents where they want to do. And it is for a block period of six years.

Anusha Raheja: And sir, if you can just give us some color on the overall AUM growth. Like you said that for home loans, we are anticipating a growth of 15% -16% in FY '27. So, some color on how gold loans we are anticipating growth there in FY '27, even on the MFI side and on the business loans? So, how do we expect overall AUM to grow over the next 2 years' time?

And also on the MFI side, I believe that asset quality, isn't that should have been much more better relatively? Because if I just compare the GNPA numbers, the relative improvement for the peers have been much more sharper. So, what are thoughts on that?

Nirmal Jain: So, in the last two or three quarters, we have been shrinking our portfolio. We are very cautious ly trying to completely realign our strategy. So, our denominator has not grown, has actually shrunk. So, that has exaggerated the impact of asset quality, and that also reduces our profitability. We will be cautious, but now, as the industry environment has become more sanguine, so we will see our portfolio also growing and things getting better.

Anusha Raheja: But otherwise, on ground, you are seeing improvement on the asset quality behavior on the MFI

side?

Nirmal Jain: Yes. On ground, there is significant improvement in asset quality, credit culture, and even the leverage of customer has fallen, and the risk is much lesser. And if you see our slide on microfinance, which is Slide 32, you will see that the primary, the zero bucket, which is due today, how much you collect out of that. And that indicates the recovery stance, and that is at all-time peak. It is much better now at 99.56%.

Anusha Raheja: And how do we see overall AUM growth, say, for FY '27 across the segments?

Nirmal Jain: We have a little bit of diversified business model, not very widely diversified. And we have seen that sometimes some segments do much better than expected. Some segments do a little lower than expected. On the whole, you should see about 20% -25% AUM growth next year.

Anusha Raheja: And on any internal targets for ROA, ROE in the near term?

Nirmal Jain: So, our ROE was in the range of 18% to 20% in normal times. So, we would endeavor to reach towards that. So, that is our internal target in the next two to three years.

Moderator: The next question is from the line of Gaurav from HSBC. Please go ahead.

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Gaurav Sharma: Sir, a couple of questions. First is on the gold loan Stage -3 provision. I have seen that we have declined our provision Q-o-Q from 42% to 19% in 3Q. So, I just wanted to know the reason for the same and going forward should we maintain at this level only?

And second, in response to one of the questions, you mentioned that you are comfortable with growing gold loan book at

24% -25% Q-o-Q. So, was that guidance for 4Q, FY '26, or beyond

that also, we can maintain the same turn rates? These are my two questions, sir.

Nirmal Jain: So, basically, our pace has been significantly higher. Of course, quarter-over-quarter, probably the pace has slowed down over a period of time. Now, I can't say that what will happen this quarter, but longer-term, okay, in the recent past, we have seen that there are two factors that are working for us. One is gold prices have been moving up. And two, in our branches, we are getting back our old customers and getting our productivity level back. Whatever impact was caused by embargo, we are just trying to undo it. But it is very difficult to give any guidance on that going forward. Now, you said that the provision we have reduced. That is what you say?

What did you say? Stage -3.

Gaurav Sharma: Stage -3.

Nirmal Jain: Stage -3 losses are always, again, dependent on gold prices as well as your historical. So, the way ECL is computed is based on empirical data. And what we have seen is that our losses have been negligible. And that is why this number probably was much higher than what it ought to be. This number could have gone up during the embargo period when the NPAs appeared higher because many customers could not roll over. And with three months, interest backlog, it becomes NPA. But on a steady-state basis, gold loan business typically will not have any losses. And also, the percentage that is there in Stage -3 is also very low. So, it doesn't make any much impact, actually.

Gaurav Sharma: These are only my two questions.

Moderator: The next question is from the line of Pranay from Carron Capital. Please go ahead.

Pranay: Sir, just a clarification on the previous participant's question where he was talking about the de-recognition, net gain de-recognition. So, firstly, what is the purpose we have started doing in FY '26 as opposed to FY '25?

And second, is it that a better way of raising your borrowing books as compared to a borrowing which we have a 9% cost of fund? So, is it a better way of, let's say, less cost-effective way of doing this?

Nirmal Jain: Yes. So, this is a better way because it reduces your capital. And secondly, we have always been doing this. Obviously, with the volume, it has gone up. And in the COVID crisis and after IL&FS crisis, when the liquidity became very tight, that was the time we started doing it more aggressively. And then we realized that maybe long-term strategy also makes a lot of sense

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because it can allow you to grow faster without really having to raise equity and dilute very frequently because you can get assets off the balance sheet along with the risk.

Pranay: So, what is the delta, sir? If you can say on a ballpark, what is the delta between our cost of borrowing versus this we are selling the book on the one-time cost? What is the delta we get on this?

Nirmal Jain: Typically, it varies from transaction to transaction. But it may be about 100 basis points more cost, but that is to our risk and capital and everything else. But again, it varies because again, there is a demand for PSL. There is a demand for retail assets by the banks. It is like a market

where the prices fluctuate.

Pranay: So, sir, this should be purely on which segment? This should be purely on the gold loan book?

Nirmal Jain: Gold loan, both. Even microfinance for that matter.

Pranay: And so once you are saying it reduces our capital, so you had mentioned it is amortized, but once you are saying it is reducing the capital, so it is not on amortized. This is on one-shot basis, right?

Nirmal Jain: Yes. So, once you have sold the asset, they are off your book. So, basically, you will keep getting income on the difference of interest, whatever we agreed. Then you take NPV, provide for some cushion,

and then take it as an upfront. Then what happens when the actual loans are redeemed, there is a time then you get the actual interest income, and then you amortize this against that. So, actually, it will not be cash flow negative whenever over a period of amortization. So, supposing you have sold gold loan for two years, and there is a, say, 5% extra interest cost, so 10% is what you are taking upfront. Every quarter, it amortizes, so you are getting interest income, and you are reducing this that way.

Pranay: So, what percentage, just so we assume that in the current quarter, what percentage of that amortization would be there of the Q1, which is part of the Q3?

Nirmal Jain: No, so there are a number of assignments. And so everything keeps getting --. So, I won't be able to give you one data for that because over the last five years, two years, three years, tens of such transactions would have happened. And everything amortizes at a different pace. So, every transaction actually is monitored by the bank as well as by us. Every customer's data.

Pranay: Correct. So, the interesting thing to see on the home finance where we have significantly improvement in our asset quality, basically on the gross NPAs and NPAs. And so you recently mentioned that the future plan of growing the AUM book over there. So, at what level of NPAs do we expect we will be comfortable in this book?

Nirmal Jain: You are saying in home loan?

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Pranay: Yes, in the home finance segment.

Nirmal Jain: The current level what we achieved in this quarter will be the comfortable levels.

Pranay: Even in the growth, which we will be expecting a 15% AUM growth and 25 basis points growth on that basis.

Nirmal Jain: Home loan, again, it is 15% to 18%. So, home loan is slightly slower, but these are long-term assets, so.

Pranay: That's it, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. And I now hand over the conference to management for closing comments. Thank you, and over to you, sir.

Nirmal Jain: Thank you so much. And if you have any more queries, you can always get back to me.

Kapish Jain: Yes, thanks very much for joining this call and for your patient hearing. For any further queries, you can reach out to our investor relations desk, and we will be more than happy to clarify any further questions that you might have. Have a wonderful evening.

Moderator: Thank you. On behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: May 2026

IIFL Finance Limited

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May 7, 2026

The Manager,
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BSE Limited ("BSE"),
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 532636 The Manager,
Listing Department,
The National Stock Exchange of India Limited ("NSE"),
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: IIFL

Sub: - Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation regarding the earnings conference call for the quarter and year ended March 31, 2026, please find annexed herewith transcript of the said earnings conference call which was held on April 29, 2026.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

CC:
India International Exchange (IFSC) Limited
The Signature, Building No. 13B, GIFT SEZ,
GIFT City, Gandhinagar, Gujarat - 382355

MANAGEMENT : MR. NIRMAL JAIN –MANAGING DIRECTOR – IIFL
FINANCE LIMITED
MR. R. VENKATARAMAN – JOINT MANAGING
DIRECTOR – IIFL FINANCE LIMITED
MR. VENKATESH N – MANAGING DIRECTOR– IIFL
SAMASTA FINANCE LIMITED
MR. GIRISH KOUSGI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER - IIFL HOME FINANCE
LIMITED
MR. KAPISH JAIN – CHIEF FINANCIAL OFFICER – IIFL
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to IIFL Finance Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listed only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapish Jain, CFO, IIFL Finance Limited. Thank you, and over to you, sir.

Kapish Jain: Ladies and gentlemen, thank you very much for joining our quarter 4 earnings call for fiscal year 2025 -'26. Joining on this call with me is our Managing Director, Mr. Nirmal Jain, our Joint Managing Director, Mr. R. Venkataraman, Along with them, we have Mr. Girish Kousgi, MD and CEO of IIFL Home finance ; and Mr. Venkatesh N, who is the MD CEO for Samasta finance. With this introduction, I hand over the call back to Nirmal to give you an update on the entire macro situation and the strategic elements on the company.

Nirmal Jain: Thank you, Kapish. Good evening, everyone, and thank you for joining us this evening. And let me start with a brief perspective on the macro environment. So as you all know, the Indian economy continues to demonstrate resilience with steady GDP growth, moderating inflation and broadly supportive monetary stands.

Importantly, credit demand, particularly from the retail and MSME segment remains strong and these are the sectors which are structurally under penetrated. In this backdrop, the NBFC sector is entering a more stable phase after a period of recalibration. The industry's focus is clearly stepping towards asset quality, capital efficiency and a sustainable growth, supported by a tighter regulatory oversight and improved risk discipline. And in this context, our strategy at IIFL has been deliberate and consistent. Over the past few quarters, we have repositioned ourselves in terms of the portfolio now towards secured lending. We exited or scale down higher risk segment and strengthened our balance sheet.

So today, we are anchored on 3 clear pillars or 3-pronged strategy, one, secured lending dominated by gold loan and mortgages, mortgages comprised by home loan and loan against property. Two, capital -efficient growth - co-lending and off -book partners at a bank; and three, AI-led operating model to drive productivity and risk control.

We are beginning to see the outcomes of our strategy coming through clearly in our performance now. On technology front, our investment in AI are translating into tangible productivity gain. Across lead generation, underwriting, collections and cross -sell, AI is improving conversion rates, reducing credit costs and enhancing operating efficiency.

Regarding income tax, as you know, there was a search operation in the entire group. The assessment orders have been received for certain group entities. And therefore, I believe that for IIFL Finance also, the order is expected very shortly. I think within a few days or a week, we should get it. We have fully cooperated with the tax authorities, and we remain confident in our

position, which I had stated earlier also that the process should not result in any material adverse outcome for our operations or financial positions or business momentum.

With this, now I come to business performance. Our loan AUM has crossed the INR 1 lakh crore milestone and we added INR1,08,000 crores of total loan assets. Our gold loan continues to be the standout performer. The business has come strongly post normalization with robust growth, stable yield and a very strong compliance and risk framework and this remains our primary growth engine.

Microfinance is seeing a robust

recovery with improving collection efficiency and stabilizing asset quality. We are growing this book cautiously with a sharper focus on quality and sustainability. In housing finance, we have consciously pivoted towards affordable home loan and mid-sized loan against property as an additional product in that entity.

In the last quarter, our AUM have remained flat and profitability remains subdued partly due to higher-than-expected stress in our legacy micro LAP portfolio. But on the whole, we believe that the business is at an inflection point with new leadership, a sharper product mix aligned to our core strength and improved underwriting, we expect consistent improvement trajectory in our housing finance business as well.

Overall, the quality of our loan book has improved materially. Our provisioning remains strong, the balance sheet is well positioned. And as we look ahead, our outlook remains constructively positive. We expect continued momentum in our secured lending portfolio and further improvement in our asset quality, scaling up of co-lending as core engine of growth and further gains from AI-led productivity initiatives.

So in summary, last few quarters have been about reset discipline and rebuilding momentum, and we are now entering a phase of sustainable capital-efficient growth on a stronger foundation.

With this, I hand over to Kapish, who will take you through granular details of our financial performance and then we'll open for Q&A.

Kapish Jain: Thank you very much, Nirmal. So while our investor presentation and the press release is already on our website for you to refer. However, to read out some of the critical numbers for the quarter, quarter 4 of fiscal '26. The consolidated profit after tax before non-controlling interest stands at INR623 crores, which is up by 24% on a quarter-on-quarter basis. And we recorded pre-provision operating profit of INR1,173 crores, which is up 80% Y-o-Y and 9% on a quarter-on-quarter basis.

For the quarter, the consolidated loan AUM grew by 38% on a Y-o-Y basis, and up 10% on a quarter-on-quarter basis to close at INR1,08,180 crores, driven by gold, which closed at INR52,581, up by 150% on a Y-o-Y and 11% quarter-on-quarter basis with a healthy tonnage at 62 tons. If I need to further dissect the AUM, our core products, loan AUM comprising home, gold, MSME and microfinance are up 45% on a Y-o-Y and 11% on a quarter-over-quarter basis to INR1,04,198 crores and this segment aggregates around 96% of our overall AUM.

Healthy gross NPA number reasonably below to our stated number of around 2%. Our gross NPA stood at around 1.5 and net NPA of 0.7, which is down 77 basis points and 32 basis points,

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respectively, if you compare to the same period last year. The company maintains a cautious stance on the MSME and MFI segment, while they have really recovered well, and the collection efficiency continues to show a smart trajectory.

With the implementation of ECL, our Ind AS provision coverage on NPAs stands healthy at 93%, with a larger share of secured assets that we have in the portfolio. The assigned loan book, which is coming through our partnership with the bank, has grown out smartly to INR23,704 crores, up 85% on a Y-o-Y, 11% quarter-on-quarter basis.

More importantly, interestingly, with the implementation of the new co-lending regulation, the company is able to scale this process well with leading banks and our co-lending asset book stands around INR14,384 crores, which is up 36% Y-o-Y and more importantly, 9% quarter-on-quarter because the new regulation came up 1st of January.

Our quarterly average cost of borrowing decreased 8 basis points Y-o-Y and 25 basis points on a quarter-on-quarter basis to stand at 9.16%. If I talk about our liquidity with the growth, we raised close to INR28,165 crores with a mix of term loan

, bonds, commercial papers and

INR7,046 crores was raised through direct assignments of loans.

Our cash and cash equivalent, including committed credit lines from banks stood healthy at

around INR6,638 crores and are adequate to meet not just our near-term liabilities, but also to fund our continuous growth momentum. We have a positive ALM, thereby inflows covered at far exceed the expected outflows across all buckets with net gearing standing at a round 3.8. Our healthy trajectory with our annualized ROE for quarter 4 standing at around 17.89 %, similar to what we have reported in the previous years and particularly prior to fiscal '24. So we are moving towards that. And the ROA stood at around 2.97% for quarter 4.

Our basic earnings per share for the quarter was 13.8%, Capital adequacy has stood well with - standing at around 17.8% for the NBFC. HFC at 42.1% and Samasta Microfinance at 26. 5%, each of which are well below the minimum threshold of 15% reflecting a successful movement with the off-book model that we hold. With this, I open the floor for Q&A.

Moderator: The first question is from the line of Yash from Dante Equity.

Yash : First, I want to know what's happening with the special audit or the income tax special audit?

Nirmal Jain: Special audit got over long back within 60 days of given period. So the special audit report is submitted to tax authorities as an input for the assessment.

Yash : So by when will we kind of understand the impact of this port because there are some speculative reports talking about INR300 crores to INR400 crores ?

Nirmal Jain: I cannot respond to speculative report. So assessment orders have started coming. Quite a few group companies ' assessment order has come. So I believe that in a few days' time, our assessment orders will also come. It's just a matter of few days.

Yash : But could you elaborate on the impact?

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Nirmal Jain: Like this year, our tax outlook shows a normal course .

Yash : I'm sorry, I couldn't hear you. Could you repeat what you said?

Nirmal Jain: The tax assessment is expected -- okay. The group companies have already started getting the assessment orders. So the process is going at a full -- good speed. And our IIFL Finance also which we're getting our assessment order in a few days' time. So that will be like a conclusion of the assessment process.

Yash: Right. And will we be paying the assessment order? Or will we kind of ask for a review or will be appeal for this? How does that work?

Nirmal Jain: So actually, we will appeal again. So, because if there is any assessment order asking us to pay more tax, we'll appeal, we'll go for appeal . Because as I said in my opening remarks, we believe that we don't have any tax liability arising out of any tax evasion or not having paid tax, so that's not the situation. So, it's like in our group companies also, the ir demands are not on strong grounds. So, if they have any demand, we'll appeal against it.

Yash: Right. My next question is regarding your gold finance business. Under the assumption that the gold prices kind of stay where they are and consolidate here, what kind of AUM growth are we going to see for the coming year?

Nirmal Jain: So, I think if they remain here , we should see AUM growth of around 20% to 25%.

Yash: Right. And is there anything happening with IIFL Home Finance . a demerger because we've been talking about this since 2 years, but it's always gotten to this next quarter or to the next year, to want to understand, are there any triggers or -- is there anything happening with regards to the demerger of IIFL Home Finance?

Nirmal Jain: I don't know for 2 years. I mean, we never said that we are...

Yash: No. There've been rumours about separating this, but anyways.

Nirmal Jain: Okay. I'll tell you what. So, in IIFL Home Finance, we have another priva

te equity investor

ADIA . Obviously, they need to exit, and there will be the most elegant way to get it listed separately and give exit to private equity investor is through a demerger . Because more than 25% holding is public, so it automatically gets listed.

The way we had done in 2019, if you remember, our consolidated entity had Wealth Finance and IIFL Securities now IIFL Capital. But I think this is something which will have to take a call at Board level. And I don't want to speculate about it.

But at this point in time , as we said, the IIFL Home Finance business has pivoted , reoriented its strategy. So, once it stabilizes, we'll look at it. And there's something I -- really, it's a Board call, but it will happen sometime, but maybe I can't give a time line for that.

Yash: No, of course, I'm not expecting a time line, but I just wanted to understand that, is this something that you're looking to do? I'm not saying this year or next year, I'm just asking...

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Nirmal Jain: Yes, definitely an option for us.

Yash: Right. And so the stand alone business, and the stand alone business and the home finance

business separately, right? Samasta will stay as it is?

Nirmal Jain: No, even Samasta can get separated, so there will be demerger, there will be three entities.

Yash: Okay. Okay. So just to clarify, if you demerge, you'll demerge into three entities, right?

Nirmal Jain: Yes, right.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, just on this demerge. So, is there any time line? I mean what should one look at? I mean, by when this can -- we can execute or something like that?

Nirmal Jain: I mean I don't think we can't give you any time line this is not something -- the Board has to decide. The Board of respective companies and shareholders.

Deepak Poddar: But this is something which actively they're looking? Would that be the right assumption?

Nirmal Jain: See, there's nothing, you know, I'll tell you what. When we have done a demerger of our consolidated entity earlier, and nothing actively looking at it. You take a decision and you start the process.

Deepak Poddar: Okay. Understood. Fair point. And on this the special tax audit. Now you mentioned the audit is all done. And I think shortly, you expect some orders or some assessment to come out. Is that right?

Nirmal Jain: Correct.

Deepak Poddar: Okay. So, I mean, any expectation we have? I mean it went well. And you did mention that we should not result in any material adverse outcome, right, for the company?

Nirmal Jain: If there is any demand assessment in our other companies, 360 One or IIFL Facilities, they have raised some demand, then it will be contested and we'll go again appeal because we believe that those demands are not tenable. So if there's a demand, we'll go against it. We'll go and appeal against, yes. So, as I say, I don't expect any material adverse outcome because I know that we should not have any additional tax liability. But if for any reason, they make a demand, so we go to the appropriate authority and seek justice from them.

See, in any way for a company of our size, there are a lot of tax matters which are under litigation, which as you know that there's insurance overriding commission. There are many other things which are always under litigation. So that's a normal process.

Deepak Poddar: Okay. I got it. And on the FY '27 next year, now AUM growth of 20%, 25% we are looking at. So, what sort of credit cost and ROA the range that we might be looking at?

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Nirmal Jain: So, credit cost this year, if you remember, we had given a guidance of 2.7% to 3%. Next year, our credit cost on the whole will be around 1.5% to 1.7%.

Deepak Poddar: And what sort of ROA we are looking at?

Nirmal Jain: So again that will depend on growth. So that 2.4% ROA should grow by -- I think it should end at 3%, 3.5%, but one can work out the numbers based on assumptions of growth or the way -- and the credit cost. See, significant decline will happen with credit cost because we see 120, 130 basis point decline in credit cost. So that goes to the bottom line. That is -- and that will straight away improve ROA also to that extent.

Deepak Poddar: Correct. And when we say this ROA, that is on AUM including the -- I mean, when we say the credit cost, that includes the assignment part as well?

Nirmal Jain: No. The assignment part losses don't come to us.

Deepak Poddar: Yes. Fair point.

Nirmal Jain: So off book, the only whatever remains in our book maybe 10% or 20%, so that is the thing that comes. So credit cost is based on loan book and not entire AUM.

Deepak Poddar: So credit cost is based on your book, I mean, your loan book on balance sheet, right?

Nirmal Jain: That's right.

Deepak Poddar: Okay. Understood. That's very helpful. We would like to wish you all the best.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi, Nirmal. Thanks for the opportunity. Just a quick question on the gold finance. The new regulations are in place from the 1st April despite of the appeals of -- from the banks and NBFCs.

So how are we addressing that? Are we going to categorize all our gold loans as consumption loans?

Are we going to look at the underwriting part of the gold loans and do the other kind of gold loans? What is the new strategy here? What kind of gold loan growth are we looking at in '27, the other NBFCs? There are new entrant NBFCs as well. And my sense is that there will be a huge distribution footprint that a lot of these new NBFCs, including incumbents would put out as there is -- one doesn't need any regulatory approval to put out any new branches anymore?

So how are we going to address all of this in the gold finance piece? If we can elaborate on that, it will be really great. Second and third is basically if you could clarify on the previous questions on home finance and IIFL Samasta demerger that you just spoke of and also the previous

clarification on the appeal for tax audit, if there is any adverse?

Nirmal Jain: Okay. So first is the new guidance. So we are fully complied with the new guidelines from 1st April. And basically, loans above INR 2.5 lakh, they want the credit assessment to be done and

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the loans to be monitored. So we have set up our system and detailed credit assessment is done for all the loans above INR2.5 lakh. So I think that in a way is good because companies like us who have good system processes and are trained people, then we can tap this market.

So that's the first question that you asked. So I think that is fully in place. Our system process are working. Most of these loans are entirely there for MSME purposes. So typically, these are small businesses who borrow, in our case the predominant part of loans about INR2.5 lakhs. Two, I think I already clarified about the demerger that this is something which is decided by the Board and shareholders.

So I can't speculate on it. I already said that, in my opinion, this is a logical thing to do given that there's a private equity investor in housing finance company, but when we'll do it, I don't think it's going to happen -- I mean, whenever it happens, we'll obviously communicate to you, communicate to exchanges. But there's no decision on this -- at this point in time.

Third is about income tax. So income tax authorities basically do the assessment and they will send the order, which we are expecting in a few days time. I'm expecting in a few days' time because the entire group search operations happen

ed together, every thing happened together.

And now the orders have started coming.

We have seen that they come for 360 One, the IIFL facility, the IIFL management. So all the companies are getting their orders. So whatever we hear and we understand that this entire process will get over the next few days' time, maybe the next few working days, give a week or so, maybe is that my personal opinion. But obviously, these are all -- there's no firm guidance on this, but should happen very soon. That's what I believe.

Shubhranshu Mishra: Just one clarification and if you can also give a guidance on the gold loan growth. The clarification is on -- you said that our gold loans are for MSMEs. So we are going to classify these as income assessment. In that case, as per the new guidelines, we'll have to assess the cash flows of the customers or are we going to classify them as consumption loans?

Nirmal Jain: No, you're right. So we have to do the cash flow assessment and our branch already doing that.

Shubhranshu Mishra: Okay. So we will classify them as income assessment -- income generation loan.

Nirmal Jain: and moving towards this.

Shubhranshu Mishra: And what would be the guidance for '27 for gold loan growth?

Nirmal Jain: So -- okay. Somebody asked this question earlier, if the prices remain at similar levels, at these current levels, then we should see 20% to 25% AUM growth.

Shubhranshu Mishra: 30% to 35%, 20% to 25%?

Nirmal Jain: 20% to 25%. One more thing that has happened is that RBI has freed the branch expansion. And as our business motto has always been to get into underserved segments where the banking penetration is relatively poor. When you say banking penetration, many times, you'll see that

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bank branches are there, but they are mostly focusing on deposits and they don't have infrastructure for loan and particularly gold loans.

So many of these small customers, their creditworthiness or their income documents are such that they really can't borrow any other type of loan. So we are setting up -- now we are free to set up more branches there and penetrate deeper. So I think that's the guidance that we've given.

Shubhranshu Mishra: Understood. Thank you so much. I'll come back in the queue. Thanks.

Moderator: Thank you. The next question is from the line of Parag Jariwala from WhiteOak Capital. Please go ahead.

Parag Jariwala: Yes. My first question is the subsidiaries or a group company, which received the tax assessment order, were they also subject to the special audit or it is only for us considering maybe size or nature of the business?

Nirmal Jain: No. Yes, they were not part of special audit. The special audit was only for gold loan primarily.

Parag Jariwala: Okay. And Nirmal ji, do we have an access to that audit report or it is directly submitted to the tax authority?

Nirmal Jain: No, we had access to the report, but it's submitted to tax authorities. So special auditor discusses with us.

Parag Jariwala: Okay. Understood. And secondly, in terms of the off book, which is in the form of DA and co-lending, do we -- I mean, what's the intent of proportion which we want to keep as an off-book AUM? And between the DA and co-lending is the proportion going to change in the favor of

others? Reason I'm asking is that there is some changes in the co-lending mechanism by RBI.

So any comments you want to offer there?

Nirmal Jain: So RBI has formalized and set very detailed regulations and procedures for co-lending. In a way, that's good because there are certain things you always won't know how to deal with it. But if everything is black and white excise, then you know they're okay to follow these rules.

So the total off-book proportion, which is DA and co-lending put together will be 34%, 36% in that range. Our endeavor will be to take it to 40%, 45%. And within

that, co-lending also has

been growing relatively, and we think that co-lending should grow even further because co-lending has become a very formalized and a very well laid out process.

So we'll let the co-lending grow faster. If you see the slide, which also shows that the co-lending has been growing in our presentation, if you see the Slide 9, which is 6%, 15%, 14%, 13% or so is in that range now, and we would like it to grow to 20% or so.

Parag Jariwala: Okay. Thank you so much.

Nirmal Jain: Thank you.

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Moderator: Thank you. The next question is from the line of Chirag Singhal from First Water Fund. Please go ahead.

Chirag Singhal: Yes. So regarding the special audit, what is the typical time line from the conclusion of the audit until you receive the final assessment order?

Nirmal Jain: No, there's no time line that tax authorities have. But my -- because they already -- so normally, all the group's tax they will do together. So that's what my understanding is. But there's no time line -- I'm not aware of any time line.

Chirag Singhal: Okay. And one of the earlier participants mentioned a rumoured tax liability. So are you expecting such high tax liability because we have been mentioning that nothing material should come out of the special audit? So what is the expectation...

Nirmal Jain: No adverse outcome, and the demand, whatever it is, it will be contested. But I have absolutely no idea of what is the actual demand going to be. See, if you see most of the searches that have happened in other companies, then typically, they will raise some demand and then that gets basically appealed. And in most cases, settles or removed kind of a thing.

Chirag Singhal: Okay. On the growth trajectory for the housing finance book, what are you expecting for the current financial year?

Nirmal Jain: Girish is here. Maybe you want to talk about it?

Girish Kousgi: Growth trajectory you're asking.

Girish Kousgi: So what we have done is we have recalibrated our strategy depending on the mortgage landscape and the focus going forward will be on affordable and emerging, including affordable earlier also. And I think going forward, we will do more of affordable at a higher yield. Now in terms of growth, we are expecting a book growth of about 18%, 20% in FY '27 and disbursement growth would be about 25% to 27%.

Chirag Singhal: 18% to 20% growth in the advances. Is that...

Nirmal Jain: 18% to 20% in the loan book and 25% in disbursement because there can be some balance transfers and repayment also. So that is what the guidance for home loans is. AUM growth of 18% to 20% and disbursement growth of 25%.

Chirag Singhal: Got it. Okay. That would be it from me. Thank you.

Moderator: Thank you. The next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead. Mr. Solanki, please go ahead with the question. Your line is unmuted.

Vansh Solanki: Yes, yes. So as we discussed and also you told that the IIFL Home Finance and Samasta needs to be demerged and it is a very logical thing here. Just want to understand your point of view. I know that it will be a Board's decision.

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But in your point of view, what will be a better way to demerge the company like while we have done the IIFL Wealth and IIFL Capital years ago and completely demerged without any cross holding, will that be a better way or just we will IPO out the Home Finance and Samasta?

Nirmal Jain: So we are saying that needs to be demerged. But I think, yes, that will be a similar way what our earlier way we have done, the demerger. So that's the most clean way of doing demerger that the subsidiary shareholders get the shares in the similar economic interest. And then the parent -- okay, the listed company shareholders get shares of subsidiaries in the

the same economic ratio, and it gets delisted separately.

Vansh Solanki : Okay, okay. Thank you. That's from my side.

Nirmal Jain: Thank you, thank you.

Moderator: Thank you.

Nirmal Jain: Yes, there are in the queue, I can see the participants . So you can pick them out.

Moderator: Yes, sir. The next question is from the line of Navneet Bhaiya , an Individual Investor. Please go ahead.

Navneet Bhaiya : Hi, sir. Congrats for a good set of numbers. I have just one question. Your leverage level has increased meaningfully this year. Obviously, it's following the growth. So what are you thinking about leverage, capital raise? I believe if you want to continue growing at 20 %+, you would need capital ?

Nirmal Jain: Yes. So there are -- as I discussed, our strategy of growing co -lending and off -book faster will probably keep the leverage also under control and meet the capital requirement also. And at appropriate time, we can raise capital by -- I mean, the debt capital that we continue to raise periodically. And equity whenever the time is right, we'll do that. But without that, I think if we can grow our co -lending and DA to target level of 40 -- between 40% and 45%, we are safe in terms of our leverage as well as capital.

Navneet Bhaiya: So sir, what is the leverage ratio that you would be comfortable with in your books , in your consol book?

Nirmal Jain: 4.5x is okay. I don't think up to 4.5x is any challenge. Typically, you can go up to 6.7x based on the capital adequacy. Actually, the equity requirement is 10%. It can go 10x also, but less than 5 up to 4.5 is good.

Navneet Bhaiya: Okay, understood. Thank you so much.

Nirmal Jain: Thank you.

Moderator: Thank you. The next question is from the line of Pranay Shah , an Individual Investor. Please go ahead.

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Pranay Shah : Hello. Sir, my question is on tonnage growth. We've seen around 1% growth on a Q -on-Q basis on the gold tonnage. So like what has led to this flattish growth? And secondly, when we are expecting a 25% AUM growth, that will be purely on a tonnage basis you are saying? Or -- and how are we planning to achieve this like the road map for it?

Nirmal Jain: See, tonnage growth in the previous quarter was better, stronger. But see, what has happened is this that customer requirement of loan basically is really not dependent on the price as such. But whenever the gold prices go up, then and you will see with other gold companies also, you have probably seen some decline also there . But your customers will keep only as much gold as required. So the demand for credit is there. And sometimes tonnage will follow that.

So if they can meet their credit requirements without giving extra gold, they will do that. And when the additional gold has to be given, then that will be done. So it's not really linked to that. That is one. Two, we'll also be expanding our branch footprint a little. I mean, last year, we did not, but now we may. This year, we will. So not aggressively, but just to make sure that we keep the growth momentum.

Pranay Shah : Perfect. Thank you.

Moderator: Thank you. The next question is from the line of Yash from Dante Equities. Please go ahead.

Yash: Yes. So just a continuation question on the net gearing ratio. We've seen that Samasta and Home Finance, both of them have actually operated on -- IIFL Home Finance, especially has operated on quite low leverage, like 2.6, 2.7 net gearing ratio.

I just want to kind of understand when will the ROE and ROA pick up here ? Because we've just reached single -digit ROE in IIFL Home Finance, right? And we've done very well historically. So what is -- so you guided for 18% -- 18% to 20% growth, IIFL Home Finance, but I still want to understand the ROE and the ROA movement here.

Nirmal Jain: Yes. So good question. So actually, we raised equity in Home Finance 2, 3 years ago. And the

book has not grown because some of the businesses particularly micro LAP and one that we discontinued. So therefore, the leverage has also fallen and that has also impacted our ROA, ROE. But this year, as we said that as we grow our disbursements and our loan book and loan AUM, then these things will start falling in place.

Yash: Which segment are we targeting to get this 18%, 20% growth?

Girish Kousgi: So, Girish here. We predominantly focus on affordable and emerging. As we had confirmed earlier, we have shut prime business because of margins. So, we currently have about 94 branches focusing on emerging and 221 branches focusing on affordable. We are also increasing our branch network on the affordable side.

We plan to open about 100 branches this year in a phased manner. So, we have dedicated branches for affordable and emerging dedicated teams, and we are also pivoting towards higher yield. We were doing affordable business earlier also, but we were doing at a lower yield. Now

we are pivoting towards higher yield, which will be to start with about 12% plus this year.

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And going forward, we will further up the yield in line with the market. So, this is what we are planning. So as mentioned earlier, we plan to grow at about 18%, 20% on AUM this year. On book, also it will be almost similar. On disbursement, it will be about 25%, 27%. So, 2 things are happening.

One is very clear strategy and focusing on affordable and emerging, where we have an opportunity of higher yield. And number two, upping the yields both in affordable as well as emerging.

Yash: But just a question on your strategy to focus on affordable housing. Hasn't premium real estate outperformed affordable housing in the last 4 to 5 years, especially post -COVID? Also on the yield part, I think our yields are around 10.55%, right, if I'm not mistaken, in IIFL Home Finance?

Nirmal Jain: Yes. On an aggregate basis, yes.

Girish Kousgi: Yes, you are right.

Yash: So, are we -- so by -- let's say, by next year, where are we looking for the yields to move towards from 10.5% to... where?

Nirmal Jain: So prime market has outperformed, luxury segment has outperformed, the affordable in the last 2 years. That's a fact because interest rates were slightly elevated. But that is not our sweet spot because that is at a very low interest rate, 8, 8.5, 7.5. I mean it can start based on AAA, but still, it is at a much, much lower rate. And on the contrary, affordable may not -- I mean, has not probably grown very strongly in the last 2 years. But there's an opportunity there. Girish, do you want to add something?

Girish Kousgi: Yes. So, if you look at the overall mortgage industry, the growth is about 13% to 14% for the last 4 to 5 years' time. If you look at affordable per se, the growth is about 18% to 20%. So, the growth in affordable is.

Nirmal Jain: So further lopsided is that the super luxury market has really grown, but that's just 1 or 2% of the market, the Bombay and Gurgaon. That has grown very rapidly, yes. But there is an exception, yes.

Girish Kousgi: But if you look at overall growth in affordable is much, much higher than all the other segments.

Yash: Right.

Girish Kousgi: And we have a lot of opportunity affordable given the backdrop of government focus on affordable with PMAY 2, which specifically focuses on retail subsidy scheme, which was launched last year October. And this time, this scheme would ensure that customer on book would be there for a longer time because there is incentive if customer stays with the company for 5 years.

So, the customer attrition would come down, number one. Number two, this would largely improve the repayment behaviour of the customer because one of the asks is that customers

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should be current and non -deli

nquent during the entire period of subsidy time, which is 5 years because going to pay subsidies in 5 annual equal installments.

So, all these things would ensure that affordable as a segment would grow at the same pace or maybe slightly higher vis-à-vis compared. Of course, there are certain pockets in certain segments, which is luxury and super luxury in certain markets, the growth could be higher. At an aggregate level, there's a lot of opportunity on the affordable side.

Yash: So just putting on a point here, why aren't we focusing on LAP loans? Through my personal experience, I can tell you that LAP loans have a higher yield than housing loans. So, are we planning to focus on LAP loans going forward?

Girish Kousgi: Absolutely. I think we will be focusing on LAP both on affordable as well as emerging. We are completely out of prime as a segment, but we will focus on LAP. Today, if you look at the overall AUM, our LAP mix is about 18%, 80% is HL, 18% is LAP and the rest is construction finance. So, 18%, if you look at the mix, it is quite low, but there's a lot of opportunity. Also, it comes at a higher yield, both on affordable and emerging. Our focus is very clearly there on LAP as well.

Nirmal Jain: Just to add micro LAP is INR3 lakh, INR4 lakh of loan to microfinance customers that we discontinue. Now when we say affordable LAP is typically about INR13 lakh, INR14 lakh, INR15 lakh of LAP, similar to what our home loan customers are, which you know it may hold around 16%, 17% high.

Yash: Right. No. See, this one?

Nirmal Jain: That's a great business to be -- I mean that's a good business, and we are there in that business, yes.

Yash: No. Like sir just pointed out, we have an 18% exposure to LAP. And if we want to focus on higher -yielding products and get our yield higher from 10.55% because 10.55% is basically like a very low yield for a housing NBFC, right? But there are a lot of -- obviously, LAP as an opportunity is big and LAP in terms of ticket size also is pretty huge, at least in metro cities, right?

The only thing I kind of wanted to point out is our leverage in the home finance business is quite low now. And I really hope that your AUM growth through LAP or affordable housing or premium prime loans or emerging loans kind of picks up this year and we again move back to the double -digit ROE. Do you think that is going to happen this year?

Nirmal Jain: Yes, that will happen. That should happen. What you are saying is right that there's an opportunity to grow faster. And Girish has got a team and things in place, which is in the last few months, we were just trying to get that in order. Hopefully, what you are saying is the correct strategy to work on. We are working on the strategy, let's see.

Yash: Right. And as far as IIFL Samasta is concerned, I just wanted to understand which segment are we going to focus from here onwards for this year, for this financial year?

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Nirmal Jain: So, Venkatesh is here, Samasta, just take this question.

Venkatesh: See, in terms of -- we want to get back to our AUMs where we let off in March '24. So that will be the key thing. And we are cautiously growing. And in terms of the guardrails have been working well. So, within these parameters, we are looking at how we can retain our existing customers and grow our book within the geographies we are already operating in.

Yash: No. But my question was regarding the segment, right? We've been growing in the MSME, I think. But I wanted to understand if you're focusing on the individual group loans or what kind of unsecured loans are we going to focus on?

Venkatesh: No, if you look at it, see, we have the qualifying assets need to meet the criteria of 60%. So our key growth driver would be the microfinance loans. Our micro LAP would also grow. We will be growing overall on around 20% odd. So I mean,

within the thing, micro LAP is the only thing

which we are -- other than the microfinance, which we are focusing on actually.

Yash: Right. And your average ticket size in these loans are going to stay here? I think it's around INR68,000 per loan? Or is it going to move upwards? Where are we seeing this kind of sustain average ticket size?

Venkatesh: Average ticket size in microfinance is around -- when we are lending, it's around INR68,000.

But in a micro LAP, it's much, much higher.

Yash: Is it around -- is it upwards of INR4 lakhs to INR5 lakhs?

Venkatesh: It's around INR4.8 lakhs.

Yash: Right Okay. Thank you so much. Sorry?

Nirmal Jain: Slide 33 has been taken in detail

Yash: Understood. Thank you. so much for taking all my questions. Thank you to the entire team.

Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Khandelwal from JP Morgan. Please go ahead

Gaurav Khandelwal: Hi, good evening. Thanks for taking my questions . If I can just understand a bit more on the mortgage loans. Number one, why was the growth almost kind of muted at INR32,000 crores, INR33,000 crores in FY26? How are we thinking about it going forward? And the other part of my question is, how are we looking at competition in this space?

So competition is always tough, but do you see the competition accelerating and especially from where I'm coming is that some of the other companies, housing finance companies like Bajaj Housing, PNB Housing, they've been actively entering the affordable and the lower ticket size near prime housing, which is in the INR 15 lakh, INR 20 lakh, INR 25 lakh zip code. So do you think that the competition incrementally tightens further? And how , what are you trying to do to mitigate that? Those are all my questions. Thank you.

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Girish Kousgi: Let me take the second and third question first. So one, talking about growth, as I had mentioned earlier, we plan to grow from this year onwards. And the guidance what we have given is about 18% to 20% on AUM on the book and 25% to 27% on disbursement. So if you look at competition, so what is to happen is that amongst all the 4 segments, which is there in the mortgage business today, which is super prime, prime, emerging and affordable largely, housing

finance companies are focusing on affordable and emerging to a small extent of prime. We took a decision of not getting into prime because to start with, you will have a challenge on the margin. And after 1 year, 1.5 years, you would have customer attrition, right? Now what has largely changed? If you look at any affordable company, once they reach a particular size, growing the book was a challenge. So going forward, this has eased out, you know as I mentioned about the lock-in, which is there for 5 years on the interest subsidy, and this is, it is a large thing. This is on home loan and most of the loans depending on where we want to focus in terms of segment and geography would fit into interest subsidy.

So this would ensure that we'll be able to retain customers on book for 5 years from now onwards, which was earlier about 12 to 18 months back. So once we on-board the customer in affordable segment, after 12 to 18 months because of the pricing difference, customers would switch from a company focusing on affordable to companies focusing on emerging because you know, customer would have upgraded in terms of bureau score and customer would get a lower rate and therefore, BT outs were higher. But going forward in affordable, BT out would come down given the backdrop of interest subsidy, number one.

Number two, if you look at competition, competition is there. It was there even 10 years back, last 5, 6 years also there is competition. But the only point is the market is huge. Affordable market is huge, right? And today, if you look at, there are

not more than 7 to 8 big companies in

affordable who are actively doing business. There are another 80-plus other companies, but their AUM is very, very small. The book is very, very small. So opportunity is huge. And earlier, the challenge was growing the book was not a challenge. Customer retention, book retention was a challenge. Now there is a solution for that thing.

So as long as we get a strategy right in terms of geography, segment and pricing, I think book retention won't be a problem. And in terms of competition, huge opportunity, and we don't see any challenge at all in terms of growing our book.

And answering on the last point, so if you look at last year, our disbursements and book growth, was muted. I think earlier we had said that earlier we were into micro LAP and that had a lot of overlap on the MFI customers. We all know that since last 2 years, 3 years back, the issue, the challenge started in MFI industry. Of course, now it has almost recovered.

So last 2 years, since some of the customers, there was an overlap between the MFI business as well as our micro LAP. So we also faced a challenge. So we had to rework on our strategy, which we have done now. So we have exited that business, and we don't intend to do that business going forward. So that is one big reason as to why the growth was muted. So now we have reworked on our strategy. And going forward, you will see growth happening in IIFL Home in line with the industry.

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Gaurav Khandelwal: Got it. Thank you for that. That's very helpful. And if I can just ask for your short-term borrowing at the shorter end of the curve, how are the money market rates behaving today for you versus, let's say, the fourth quarter average, if you could give us some sense?

Nirmal Jain: You know, when the war broke out, the last month, the rates had shot up and liquidity became a little tight, but it's normalizing now very soon. So I think as we speak, rates are coming back. So in between maybe month of March and April, a bit of aberration and maybe April first half at least. So things are getting back to where they were. And what we see that the rates are trending down.

So we need it as a function of liquidity rather than the benchmark rate. And what we see is that the RBI monetary policy has been pretty pragmatic in terms of managing liquidity. So we see that things are getting better.

Gaurav Khandelwal: Got it thank you. It's very helpful. Thank you so much.

Nirmal Jain: Thank you Gaurav.

Moderator: Thank you. The next question is from the line of Murli Khandelwal from Murli Khandelwal Equity Research. Please go ahead.

Murli Khandelwal: Can you share the road map of improving stand alone credit rating and how that translates into reduction of cost of funds? Also.

Nirmal Jain: Can you repeat? Your voice is low. Your voice is a little muffled can you repeat please?

Murli Khandelwal: Yes. Sir, can you share the road map for improving stand alone credit ratings and how that translates into reduction of cost of funds?

Nirmal Jain: Okay. Thank you. So a road map for stand alone credit rating when we have been talking to credit rating agencies, one of the criteria they had was size and maybe INR 1 lakh crores is a good benchmark, so that we have crossed. Two our, obviously, they look at the profitability and the capital adequacy. So the road map to improve that is the focus on profitability, focus on asset quality, which you see that our asset quality has improved significantly. GNPA at 1.5%, way below our guidance of 2% and less.

Our NPA is around 0.7 -odd so which again is pretty you know, healthy. Now I think the only one thing that we need to work on is our capital adequacy, which either we improve our co-lending and off-book significantly or we raise capital. But besides that, I think we are on track on many other criteria

as I spoke upon the size of the business, asset quality and profitability.

Murli Khandelwal: Okay, sir. And what would be the estimates ?

Nirmal Jain: Okay. Now see, we are AA stable and we are 2 notches below the best. So they can be AAA, they can be AA plus and AA. So obviously, our first step will be AA plus . I believe that our cost of funding can go down easily by 100 to 120 basis points once the rating improves.

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Murli Khandelwal: And sir, what would be the estimated impact of a 1 notch upgrade on borrowing cost and profitability?

Nirmal Jain: It's very difficult because that depends on rating agencies that take a call based on the macro environment, sector view and everything. So obviously, like anything like geopolitical inflation, crude, weighs on their mind for the sector. But really, this is not a question that I can answer correctly.

Murli Khandelwal: Okay thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to management for closing comments.

Kapish Jain: Thank you very much, ladies and gentlemen, for joining this call late evening today. For any further queries, we are available, and you can drop an e-mail to our Investor Relations team, and we'll be happy to answer. Thank you very much, and look forward to meeting you again soon.

Nirmal Jain: Yes. Thank you so much. And as Kapish said that you know, anything else, you can always reach out to us by Investor Relations. Also, in the data book, which has got a very detailed Excel sheet about all the relevant data that can go into any details done this quarter . Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of IIFL Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2026

IIFL Finance Limited

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July 28, 2026

The Manager,
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BSE Scrip Code: 532636 The Manager,
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Exchange Plaza, 5th Floor, Plot C/1, G Block,
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NSE Symbol: IIFL

Subject: Earnings conference call transcript

Dear Sir/Madam,

Pursuant to the Regulation 30 read along with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and further to our earlier intimation dated July 16, 2026 regarding the earnings conference call for the quarter ended June 30, 2026, please find annexed herewith transcript of the said earnings conference call which was held on July 22, 2026.

The same is also made available on the website of the Company i.e. <https://www.iifl.com/iifl-finance/financial>

Further, we hereby confirm that no unpublished price sensitive information was shared or discussed during the said earnings conference call.

Kindly take the same on record and oblige.

Thanking You,

For IIFL Finance Limited

Samrat Sanyal
Company Secretary & Compliance Officer
ACS – 13863
Email ID: csteam@iifl.com
Place: Mumbai

Encl: as above

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"IIFL Finance Limited
Q1 FY27 Earnings Conference Call "
July 22, 2026

MANAGEMENT : MR. NIRMAL JAIN –MANAGING DIRECTOR – IIFL FINANCE
LIMITED
MR. VENKATESH . N – MD – IIFL SAMASTA FINANCE
LIMITED
MR. GIRISH KOUSGI – MD AND CEO - IIFL HOME
FINANCE LIMITED
MR. VIKAS JAIN – CHIEF FINANCIAL OFFICER – IIFL
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the IIFL Finance Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference call over to the management for the opening remarks. Thank you, and over to you.

Vikas Jain: Good evening, everyone. I welcome you all in the IIFL Finance Investor Conference presentation call. My name is Vikas Jain , CFO, IIFL Finance. We have today Mr. Nirmal Jain, MD of IIFL Finance; Mr. Girish, who is the CEO of IIFL Home Finance; and Mr. Venkatesh N., who is the CEO of IIFL Samasta Finance .

Now I will hand over to Mr. Nirmal Jain for macro and strategic overview for the quarter.

Nirmal Jain: Thank you, Vikas. Good evening, everyone, and thank you for joining us today. So on the macro backdrop, the West Asia situation has reignited over the last 2 weeks after the June ceasefire framework, keeping crude and shipping volatile. RBI held the repo rate at 5.25% in June with a neutral stance, but it trimmed FY27 growth outlook to 6.6% and nudging inflation up to 5.1% on account of geopolitical and external pressures. However, domestic credit demand, particularly in retail and MSME has remained structurally resilient regardless.

Coming to our main core business, gold prices despite corrections have been elevated through this period of uncertainty and while that has supported our growth and which has been credit -led growth as well. But we are equally mindful that a sharp correction is a real tail risk in this environment, and we are, therefore, consciously focused on maintaining loan -to-value discipline and collection.

Turning to performance. So in the quarter, our return on equity annualized is close to 20%, i.e 19.5%. Return on asset is 3.1%. And on a book that is nearly 90% secured, our AUM has crossed INR1.15 lakh crores, is up 38% on a year -on-year basis. Gold loan has remained our primary engine. But as I said, we are managing growth deliberately. Our home finance and microfinance businesses typically have a first quarter comparatively slower, but both these businesses are structurally on track, and we expect the trajectory to strengthen through the rest of the year. Our co -lending continues to scale a bit slower than our plan in the first quarter, but now with 15 active bank partners, we expect it to gather momentum. Also, our AI -led operating model is moving from pilot to measurable impact across collection, fraud detection, frontline productivity and so on. Also, the Board has approved an enabling resolution for fresh equity, which is subject to shareholders' approval in the day after tomorrow's AGM, which will give us flexibility to raise capital during the year as and when needed.

So in summary, this was a quarter where our profitability and operations are back to their natural levels. And from here on, we expect organic growth to continue and also AI and operating leverage to support the profitability acceleration in the near future. With this, I'll hand over to Vikas for the detailed numbers. Thank you.

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Vikas Jain: Thank you, sir. To start with the financial numbers for the quarter. For the quarter, IIFL Finance profit after tax before non -controlling interest was INR713 crores and up by 14% on quarter -on-quarter basis. We recorded pre -provision operating profit of INR1,252-odd crores, up by 50%

Y-o-Y basis and 7% on a quarter -on-quarter basis. For the quarter, consolidated loan AUM grew by healthy 38% Y -o-Y and was up 7% on quarter -on-

quarter basis at INR1,15,523 -odd crores

driven by gold loans close to around INR58,406 crores.

Further dissecting the AUM, our core product loan AUM comprising home loan, gold loans, MSME loans and microfinance up by 43% Y -o-Y and was up 8% quarter -on-quarter basis to INR1,11,717 -odd crores. This segment now comprises 96.7% of our overall AUM mix. On the asset quality side, our gross NPA stood at 1.6% and net NPA stood at 0.8%, both of which are stable and slightly up by 9 basis points from the quarter -on-quarter basis. The company maintains a cautious stance on unsecured MSME and MFI segments focused on recovery and collections.

Happy to inform that provision coverage ratios on NPA stand at 94%. The assigned loan book stands at INR26,118 crores, up by 73% on Y -o-Y basis and up by 10% on a quarter -on-quarter basis. Besides this, there are co -lending assets of INR14,647 crores, which is up by 27% and 20% on a quarter -on-quarter basis. Quarterly average cost of borrowing has decreased by 3 basis points on a quarter -on-quarter to 9.13% and 33 basis points on a Y -o-Y basis.

A brief update on liquidity. During the quarter, we have raised INR17,183 crores through term loans, bonds, commercial paper and INR5,283 crores was raised through direct assignment on loans. Our cash and cash equivalents and committed credit lines from the banks and institutions is INR7,148 crores are adequate to meet not only the near -term liability, but also to fund our growth momentum. We have a positive ALM, whereby inflows covers or exceeds our expected outflow across all buckets and net gearing is at 4.0x. Our ROE for the quarter stood at 19.5% and while ROA stood at 3.1%.

Basic earnings per share for the quarter is INR15.9 per share. As of June 2026, our capital adequacy ratio for NBFC is 17.1%, HFC 41.7% and for Samasta is 24.9%, which is well above minimum threshold of around 15%, reflective of our successful off -book model, which we have implemented. Also in the quarter, Moody's Rating has assigned a Ba3 Issuer rating and (P)Ba3 GMTN program rating to the IIFL Finance outlook stable.

We have raised USD500 million through social bond issuances proceeds, which are directed through income -generating loans for women, low -income and rural semi -urban borrowers. Crisil ESG Ratings has assigned an ESG rating of Crisil ESG 66 and Core ESG rating of Crisil Core ESG 69 to the company.

With this, I come to an end, and now we are open for Q&A. Thank you very much.

Mod erator : Thank you very much. Your first qu estion comes from the line of Pavan Kumar with Edelweiss Public Alts . Please go ahead.

Pavan Kumar: Congratulations on really good set of numbers. At the current rate of growth, when will you be required to go for equity raise considering CET1 is already at 12.24% in the stand -alone entity?

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Because the gold loans, I understand the risk weights are 125%. I know you have alluded to reduction in the gold loan growth rate. But I mean, even then we are very close to the regulatory minimum ?

So that's one question. Second question, in the IIFL Home Finance entity, can you give us the disbursement separately for home finance and the LAP? And do you think that from -- the Q1 is the bottom for the disbursements and the AUM growth, going forward the housing finance growth and the LAP growth will pick up. What is the kind of expectation there for FY27?

Nirmal Jain: Thanks, Pavan . So gold loan industry growth has slowed down in this quarter, but we are still growing maybe faster than industry. That's what I would -- I won't have the data, but that's why I think so. And then about capital, I think we need to fix the capital adequacy issue in the parent company. And so this is something -- that's why we are taking shareholders' approval on AGM meeting, which is day after tomorrow.

Now we have multiple options. Basic

ally, we can raise QIP or we can sell through a secondary sale of subsidiary companies. We are also looking at a strategic divestment partly or listing of microfinance, so we can raise equity through subsidiary companies. Also, co -lending is gathering momentum now. So that will also ease the pressure this quarter. And we can raise subordinated debt and perpetual debt also, which we have raised in the quarter before. That will also help us.

So we are very conscious of the capital adequacy, which in the parent company is kind of at the edge, and we are like -- we want to fix it. So all these options are open, and we want to keep all the options open so that -- at appropriate time. So once we have shareholders' approval, it's valid for full year. So at appropriate time, we can make sure that the capital adequacy for this business is properly maintained. And about home finance, Girish will give you the disbursement data. I

think there's a strong pickup in the disbursement, but I'll let Girish give you the data.

Pavan Kumar: Sir, before Girish sir gives this, just one clarification. Because share sale, I mean, stake sale in the subsidiaries takes time, right? The due diligence, everything will take some time. And even if you raise Tier 2 debt, again, AT2 debt, that will be Tier 2, right? It won't be counted towards Tier 1 and the way...

Nirmal Jain: No. Perpetual is counted towards Tier 1 subject to certain numbers. So the perpetual debt is counted as Tier 1, up to 50% of the equity. And I think maybe there's some certain restriction on the total quantum, but it is counted as Tier 1 and subordinated is counted as Tier 2. And we have been working on this. I'm not saying it will happen tomorrow, but it can happen very quickly.

Pavan Kumar: Got it. So your preference is towards not raising that equity in the immediate term, but...

Nirmal Jain: No, we can raise equity also, we are open. It all depends on the valuations in the market. And -- but it's -- we don't want to be in a desperate situation, so we are trying to work on everything, including co-lending, perpetual and subordinate debt in this quarter. But yes, something which is equity, we are open to raising equity also. There's no -- I mean it's not that we don't want to raise, but we want to raise at some reasonable valuations.

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Girish Kousgi: Under home loans, we had a very good quarter 1. So if you look at last few quarters, I think we registered high disbursement growth. So sequentially, we have grown disbursement by 39% and this is high compared to last few quarters. And even we could see good growth on the AUM, which is 4% sequential and book growth is 7%.

So this trend will continue. Generally, in housing loan industry, quarter 1 is soft. And from quarter 2, it picks up. So we expect that this momentum to continue and we will be able to further improve upon it. And not just this, we have also improved our onboarding yield. So in last 2 quarters, we have increased about 68 to 70 bps on the overall book. This is on incremental book.

Pavan Kumar: So the 39% growth is between home loan and LAP together, right, in IIFL Home Finance?

Girish Kousgi: Yes. This is overall sequential growth disbursement 39% overall.

Vikas Jain: Yes, both put together.

Girish Kousgi: Both put together. Home loan is about 80% of the portfolio and LAP is about 18% or 19% kind of thing.

Pavan Kumar: Sir, can we say that like this quarter, like going forward, the growth will be much faster, particularly home loans, which has grown only 3% quarter-on-quarter?

Girish Kousgi: So this is sequential. So if you look at the overall year, we are looking at growth of about 17% to 18% on book and AUM. Disbursement growth will be over 30%.

Pavan Kumar: Got it, sir. Is that the kind of growth estimate for the full year also 17% to 18% for the...

Girish Kousgi: It's

for the full year.

Vikas Jain: This is for the full year.

Girish Kousgi: Full year, the book growth...

Pavan Kumar: No, I mean -- FY27, I mean, for the full year FY27, yes.

Girish Kousgi: For FY27, yes.

Mod erator: The next question comes from the line of Chirag Singhal with First Water Fund.

Chirag Singhal: Congrats on good set of numbers. So my first question is on the targets that you have given in Slide 20. So in FY27, the credit cost is expected to be 1.5% to 1.7%, which is sharply dropping in the next 2 years. So which segment do you see will be contributing to this higher credit cost in the current year?

Because microfinance, as I can see in Q1, a lot of -- I mean it's turned in favor of the industry.

And even the gold loans and all are not witnessing any higher provisioning. So just trying to understand the higher credit cost for this year and what will lead to a steep decline in the next 2 years?

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Nirmal Jain: So this year in our housing finance because there's a small portfolio of micro LAP that is there. So if you really look at our housing finance GNPA, they are much higher than the peers, and that is what will be fixed in the next 2 years.

Chirag Singhal: So what is the outstanding micro LAP book as of Q1 end?

Girish Kousgi: So the outstanding of micro LAP is about INR440 crores.

Chirag Singhal: INR440 crores.

Girish Kousgi: INR440 crores.

Chirag Singhal: Are there any other GNPA's?

Girish Kousgi: BLC book is about INR260 crores. So this is a problem book. It's not significant, but it is just a residual so it will have cleanup in this year.

Chirag Singhal : Second question is on the -- just continuing the previous participant's point on the fundraise? So you are looking at taking in microfinance subsidiary. So like what is the multiple that you would be looking at bare minimum if you want to exit Samasta? And would it be like a partial stake sale or you are planning to exit microfinance completely?

Nirmal Jain: No, we can do partial stake sale also. Now the business has recovered this year. But it's very difficult to give any guidance on this because these are all -- it depends on the negotiation deals and this. So the environment has improved now and therefore, it may be a time to raise capital there. Also, in our parent company, the subsidiaries are valued at cost. So that basically is a disadvantage when we compute the capital adequacy for the parent.

So even if we demerge, then also the capital adequacy gets released. So we are looking at various options. But as I said in the previous question that we are very conscious of this, and we want to make sure that this is addressed properly.

Chirag Singhal : Yes, because diluting at the current valuation would be your last option that you would be looking at, right? Because at -- why would you dilute...

Nirmal Jain : Yes, I think we can still take up with the marginal -- we can still continue for a quarter or 2 more with the co-lending picking up and perpetual subordinated debt, our capital adequacy will be better as we go along. And also we are not -- as I said that what we are saying is right, but we need to look at the multiple options and take one.

Chirag Singhal : Understood. One more question on this project PACE . So you have given some data points on Slide number 19. So the ranges are very wide. So loss prevention, you are saying 10% to 40%, operating cost 8% to 20%. So any specific reason why such a wide range? And also on the opex to AUM, if you can give a guidance how we should look at it going forward?

Nirmal Jain: So okay, first, -- AI is a new animal. And I think we are also a human organization because I'm going to do it slowly. And this is something which will be achieved over a period of time. So if

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you say the cost reduction over 3 years

, then I'm very optimistic that it might be on the higher side. But in the first year, it will be on the lower side.

And as I said that this is completely -- everybody is sort of talking about it, doing it. In my opinion, more or less everybody will get the AI right. I mean, just like mobile or any other technology. A few months here and there, everybody will adopt it. But I think we are also looking at it as a completely new thing, and that is why the range is wide. This is not a tested technology. This is not something that you have precedents or a model and you can, this is what I'll achieve.

Chirag Singhal : Okay. And on the opex to AUM, like what is your evaluation?

Nirmal Jain: Yes, opex to AUM, I think we are down to 3.4%. So I mean, from here, there can be a marginal decline because we are also setting up new branches. Last year, we did not set up any new branch. So I mean, I think 3.4%, 3.3% or this is the range that you should look at. And AI benefits, which is again, black box. We'll see over the next 2, 3 years that probably we can contain it further.

Chirag Singhal : So this 3.3%, 3.4%, are you considering any benefits from this, whatever you have mentioned about Project PACE. Are you factoring any benefits?

Nirmal Jain: So AI benefit, if you really look at our fixed cost in this quarter and last quarter, despite growth in the business has grown by 2% or something like this. So obviously, you see that the AI benefit has already started to kick in. But it's very difficult to estimate. But what I can tell you is that the operating cost over the next 2 to 3 years, we'll see a downward trajectory, which is combined impact of AI and also as our scale goes up.

So we are -- our branch-led model with 4,500 to 5,000 branches. We are a very heavy fixed cost model because the branches costs are fixed, the employees have fixed salaries. So if the scale goes up, the operating leverage benefits us a lot. I'm also trying to factor in the expansion that we are going to do because as I said, this year, we want to set up 500 new branches. So that will, to some extent, mitigate the benefit of operating leverage.

Moderator: The next question comes from the line of Gaurav Khandelwal with JP Morgan.

Gaurav Khandelwal: I've got a couple of those. First, on asset quality, can I understand what's driving the higher gross NPAs, both in home and gold loan segments quarter-on-quarter? Is there anything systemic that we need to worry about?

Nirmal Jain : So I think in gold, one should not worry about because these are customers that generally don't default and their jewelry has emotional value, so you have to be a little careful and give them some more time. In housing also, as I said, that we are mending it structurally. So you may -- as we go along, you will see that coming down significantly. But compared to, say, last year, we are significantly down. And now that we are pivoting towards a secured portfolio, then you see our credit cost and losses will become minimal.

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Gaurav Khandelwal: Got it. And if I can just follow up. So in case of your housing loans on an average, whenever we see a default and an actual loss, what's the LGD on a blended basis for the housing book?

Girish Kousgi : If you take on the entire book, LGD will be anywhere between 33% to 34%. And our coverage will stay accordingly below that.

Gaurav Khandelwal: Got it. Okay. And my second question on your longer -term strategy, and I'm sorry if you've already answered this, but your guidance of effectively increasing ROA by 50 -odd basis points, a lot of that appears to be coming from credit costs. But outside of credit costs, are there any areas you think which can also help in terms of getting to the higher ROA in operating leverage or margins or otherwise?

And also , I just wanted to understand what's the outlook for margins over the

next 2, 3 quarters?

Have your cost of funding worries come down, especially after the spike in yields in initial part of the quarter. So those are my 2 questions.

Nirmal Jain: So ROA, I think 40, 50 basis points post tax something like 60, 70 basis points pre -tax, which is coming 40, 50 basis from credit cost, 20, 30 basis points from maybe rest of the things, which can be operating cost as well as the NIM improvement. Now in terms of credit, the cost of borrowing, cost of funds, I think the general industry is of the view that with FCNR liquidity will ease in the system, and we should be able to borrow at a lower rate.

In the last couple of quarters, we have seen slightly higher rate and also our dollar bond has been at a higher cost. Margins are stable in the gold loan despite competition, we focus on a very small segment, which is the customers which are -- the ticket size is small. So there -- I personally don't think any pressure on margin because the rate at which we lend, given our scale, we afford. But otherwise, for small ticket loan, it's a very fair rate. So we expect margin to be stable. So margins will remain in this range and benefit will come from operating cost and also credit cost. Other income cross -sell with AI, we are just trying to -- we should achieve some benefit there also.

Gaurav Khandelwal: Got it. And in fact, in this quarter, the gold loan yields are up slightly. Have you increased pricing for any particular gold product or what is driving this almost 40, 50 basis points increase?

Nirmal Jain: So it's a portfolio yield. And when we started after embargo, so initially, the yield was lower, but as we have been talking about in earlier analyst call also. So we have picked up. And as quarter after quarter, you see the advantage coming in. So -- and as I said, because we are focusing on small ticket loan, we are able to maintain our yield. The portfolio typically sees the loans are for 6 to 12 -- 24 months actually. So as the new loans are at a higher rate, you see yield improving.

Moderator: The next question comes from the line of Abhijit Tibrewal with Motilal Oswal.

Abhijit Tibrewal: Congratulations on a good quarter. Nirmal sir, first on gold loans. Just trying to understand so many other larger bigger NBFCs now entering into gold loans in the last 1 or 2 quarters. Have IIFL Finance Limited

you heard anything from the ground in terms of being aggressive or higher competitive intensity or this is still just a narrative right now?

Basically, what I'm trying to understand is why in housing finance, Girish said earlier that we have been -- we have managed to take yield hike about 60, 70 basis points on the incremental loans that we are doing. Is that something similar we are able to do on gold loans as well?

Nirmal Jain: So okay, there are 2 different products. In housing, what is happening is that there's a mix. And earlier, we had this micro LAP, which had a higher yield of almost 18% to 24%. So that portfolio is declining. So if you see that although Girish talked about boarding yield going up, the portfolio yield has come down in housing finance because the high yield portfolio is running off.

In gold, I mean, there's one product. And here, while the competition is there, I mean, I'm not denying that there's competition -- competition can be aggressive in 2 ways. One is they can drop the yield and two is they can increase the LTV. And we are seeing some of the new players getting aggressive in both ways.

But it's a huge market and we have a customer franchise. So we really aren't chasing cutthroat competition or our growth because we have our customers, our branches, and we are maintaining that relationship as well as our business.

And also, there's a learning curve. So many competitors have set up new branches. You need to get the system, security people, training, everything right.

And that's a process. And it's a massive market. So it's a very large market. Still part of the market is unorganized sector. Banks have a very large market.

Many 2, 3 large public sector banks have more than INR3 lakh crores of portfolio. So I think the market is there now that unsecured lending has become difficult, more and more customers are veering towards lending or borrowing against gold.

Abhijit Tibrewal: Got it, sir. Sir, the second question I had was about a lot of these management changes that we've seen in the last 1 year. I think we are changing our CFO. I think today, we have said that our business head, unsecured lending is moving to another role within the company. Girish sir himself has come on Board for us? So...

Nirmal Jain: Unsecured lending, let me explain.. Unsecured lending we discontinued. So obviously, that role has to be redefined somewhere. Previous CFO is still there in handling strategy, but personal health issues. So that is a different question.

But other than that, many of -- if you really look at our Tier 2 management or even Tier 1, many of them have been there for 15, 20 and 30 years. So if you look at our gold loan head, he has been here in the company now almost maybe 25, 30 years. So there are many old people, and they are the strength of the company. But some changes will happen in a company as large as this.

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Abhijit Tibrewal: And sir, are we looking to introduce any new products in the standalone entity now while gold will remain the core product? Any new products that you're looking to introduce or any other or similar leadership..

Nirmal Jain: I think the LAP or secured MSME is another product which will be there in our listed company. A very small product loan against shares continue. But other than that, we don't have any plans to introduce any new products.

Abhijit Tibrewal: Got it. And lastly, sir, one clarification. When we said that we have discontinued unsecured lending, we'll stop doing unsecured business loans as well?

Nirmal Jain : Yes, that is what -- you're absolutely right. Unsecured business loan and personal loan, both we have discontinued.

Abhijit Tibrewal: Got it. And lastly, Girish sir, I'm just trying to understand while you laid out that you're looking at about a 30% disbursement growth, 17% to 18% loan growth this year and the fact that what Nirmal sir has explained that disbursement yields are higher, but given that micro LAP used to be a higher -yielding product and that is running off and you're not doing that product anymore.

How are you thinking about kind of improving the ROE trajectory over the next couple of years?

Girish Kousgi: So, yes, actually if you talk about -- I spoke about what is going to be the plan for this year in terms of book growth, AUM growth and disbursement. I think that trend will continue for next few years because we see a lot of potential. In spite of quarter 1 being soft, we have done pretty well on all the three fronts. Yes, to a certain extent, probably last year was soft. But even if I compare quarter 4 sequentially we have a good lift on disbursement book and AUM.

So if I continue with this, maybe in next 3 years' time, so we are looking at ROE of about mid - teens. So I think that's the plan. We are focused on that. Now we are pivoting more towards affordable. And the balance, we are also into emerging. We have completely cut down on prime, which means a low margin business.

So every year if you take, if you look at any company's portfolio, I think the year's disbursement will account to 18% to 20% of the entire book, right? So in next 2 to 3 years' time, which means 50% to 60% of the entire book color will change, and that should lead to profitable growth, and it will also give us good return ratio.

Nirmal Jain : So, like in terms of trajectory, probably what we are trying to understand is

that how the

acceleration will happen. But based on, I think, our plans, I mean, quarter after quarter, we should see profitability improving faster than the loan growth.

Moderator: The next question comes from the line of Prithviraj Patil with Investec.

Prithviraj Patil: So I just had the first question on the income tax note. The footnote that's there in the financial statement, if you could just elaborate on the INR470 crores impact that's there?

Nirmal Jain : So there's nothing which is not discussed last time. So there's no new development on that. So there's a demand of INR475 crores, which -- against which we have filed an appeal with CIT.

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And the process of income tax is that first you file appeal with CIT, then you can go to Tribunal and then you can go to High Court and Supreme Court. So there's no new development there.

Prithviraj Patil: Okay. And also for the SRs, I see that the stand-alone entity, the SRs are the same quarter-on-quarter. And if you could just elaborate on the SR position for the subsidiaries as well. That could be helpful.

Nirmal Jain : So SR, basically, the redemptions will happen in a lumpy way. But as we had guided last time

that in 12 to 18 months, probably more or less, all the SRs will be fully redeemed. And as I said last time also that we believe that we'll realize more than what the book value is. And actually, last quarter, there was not much movement. But in the rest of the year and -- so I think by September '27, more or less this book will be completely wound up.

Moderator: Your next question comes from the line of Love Sharma with Point 72.

Love Sharma: If you could just highlight what was the credit cost for FY26 in this quarter? That will be very useful. And secondly, on the credit ratings on the international market, given that you have been very active, any indication of what your engagement has been with the agencies given you are on positive outlook from two of them? And I know you recently got a higher rating from Moody's, but just on the other two, where do we stand in terms of your communication and your discussion?

Nirmal Jain : Thanks. So Moody's has upgraded our rating with 1 notch above Fitch and S&P. Fitch has been actively engaged and immediately after the results, they will take it to the committee. We are very optimistic that even Fitch ratings would get upgraded. So -- and also we'll engage in other agencies, other international agencies as well as local. Our credit cost for the first quarter is around 1.6%.

Love Sharma: Okay. And for the entire FY26...

Nirmal Jain : Okay. When we say credit cost, it's based on the average loan book. And I think we have guided similar number around 1.5% to 1.7%. Going forward, gold loan reported GNPA's can be slightly higher as the book grows and the prices are volatile. But we always have enough cushion. So if the gold prices have fallen, then we don't press the button trigger and just auction everything depending on the margin that we have. So in terms of reported number can vary. But the loss given default in gold in the last 15, 16 years has almost been 0.

Love Sharma: Okay. Understood. And just on your borrowing cost, I mean, I know there's a slight uptick in the cost of funds for this quarter, given I think probably you have raised more in the international market. But just generally, where do you see the trend for the next quarter?

Nirmal Jain : So we raised \$500 million by dollar bond, which is fully hedged. Our cost is slightly higher. But this is international market which we should diversify and we should tap. Companies like Shriram has done a wonderful job by being consistent in this market, and over a period of time, the cost comes down.

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So that has basically been one of the reasons for increase in our weighted average co

st. But as I

said that the expectation is that after the FCNR, liquidity will improve domestically, and we should see the cost coming down.

Moderator: Your next question comes from the line of Rajiv Pathak with GeeCee Holdings.

Rajiv Pathak: Congratulations on a very good set of numbers. A few questions. First, on our gold loan business. So we have done a fantastic 21% Q-o-Q growth there. If you can just touch upon how much of this growth would be tonnage-led and how much would be value-led. So if you can share that number?

Secondly, if you look at the LTV, I think from March, we were at 63%. Right now, we are going to an LTV of 70%. Is there a headroom for us to now increase the LTV or now it will -- the growth will primarily be volume-driven growth going forward for the next couple of quarters?

That is on the gold loan part. On the asset quality, maybe we'll take it up later.

Nirmal Jain : So Rajiv, I think our gold loan growth has not been 21%, but 11% quarter-over-quarter. Hello?

Rajiv Pathak: Hello?

Nirmal Jain : Yes, 11% quarter-on-quarter.

Rajiv Pathak: Sorry, 11% quarter-on-quarter, yes.

Nirmal Jain : And 5%, 6% has been the tonnage growth. The gold prices had corrected in February and not in this quarter. So I think we are maintaining a healthy cushion there.

Rajiv Pathak: Okay. Okay. So -- and on the asset quality in the gold loans. So if you were to look at the 1 to 30 DPD and the breakup that you generally give, we have seen an increase as compared to Q4.

So basically, the gold loan portfolio and the MSME, both secured and unsecured, have seen an increase in the 1 to 30 and the 30 to 90 DPD buckets. What would be the reason...

Nirmal Jain : Okay. So gold loan, I think this question I had answered earlier also. The customers basically because we don't have any penalty or any penal charges in case customers paid before 90 days.

And normally, these are the small amounts that customers -- our branches collect on a monthly basis. So typically, they know that just before 90 days, they have to collect it fully. In some small stake cases, there can be some delay.

And therefore, 0 to 30 and 30 to 60 can be higher. But mostly, these are small traders, shopkeepers, businessmen, mom-and-pop shops. So you generally collect before 90 days. So I won't be worried about a slight increase in our DPD in the gold loan. But -- and which is also not very significant if you compare number quarter-on-quarter, it's very marginal.

Rajiv Pathak: Yes. In terms of absolute amount, it will not be. But so basically, if you were to take a point, that means you are saying that while the gold prices may be volatile, maybe even longer going over the next 2 quarters, for example, your buckets may move in between 30, 60, but your 90 DPD, you don't think that will go up, right?

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Nirmal Jain : Yes.. And even if that goes up a little bit a few basis points, the losses will not be there.

Ultimately, it comes back.

Rajiv Pathak: Okay. Sure. And sir, on the MSME part, both secured and unsecured?

Nirmal Jain : So MSME unsecured is a discontinued business. So there, I think we are recovering whatever the balance portfolio. So the denominator keeps shrinking, so you might see some increase. In case of MSME secured again, I think there's a very marginal movement. There's hardly any 2 basis point movement.

Rajiv Pathak: Yes. Okay. Okay. And sir, on the microfinance portfolio, so we have seen a growth coming this quarter also. So would you see same quarter -on-quarter AUM growth trend now going forward and even for the profitability and ROE in this business improving quarter by quarter going forward?

Nirmal Jain : Yes. Microfinance industry has picked up. So there's about 3% - 4% growth quarter -over-quarter. Within that also, the microfinance also diversifying more into retail and the secured other loans, which

is dedicated and other products that we do. But microfinance industry, okay, it will not grow at 30%, 40%, what it grew in '24. But steady 3% - 4% growth per quarter will happen.

Rajiv Pathak: Okay. And what is the ROA, ROE targets that you would have here?

Nirmal Jain : ROA target for?

Rajiv Pathak: Microfinance Samasta?

Nirmal Jain : I think it will be around 2.5% to 3%. Is Venkatesh there on the call right?

Venkatesh N.: Yes, Nirmal. We'll hit around 2.5% to 3%.

Rajiv Pathak: 2.5% to 3%. So 2.4% will go to 2.5% to 3% kind of a range by the end of the year.

Venkatesh N : Yes, closer to 3%.

Moderator: Your next question comes from the line of Shreepal Doshi with Equirus.

Shreepal Doshi: My question is pertaining to the gold finance book. So, this quarter, we have seen the new RBI framework being implemented for the lenders. So, what sort of challenges or developments that we've done -- that we've seen during the quarter while doing the business as well as have we made any changes in terms of tenure, in terms of, let's say, product launches within the gold loan portfolio? Or we are still continuing with the vanilla gold loan portfolio -- product that we had?

Nirmal Jain : So income assessment has become mandatory. So okay, you can define the loan as consumption or income -generating loan. In consumption loan, you cannot go beyond 75% LTV. And in income -generating loan, you can go beyond 75% LTV, but you have to make sure that you do the assessment of cash flows and income. So we are working with this. We have a good technology -driven system to do that for small businesses that borrow from us. So in a way, I

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think, these developments are healthy from a long -term point of view. And our sectors are fully tuned to that.

Shreepal Doshi: So to just follow up on that. So we have launched an income -generating gold loan product as well, do you mean to say?

Nirmal Jain : We have income -generating gold loan product also and we take Udyam Certificate and business proof for that also, yes.

Shreepal Doshi: Got it. Got it. And sir, with respect to the new framework, like as you also put up like you have launched this product as well. But at ground level, did we change anything on the tenure side?

Because implementing in the consumption loan product, implementing the newer LTV norms could actually lead to lower disbursements for the customers. So have we tweaked anything on the tenure side during the quarter?

Nirmal Jain : Not very much. So we always have a tenure of 2 years available for customers. So that continues.

Moderator: The next question comes from the line of Varun Gajaria with Omkara Capital.

Varun Gajaria: Yes. Congratulations on a good set. I just wanted to understand on the previous question that one of the participants asked. If you could just walk us through the 30 -plus slippages? And if there's any part that you're concerned about? I'm sorry if you've already answered this.

Nirmal Jain : So, 30 -plus slippages in which product you are saying?

Varun Gajaria: Overall, in the asset quality metrics that you've mentioned, right? 1 to 30 and 30 -plus?

Nirmal Jain : If you look at our Slide 12, that gives you the numbers for every product on 30 -plus, 60 -plus and

beyond.

Varun Gajaria: Yes. No, I'm aware of the metrics. What I'm trying to get at is, there is a sharp increase in those metrics, especially in gold. So if there's anything concerning about it?

Nirmal Jain : No, gold loan, I think the 30 plus number now -- is 3.8%. As I said, it's a very marginal increase, first. And secondly, in gold loan, I mean, sometimes, some customers don't pay on time, and we -- based on our margins, we hold back. We just don't auction or don't -- but this is not something which is not manageable. This is more or less, if you see historically, the numbers have been in this range.

Varun

Gajaria: So, this is sort of seasonal and nothing that you're worried about, right?

Nirmal Jain : Yes, yes.

Moderator: The next question -- sorry, your next follow-up question comes from Pavan Kumar with Edelweiss Public Alternatives.

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Pavan Kumar: In continuation of Shreepal's question from earlier, right? A couple of gold loan companies mentioned they're looking to structure gold loans as interest paying in sort of bullet loans. Have you made any such change on the interest side? That's one.

And the second thing, on the stand-alone entity, right, the assignment quantum actually increased year-on-year from INR4,200 crores to INR4,800 crores, just the Q1 number. But the assignment income has come down from INR173 crores to INR43 crores. Any reason for that? And lastly, earlier you used to give data book. Have you stopped it? It used to be quite useful.

Nirmal Jain : No data book will be there. Data book is there. It is uploaded already on our website. I think there's a link in the presentation that we should add..

Management: Data book is already there on our website.

Pavan Kumar: Okay. So I missed it.

Nirmal Jain : I think the link which was there in the last slide is not there, but I will just make sure that's there.

So that is about the data book. And your other question was...

Pavan Kumar: On the interest, instead of being bullet loans, are you looking at...

Nirmal Jain : Yes. So we always had that product. So -- see, in gold loan, when a customer walks in, you can have a monthly interest payment, quarterly interest payment, 6 monthly or a bullet and the interest rate differs. So if you say choose monthly interest, then your interest rate is lower because we also know that the customer has -- is regularly income generating and is a good customer. So we always had these products. So there's nothing new we need to introduce.

Pavan Kumar: Is there any traction for that particular product, particularly like monitoring income-generating loans is quite difficult compared, right, at a brand -- please?

Nirmal Jain : Maybe I think too early because the entire income generating and these things have started in this quarter. So we'll see the trend now. But I mean, as of now, I don't have much variance or something which is significant.

Pavan Kumar: Got it, sir. And the assignment income going down from INR170 crores to...

Nirmal Jain : So assignment income of housing finance has gone down because the assignments are smaller, but standalone has gone up. The assignment income in the home loan because a 15-year product or even 7-, 8-year behavioral will be much more, significantly more.

Pavan Kumar: No, sir. I'm referring to stand-alone entity, the INR173 crores to INR43 crores net gain on derecognition?

Nirmal Jain : Yes, I think you're talking about the stand-alone this thing?

Pavan Kumar: Yes, correct. And also, you have given the...

Nirmal Jain : Now that co-lending has picked up, but our assignment was also higher.

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Yes. I think -- so what has happened, the incremental deals quarter over quarter are lesser now because co-lending has picked up, although the portfolio might have gone up, but this happens based on the transactions done during the quarter. So that is why you see lower assignment income in stand-alone.

Pavan Kumar: But sir, you disclosed that like the assignment amount of loans assigned are INR4,800 crores this quarter.

Nirmal Jain : So the upfront income is based on the transactions done during the quarter.

Pavan Kumar: Correct, correct. during the quarter.

Nirmal Jain : So the transactions during the quarter are fewer as compared to the previous quarter.

Pavan Kumar: The quantum -- INR4,200 crores...

Nirmal Jain : Sorry.

Pavan Kumar: Please, go ahead sir. Please go ahead.

Nirmal Jain : Yes, you

are saying INR4,200 crores. These are the portfolio. No, last year, I think INR4,600 crores what you're referring to. Is it the transactions done during the quarter? No, that is the portfolio.

Pavan Kumar: INR4,200 crores was the last year amount, assignment done. This year, you have done INR4,800 crores. So there is a INR600 crore s higher assignment done this year versus last year. But the assignment...

Nirmal Jain : In the first quarter itself, you are saying?

Pavan Kumar: Correct, sir.

Nirmal Jain : Maybe I'll have a look and get back to you.

Pavan Kumar: Okay. Sure, sir.

Nirmal Jain : We will just find out. Analyze this and get back to you, Pavan.

Pavan Kumar: Congratulations...

Nirmal Jain : But going forward, at least a stand -alone, we will see that this income comes down as the co - lending picks up. And this entire upfronting will become almost negligible in the next few quarters.

Moderator: The next follow -up question comes from Abhijit Tibrewal with Motilal Oswal.

Abhijit Tibrewal: So, this thing, the new gold loan guidelines that got implemented from April and what you mentioned, consumption loan and income generation loans. So only the co -lending arrangements

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that we have with banks, are banks ready with their assessment or the way they want to underwrite these income generation gold loans?

Nirmal Jain : So all banks have different policies. Some banks are more conservative and they have a lower threshold than RBI's maximum allowed. And every bank has a different requirement. But I answered earlier -- so we are fully aligned with the new framework, which is income generating, assessing the income and tracking them. I mean t hat has not impacted our business much. And in a way, we think there's a positive development because see there's a discipline in the type of loan that we are doing for consumption of our business. And for consumption, we will be more conservative. For business, you can be a little more liberal based on the income and the prospects of the cash flows of the business.

Abhijit Tibrewal: Got it. And for this, banks need to be ready, right, in terms of how they want to assess these income generation loans? Is that the right understanding?

Nirmal Jain : No,. The banks basically work along with us. -- it's like a joint lending. So we work with bank in terms of what kind of income proof is needed . And actually, most of the banks that we work with, they are very happy with our process. We do a CIBIL pull and then we also look at the digital data and then based on what we talk to customers, we estimate the income.

-- when you do co -lending, banks have to accept your process, and that process should meet their standards also. And then only you can start off . So we talk to them, we engage with them and we work out a joint process. So some bank in our process, if they need some more things then we add it. So for every bank, we have to work separately.

Moderator: As there are no further questions from the participants, this concludes our question -and-answer session. I would now like to hand the conference back to the management for closing remarks.

As there are no further questions, I would like to hand the confere nce back to the management for closing comments.

Nirmal Jain : Thank you. And if you have any more queries or any questions, you can reach out to our Investor Relations or our CFS department. Thank you so much. Have a good evening ahead. Thank you.

Vikas Jain: Thank you.

Moderator: Thank you, members of the management. On behalf of IIFL Finance Limited, that concludes this conference call. Thank you, everyone, for joining us, and you may now disconnect your lines.